

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

20230930-DK-BUTTERFLY-1, INC. F/K/A BED BATH &
BEYOND INC., *Complainant*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND
OOCL (EUROPE) LIMITED, *Respondents*.

DOCKET NO. 23-02

Served: April 24, 2026

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview

This proceeding began on April 27, 2023, when the Federal Maritime Commission (“Commission” or “FMC”) issued a notice of filing of complaint and assignment, indicating that Bed Bath & Beyond Inc. (“BBBY” or “BBB”), currently known as 20230930-DK-Butterfly-1,² had filed a complaint against Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively “OOCL”).

BBBY’s amended complaint alleges five violations:

- Count I: 46 U.S.C. § 41102(c), unreasonable practices for failing to meet service commitments (space allocation and premium pricing overcharges);
- Count II: 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5, unreasonable practices for detention and demurrage;
- Count III: 46 U.S.C. § 41104(a)(2), service not in accordance with service contract;
- Count IV: 46 U.S.C. § 41104(a)(3) (now § 41102(d)), retaliation; and
- Count V: 46 U.S.C. § 41104(a)(10), refusal to deal.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

² Bed Bath and Beyond Inc. filed a change of name certificate with the New York State Division of Corporations, State Records on September 21, 2023, changing its corporate name to 20230930-DK-Butterfly-1, Inc. Amended Complaint at 1 n.1.

OOCL contends that BBY's amended complaint consists of two general categories: complaints about service and prices under its service contracts, and complaints about the charges it incurred for demurrage and detention. OOCL argues that none of the claims have "any legal merit, because the Commission has no authority to adjudicate these claims; nor do any of the claims have factual merit, because OOCL neither breached its contractual obligations to BBY nor acted unreasonably." Opposition at 1.

BBY was one of the largest home furnishing store chains in the United States before declaring bankruptcy in 2023. OOCL is one of the largest ocean common carriers. BBY and OOCL entered into a series of service contracts agreeing to minimum quantity commitments ("MQC") and prices. A service contract is a reciprocal commitment between shipper and carrier that ensures the carrier receives a certain volume of cargo and the shipper receives commitments to certain space or rates. 46 U.S.C. § 40102(21). This provides stability to the market. In contrast, spot market rates can fluctuate significantly. When the spot rates rose during the COVID pandemic, BBY alleges that OOCL failed to meet its space and price commitments and instead provided space to the highest bidder, what BBY describes as price gouging.³ Moreover, BBY alleges it was charged excessive detention and demurrage fees, that OOCL refused to deal, and that OOCL retaliated against it.

"A carrier must establish a reasonable plan in order to cope with periods of congestion and must fill its capacity in a reasonable and just manner when such periods occur." *Levantino & Sons v. Prudential-Grace Lines*, 18 F.M.C. 89, 104 (ALJ Aug. 17, 1973) (admin. final Dec. 16, 1974).⁴ This initial decision relies on long-standing Commission precedent, which holds that where the demand for space exceeds the supply, a common carrier must equitably apportion its available space among shippers. *Boston Wool Trade Assoc. v. Merchants Miners Transp. Co.*, Docket No. 11, 1 U.S.S.B. 32, 34 (USSB Dec. 13, 1921) ("apportioned as equitably as possible," not just to increase revenue); *Grace Line Inc. v. FMB*, 280 F.2d 790, 793 (2d Cir. 1960) ("if a shipper qualified, he may not be denied space at the pleasure, and for the profit, of the carrier"); *California Shipping Line, Inc. v. Yangming Marine Transp. Corp.*, Docket No. 88-15, 1990 WL 427466, at *32 (FMC Oct. 19, 1990) ("carriers lacking sufficient space must prorate their available space among contract shippers"). Moreover, an efficient and economic transportation system "is one in which all parties adhere to agreed-upon responsibilities." *Bakerly, LLC v. Seafrigo USA, Inc.*, Docket No. 22-17, 2026 WL 254020, at *18 (FMC Jan. 22, 2026) (attorney fees order) (quoting *Edaf Antillas, Inc. v. Crowley Caribbean Logistics*, Docket No. 14-04, 2016 WL 5110081, *13 (FMC Sept. 14, 2016)).

As explained below, the evidence shows that OOCL violated section 41102(c) with regard to its service commitments as alleged in Count I and violated the filed rate doctrine, section 41104(a)(2), as alleged in Count III. Moreover, the evidence shows that OOCL refused to deal as alleged in Count V and retaliated against BBY as alleged in Count IV. However, the

³ See Kimberly Winbush, *Litigation of Prohibitions Against Price Gouging*, 161 Am. Jur. Trials 551 at § 2 (2019) (noting that there are no federal price gouging laws).

⁴ Historical F.M.C. cases and recent F.M.C.2d cases are available at www.fmc.gov/proceedings.

evidence does not support a finding that OOCL violated section 41102(c) or 46 C.F.R. § 545.5 with regard to detention and demurrage charges as alleged in Count II.

BBBY seeks damages of \$165,355,872.69. OOCL objects to BBBY's damages calculations and some of OOCL's concerns are well-founded. Reparations are awarded for failure to meet the initial space and price commitments. No additional reparations are awarded for service not in accordance with service contracts or refusal to deal. However, additional reparations are awarded due to the finding of retaliation. The total amount of reparations awarded is \$45,600,599.25.

The procedural history, pending motions, evidence, and parties' arguments are discussed next. Section II provides the findings of fact. Section III provides the analysis and conclusions of law. Section IV provides the order. Note that in the analysis, Count V, refusal to deal, is addressed before Count IV, retaliation.

Given the size of the record and for the convenience of the reader, Attachment A is a table of contents for this decision, and Attachment B is a list of abbreviations that may be applicable to some of the evidence provided by the parties. Due to the confidential nature of some information central to the decision, both a confidential and public version are issued, with confidential information marked in the confidential version by bold and braces.

B. Procedural History

On April 27, 2023, the Commission issued a notice of filing of complaint and assignment, initiating this proceeding. On May 22, 2023, OOCL filed an answer denying the allegations and raising five affirmative defenses. On June 8, 2023, a scheduling order was issued. At the request of the parties, a revised scheduling order was issued on August 23, 2023.

On September 28, 2023, an order issued denying Complainant's motion for partial decision on the pleadings and granting OOCL's motion for entry of a protective order. On October 16, 2023, Respondents filed a motion for reconsideration or leave to appeal specific aspects of the September 28, 2023, order. On November 9, 2023, an order issued denying Respondent's motion for reconsideration or leave to appeal.

A second revised scheduling order was issued on November 17, 2023, and a briefing schedule was issued on March 21, 2024, following the parties' joint status report. On May 21, 2024, the parties jointly filed a request to extend expert witness deadlines. A third revised scheduling order was issued in response on May 22, 2024.

On July 8, 2024, Complainant filed a motion for permission to file an amended complaint, attaching a proposed confidential and public version, which was allowed in an order issued August 23, 2024, along with a fourth revised scheduling order.

On September 6, 2024, OOCL filed both a confidential and a public answer to the amended complaint denying all allegations and asserting seven affirmative defenses: (1) the amended complaint fails to state a claim for which relief can be granted; (2) FMC lacks subject matter jurisdiction because Complainant alleges a breach or breaches of its service contract with Respondents; (3) the Commission lacks authority to regulate the reasonableness of cargo-space

accommodations, or any refusal thereof, for the time period covered by the amended complaint; (4) Complainant did not take reasonable steps to mitigate its damages; (5) Respondent OOCL (Europe) Limited's area of operations is solely European trade and as a result it was not involved in the services at issue; (6) Complainant was not engaged in a protected activity that could support a claim for discrimination under the Shipping Act; and (7) Complainant was not engaged in a protected activity that could support a claim for retaliation under the Shipping Act. Answer Amended Complaint at 1-3, 35-37.

Also on September 6, 2024, OOCL filed a motion for reconsideration of the August 23, 2024, order accepting the amended complaint. On September 19, 2024, OOCL's motion for reconsideration was denied. Discovery closed on November 10, 2024. 4th Revised Scheduling Order.

On November 15, 2024, Complainant sought leave to file a second amended complaint, increasing the reparations amount sought by BBY. On December 5, 2024, Complainant's motion seeking leave to file a second amended complaint was denied as unnecessary.

On December 5, 2024, an order was issued expanding the page limits for both Complainant's initial brief and Respondents' opposition brief to 105 pages, based on the "complexity of the proceeding, including the number of claims, size of the record, and unique issues raised." Order on Complainant's Motion to Expand Briefing Page Limits at 2. On December 6, 2024, Respondents' motion to strike verification and dismiss the amended complaint was denied.

On December 13, 2024, Complainant timely filed its opening brief, a document titled "Complainant's Proposed Findings of Fact and Conclusions of Law," a motion for confidential treatment, an appendix (marked APP 1 to APP 5175), and eighteen Excel files. On December 19, 2024, Respondents filed a motion to strike the opening brief, contending that Complainant had submitted a brief of 131 pages, counting pages addressed to "proposed conclusions of law." On December 20, 2024, Respondents filed a motion to exclude the testimony of BBY's expert, John D. McCown, and a motion to file under seal Exhibit B to the motion to exclude.

On December 23, 2024, an order issued requiring Complainant to file, by January 17, 2025, its response to the motion or a revised opening brief that included all legal citations and was within the page limit. The order stated that the motion to exclude Mr. McCown's testimony would be addressed with the merits of the proceeding.

On January 17, 2025, BBY filed an amended opening brief, which it described in an accompanying joint status report as a "lightly revised amended opening brief . . . [which] deletes all citations and references to the [Conclusions of Law ("COL")], and incorporates directly into the body of the Amended Opening Brief a handful of citations that were included in greater detail in the COL." Complainant and Respondents' Joint Status Report ("Jan. 17, 2025, JSR") at 3. BBY did not file an updated appendix and did not provide updated Excel files. The same JSR conveyed Respondents' position that they intended to maintain their Motion to Strike Opening Brief in light of Complainant's decision not to file an amended FOF/COL that eliminated Complainant's COL. Jan 17, 2025, JSR at 4.

On January 23, 2025, an order issued stating:

Complainant has submitted a revised, and longer, opening brief, that is within the 105-page expanded page limit. And, Complainant states that the amended opening brief may be read without reference to the conclusions of law.

Therefore, the amended opening brief will be accepted in place of the original brief, which may be removed from the record. In addition, the conclusions of law will be stricken from the record. These 33 pages of additional legal analysis exceed the page limit and unnecessarily complicate the record. Accordingly . . . [the] conclusions of law, found in Complainant’s Proposed Findings of Fact and Conclusions of Law at pages 148 to 181, paragraphs 637 to 820, are stricken from the record.

Order on Respondents’ Motion to Strike Brief and Revised Briefing Schedule at 2.

On February 27, 2025, Respondents timely filed their answering brief to Complainant’s brief, proposed findings of fact, replies to Complainant’s proposed findings of fact, motion for confidential treatment, and appendix (marked as RX 1 to RX 3171). On March 20, 2025, BBBY timely filed its reply, responses to Respondents’ proposed findings of fact, and its opposition to Respondents’ motion to exclude. BBBY did not provide any supplemental appendix files or Excel files along with its reply briefing.

On March 27, 2025, BBBY submitted a Notice of Supplemental Authority with a copy of the ALJ decision in *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, Docket No. 24-10, served March 24, 2025.

On March 31, 2025, an Order Denying Motions for Confidential Treatment, was issued denying without prejudice BBBY’s December 13, 2024, January 17, 2025, and March 21, 2025, motions for confidentiality and OOCL’s February 27, 2025, motion for confidentiality and requiring the parties to resubmit both public and confidential revised versions of the Brief, Opposition, Reply, both parties’ appendices, proposed findings of fact, and responses to proposed findings of fact. The revised filings were timely filed on April 29, 2025. These revised filings are the ones relied upon in this decision.⁵

On June 24, 2025, BBBY submitted a Notice of Supplemental Authority with a copy of the decision of the United States Court of Appeals for the District of Columbia Circuit in *MSC Mediterranean Shipping Company S.A. v. Federal Maritime Commission*.

⁵ The parties’ filings are abbreviated as follows: Complainant’s revised amended opening brief (“Brief”), Complainant’s revised proposed findings of fact (“CPFF”), Complainant’s revised appendix (“APP”); Respondents’ revised answering brief (“Opposition”), Respondents’ revised proposed findings of fact (“RPFF”), Respondents’ revised replies to Complainant’s proposed findings of fact (“RRPFF”), Respondents’ revised appendix (“RX”); Complainant’s revised reply brief (“Reply”), and Complainant’s revised responses to Respondents’ proposed findings of fact (“CRPFF”). Declarations are identified by date filed.

On December 9, 2025, Respondents filed an opposed motion to reopen the record for discovery regarding BBY's claimed reparations. On December 16, 2025, Complainant filed a response arguing that the record should not be reopened.

C. Pending Motions

1. Motion for Confidential Treatment

On March 31, 2025, the motions for confidential treatment filed by the parties with their briefs were denied "because they are overbroad and the manner in which confidential material is marked is not sufficiently clear;" thus, the parties were required to provide revised filings, and the parties were permitted to file a revised motion for confidential treatment. Order Denying Motions for Confidential Treatment at 1. On April 29, 2025, the parties filed a Joint Status Report and Motion for Confidential Treatment with updated confidentiality table ("Confidentiality Motion") and a motion to file the Confidentiality Motion under seal.

BBY seeks confidentiality for five Excel files and portions of Mr. McCown's report appendices, arguing they contain non-public commercially sensitive pricing data and cost data concerning not only ocean freight costs but also merchandise costs and supplier pricing. BBY asserts that this is confidential business information and good cause exists to protect the information. Confidentiality Motion at 39-40. OOCL did not object to BBY's request.

OOCL narrowed its requests but still seeks confidentiality for a significant amount of material. OOCL seeks to keep confidential: confidential communications, correspondence, and data pertaining to Respondents' internal contract negotiation/pricing strategies; compliance regimes, customer identifiers, and customer performance data; non-party customer identification and performance data; negotiation strategies, compliance procedures, and proprietary elements of Respondents' company policies, management, and operations; and customer service contract information. Confidentiality Motion at 2-38. OOCL also argues that the "release of confidential information prior to the matter becoming final for all purposes, including appeal, will be damaging to Respondents' reputation as well as diminish competition among ocean common carriers regulated by the Commission" and that should "this tribunal or an appellate court conclude that this tribunal lacks jurisdiction, then any such information disclosed will have been wrongfully disclosed, OOCL will have been prejudiced, and OOCL will be without recourse." Confidentiality Motion at 2, n.1.

BBY asserts that OOCL's request "remains overbroad and inconsistent with the Commission's rules," providing examples and arguing that OOCL's request includes: material that the Presiding Officer already explicitly cast doubt on as meriting confidential treatment; material that does not correspond to the Commission's criteria; and material that has been over-redacted and does not warrant confidential treatment. Confidentiality Motion at 40-46.

The issue of confidentiality has been previously addressed in multiple orders. On July 28, 2023, an order entering a protective order was issued as requested by the parties, regarding treatment of confidential documents and information obtained during discovery that is not filed with the Commission. On July 8, 2024, along with BBY's motion to file an amended

complaint, BBY also challenged the confidentiality of certain documents cited to in its amended complaint, which had been designated by Respondents as confidential.

On August 23, 2024, an order issued granting BBY's motion to file an amended complaint with some material marked as confidential and denying without prejudice BBY's motion challenging the confidentiality of certain documents. Order on Amended Complaint, Confidentiality, and 4th Amended Scheduling Order at 5. However, this order also noted:

The parties are cautioned, however, that overbroad confidentiality designations will not be permitted when the briefs are filed. Specifically, information that was not confidential or sent with the expectation that the information remain confidential are not entitled to confidential treatment under the parties' Protective Order and will not be afforded confidential treatment under Commission rules. If the communication includes confidential rates, the actual rates may be entitled to confidential treatment. However, internal communications that merely describe Respondents' opinions of the October letter or reactions to it are unlikely to be entitled to confidential treatment. In addition, it is hard to see how communication to or from Complainant would be entitled to confidential treatment. Those issues can be resolved, however, at or prior to briefing. Therefore, the motion for confidential treatment is denied without prejudice.

Id.

More recently, in the December 5, 2024, Order Denying Complainant's Second Motion to Amend the Complaint, the parties were reminded:

The parties should note that their protective order governs material exchanged between themselves. Just because information was confidential under the protective order does not mean that it will meet the Commission's standards for confidential treatment when used in the proceeding. For example, entire depositions may not be marked as confidential. Therefore, any information in briefs, proposed findings of fact, or the appendix must meet the Commission's confidentiality standards and the parties must file a motion explaining how those standards are met. *See* 46 C.F.R. § 502.141(j)(1) and the Initial Order at 5-6.

Order Denying Complainant's Second Motion to Amend the Complaint at 3.

As explained in the Order Denying Motions for Confidential Treatment, Commission Rules permit the Presiding Officer to issue an order requiring "that a trade secret or other confidential research, development, or commercial information not be disclosed or be disclosed only in a specified way." 46 C.F.R. § 502.141(j)(1)(vii). The Commission reversed a grant of confidentiality, stating:

Now, the Commission requires more formality and clarity, including a motion explaining the need for confidential treatment, two copies of the confidential document, and *good cause demonstrating that the information is a trade secret or other confidential research, development, or commercial information.* *See*

Amendments to Rules Governing Service of Private Party Complaints and Documents Containing Confidential Information, 80 Fed. Reg. 14318, 14319 (Mar. 19, 2015).

Genesis Resource Enterprise Inc. v. Maersk Line, Ltd., Docket No., 2014(I), 2024 WL 5054939, at *1 (FMC Dec. 4, 2024) (emphasis added).

Prior Commission cases have discussed the standard for evaluating requests for confidential treatment of filings submitted to the Commission. One case explained:

The District Court for the District of Columbia discussed the strong presumption in favor of public access to judicial proceedings, stating:

As this Court has explained previously, *see In re McCormick*, 2017 U.S. Dist. LEXIS 90491 [(D.D.C. 2017)] there is a “strong presumption in favor of public access to judicial proceedings.” *EEOC v. Nat’l Children’s Ctr., Inc.*, 98 F.3d 1406, 1409, 321 U.S. App. D.C. 243 (D.C. Cir. 1996) (quoting *Johnson v. Greater Se. Cmty. Hosp. Corp.*, 951 F.2d 1268, 1277, 293 U.S. App. D.C. 1 (D.C. Cir. 1991)). “This right extends to judicial records [;] . . . whether something is a judicial record depends on ‘the role it plays in the adjudicatory process.’” *In re Fort Totten Metrorail Cases*, 960 F. Supp. 2d 2, at 6 (D.D.C. 2013) (quoting *United States v. El-Sayegh*, 131 F.3d 158, 163, 327 U.S. App. D.C. 308 (D.C. Cir. 1997)). “A court proceeding . . . is in its entirety and by its very nature a matter of legal significance; all of the documents filed with the court . . . are maintained as the official ‘record’ of what transpired.” *Wash. Legal Found. v. U.S. Sentencing Comm’n*, 89 F.3d 897, 906, 319 U.S. App. D.C. 256 (D.C. Cir. 1996). “Indeed, the meaning and legal import of a judicial decision is a function of the record upon which it was rendered.” *Id.*

In re McCormick & Co., Pepper Prods. Mktg. & Sales Practices Litig., 316 F. Supp. 3d 455, 463 (D.D.C. 2018). Public access to judicial records is not limitless, however, and may be denied “to protect trade secrets . . . and to minimize the danger of an unfair trial by adverse publicity.” *U.S. v. Hubbard*, 650 F.2d [293], 315-16 (D.C. Cir. 1980).

Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC-Possible Violations of 46 U.S.C. 41102(c), Docket No. 21-09, 2022 WL 1239377, at *22 (ALJ April 22, 2022) (FMC approved settlement June 8, 2022); *see also Mills v. Crowley Logistics, Inc.*, Docket No. 1995(F), 2025 WL 843346, at *10 (ALJ March 13, 2025) (admin. final April 15, 2025) (“There is a strong presumption in favor of public access to judicial proceedings.”).

The revised requests for confidential treatment limit the amount of information for which confidential treatment is sought. However, many of the revised filings continue to be improperly labeled and confusing. BBY’s cover pages and headers for public filings are labeled “CONFIDENTIAL-RESTRICTED” instead of “PUBLIC” and the only way to determine that it is a public version is by the file path name.

Similarly, OOCL's public versions of its answering brief and appendix both retain the "CONFIDENTIAL-RESTRICTED" header on the public versions. Further, none of OOCL's revised filings include a cover page, as was specifically ordered to ensure clarity with respect to the record. Motion for Confidential Treatment at 4 (requiring, for the revised filings that a "non-numbered cover page should also be inserted labeling the filing as 'REVISED' followed by the name of the original document, the date that it was resubmitted, the original submission date, and whether the filing is the CONFIDENTIAL or PUBLIC version" and directing that the "cover page of the confidential version should also make clear how confidential material has been marked (for example, with yellow highlighting, red outlines, etc.)").

Marking of confidential material within the documents is also not clear. OOCL has reduced the information for which it seeks confidential treatment, which was marked with yellow highlight in the initial confidential version. However, the revised confidential version still has yellow highlighting from the original, so it is not helpful in identifying the information for which OOCL is currently seeking confidential treatment.⁶ Moreover, the public version retains the yellow highlight in addition to the redactions. The only way to determine the material that OOCL currently seeks to keep confidential is to compare the confidential version with the redactions in the public version.

Despite the many shortcomings in the revised filings, the filings are accepted into the record. To save time and resources, the parties were not required to again resubmit all of their filings. However, future filings that fail to properly identify documents as public or confidential, or which fail to clearly mark confidential material included therein, may be summarily rejected.

Where information has been inconsistently marked (designated as confidential in some places, but also included in materials released publicly), this has been treated as public in other cases. *See, e.g., Intermodal Motor Carriers Conference v. Ocean Carrier Equipment Management Assoc. Inc.*, Docket No. 20-14, 2023 WL 1963455, at *10-11 (ALJ Feb. 6, 2023) ("IMCC") (denying confidential treatment for inconsistently marked CCMP rule text). The Commission affirmed the IMCC initial decision, remanded for further proceedings unrelated to confidentiality, and noted that "[c]onsistent with ALJ's ruling and Rule 502.5, information that does not qualify as confidential is not treated as such, and is not redacted from the public version of the Commission's Order." IMCC, 2024 WL 641501, at *46 n.12 (FMC Feb. 13, 2024). Moreover, the parties were previously advised that "information that is public is not entitled to confidential treatment." Order Denying Motions for Confidential Treatment at 2-3.

Information that is already public is not entitled to confidential treatment, including information that has not been consistently marked by the parties. In such instances, where information appears unredacted in public versions of the parties' filings, the information has been made public and may be referenced in this decision, despite the fact that the information may continue to be marked as confidential in other citations to the same information. Where such inconsistencies exist, the findings of fact may contain citations showing the information both marked as confidential and marked as public. For example, a March 17, 2022, internal OOCL email was discussed in public deposition testimony, although the same passages are

⁶ BBY also refers to OOCL's orange highlighting but that does not appear to be present on the filings submitted into the record. Confidentiality Motion at 41 n.2.

marked as confidential in the email. APP 456; APP 4165-66. Similarly, public deposition testimony describes a November 1, 2022, internal OOCL email, although the email has the passage marked as confidential. APP 1755; APP 3036; *also compare* APP 3309 *with* APP 1076 and APP 3027 *with* RX 22. Similarly, BBY Excel files P-0000810432 (“P/432”) and P-0000353819 (“P/819”) were provided in public filings, while Excel files BBY Ex. 328 and BBY Ex. 329, which appear to be identical to P/432 and P/819 respectively and which BBY refers to synonymously (Reply at 59-60), were filed as confidential. The parties are not required to amend their filings, however, such inconsistently marked information, which is over three years old, may be included in the public version.

BBY’s request is narrow and the information it seeks to protect is commercially sensitive. BBY establishes good causes for its requests. Note that while BBY Ex. 330 was marked by BBY, and will remain, confidential, confidential treatment is denied as to the total damages calculated for service contract years, as similar calculations are otherwise listed as public by BBY.

Some of the material marked as confidential by OOCL is indeed entitled to confidential treatment. For example, redactions concerning non-party customer names, certain pricing data, and service contract language are generally appropriate, and BBY has not indicated disagreement with these requests. Moreover, robust internal discussion of Shipping Act and OSRA requirements should be encouraged, and requests to keep such conversations confidential are also appropriate in some contexts. However, other requests for confidentiality by OOCL seem to reflect a desire to avoid the release of information that may be embarrassing, although that is not a basis to grant confidentiality.

The parties’ motion for confidentiality is **GRANTED IN PART and DENIED IN PART**. The information redacted by BBY and OOCL in their public filings is granted confidential treatment unless made public in this decision.

The parties also moved to file the Confidentiality Motion under seal, asserting that they were unable to reach an agreement on the designation of certain materials and those potentially confidential materials are discussed in the Confidentiality Motion. Good cause having been stated, the motion for confidential treatment of the Confidentiality Motion is **GRANTED**.

The material included in this decision has been carefully reviewed for confidentiality. Any material not marked as confidential was found not entitled to confidential treatment. In the confidential version of this decision, confidential material is marked in bold with braces.

2. Motions Regarding Expert Testimony

a. Motion to Exclude BBY Expert Witness McCown

On December 20, 2024, Respondents filed a motion to exclude the testimony of BBY’s expert, John D. McCown (“Motion to Exclude”), arguing that McCown’s testimony is inadmissible under Fed. R. Evid. 702 and under Fed. R. Evid. 402 and 403. Motion to Exclude at 3-10. In addition, OOCL’s opposition brief includes a request that expert witness McCown’s testimony should be stricken and outlines concerns about the relevance and reliability of his expert testimony. Opposition at 7-8, 13-15.

On March 20, 2025, BBY filed its opposition to OOCL's motion to exclude ("Opposition to Motion to Exclude"), arguing that McCown is qualified, his opinions are well-founded and based on reliable principles and methodology, he reliably applied those principles and methodology, and his opinions are relevant to the finder of fact. Opposition to Motion to Exclude at 2-10.

Commission Rule 204 states that "all evidence which is relevant, material, reliable and probative, and not unduly repetitious or cumulative, will be admissible. All other evidence will be excluded. The presiding officer may consider the Federal Rules of Evidence for guidance." 46 C.F.R. § 502.204.

Previous cases have been guided by Federal Rule of Evidence 702 when evaluating motions to strike expert witnesses. *See, e.g., Peloton Interactive, Inc. v. Flexport International LLC*, Docket No. 24-19, 2025 WL 3633538, at *3 (ALJ Dec. 9, 2025) (Order on Respondent's Motion to Strike Expert Report); *Marine Repair Serv. v. Ports America Chesapeake*, Docket No. 11-11, 32 S.R.R. 1133, 2013 WL 9808672, at *23-24 (ALJ Jan. 20, 2013) (admin. final March 20, 2013). Federal Rule of Evidence 702 states:

A witness who is qualified as an expert by knowledge, skill, experience, training, or education may testify in the form of an opinion or otherwise if:

- (a) the expert's scientific, technical, or other specialized knowledge will help the trier of fact to understand the evidence or to determine a fact in issue;
- (b) the testimony is based on sufficient facts or data;
- (c) the testimony is the product of reliable principles and methods; and
- (d) the expert has reliably applied the principles and methods to the facts of the case.

Fed. R. Evid. 702. Under the Federal Rules, relevant evidence is admissible, while irrelevant evidence is not admissible and the court "may exclude relevant evidence if its probative value is substantially outweighed by a danger of one or more of the following: unfair prejudice, confusing the issues, misleading the jury, undue delay, wasting time, or needlessly presenting cumulative evidence." Fed. R. Evid. 402, 403.

When ruling on the admissibility of expert opinions, courts consider whether the expert is qualified in the relevant field and examine the methodology the expert used in reaching the conclusions at issue. *See, e.g., Daubert v. Merrell Dow Pharmaceuticals, Inc.*, 509 U.S. 579 (1993). The court's role as a "gatekeeper," pursuant to *Daubert*, to prevent expert testimony from unduly confusing or misleading a jury, is less applicable in a bench trial. *Magistrini v. One Hour Martinizing Dry Cleaning*, 180 F. Supp.2d 584, 596 n.10 (D.N.J. 2002) (citing *Gibbs v. Gibbs*, 210 F.3d 491, 500 (5th Cir. 2000) ("Most of the safeguards provided for in *Daubert* are not as essential in a case such as this where a district judge sits as the trier of fact in place of a jury.")). Rather than excluding expert testimony, "[v]igorous cross-examination, presentation of contrary evidence, and careful instruction on the burden of proof are the traditional and

appropriate means of attacking shaky but admissible evidence.” *Daubert*, 509 U.S. at 596; *Marine Repair Services*, 32 S.R.R. at 1154, 2013 WL 9808672, at *24.

BBBY expert John McCown is a Non-Resident Senior Fellow at the Center for Maritime Strategy with over four decades of operating and investment experience in the container shipping industry and an MBA from Harvard Business School, who publishes a monthly report analyzing U.S. container volume and a quarterly report analyzing the actual results of the container shipping industry. APP 3755. Mr. McCown’s education and work experience qualify him to provide expert testimony.

When parties select experts to opine on reparations, which is where experts can be particularly helpful, the expert’s experience presenting complex damage calculations to adjudicators may be more valuable than their maritime experience. A skilled expert who is familiar with a variety of ways to calculate damages, who shows their work, and can clearly articulate the benefits and risks of different approaches helps both the parties and adjudicator. A number of limitations with the expert analysis provided here are discussed in the reparations section. Those limitations impact the weight that can be given to some of the opinions but does not impact their admissibility.

Thus, OOCL’s arguments that Mr. McCown’s testimony should be stricken apply to the weight to be given to his opinions, but not to their admissibility. Moreover, the risk of prejudice from giving undue weight to marginally relevant evidence is minimal in a bench trial such as this, where the presiding officer is capable of assigning appropriate weight to evidence. Accordingly, the request to strike Mr. McCown’s expert report is **DENIED**.

In addition, OOCL filed a motion to file Exhibit B of the Motion to Exclude under seal. The motion to file the Motion to Exclude, Exhibit B, as confidential is **GRANTED**.

b. Motion to Reopen Discovery

On December 9, 2025, OOCL filed an opposed motion to reopen the record for discovery regarding BBBY’s claimed reparations (“Motion to Reopen”). OOCL contends that BBBY may be claiming damages for the same shipments from multiple parties, pointing to other cases filed by BBBY against different ocean carriers, docketed as FMC Nos. 23-12, 24-12, 25-01, and 25-25. Respondents argue:

Given McCown’s testimony in OOCL’s case above and the information included in Yang Ming’s motion, every reason exists to believe that the tables used by BBBY in Yang Ming’s and the other cases are duplicative of the tables used by BBBY in OOCL’s case. It remains BBBY’s burden to prove that the alleged freight charges incurred pertain to a particular ocean carrier, and BBBY cannot carry that burden by alleging that all of its ocean carriers are responsible for such charges. The duplicative nature of the charges presents *prima facie* evidence that BBBY does not know which carrier is allegedly responsible for such charges and is certainly germane to the claims presented.

Motion to Reopen at 4-5.

On December 16, 2025, Complainant filed a response asserting that the record should not be reopened (“Opposition to Motion to Reopen Discovery”). BBY contends that OOCL fails to identify any evidence that was unavailable to it during discovery; OOCL fails to identify any evidence that would impact this proceeding’s outcome; and to the extent that OOCL seeks discovery into confidential settlement communications, such inquiry is patently prohibited. Opposition to Motion to Reopen at 2, 4-10.

BBY’s opposition to the motion to reopen argues that the record should not be reopened, citing to the Commission’s reopening rule. Opposition to Motion to Reopen at 3 (citing 46 C.F.R. § 502.230(b)). This rule, however, only applies after a decision is issued, and is not applicable here. Rather, Administrative Law Judges have broad authority to manage the course of the proceeding. 46 C.F.R. § 502.25(b).

Part of the McCown report identifies actual shipments undertaken by BBY to cover shortfalls during the terms of the 2020 and 2021 service contracts, on trade lanes covered by those service contracts, using non-vessel-operating common carriers (“NVOCCs” or “NVOs”) or freight forwarders (combined “NVO/FFs”). APP 3794-804; APP 3810-37. OOCL seeks to reopen discovery to compare the data contained within appendices A1 through A5, and B1 through B5 of the McCown report in this case to appendices introduced by BBY in other cases it has filed against different ocean carrier respondents. Motion to Reopen at 2. OOCL reasons that if “a comparison of the appendices in Yang Ming and OOCL’s cases, or in the other FMC cases filed by BBY against ocean carriers, demonstrate BBY is claiming damages for the same shipments from multiple parties, grounds exist to supplement the record with this evidence, including supplementing OOCL’s motion to strike John McCown as an expert witness.” Motion to Reopen at 2.

In part, reparations are awarded for the shortfall—the number of containers OOCL agreed to but did not transport at the agreed upon price. BBY’s charges from NVO/FFs to transport containers are relevant to quantifying the actual injury. This data is not specific to any particular carrier, just as cargo is not specific to any particular carrier, but rather actual data regarding BBY’s costs. Thus, it would be odd if these actual costs incurred by BBY varied from one case to the next. Moreover, BBY does not have to correlate individual shipments for which it seeks reparations to a specific denial of a booking request for that individual container. See III.C.6.c.i(b) below. This “excessively high standard of proof” has previously been rejected. *MCS Industries, Inc. v. MSC Mediterranean Shipping Co. SA*, Docket No. 21-05, 2024 WL 3514613, at *8 (FMC July 16, 2024) (*aff’d sub nom. MSC Mediterranean Shipping Co. S.A. v. FMC*, 141 F.4th 222 (D.C. Cir. 2025)).

Thus, it is not clear that the information sought would be relevant to determination of a material issue. Additionally, the motion to reopen discovery is not timely. OOCL’s motion was filed over a year after the close of discovery and eight months after the record closed. OOCL had the expert’s report and deposed the expert during discovery. Indeed, OOCL raised a number of concerns regarding McCown’s expert report in its briefing. Moreover, OOCL’s arguments regarding the one satisfaction rule and prohibition of double recovery do not apply to this proceeding. As BBY argues, there has not been any recovery in any of the BBY cases before the Commission, so there is no risk of double recovery in this proceeding. Accordingly, the motion to reopen discovery is **DENIED**.

D. Evidence

Under the Administrative Procedure Act, an administrative law judge may not issue an order “except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence.” 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 98-102 (1981). This initial decision is based on the pleadings, exhibits, briefs, proposed findings of fact and conclusions of law, and replies thereto filed by the parties.

This initial decision addresses only material issues of fact and law. Proposed findings of fact not included in this decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations in the complaint or the defenses thereto. Administrative adjudicators are “not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are ‘material.’” *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-94 (1959). To the extent individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

E. Arguments of the Parties

BBBY contends that OOCL violated 46 U.S.C. § 41102(c) through its unjust and unreasonable failure to meet service commitments under the service contracts (Count I); 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5 through its unjust and unreasonable assessment of detention and demurrage charges (Count II); 46 U.S.C. § 41104(a)(2) through its conduct not in accordance with service contracts (Count III); 46 U.S.C. § 41104(a)(3) by retaliating (Count IV); and 46 U.S.C. § 41104(a)(10) by its unreasonable refusals to deal or negotiate (Count V). Brief at 3-4, 6-11, 13-90; Reply at 2-58. BBBY seeks in its briefing reparations totalling \$165,355,872.69. Brief at 91.

OOCL asserts that BBBY fails to state claims for Counts I through V; the Commission lacks jurisdiction; BBBY’s Counts I, II, and III are essentially breach of contract claims and should be treated as such; regarding retaliation and refusal to deal, OOCL’s conduct was at all times just and reasonable; BBBY additionally fails to prove required elements of each alleged violation; and BBBY fails to properly quantify its alleged damages, either factually or legally. Opposition at 12-103.

Specific findings of fact are in section two, prior to the analysis and conclusions of law in section three, and the order in section four.

II. FINDINGS OF FACT

A. Background

1. Relevant Entities

1. Complainant 20230930-DK-BUTTERFLY-1, Inc. f/k/a Bed Bath & Beyond Inc. is a corporation existing under the laws of New York, headquartered in Union, NJ. CRPFF ¶ 22; APP 3952.
2. Prior to filing a change of name certificate to its present name with the New York State Division of Corporations, State Records, and Uniform Commercial Code on September 21, 2023, Complainant's corporate name was Bed Bath & Beyond Inc. APP 42-43.
3. Founded in 1971, BBBY grew into the largest home furnishing store chain in the United States which operated 1,533 stores in the U.S. and Canada and employed about 62,000 full-time and part-time workers. APP 3952; RX 673.
4. BBBY, as a specialty home retailer, imported a wide assortment of merchandise and home furnishings, spanning bedding, bath, kitchen food prep, home organization, indoor décor, and more. RX 673; RX 678.
5. BBBY filed for Chapter 11 bankruptcy protection in the United States Bankruptcy Court for the District of New Jersey on April 23, 2023. CRPFF ¶ 2; RRPFF ¶ 7; RX 765.
6. Key BBBY employees and their positions include the following:
 - Rick Cunniff: BBBY's Senior Director of Financial Analysis
 - Patrick Hackett: BBBY's Senior Director of International Supply Chain
 - David Kestin: joined BBBY in 2022 as its Chief Legal Officer and currently serves as an independent consultant to its bankruptcy plan administrator
 - Reid Klosowsky: BBBY's Vice President of Global Transportation through September 21, 2022
 - Paul Pastor: Senior Associate, Import Logistics, International Supply Chain for BBBY
 - Ian Pinchuk: BBBY's Senior Director of Global Logistics

APP 274; APP 318; APP 1143; APP 1239-40; RPFF ¶ 5; CRPFF ¶ 5.
7. Berman & Blake ("Berman") was a payment processing platform and handled invoice processing for BBBY. APP 2076. Mr. Pinchuk, BBBY's Senior Director of Global Logistics, explained that vendors would send invoices "to Berman, and Berman would then facilitate invoices or notifications to our Payables Group as to who would get paid and when, and then the payments would be dispersed." APP 2076; *see also* APP 863.
8. Respondent Orient Overseas Container Line Limited ("OOCL Ltd.") is a company existing under the laws of Hong Kong with its principal place of business located in Wanchai, Hong Kong. CPFF ¶ 10; RRPFF ¶ 10.

9. Respondent OOCL (Europe) Limited (“OOCL Europe”) is a company existing under the laws of the United Kingdom with its principal place of business in Suffolk, United Kingdom. RRPFF ¶ 10.
10. OOCL Ltd. is a vessel operating “ocean common carrier” as that term is defined by 46 U.S.C. § 40102(7) and (18) with FMC organization number 011398, subject to regulation by the FMC. RRPFF ¶ 11.
11. OOCL Europe is an “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 024786. RRPFF ¶ 14.
12. OOCL Ltd. and OOCL Europe are also “controlled carriers” of the People’s Republic of China as that term is defined by 46 U.S.C. Section 40102(9). RRPFF ¶¶ 12, 15.
13. OOCL Ltd. acts in the United States through its agent, OOCL (USA) Inc. (“OOCL USA”), a company existing under the laws of the State of New York with its principal place of business located in South Jordan, UT. RRPFF ¶ 10.
14. OOCL Europe also acts in the United States through its agent OOCL USA. RRPFF ¶ 13.
15. Both OOCL Ltd. and OOCL Europe publish tariffs governing rates and services in all the U.S. foreign trades that they serve. Those tariffs are published at www.oocl.com. CRPFF ¶ 12.
16. OOCL Ltd. operates in the U.S. Trans-*Pacific* trades. CRPFF ¶ 13.
17. OOCL Europe operates in the U.S. Trans-*Atlantic* trades. RPFF ¶ 9.
18. The service contracts at issue are between BBY and [REDACTED] APP 3360; APP 3261; APP 5132.
19. OOCL considered BBY to be a major customer. APP 1364; RRPFF ¶ 8.
20. Yusen Logistics (“Yusen”) served as BBY’s booking agent. CPFF ¶ 22; RRPFF ¶ 22.
21. Key OOCL employees and their positions include the following:
 - Jingdong “Marvic” Chen: OOCL Ltd. Commercial Director Transpacific Trade Eastbound
 - Vincent DelPrete: OOCL USA Vice President of Sales
 - Paul Devine: OOCL USA President and, during the 2020-2022 period, the North American Group (“NAG”) functional head for Sales
 - Andrew Donohue: OOCL USA Vice President of Customer Service
 - Donna Forminio: OOCL USA Regional Business Analyst
 - Teddy Fung: OOCL Ltd. Director of Trades through 2021
 - Karen Lam: OOCL Ltd. General Manager Trans-Pacific Trade as of January 1, 2021
 - Glenn Metzger: OOCL USA Director of Marketing and Sales

- James (Jim) Mitchell: OOCL USA New England Sales Representative and primary relationship contact with BBBY
- Gavin Murdoch: OOCL USA Vice President of Risk Management and Compliance and Safety, Security, and Environmental Controls
- Thomas Schmiemann: OOCL USA Vice President of Sales for the Eastern Region
- Tracy Sha: OOCL USA Director of Demurrage and Detention Team
- Kenny Ye: OOCL Ltd. Chief Operating Officer
- Mike Young: Part of OOCL USA Process Systems Services (“PSS”) Team and functional department head for Regulatory Compliance

RPFF ¶ 17; CRPFF ¶ 17; APP 421-22; APP 1814; APP 1347-49; *see also* CPFF ¶ 20; RRPFF ¶ 20.

2. Market Conditions

22. United States ports, including the Ports of Los Angeles/Long Beach, generally experienced port congestion during the pandemic, resulting from factors including: high consumer demand; lack of containers; import cargo not exiting marine terminals quickly enough to allow for new import cargo delivery from incoming vessels from Asia; delays in vessel productivity leading to a backlog of empty containers waiting to be loaded onto vessels; and containers idling at ports. CPFF ¶¶ 46-46.3.1; *see also* APP 545 (OOCL USA Vice President of Customer Service, Andrew Donohue, testified that port congestion issues arose in the ports of Long Beach and Los Angeles “around October 2021.”); RRPFF ¶ 46 (referencing FMC 2021 Report, noting a 21% increase in TEU imports through U.S. ports from FY 2020 to FY 2021).
23. Restrictions were also sometimes imposed by terminals, for example not allowing empty containers into marine terminals unless a loaded container was also taken out, referred to as “no empty in” / “dual appointment” / “dual transaction.” CPFF ¶ 47.1; RRPFF ¶ 47.1; RRPFF ¶ 47; APP 3171 (internal OOCL email dated October 21, 2021, noting “In discussions with LBCT, they are teetering at operational capacity as local imports stagnate. Current inventory stands at 31k whereas at 32.5k they start running into problems. The term used is ‘Failure to Deck’, this is when the ASC cannot find a logical move for a container and get hung up, literally. This occurred 150x last Friday. Unfortunately with such high overall inventory, severe empty restrictions have been enforced on all carriers starting today, this amplifies the issue of course as no empty in means no chassis for a load out. LBCT is keenly aware of this and hopes to be able to lift the restrictions as soon as empty load back to the PCC1 Taipei and PVCS Andes escalates.”).
24. Worldwide container volume nevertheless increased by six million containers in 2021, equal to about 7.4% worldwide growth. CPFF ¶ 40.1; RRPFF ¶ 40.1; *see also* CPFF ¶ 41.8; APP 5109 (the Maritime Executive reported that the Port of Los Angeles handled 865,595 TEUs in January 2022, marking its busiest January).
25. OOCL handled a greater volume of cargo in 2020 than in 2019, and more in 2021 than in 2020. CPFF ¶ 323; RRPFF ¶ 323; *see also* RRPFF ¶ 331.

26. OOCL's Container Transport and Logistics business had earnings before interest and taxes ("EBIT") of \$1.005 billion for 2020, nearly triple its EBIT in 2019. APP 3094; CPFF ¶ 60; RRPFF ¶ 60.
27. OOCL's Container Transport and Logistics business had EBIT of \$7.387 billion for 2021, a more than 700% increase from 2020. APP 3106; CPFF ¶ 61; RRPFF ¶ 61.
28. OOCL's Container Transport and Logistics business reported EBIT of \$10.1 billion for 2022, a more than 36% increase from 2021, and a more than 2,700% increase from its pre-pandemic EBIT in 2019. APP 3113; CPFF ¶ 62; RRPFF ¶ 62.

3. Annual Service Contracts

a. 2020 Service Contract

29. BBY and OOCL entered into an ocean carrier agreement, with service contract number PE203297, effective as of July 1, 2020, and initially covering the time period from July 1, 2020, through June 30, 2021 (the "2020" or "2020-21" service contract). Amended Complaint ¶ 32; Answer Amended Complaint ¶ 32; CPFF ¶ 29; RRPFF ¶ 29; APP 3360-97 (with Appendix A starting at APP 3374); APP 3361; APP3374; APP 4017.⁷
30. The 2020 service contract was for U.S. import cargo only and covered the carriage of cargo from foreign ports to ports in the United States. RPFF ¶ 318; CRPFF ¶ 318; APP 3378 (noting origin countries and destination country); *see also* APP 3278 (2021 service contract was also for United States import cargo only); APP 5146 (2022 service contract was for United States and Canada import cargo).
31. All of the port pairs identified in the 2020 service contract were Far East to USA. APP 3378 (compare for example to 2021 service contract, showing Far East to USA port pairs, APP 3279, and also several Mediterranean to USA port pairs, APP 3288).
32. The 2020 service contract was amended on seventeen occasions (the "2020 Amendments"). CPFF ¶ 29; RRPFF ¶ 29; APP 3398-3470; *see also* RPFF ¶ 485 (summarizing the amendments).
33. The 2020 service contract set a minimum quantity commitment ("MQC") of 4,200 TEUs, equal to 2,100 forty-foot equivalent container units ("FEUs"). CPFF ¶ 29.2; RRPFF ¶ 29.2; APP 3378.

⁷ The document at APP 3360 is marked as "page 1" and lists the contract number PE203297, followed by a different "page 1" listing service contract number "SC813393," also identified in Appendix A at APP 3374. This is the final 2020 service contract, as both parties point to the page range of APP 3360-97, and to the amendments immediately following through APP 3470, as being the 2020 service contract. *See, e.g.*, RPFF ¶ 629; CRPFF ¶ 629; CPFF ¶¶ 29, 29.1, 29.2; RRPFF ¶¶ 29, 29.1, 29.2.

34. The 17th Amendment changed the MQC to be 2,171 TEU, equal to 1085.5 FEUs. APP 3469; CPFF ¶ 29.3; RRPFF ¶ 29.3. The 17th Amendment also shortened the term of the 2020 service contract by about two months, from 52 to roughly 43 weeks, to cover the time period from July 1, 2020, through April 30, 2021. CPFF ¶ 29.1; RRPFF ¶ 29.1.
35. OOCL Ltd. General Manager Trans-Pacific Trade, Karen Lam, testified that BBBY terminated its 2020 service contract – and signed its new 2021 service contract – earlier in the year, based on the concern that if it signed later, the space would be gone and reserved for another customer:

Q. So why are you referring here to pro rata MQC for the 2020-2021 service contract year?

A. Just for the original accuracy sum of 4200, that's for the period covering July 1st, 2020 up to end of June 2021. But customers initiate to end the contract by April 30th of 2021 at that time. So the contract period shortened by nine weeks or also in two months. So the reason behind, I understand it was customer request first to coincide with the other contract holders, so that they can sign the contract together with other customers. They worry about they sign later the space will be gone and be reserved for another customer. They signed two months earlier. And also in the foreign contract after this they request more space, so that they actually terminate the previous contract two months earlier and start the new contract earlier to get more space immediately from OOCL. And the third consideration about they worry about the later they sign the contract the highest rate. So they prefer to have the contract signed earlier in line with the other contract holders in the same contract period. So in line with the other - I mean the other customers. And at that time this trend for the market rates still increasing, so they want to have secure similar rate level with the other customers.

APP 1394; *see also* RX 662 (Ms. Lam Declaration noting that the [REDACTED]

).

36. Clause 6 of the 2020 service contract states that this [REDACTED]
[REDACTED]” APP 3363; *see also* APP 3262-63 (including the same language in the 2021 service contract); APP 5133-34 (including the same language in the 2022 service contract).
37. Clause 8, [REDACTED] of the 2020 service contract provides that [REDACTED]
[REDACTED]

3363; *see also* APP 3263 (same language in 2021 service contract); APP 5134 (same language in 2022 service contract).

38. Clause 8 also requires that [REDACTED] APP 3363; *see also* APP 3263 (same language in 2021 service contract); APP 5134 (same language in 2022 service contract).
39. Clause 9 of the 2020 service contract provides that “Carrier agrees to charge and Shipper agrees to pay the rates and charges specified in Appendix A (attached hereto and made a part hereof). No modifications or adjustments to such rates and charges shall be valid unless contained in a written and duly executed amendment to this contract, which has been filed with the FMC.” APP 3363; APP 3374 (Appendix A); RX 19; *see also* APP 3263 (same language in 2021 service contract); APP 3274 (Appendix A to 2021 service contract); APP 5134 (same language in 2022 service contract); APP 5146 (Appendix A to 2022 service contract).
40. Clause 10, [REDACTED] of the 2020 Service Agreement provides:

(e) *Carrier understands that Shipper will require additional capacity and equipment during their peak months.* Carrier will use best efforts but is under no obligation to provide more equipment and capacity during Peak Periods. This

⁸ It appears that this should refer to Clause 13 regarding Liquidated Damages.

additional capacity and equipment will be over and above the *Minimum Quantity Commitment of 81 Teus per week*.

APP 3363-64 (emphases added); APP 107; *see also* APP 3263-64 (same language in 2021 service contract, with the exception of the final phrase, which states: “additional capacity and equipment will be over and above the Minimum Quantity Commitment but no more than 146 Teus per week.”); APP 1275; APP 5134-35 (same language in 2022 service contract, with the exception of the final phrase, which states: [REDACTED]).

41. Clause 13, “Liquidated Damages,” of the 2020 service contract provides:

[REDACTED]

If the Carrier fails to fulfill its service commitment during the Contract term, the Shipper’s sole remedy options shall be reduction of the Minimum Quantity Commitment by the quantity of cargo not carried by the Carrier. The Carrier shall not be liable to the Shipper for any direct, indirect, consequential or any damages whatsoever and howsoever arising under this Contract, nor shall any liabilities or obligations of the Shipper to the Carrier be subject to any offset or credit by virtue of any moneys which the Shipper may claim are due to him under this Contract or otherwise.

APP 3364; APP 1275-76; APP 1181.

42. Clause 14, “Minimum Volume Commitment (‘MVC’) or Minimum Quantity Commitment (‘MQC’),” of the 2020 Service Agreement provides:

In consideration of this Contract’s rates, charges and terms specified herein, the Shipper agrees to tender to the Carrier, a minimum quantity commitment set forth in Appendix A of this Contract.

APP 3364-65 (also clarifying a 20-foot container = 0.5 FEU); CRPFF ¶ 322; APP 3804; APP 3837, *see also* APP 3264 (same language in 2021 service contract); APP 5135 (same language in 2022 service contract).

43. Contract rates for the 2020 service contract were specified in Appendix A, section 6. APP 3378-92 (specifying rates by container size, and for each origin/destination/mode line); *see also* CPFF ¶ 443; RRPFF ¶ 443; APP 3278-87 (showing rates in the 2021 service contract); APP 5151-67 (showing rates in the 2022 service contract).

44. Also in Appendix A, section 6, “Note S1” in the 2020 service contract indicated: “Rates are inclusive of . . . Peak Season Surcharge (PSS) [among other charges specified] Rates are not inclusive of all other surcharges, including those, if any, specified in the contract and those published in the Governing Tariff(s) at the time of shipment.” APP 3391; APP 12; *see also* APP 3289 (also noting in the 2021 service contract that [REDACTED]); APP 5167 (also noting in the 2022 service contract that [REDACTED]).

45. Appendix A, section 6, [REDACTED] in the 2020 service contract provided:

[REDACTED]

APP 3391; *see also* APP 3287 (same language in 2021 service contract); APP 5166 (same language in 2022 service contract).

46. Appendix A, section 7, in the 2020 service contract listed the governing tariffs then in effect. APP 3392; *see also* APP 3289 (governing tariffs listed in the 2021 service contract); APP 5167-67 (governing tariffs listed in the 2022 service contract).

b. 2021 Service Contract

47. BBY and OOCL also entered into an ocean carrier agreement with service contract number PE213179, effective as of May 1, 2021, and covering the time period from May 1, 2021, through April 30, 2022 (the “2021” or “2021-22” service contract). CPFF ¶ 30; RRPFF ¶ 30; APP 3261-92 (with Appendix A starting at APP 3274); APP 4018.

48. The 2021 service contract was amended on sixteen occasions (the “2021 Amendments”). APP 3471-3646; *see also* CPFF ¶ 30; RRPFF ¶ 30.

49. The 2021 service contract set an MQC of 7,592 TEUs, equal to 3,796 FEUs. CPFF ¶ 30.1; RRPFF ¶ 30.1; APP 3278.

50. This MQC was later amended to be 3,061 TEUs, equal to 1,530.5 FEUs, per Amendment 16, dated March 10, 2022, and signed on March 29, 2022. APP 3643; CPFF ¶ 30.2; RRPFF ¶ 30.2.

51. The 2021 service contract was for U.S. import cargo only and covered the carriage of cargo from foreign ports to ports in the United States. APP 3278.

52. The bulk of the port pairs identified in the 2021 service contract were Far East to USA. APP 3279-86. However, the 2021 service contract also included several Mediterranean to USA port pairs. APP 3288.
53. Key language from the 2021 service contract generally matched the language of the 2020 service contract. However, Clause 13, “Liquidated Damages,” of the 2021 service contract included different language, providing:

[REDACTED]

If Carrier fails to accept and carry the quantity of containers set forth in the Contract annual MQC, the Parties acknowledge that the Shipper shall suffer damages which are difficult to predict. Accordingly, the Carrier shall be liable for liquidated damages in the amount of US\$100 per FEU times the shortfall as the sole remedy to Shipper.

APP 3264 (emphasis added to show changed language vs. the 2020 service contract); APP 1181; APP 1257.

54. Pricing and rate notes in the 2021 service contract were split up into sections for Far East to USA (starting at APP 3278) and Mediterranean to USA (starting at APP 3288).
55. The Far East to USA section included the following rate notes:

[REDACTED]

[REDACTED]

[REDACTED]

APP 3286-87; *see also* RPFF ¶ 417; CRPFF ¶ 417.

56. The Mediterranean to USA section included the following rate notes:

[REDACTED]

[REDACTED]

APP 3288-89.

c. 2022 Service Contract

57. BBY and OOCL also entered into an ocean carrier agreement with service contract number MT226042, effective as of May 1, 2022, and covering the time period from May 1, 2022, through April 30, 2023 (the “2022” or “2022-23” service contract), which was amended on at least three occasions. CPFF ¶ 31; RRPFF ¶ 31; RPFF ¶ 475; APP 5132-70 (2022 service contract); APP 4415; RX 834; RX 835.
58. The 2022 service contract set an MQC of 6078 TEUs, equal to 3,039 FEUs. CPFF ¶ 473; RRPFF ¶ 473; APP 5150; *see also* APP 5144-45 [REDACTED]
59. The 2022 service contract included as destination countries both the United States and Canada. APP 5150.
60. The 2022 service contract also included an expanded set of origin countries in Europe, in addition to the Far East. APP 5150-51.

61. Pricing and rate notes in the 2022 service contract were split up into sections for Far East to USA (starting at APP 5154) and Mediterranean to USA (starting at APP 5165).
62. Clause 13, “Liquidated Damages,” of the 2022 service contract was mostly consistent with clause 13 of the 2021 service contract, although providing:

[REDACTED]

[REDACTED]

APP 5135 (emphasis added to show changed language vs. the 2021 service contract).

63. Amendment 1 to the 2022 service contract, dated April 30 and signed May 5, 2022, amended the MQC to 6,250 TEUs, equal to 3,125 FEUs. APP 4415-17; CPFF ¶ 31.2; RRPFF ¶ 31.2; RPFF ¶ 475; CRPFF ¶ 475.

d. Monthly and Weekly MQCs

64. None of the 2020, 2021, and 2022 service contracts specified a monthly MQC. APP 3360-97; APP 3261-92; APP 5132-70.
65. The 2020 service contract did refer to weekly TEUs in the context of OOCL’s service commitment, stating: “Carrier understands that Shipper will require additional capacity and equipment during their peak months. Carrier will use best efforts but is under no obligation to provide more equipment and capacity during Peak Periods. This additional capacity and equipment will be over and above the Minimum Quantity Commitment of 81 Teus per week.” APP 3363-64; APP 107.
66. The 2021 service contract rephrased the final sentence to state: “The additional capacity and equipment will be over and above the Minimum Quantity Commitment but no more than 146 Teus per week.” APP 3263-64; APP 1275.
67. OOCL also referred to BBY’s space allocation in terms of the annual contract allocation divided by 52. Specifically, OOCL USA New England Sales Representative, Jim Mitchell, testified that “the CSAL allocation is the contract MQC divided by 52.” APP 1762.

68. The parties regularly communicated with each other, referencing monthly and weekly allocations. For example, in introducing its premium contracts program, OOCL explained to BBY in a January 6, 2021, email:

Based on the continued strong demand from our BCO customers for space / equipment above their standard monthly allocation, we have developed an option to address the demand.

Our idea is to offer select customers the option to sign a second contract.

How it would work . . . 3. Any demand over and above BBY's standard monthly allocation, the space request would be reviewed. If confirmed/released, the premium contract rates would be assessed.

APP 4169; *see also* RX 837 (asking whether an added PSS charge would provide BBY with "any add'l space or just maintain our current weekly allocations and equipment availability?").

e. Drawdown Amendments

69. Both OOCL and BBY would typically execute a "drawdown amendment" to revise the MQC to better approximate the quantity actually shipped near the end of the contract term. RPFF ¶ 160; APP 875 (BBY's Director of International Supply Chain, Patrick Hackett, testimony noting: "If there was a shortfall, we would have [done] a drawdown. That was our standard practice."); *see also* RPFF ¶ 652; CRPFF ¶ 652.
70. For example, on March 7, 2022, Mr. Mitchell, sent an internal OOCL email noting "We need to check to see how these customers are doing versus their MQC. Trade has given Sales the green light for moving forward on MQC reduction amendments. Please run DRT reports and have MQCs adjusted to match what has shipped YTD. We have time to have these amendments signed and filed, but prefer to have these all done within the next week." APP 4329-30; *see also* APP 4328-29; APP 4319-20 (April 27, 2022 internal OOCL from OOCL USA Vice President of Sales for the Eastern Region, Thomas Schmiemann, noting: "With only 3 working days remaining in the contract cycle, all contracts with a 4/30 expiration need to be brought to conclusion. Of equal importance, let's make certain all of the listed contracts have had or will have their MQC reduced to the amount shipped to avoid any downstream freight issues."); APP 3469 (drawdown amendment to the 2020 service contract); APP 3643 (drawdown amendment to the 2021 service contract).
71. The drawdown amendment does not necessarily reflect the total shipped under the annual service contract, however, depending on the timing and information available at the time of the drawdown amendment. *See, e.g.*, APP 3469; RRPFF ¶ 29.3 (noting the revised MQC equal to 2,171 TEU for the 2020 service contract) vs. APP 4017 (OOCL expert Lars Jensen, concluding as "per the detailed booking data in the file 'BBB Booking Data May 2020 to April 2021.xls,'" that OOCL shipped 2,092 TEU under the 2020 service contract); *see also* APP 4018; RRPFF ¶ 30.2 (noting the revised MQC

equal to 3,061 TEU for the 2021 service contract) vs. APP 4018 (Mr. Jensen stating that OOCL shipped 3,937 TEU under the 2021 service contract).

72. Under these facts, the evidence does not show that the MQC revisions as executed in the drawdown amendments for 2020 and 2021 service contracts were voluntary or reasonable. As BBBY said in 2020: “*We’re dying for space* and now we have to rebook the containers that we were under the impression would be moved by you.” APP 3014. Thus, the drawdown amendments’ revisions of the MQCs for the 2020 and 2021 service contracts are found not to reflect the parties’ mutual agreements.
73. Shortening of the 2020 service contract, from 52 to 43 weeks, also executed in the 17th amendment to the 2020 service contract is, however, found to have been voluntary and agreed to by both parties, as waiting longer to sign the next annual contract could have led to even higher prices or lower quantity availability. APP 3469; APP 1394; RX 662.

B. OOCL’s Customer Space Allocation List (CSAL)

74. OOCL uses a system called CSAL (“Customer Space Allocation List”) to manage space allocation. RRPFF ¶ 140; CPFF ¶ 140; *see also* RPPF ¶ 43 (describing CSAL as an “internal process to capture customer commitments and allocate space across the vessel container capacity”).
75. Originally CSAL consisted of an Excel spreadsheet, but OOCL later began introducing a digital version of CSAL, which could be prepared more rapidly. APP 1592; *see also* APP 2944 (noting as of October 2, 2020: “CSAL still in manual platform”); APP 3184-85 (describing as of September 2021 “As a standard process – NAG also submits CSAL allocations on customer basis to HK – There is a booking release process under BAL which is derived from CSAL agreed submissions. Once TCC reviews and approves CSAL, it is provided to TCR who then convert the file into BAL for CSU to use. There is no direct issue with this process except that it is slow due to the handoffs and approvals, and often may not be followed based on the booking reports and handling that we see today. We know that the CSAL digitization project (eCSAL) will reduce the latency that we see with this manual hand off – but we must have some process that ensures we protect the agreed CSAL committed to the NAG customer.”).
76. OOCL USA Director of Marketing and Sales, Glenn Metzger, explained how CSAL works in the context of OOCL’s Model Ship Plan, testifying:

Q. Are you familiar with the term “Model Ship Plan”?

A. Yes. So Model Ship is, basically, Trade’s perfect-day scenario, where they are detailing what is the space that’s afforded to the region? So CSAL is actually based off of - or uses the Model Ship to determine what is the space for the overall region. So, basically, what happens during the contract negotiations - by the time the contract season is over, we have a general idea of how much space we’re going to need. Trade then uses that, agreements, all these assigned agreements, to help determine how much Model Ship does this region need to make its contractual

commitments? They then look at – they divide that Model Ship into regions. So, in this case, it was TPT. It would be – APG has their own, or Asia Pacific Group. And then you have NAG, which is North America Group. That – allocations are then separated. That allocation is then used to fulfill or fill out the CSAL in terms of giving us an overall number to fulfill. And then within our NAG, we have regions. So you have NAE, NAC, NAN, NAW. That’s like North America East, North America Central, North America West, North America North. They are all assigned a CSAL number based off of that.

APP 1598-99; *see also* RPFF ¶ 470(A) (explaining that “ISC plan” is another term for the Model Ship).

77. Mr. Metzger also explained regarding CSAL:

A. So CSAL is basically a tool that we have to capture our customers’ commitments. So once we capture all those customer commitments, it also gives us the ability to show our customers, but also internally makes it clear to everyone what our capability is or what the allocations are that can be filled with those customer commitments. So when we look at the overall process, it does start first with a dialogue between the Sales rep and their customer. And, basically, the customer is providing a forecast for - it could be a week or a month. They are basically letting us know what is the volume they’re expecting to ship and that they want to ship with OOCL. During that conversation, the Sales rep will then let them know whether it’s attainable or not or if we’re capable of doing it based on the allocations we’ve already set. So once there’s a conversation between that Sales rep, that Sales rep then goes into CSAL to input the allocation or the commitment that the customer is making that fits within that allocation. Then that Sales rep, basically, hands that off to their regional business analyst who does a review for that particular region. They go over it to make sure that there’s no gaps, that they’re using all the space that’s been available to them, or the allocations that have been available to them. Once they do that, they hand it off to my team, which does a review of all NAG. Once we do that, that preliminary review is done to make sure that we are meeting all of our commitments based on what was allocated to the entire region. We then submit that to a traffic controller. So, basically, that traffic controller makes sure that there is a capability to meet all that. So if there’s any changes – let’s say the vessel has to be smaller because of – our vessel partner is changing the vessel or they looped in – whatever – whatever changes happen, that traffic controller is then letting us know whether it’s okay or not. Once the approval happens from what we call TCC, that approved CSAL is then given to our Overseas Booking Team, which then convert it into a system called BAL. That BAL or BAL (sic) or booking allocation list uses the CSAL data to help them identify what is the allocations that are afforded to this customer, and so that when a booking is received by the customer

they have that reference to make sure that, yes, the customer has an allocation. They can then board a vessel.

APP 1598; *see also* RRPFF ¶ 143; CPFF ¶ 143.

78. CSAL allocations are issued by OOCL monthly, broken down by sail week and by lanes/service loops. RPF ¶ 234; CRPF ¶ 234; APP 1710.
79. It is industry practice to number weeks during a service contract year and refer to them as such. For example, the week of January 1 may be referred to as “Week 1” and the week of December 31 as “Week 52.” CRPF ¶ 69.
80. Shippers did not interact directly with OOCL’s CSAL system. Rather, shippers could request space through “My OOCL Center” (also referred to as “MOC”) or by calling OOCL. Customer space requests then had to be manually input by an OOCL customer service representative into OOCL’s internal platform, called IRIS-4. APP 1842-46 (noting “if somebody placed a booking online through . . . My OOCL Center – it creates a dashboard task for a Customer Service rep to put the actual booking . . . into our enterprise system. So it’s not . . . completely automated . . . It’s online requests, but the manual entry to actually put the booking into our system.”); CPFF ¶ 208; RRPFF ¶ 208; *see also* APP 1635 (“IRIS-4 is our enterprise system. CSAL is outside of IRIS-4. CSAL is basically a separate system outside of the IRIS-4 database - or enterprise system”).
81. OOCL USA Vice President of Risk Management and Compliance, Mr. Murdoch, testified as follows regarding the interplay between a shipper’s booking request and a booking being placed in the IRIS-4 system:

A. So the external system the customer would use, it’s MOC, stands for My OOCL Center. Our enterprise system, it’s called IRIS-4, I-R-I-S-4, and stands for Integrated Regional Information System, Version 4.

Q. And so going back to my question a moment ago but elaborating on it, in the instance I described before where a customer submits a request for space that exceeds the CSAL allocation for that particular port pair during that time period, if they’ve submitted a request for four 40-foot containers, CSAL has three 40-foot containers, and there’s no further back-and-forth with the Customer Service representative about the fact that they’ve exceeded that, does that booking request get rejected in its entirety?

A. It just – it would never get input into IRIS-4.

APP 1845-46 (Mr. Murdoch also testified that the Customer Service rep in Asia would go to the Space Team in Asia and ask for permission to create the booking that exceeds the space allocation to the CSAL; and that if that was not approved, the rep would inform the customer of the issue, and let them decide what they wanted to do, for example, to request 3 containers instead or to book all 4 containers on another carrier.); *see also* RRPFF ¶ 206.

82. My OOCL Center would not automatically notify customers when a booking request exceeded OOCL's internal CSAL allocation to that customer. CPFF ¶ 225.1; RRPFF ¶ 225.1 (OOCL employees must manually review booking requests and then update the customer on any germane issue, for example, that booking request being declined because it exceeded the customer's CSAL allocation); *see also* APP 1842, 1845.
83. OOCL employees must put the actual booking into OOCL's enterprise system, IRIS-4, in order for the booking to be made available to the shipping customer. CPFF ¶ 225.1; RRPFF ¶ 225.1.
84. It was only after an OOCL employee manually entered a booking into IRIS-4 that a customer would receive a booking acknowledgment generated by OOCL's internal IRIS-4 system. APP 1842-46; CPFF ¶ 225.2; RRPFF ¶ 225.2.
85. There were a number of issues with CSAL. In September of 2021, an executive summary was prepared by Mr. Young, OOCL's functional department head for Regulatory Compliance, with input from Mr. Metzger, OOCL USA Director of Marketing and Sales, and was sent to OOCL's Trade Department.

In line with the discussions that took place on the morning of 8th September 2021 (HKT), we would document herein the data to support our assertions on the handling and booking process that is negatively impacting the NAG Customer base on exports from APG to NAG. . . . There are a number of factors that impact the situation which creates a negative perception from the customers on OOCL's support in line with the contractual obligations. The cases illustrated are representative of repetitive events and are not unique to the companies identified.

Equally, as NAG the intent is NOT to finger point or cast any blame – but to address the concerns from our and our customers perspectives and to ensure we protect the integrity of OOCL with our customers and to ensure regulatory compliance.

The reasons for these declined bookings are numerous, but through customer interactions the discrepancies found within the TPT EB booking acceptance process / procedures warrant corrective action to ensure OOCL remains commercially sensitive and delivers what has been promised, and to ensure compliance to regulatory issues that pertain.

In many cases the impact to MQC, creating a situation that even based on pro-rated MQC, places NAG customers significantly adrift from the contractual commitments agreed and documented. In many cases, as discussed, even bookings within CSAL are not always honored, especially where the booking made initially that may be in excess of CSAL – the booking acceptance process does not facilitate the acceptance of “within CSAL” quantity and the pending of the excess quantity – the entire

quantity is rejected and placed under TCR control that undermines our support of the committed volume under the SC.

NAG regularly communicates with the NAG customers and communicates the CSAL allocations to facilitate their ability to book within our agreed limits, and complaints abound on our inability to accept within the agreed commitment. This can and would potentially become a regulatory issue and add weight to the current action within Congress in the US (specifically related to Outbound US customers) – to amend the Shipping Act that will bind the ocean carrier to have to accept bookings made – as long as space is available and there is no impact to the safety of the vessel. This will preclude carriers’ ability to decide their business direction.

Another issue we also have seen relates to “premium” contracts with Minimal MQC made with US customers in addition to their standard SC agreements. While in and of itself – not specifically a regulatory issue, where this does impact a regulatory perspective is where we decline booking requests within the standard contracts – but we provide space to the customer on the same service at the premium contact [sic] level (at obviously higher rates). This process may violate the contractual agreements and regulatory practices – and open OOCL to some liability with the FMC – and potentially the DOJ with whom the FMC now has a MOU based on the EO issued by President Biden.

Some of the issues related to visibility also relate to HOW we react in declining bookings with the customer...If we decline based on the external request that comes to IRIS4 (from MOC or EDI) without update into IRIS4 – the rejected bookings are not visible to the teams through regular reporting from IRIS4 – creating lack of visibility to customers booking requests and OOCL response when raised by NAG Customers. While the request can be found in the external booking request option – it will be blind on reports called to monitor customer performance and OOCL’s support or otherwise.

As a standard process – NAG also submits CSAL allocations on customer basis to HK – There is a booking release process under BAL which is derived from CSAL agreed submissions. Once TCC reviews and approves CSAL, it is provided to TCR who then convert the file into BAL for CSU to use. There is no direct issue with this process except that it is slow due to the handoffs and approvals, and often may not be followed based on the booking reports and handling that we see today. We know that the CSAL digitization project (eCSAL) will reduce the latency that we see with this manual hand off – but we must have some process that ensures we protect the agreed CSAL committed to the NAG customer.

CSU do not bring majority of bookings from EBR into IRIS4, rather they decline the majority in EBR. This affects “true” visibility, and when you

throw in booking windows and TCR cutoff changes, that adds more complexities. The booking windows do not align with what was defined when the CSAL file was finalized and advised to the customer. We need to ensure there is defined Booking release process to protect the agreed CSAL requirements from the customer – or any notification to the TCR regions to ensure awareness and compliance once HK approves the allocation, and set up in BAL.

The foregoing indicates that there are definite issues in relation to our standard Booking acceptance policy, as outlined in our discussion last week.

The foregoing outlines some corrective action we would require ensuring that OOCL is compliant in both the regulatory sense and in support of our commitment to the customers, with whom we have a legal contract. . . .

APP 3184-85; RRPFF ¶ 80.1.

1. Booking Requests Above CSAL Were Declined

86. OOCL described that it implemented CSAL as a supplement to its IRIS-4 system, to attempt to track customer commitments and projections. *See, e.g.*, APP 2850-51. However, during the relevant time period, a number of problems occurred stemming from OOCL’s implementation of CSAL.
87. The CSAL was set by OOCL. It did not necessarily mirror the MQC in an annual contract, neither did it necessarily mirror customer projections; and as noted, OOCL systems would not automatically notify customers when a booking request exceeded OOCL’s internal CSAL allocation to that customer. APP 1598-99; APP 1995; APP 3045-47; APP 228; RX 1230; CPFF ¶ 225.1; RRPFF ¶ 225.1.
88. Yet, if a shipper requested space above the CSAL as determined by OOCL, that request was declined. *See, e.g.*, APP 3046 (August 5, 2021 internal OOCL email noting, “If customer books above CSAL on one booking, we decline the entire booking. Why not accept up to CSAL allocation and refuse the overage.” (APP 703)); APP 2851 (“It was a protocol that was designed within IRIS4, that if we set up their CSAL for 10 and they book 20, we could not take that. . . . [T]he basis was, how do we decide which 10 we’re going to take? I don’t know which 10 the customer wants to prioritize. So we rejected based on a message within the rejection telling them that you’ve exceeded your allocation. Please book within allocation.”).
89. OOCL admits that during both the 2020 and 2021 shipping years, there was an issue with a shipper’s entire booking being cancelled if a shipper booked more than its allocation. APP 661. As Ms. Forminio testified:

Q. Did OOCL have a specific policy that if a shipper booked more than its allocation the entire booking request would be canceled?

A. That was a problem early on, but we -- I think that was fixed. I remember that happening, and I think it was because they didn't know which -- like, if you had a booking for 15 and you only got 10, which 10 do I pick? So they would reject the booking and tell them, rebook it, but only book 10. You know what I mean? It was -- the booking person didn't have the ability to discern which 10 you should get. You know what I mean?

Q. So you said that happened early on. Can you be more specific about the time frame?

A. When space was so tight. It was probably in the beginning of all this going on. You know, probably in the first few months when there were probably -- also, there were people that weren't used to taking bookings because a lot of people were sick, so they had different people taking the booking desk and it was short-staffed, and it was really difficult. So I think that when space was so, so tight and these people were told, just take what's in CSAL, just take what's protected for them, don't take anything else, they really took it quite literally. So, at the beginning, I think the communication wasn't as good as it could be, but I think once we pointed it out, they would reject the booking and then with a caveat to the customer: just book ten. Don't book more. If you want to book more, try to book another five. If we have the space, we'll try to give it to you, but if we don't, we'll reject that one, but you'll get your ten. You know what I mean? So we would live up to what we promised. . . . it wasn't too long to figure out that all these bookings were being rejected with CSAL and we couldn't understand it. And it was clarified pretty quickly. I mean, it was just within, you know, a week or so when we figured out what was actual root cause of the problem, and we addressed it and it seemed to be getting a little better. You know, it got better. And then we - - and then there was also some education on our end too to tell our customers, tell them not to book like that; book what we promised you and it'll go a lot smoother. You know, do two bookings, then, and then you'll get your space. So, yeah, there was a lot of that confusion. It was difficult.

Q. Well, this was a problem at the beginning of the 2020 shipping year? Is that the time period you're referring to?

A. Yeah. I mean, you know, it was -- I can't . . . remember, like, time frames that clearly. . . . But I do remember. And it was in the midst of all of this stuff happening. Probably, you know, the first half of 2020, when -

Q. Yes. So by the time the 2021 shipping year rolled around, was it still OOCL's policy that if the shipper booked more than its allocation the entire booking request would be canceled?

A. I think so, yes. And, again, it's strictly because how are these people supposed to figure out, you know, what do you want, you know?

APP 661.

90. Contemporaneous warnings from OOCL in the record did not make sufficiently clear the import of not exceeding the CSAL allocation, i.e., that the entire booking would be rejected, potentially resulting in no volume on a vessel, in the event that a booking request exceeded the CSAL selected by OOCL for the week. *See, e.g.*, APP 3000 (August 12, 2020 email from OOCL to BBBY noting: "For the September CSAL allocations, we ask that Yusen Logistics make the initial bookings up to the allocations provided for the specific origin and service loop. Any additional bookings will be reviewed on a daily basis, so if they are pending one day, they can be confirmed/released the next.")).
91. OOCL similarly advised booking "up to" the allocation in a November 2020 email. However, again, OOCL did not describe the consequences of attempting to book above the CSAL. RX 788-89 (November 16, 2020 email, noting simply: "Please ensure that Yusen Logistics submits bookings up to the allocations and delivers as booked. Since equipment continues to be tight in South China, we suggest booking 40' GPs instead of 40' HQs.")).
92. An email from OOCL to BBBY in late July 2021 stated:

Dear customer, Just a short note to provide the OOCL space allocations for the weeks of August, weeks 31-34. These allocations are in TEU terms, by origin and service loop. To ensure full utilization of the space allocations provided, please request the OCM or the vendor to follow these guidelines:

1. Book at least 14 days prior to the vessel's CY cut-off. Do not book beyond the current week + 4 or the booking will be Declined.
2. Book to the correct service loop.
3. Book to the allocation. Do not book above the allocation. If the allocation is 6 TEUs, do not book 8 TEUs. We will not release the 6 TEUs against a booking made for 8 TEUs.

RX 977.

93. A later email from OOCL to BBBY, in August 2021, communicated that bookings should be made "in line with allocations," yet again failing to make explicit that the entire booking would be rejected if it exceeded the CSAL. APP 4101 (August 2021 email from OOCL to BBBY noting: "September CSAL allocation has been provided to both BBB and [another entity]. Yusen needs to make bookings on the given loops in alignment with the allocations. The initial bookings should be made up to the allocations, then make more new bookings for additional volumes. Our Regional and

SLC management teams review bookings on a daily basis, so pended bookings can be released on certain loops.”); *see also* RX 3123 (January 21, 2022, email from OOCL to BBY noting “(4) Book to the allocation” among a list of 8 booking instructions).

94. There is evidence that a significant volume of BBY’s bookings was cancelled because of individual requests exceeding the CSAL. OOCL’s expert Mr. Jensen specifically testified: “there were a significant amount of cases where there was rejection for Bed Bath & Beyond bookings, but that was because those were attempted to be booked beyond the CSAL. And that, to some degree, refers back to what we talked about earlier. These might have been some of the cases where Bed Bath & Beyond then had to go and book this excess cargo with NVOs somewhere else.” APP 1032; *see also* RPFF ¶ 618.
95. Adding to the issue for shipping customers, My OOCL Center would not automatically notify customers when a booking request exceeded OOCL’s internal CSAL allocation to that customer. CPFF ¶ 225.1; RRPFF ¶ 225.1.
96. OOCL also did not consistently provide explanations to BBY when bookings were canceled; and sometimes pended bookings – i.e., neither accepting nor rejecting, but rather putting the booking into a limbo status. APP 1645; APP 2414; CRPFF ¶ 35.
97. OOCL employees raised alarms about entire bookings being cancelled because customers attempting to book above CSAL in mid to late 2021. For example, on August 5, 2021, OOCL USA Vice President of Sales for the Eastern Region, Mr. Schmiemann, sent an email to Ms. Forminio, which he noted was a “very preliminary draft” and which stated in part:

- CSAL- Very restrictive and rigid which can be interpreted as a tool to maximize profits. Nowhere in the SnY guidelines does it mention MQC fulfillment. If customer books above CSAL on one booking, we decline the entire booking. Why not accept up to CSAL allocation and refuse the overage. Should we revisit and relax the SnY guidelines in order to focus on servicing our customers based on MQC/52?

APP 3046; APP 703.

2. Booking Requests Within CSAL Were Also Sometimes Declined

98. In addition to bookings above CSAL being rejected, internal OOCL communications discussed customer space requests being rejected despite those requests being *within* CSAL. For example, on October 5, 2020, OOCL Assistant Manager TPTEB Space Management, Jonathan Rice, wrote:

Attached is the communication that started all of this. To recap some of the statistics in that:

NAG requested 232 Booking released (all withing [sic] CSAL based on notes provided); 51 were released as requested, 58 booking were declined. Bookings within CSAL based on notes were declined. The balance went unactioned.

I have also attached some examples we have received from sales of bookings being declined within CSAL (no adjustment required). We have seen similar issues with VND as of late as well, but as OCHL is the majority of NAG volume it remains the elephant in the room.

This is an ongoing issue that I know Glenn is addressing, but may warrant further discussion with SLC commercial to ensure all parties are properly informed.

This booking was declined despite CSAL assigned and was requested reinstated, booking remains declined.

These are part of the “extra Allocation” they have been long pending despite request to release.

Customer is assigned CSAL of 2 TEU, they made 2 bookings 1x40 & 1x20 as we advise them to do if booking over CSAL, but since they were made very close to one another CSV pends both bookings. This would be on the NAG review sheet to request the 1x40 released, but both are likely to remain long pending, ultimately dropping off due to lack of action.

One of NAG’s largest BCO customer [non-BBBY customer name] is seeing these issues where CSAL is assigned and bookings remain pending.

There are many more cases like the above that will ultimately impact NAG in the present with low utilization, but based on the feedback we have seen will be remembered come contract renewal time.

APP 2940-41 (*italics in original*); APP 198.

99. Almost a full year later, in a September 2021 Executive Summary, OOCL continued to document bookings within CSAL not being honored. As Mr. Young noted: “In many cases, as discussed, *even bookings within CSAL are not always honored*, especially where the booking made initially that may be in excess of CSAL - the booking acceptance process does not facilitate the acceptance of ‘within CSAL’ quantity and the pending of the excess quantity - the entire quantity is rejected and placed under TCR control that undermines our support of the committed volume under the SC. NAG regularly communicates with the NAG customers and communicates the CSAL allocations to facilitate their ability to book within our agreed limits, and complaints abound on our inability to accept within the agreed commitment.” APP 3184 (*emphasis added*); *see also* APP 2860; APP 2950 (May 17, 2023 email from Ms. Lam noting “Those rejected booking below CSAL have been included in the above.”).

3. OOCL Pending, Timing, Accuracy, and Overbooking Issues

100. “Pending status” for a booking meant that a booking was with customer service due to a concern about equipment or space. CPFF ¶ 231; RRPFF ¶ 231; APP 1645; *see also* APP

1607 (“[W]hen I see a pended booking, there’s some additional checking that’s happening.”).

101. Pending status could also be the result of an internal delay, for example OOCL being behind in its internal submission of the CSAL file. As Mr. Metzger testified:

A. [T]he Traffic Team was sending a file that had errors in it So it could be the numbers didn’t add up, or it could be that they placed a wrong point or, basically, used a wrong service or wrong loading office for a particular service that that loading office didn’t have any activity against. So there was always these little errors that caused problems, which delayed us submitting the CSAL file, or submitting the CSAL file for that week or that month.

Q. What would happen if your submission of the CSAL file was delayed?

A. If it was delayed, then the downward impact of that was, basically, . . . the booking office would either have to reduce the booking window or, basically, put customers in pend until they received the files so that they can, then, process it accordingly to CSAL. . . . [I]f there was no CSAL file, [OOCL customer service] knew already that they had to wait for the CSAL file, so they would just pend the booking and wait until the CSAL file was updated.

APP 1644-45.

102. OOCL acknowledged that there were instances where there was not space available close to the end of a booking window. Thus when a customer booking was put into pended status, even if the customer had a CSAL allocation, by the time the pended status was resolved, there may not be any space remaining on the vessel. APP 1645; CPFF ¶ 229.5; RRPFF ¶ 229.5; APP 1606 (“[T]here’s a booking window that’s given. That booking window is usually three weeks. So when you’re booking early, we’re, basically, looking to fill the ships, so that’s probably why I’m – what I’m seeing here is, basically, the other bookings were confirmed very early. As we progress through the booking process, the allocations were probably referred to, and that’s why the bookings were declined due to space issue because, as you’re moving further into that – we’re almost into third week now – the allocations are being filled up, are being utilized. So, basically, that – now, there’s no other space available.”); *see also* APP 1645 (“What would happen, usually, is if [the CSAL file] was delayed, it would be, I believe, delayed one week or two weeks. . . . [T]here were instances where, you know, there isn’t space available as you get closer to the end of the booking window. It did happen, but . . . it wasn’t the norm. It was more of an exception.”).
103. OOCL also internally described problems wherein, after a booking had been pended (for example because of the initial request exceeding the CSAL allocation), even after entering an appropriate quantity, that the booking still would not go through. APP 3184 (“In many cases, as discussed, even bookings within CSAL are not always honored,

especially where the booking made initially that may be in excess of CSAL - the booking acceptance process does not facilitate the acceptance of ‘within CSAL’ quantity and the pending of the excess quantity - the entire quantity is rejected and placed under TCR control that undermines our support of the committed volume under the SC.”).

104. There were also timing alignment challenges in terms of OOCL setting the CSAL allocation in advance of the 2-month forecasts that BBY was sending to OOCL. For example, on August 13, 2020, BBY emailed OOCL, writing: “Jim.....given that we send you our rolling 2 month forecast around the 15th of each month how are we ever going to align w/ your forecasting process (i.e. we sent you our August & September forecasts on 7/13 but you already made your August allocations in May based on our June & July forecast!? Why are you making your allocations decisions so far in advance as this timing will never work for us?” RX 1230 (punctuation as in original).
105. In addition, the timing windows ultimately used by OOCL did not always line up with what had been advised to the customer. *See, e.g.*, APP 3185 (September 2021 Executive Summary prepared by Mr. Young, noting in part: “The booking windows do not align with what was defined when the CSAL file was finalized and advised to the customer. We need to ensure there is defined Booking release process to protect the agreed CSAL requirements from the customer – or any notification to the TCR regions to ensure awareness and compliance once HK approves the allocation, and set up in BAL. The foregoing indicates that there are definite issues in relation to our standard Booking acceptance policy, as outlined in our discussion last week.”).
106. OOCL replied later on August 13, 2020, writing: “The August space allocations were submitted on June 30th as it takes usually 8-10 business days for both Regional and Trade Management to vet the numbers and make adjustments. Once finalized, the allocations are loaded into our system for origin CSU’s visibility. We try to have the allocations in the system two weeks ahead of the coming month as OCMs begin making bookings. What we can do to bring BBB’s 2 month rolling forecasts in alignment with our allocations is to reach out to Paul when we are tasked with planning a new month’s allocation. If BBB can provide a revised allocation, we will work with those numbers to ensure closer alignment with BBB’s space requirements for the coming month.” RX 1230.
107. As a further problem, internal OOCL communications discussed CSAL inaccuracy, resulting in bookings being declined in error. APP 2941 (describing the “low/med probability of CSAL accuracy” and concluding that since the “NAE has 190 accounts in CSAL,” this “in itself, when factoring accuracy rate, inherently means bookings will be declined because they are not in CSAL or the CSAL volumes are not correct.”); *see also* APP 2958 (internal OOCL presentation showing that as of September 2021, OOCL was declining bookings at a rate of over 37.9%).
108. As well, OOCL would accept more bookings than the total space allocation available. OOCL’s rationale was that customers did not deliver 100% of the containers they booked “[s]o the regions, the loading regions will have to make some buffer.” APP 2717; *see also* CPFF ¶¶ 219, 219.1; RPPF ¶¶ 219, 219.1. However, as a result of

OOCL's practice of overbooking, for OOCL to 'confirm' a booking cannot be trusted as indicating there was in fact genuinely space available on the vessel for that container.

4. CSAL Was Use It Or Lose It

109. OOCL USA New England Sales Representative, Jim Mitchell, described CSAL space as being given to customers on a "use it or lose it" basis:

Q. [I]f a customer had fallen short in one -- in one week and then was able to make it up the next week, that would still certify MQC, correct?

A. If we were - if we had the space available to give them for the extra amount of containers they were booking over the MQC, over the CSAL, for that week.

Q. Okay. So in terms of MQC from the lens of a shipper trying to make bookings against CSAL in order to fulfill its MQC, that CSAL space is, kind of, use it or lose it, then, in terms of getting up to its MQC under the shipping -- under the service contract?

A. Correct.

APP 1700; *see also* APP 1700 ("the blueprint to meeting the MQC, is through the CSAL allocation.").

110. If a customer did not use its CSAL allocation during a particular week, that allocation would be lost; this was the case irrespective of the reason for the customer not using that CSAL allocation, for example if caused by one of the many OOCL problems identified. APP 1700 ("if [customers] don't deliver on space that's allocated in a given week, then that allocation is lost if they don't deliver against it. . . . We encourage them to book up to the allocation to ensure they get their space.

5. OOCL Systems Did Not Consistently Track Attempted Bookings and Other Information

111. Causing additional problems, OOCL's systems did not consistently track attempted bookings or other information. For example, on August 12, 2020, BBY emailed OOCL writing:

Jim, you noted yesterday that you did not see any booking request from Yusen for Shanghai / LAX but it appears based on below Yusen did attempt to book but received rejections. Is it possible your origin team is not posting these rejections to allow you to have visibility. And regarding the SHA/LAX booking that Jim questions this time, we did book with OOCL but again it's declined by their local team. It's strange that they can't find it in their record. Kindly see the attached reply of their team and here below are the rejected bookings. The email is in Chinese and

OOCL/SHA is saying booking is rejected coz their ship is already overbooked.

RX 1231; *see also* RX 1230-31 (OOCL replied: “With no allocations provided ex Shanghai to the WC, bookings would be declined, then ultimately deleted from the system”).

112. This issue was also included in Mr. Young’s Executive Summary in September of 2021, which stated:

Some of the issues related to visibility also relate to HOW we react in declining bookings with the customer...If we decline based on the external request that comes to IRIS4 (from MOC or EDI) without update into IRIS4 – the rejected bookings are not visible to the teams through regular reporting from IRIS4 – creating lack of visibility to customers booking requests and OOCL response when raised by NAG Customers. While the request can be found in the external booking request option – it will be blind on reports called to monitor customer performance and OOCL’s support or otherwise. . . .

CSU do not bring majority of bookings from EBR into IRIS4, rather they decline the majority in EBR. This affects “true” visibility, and when you throw in booking windows and TCR cutoff changes, that adds more complexities.

APP 3184 (first ellipsis in original).

113. The lack of an automated data connection between the shipper’s inputs and OOCL’s IRIS-4 system likely also contributed to the loss of customer inputs. *See, e.g.*, APP 1842-46 (noting that shippers could enter a space request through My OOCL Center/MOC, or shippers could call OOCL, but such customer space requests then had to be manually input by an OOCL customer service representative in order to be captured in IRIS-4 data).
114. There is also evidence that, even when shippers made a single booking up to the CSAL, then made additional bookings with additional volumes, that such booking information could end up on the NAG review sheet, only to be dropped off due to lack of action on the part of OOCL. APP 2941 (describing the instance of customers being “assigned CSAL of 2 TEU, they made 2 bookings 1x40 & 1x20 as we advise them to do if booking over CSAL, but since they were made very close to one another CSV pends both bookings. This would be on the NAG review sheet to request the 1x40 released, but both are likely to remain long pending, ultimately dropping off due to lack of action.”).

6. These Issues Combined to Cause Declination and Related MQC Fulfillment Issues for OOCL

115. Internal OOCL emails describe the combination of these various CSAL and space allocation issues resulting in significant booking declinations and issues with fulfillment

of regular service contract MQCs. For example, on October 2, 2020, Ms. Donna Forminio sent an internal OOCL email, writing:

All we do is discuss and hit a brick wall every way we turn. I would love some suggestions on how to improve what is out of our control Raphael. We have the data and it's the same every week we have enough cargo to fill our allocation twice over and we can't get it loaded. You know getting CSAL perfect isn't going to happen, and when we work with Jonathan to try to shift things around, origin doesn't pay attention to his release lists. Plus we drop ports every 2 minutes and throw off what we do have booked. We waste hours on CSAL swaps which no one pays attention to because it's too late or too difficult.

I have no problem with the SLC space team they are doing the best they can. As long as we are working with a yield mindset and employing SNY we will not meet our numbers. I'm sorry I should probably not be so blunt but this is the reality.

APP 2943; *see also* APP 2944-45 (noting declined booking levels “down slightly but still exceed [REDACTED] TEU for week 39”); APP 2209-10 (“Space and Yield” are guidelines drafted by the Trade Group in Hong Kong, explaining when bookings should be accepted, and including CSAL and date cutoffs).

116. Mr. Schmiemann replied on October 2, 2020, writing:

Donna is spot on. The team is extremely frustrated as well are our customers. There are so may [sic] adjustments with our services leading to a shifting of cargo among loops, or weeks, making it is impossible to keep track of what is taking place with all of the NAE [North America East] bookings. What is in place on Monday can easily change by Wednesday. The expansive roll pool is adding to the complexity. *Bookings are being declined at an alarming rate, every week.* The team understands the ultimate objective, so they spend most of their time conducting damage control. In terms of who is showing up, when SLC reviews CSAL, they use customer fulfillment as their guide. We have close to [REDACTED] customers in CSAL. And to Donna's point, we are getting little to no cooperation from OCHL on swaps. We continue to go around in circles with hardly any relief or progress to show for our efforts.

APP 2943 (emphasis added); *see also* APP 675 (“Q: Why was the rate at which bookings were being declined alarming? Ms. Forminio A: Well, you can see from that report I did the numbers on each loop of what was being declined. Sometimes we had more bookings declined than taken.”); APP 2941-42 (Ms. Forminio also wrote on October 5, 2020: “Hello Marvic, I honestly don't think we need any further examples all we need is the statement by Iris that tells the whole story: TPT Booking release is based on CSAL + SNY review per Trade guideline. We no longer refer to CCR's daily instruction for booking release, but only take as reference.”).

117. Mr. Schmiemann replied to the same thread on October 5, 2020, adding that:

Additionally, what is input into the booking notes is not always accurate as origin presided over KPI's which they are very mindful of. In this space, we continue to chase our tail. It is very frustrating, which goes all the way back to the low/med probability of CSAL accuracy. The NAE has [REDACTED] accounts in CSAL. This in itself, when factoring accuracy rate, inherently means bookings will be declined because they are not in CSAL or the CSAL volumes are not correct.

APP 2941 (emphasis added).

118. Internal OOCL emails continued to report significant issues in terms of MQC fulfillment. For example, an internal OOCL email on August 5, 2021, stated: "Just to give you an indication of the NAE's customer MQC shortfall, not counting premium contracts, we have 146 customers and only 7 are at or close to their respective MQC on a prorated basis. At this juncture, customers should be between 33 and 35 percent of their MQ. Less than 5 percent fall into category." APP 1076; *see also* APP 3309.
119. Also through late 2021, internal OOCL communications continued to document significant issues regarding declined bookings. For example, in September 2021, Mr. Young noted in his Executive Summary:

The reasons for these declined bookings are numerous, but through customer interactions the discrepancies found within the TPT EB booking acceptance process / procedures warrant corrective action to ensure OOCL remains commercially sensitive and delivers what has been promised, and to ensure compliance to regulatory issues that pertain.

In many cases the impact to MQC, creating a situation that even based on pro-rated MQC, places NAG customers significantly adrift from the contractual commitments agreed and documented.

APP 3184.

120. On August 5, 2021, Mr. Schmiemann, sent an internal email to Ms. Forminio providing a preliminary draft email, parts of which have been quoted in other findings, writing:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] I share some concerns over our management of BCO's, large and small. [REDACTED] due to the rigid nature of CSAL, [REDACTED]

[REDACTED]
[REDACTED]
[REDACTED] not afford them access to MQC/52 on a weekly basis.
[REDACTED]
[REDACTED]

[REDACTED] may be
confident and motivated to engage the FMC on this subject matter [REDACTED]
[REDACTED]
[REDACTED]

- CSAL- Very restrictive and rigid which can be interpreted as a tool to maximize profits. Nowhere in the SnY guidelines does it mention MQC fulfillment. If customer books above CSAL on one booking, we decline the entire booking. Why not accept up to CSAL allocation and refuse the overage. Should we revisit and relax the SnY guidelines in order to focus on servicing our customers based on MQC/52?

- Premium Contracts- While many customers are willing to pay to procure space, we are selective in whom we chose. Are we being discriminatory? Moreover, customers that are shipping under a premium contract, may very well have had bookings declined, in the same week they are shipping under the premium contract, despite being below their expected MQC/52 volume.

[REDACTED]
[REDACTED] The absence of a full complement of sailings on the PCC3 and VCE placed us at a distinct disadvantage toward meeting many customer MQC/52. Why don't we overcompensate for these customer when we do have a VCE/PCC3 sailing? Or adjust space to compensate on corresponding services?

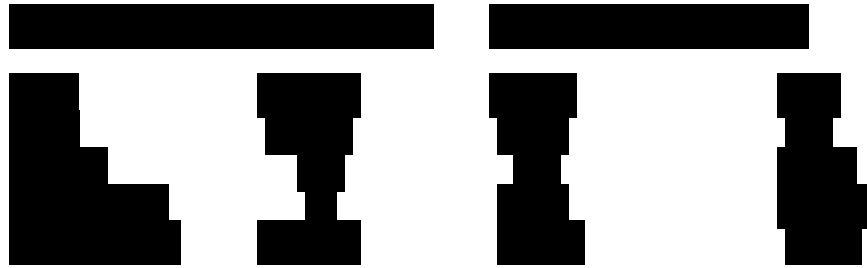
- We need to ask ourselves are we delivering on our promise to the customer? [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]

[REDACTED]

APP 3046 (emphasis added); APP 703-04; APP 2208-11; RX 206; RRPFF ¶ 112.5; RRPFF ¶ 204; *see also* RRPFF ¶ 78 (asserting this was a “very preliminary draft” of an internal response to an OOCL meeting with another BCO).

121. Ms. Forminio replied later on August 5, 2021, writing:

Made a few updates. Here is a snapshot of the mqc fulfillment on a region basis:



Even our local NVO's are not getting space unless premium.

[REDACTED]

APP 3045; APP 2210.

122. Mr. Young and Mr. Metzger, OOCL USA Director of Marketing and Sales, presented a wider swath of concerns related to MQC fulfillment to OOCL's Trans-Pacific Trade Management in September 2021. APP 1628.
123. In preparation, in September 2021, Mr. Young drafted an internal OOCL presentation along with Mr. Metzger. APP 2952-59 (full September 2021 presentation slide deck); APP 1628 (Mr. Metzger described: “I had performance concerns. Since I’m tasked with following up on performance issues and reviewing performance for the Sales organization, I found that there was a concern in terms of MQC performance, as well as other areas that I believed needed fine-tuning.”).
124. The September 2021 presentation “sought to analyze internal concerns over MQC underperformance” and included the following information:

Problem Statement: Customers are unable to secure adequate space on standard services under mutually agreed Service Contracts to fulfill business requirements and to meet MQC commitments, and at the same time, ensuring regulatory compliance.

Objectives

- Ensure compliance with regulatory requirements
- Ensure we meet contractual commitments to our customers
 - Streamline the CSAL / system process to ensure we accommodate the committed volumes as contracted.

APP 2953-54; RRPFF ¶ 80; CPFF ¶ 80; APP 1628.

125. The September 2021 presentation also included an MQC Analysis as of August 30, 2021, analyzing “320 NAG Controlled SC’s (ACP)” and assessing these as being in the “green zone” to “red zone,” detailing:

- Yellow Zone - CTD Prorated MQC Achievement 50-75% (146 Customers or 46%)
- Red Zone - CTD Prorated MQC Achievement <50% (81 Customers or 25%)
- 21 of Existing SC Holders have additional Premium SC’s all far exceeding small MQC’s.

APP 2956; APP 464; APP 209-10. The September 2021 presentation noted among “Major Customers well behind MQC Fulfillment” that Bed Bath and Beyond had an “MQC Prorated %” of 42% and that it had a “Premium SC.” APP 2957; APP 1364; *see also* APP 2944-45.

126. The September 2021 presentation noted under “Next Steps:”

- Fix It
 - Review and standardize booking acceptance policy across regions . . .
 - Reduce declined bookings
 - Declined bookings represent 37.9% of NAG booking activity on TPT EB
 - Does not include the bookings that are declined within the External Booking Request Module
 - Review Premium on same / alternate service
 - How it is offered and managed
 - Compliance issue on space availability

APP 2958.

127. On September 8, 2021, OOCL North American Group personnel met with Trans-Pacific Trade Management. Specifically, NAG’s Mr. Young and Mr. Metzger presented the September 2021 presentation, and discussed their concerns with MQC fulfillment. RPPF ¶ 263; APP 2952-59; APP 1628; CPFF ¶ 80; APP 3184; APP 2860 (Mr. Young described that the meeting included all of the people on the Sept. 15 email, below, and OOCL Ltd. General Manager Trans-Pacific Trade, Karen Lam, and that “It was really more the management group that we wanted to address because we felt they were the ones that could do something about the situation we were in.”).

128. On September 15, 2021, Mr. Young emailed OOCL Ltd. Chief Operating Officer, Kenny Ye, and OOCL Ltd. Director of Trades, Teddy Fung, cc'ing OOCL USA President Paul Devine, and OOCL Regional Manager, David Maw, writing:

Kenny / Teddy — please find attached our summary comments based on our discussions last week, and the issues we raised as of concern [to] US Customers on In Bound cargo from Asia and the commitments we agreed with the customers involved. The data sheet supports the comments and examples we provided and the presentation material we used as the basis of the discussion is also included for awareness of the issues discussed.

We hope that the agreed recommendations can be implemented in structured manner to ensure we meet both regulatory / compliance perspectives, as well as the legal commitments made with customer under Service contracts. We hope this discussion and the data / comments attached will allow us to change and standardize our process to meet the defined objectives we indicated with the attached initial presentation:

- Ensure compliance with regulatory requirements
- Ensure we meet contractual commitments to our customers
- Streamline the CSAL / system process to ensure we accommodate the committed volumes as contracted.

APP 5129; APP 2859 (Mr. Young described that this email “was related to the presentation that we made with Hong Kong relative to MQC and other issues. And so this was our follow-up to say, here’s our comments based on the discussion of last week.”); *see also* CPFF ¶ 80.1; RRPFF ¶ 80.1.

129. Mr. Young provided further context concerning his September 15, 2021, email testifying:

[T]his email is a follow-up to the presentation that we had, which is mentioned in the -- as an attachment there, and . . . it relates again to the performance on MQC and why the NAG BCOs were still so far behind in achieving their MQC. So . . . after Glenn produced all the data and the information, we were very concerned that we have . . . so many customers that are -- based on a prorated position, were going to potentially not reach their MQC. So we wanted to raise this with Hong Kong to say, what are we going to do? How are we going to correct this situation so that our customers can reach their commitment?

. . . I think the items that we really wanted to focus on are further down on that email, most of it related to compliance. Here: Compliance with regulatory requirements, ensure we meet contractual commitments and streamline the CSAL system process to ensure we accommodate committed volumes as contracted. Those were the key issues that we wanted trade to commit to and start to delve into or perform, if you like,

to ensure that the customers that we had raised as well below their MQC position prorated, that we wanted to make sure that we could do whatever we could to help them ensure they reached their MQC.

APP 2860.

130. Regarding the interplay between premium contracts and annual contracts, Mr. Young testified as follows:

Q. And what -- do you recall what was the status regarding premium contracts at that presentation?

A. Well, we were told that there were premium contracts that were used for -- specifically for extra loaders, but it did not pull any MQC from the original or the basic contract. And so we were concerned, well, how do you then align the situation with their standard contract if they fall short on MQC, but they've achieved sufficient volume on the premium contract that would have taken them above MQC had they been applied, and so we raised that concern. And during that time, Karen basically said, well, we're going to do away with the premium contracts, which she did.

APP 2889.

131. Mr. Young also testified regarding his concern that additional space was not being equitably shared among customers:

Q. Did your discussion with Paul and Gavin about the conditions include . . . the issue of offering premium cost cargo while MQC was going unfulfilled for other customers?

A. No. I didn't touch on price because, you know, that's not my realm. That's trade and sales to negotiate that. I only touched on the fact that, you know, if we have additional space, why aren't we sharing it out equitably amongst a number of our customers that are having difficulty reaching the MQC, as opposed to giving a block to one customer, solving that customer, and then creating other issues with our other customers.

APP 2859.

132. There were still internal OOCL concerns the following year. On March 17, 2022, Mr. Young sent an internal OOCL email, stating: "We have been fortunate so far to stave off any perception of OOCL being party to any 'gouging' opportunities, and know all carriers are pushing SC rates and to gain commitments for long term periods to lock in high prices" but expressing the concern that the rates OOCL offered BBY for a 2023 service contract were "above the rates quoted to other shippers with similar SC MQC." APP 4165-66; APP 456. Also on March 17, 2022, Mr. Ye thanked Mr. Young for his feedback, writing: "The business environment for TPT has been changed. [REDACTED]"

[REDACTED] APP 4180; APP 473.

133. On March 19, 2022, Mr. Chen forwarded Mr. Ye and Mr. Young's March 17, 2022, emails to Mr. Fung and Ms. Lam, writing:

[REDACTED]

[REDACTED]

[REDACTED]

APP 4164. RMGT and RGGM appear to be various levels of regional management.

C. Peak Season Surcharges and Premium Pricing for Extra Loaders

134. Early in the 2020 service contract, OOCL began advocating that BBY add "PSS" to its shipments, sometimes referring to ocean freight increased charges to be applied broadly over date ranges, and other times referring to increased charges to be applied to specific extra loaders or in premium contracts.
135. When this decision refers to "overcharges," it includes peak season surcharges (PSS), premium contracts, and extra loaders, essentially when OOCL charged prices that exceeded its initial agreements. Likewise, the terms "PSS" or "premium pricing" include such ocean freight overcharges as were implemented subsequent to the pricing in the original 2020 and 2021 service contracts.
136. OOCL referred to charges as "extra" or as being necessary to secure "extra space," although they covered the same port pairs and timeframes as the original service contracts. For example, in an August 19, 2020, email, OOCL encouraged BBY to

“Consider paying a PSS on *all shipments to the West Coast*. The demand for space is overwhelming and we have more than 40 BCOs in our region who are paying PSS. The PSS would put BBB in position to secure extra space on the high demand loops to the West Coast. We cannot advise an exact number on a weekly basis, but BBB will be in a position to secure volume. If the PSS is an option, we suggest \$700 per 40’ GP and 40’ HQ. We can limit it to the West Coast and also limit the duration, say end of September.” APP 4102 (emphasis added).

137. As an example of OOCL using PSS to refer to pricing for a specific extra loader, later in the same email, OOCL indicated there was a “WK # 38/39 extra loader to the WC. We would be able to provide BBB up to 20 TEUs ex Shanghai on the extra loader based on BBB’s acceptance of a PSS of \$1,500 per 40’ GP / HQ for that specific vessel.” APP 4101-02; *see also* APP 4113-14 (January 12, 2021, OOCL email to BBBY informing it of an “extra loader scheduled in late January” stating that the “requested PSS would be \$ [REDACTED] per 40’ GP / HQ over BBB’s current contract rates.”).

1. Peak Season Surcharges Applied Over Date Ranges

138. The initial 2020 service contract stated that “Rates are inclusive of . . . Peak Season Surcharge (PSS) . . .” APP 3391; APP 12.
139. However, Amendment 6 to the 2020 service contract, dated November 6, 2020, added a section [REDACTED] which noted [REDACTED]
[REDACTED]
APP 3424; see also RPFF ¶¶ 516, 366
(noting PSS was added to specific origins and for YY only, meaning “CY” movements – i.e. from loadport container yard to destination port container yard – not store door deliveries); RX 3127 (internal OOCL email showing rates post PSS addition).
140. Amendment 8, dated November 20, 2020, made further edits to the PSS language, changing the Amendment 6 language to the following: [REDACTED]
[REDACTED]
APP 3431.
141. Amendment 11 to the 2020 service contract, dated December 23, 2020, extended PSS charges until February 28, 2021. APP 3444; CRPF ¶ 378.
142. [REDACTED]
APP 3466.

143. While there does not appear to be a 2021 service contract amendment explicitly adding “PSS” over a specific date range, the 2021 service contract amendments include a large number of ocean freight increases specific to routes, and which appear to have been a variant on the many ways that OOCL implemented unreasonable ocean freight overcharges. APP 3471-3646; *see also* APP 3245 (October 2021 internal OOCL email, in which Mr. Schmiemann’s indicated that BBY “agreed to a PSS” in the context of his recommendation that OOCL not “jump to deselection [of BBY] yet.”). As Mr. Mitchell explained in deposition testimony:

Q. And do you recall the reason why the shift away from PSS with Bed Bath & Beyond in that shipping year?

A. I just think it was easier to manage.

Q. How so?

A. Well, because we were providing extra space on specific service loops that were operated by us, so it made it easier to, in terms of booking, control, and admin.

APP 1749.

144. Such ocean freight increases, like the explicitly labeled “PSS,” are found to be unreasonable and not voluntarily agreed to by BBY. As just one example, in the original 2021 service contract, the price for the [REDACTED] to [REDACTED] route for a [REDACTED] container was set at \$ [REDACTED]. APP 3281. The first amendment increased this rate to \$ [REDACTED] through [REDACTED] (APP 3472); the second amendment increased this rate to \$ [REDACTED] from [REDACTED] (APP 3476); the fourth amendment increased this rate to \$ [REDACTED] from [REDACTED] (APP 3488); the fifth amendment increased this rate to \$ [REDACTED] from [REDACTED] (APP 3492); then the seventh, eighth, ninth, tenth, eleventh, and fourteenth amendments maintained this rate of \$ [REDACTED] extending the time periods of its application. APP 3524; APP 3562; APP 3578; APP 3582; APP 3586; APP 3602.

2. Premium Pricing and Contracts for Extra Loaders

145. As early as July 2020, OOCL offered to BBY “extra loader” opportunities, wherein BBY was told that it may be able to secure space on particular vessel voyages, but at a price point higher than in its annual service contract. APP 3014-22.
146. BBY’s 2020 and 2021 service contracts are sometimes referred to in communications as BBY’s “regular,” “annual,” “initial,” “original,” or “basic” service contracts, as a way to differentiate between these and the “premium” or “secondary” contracts signed later by the parties; or as a way to contrast with amendments to these regular contracts that memorialized premium extra loader pricing for particular vessel voyages. *See, e.g.*, APP 640-41; APP 3195; APP 227; APP 1730; APP 2889.

147. OOCL's general criteria for extra loaders was who would pay a premium for the voyage. As OOCL USA Vice President of Sales for the Eastern Region, Thomas Schmiemann, described in an August 6, 2020, internal OOCL email:

We have scaled down the number of candidates for the extra loaders. *The criteria is very simple; who will pay a premium in the range of \$800-\$1000. It will be a top down strategy.* The initial reaction from the following customers has been favorable. They include . . . [list of non-BBB customer names and] BBB

APP 3066 (emphasis added); APP 683.

148. Different OOCL customers could have different pricing for extra loaders, whether these were individual vessel voyages or identified in premium contracts. APP 1382.
149. Regarding volume commitments, OOCL USA Regional Business Analyst, Donna Forminio, testified that extra loaders were viewed by OOCL as being apart from a shipper's "initial" contracts; and that extra loader pricing could be documented either via a separate contract, or as a bullet within the shipper's regular contract:

A. [T]here were special extra loaders and special buffer space that would – that was considered separately. That had nothing to do with the MQC for the initial contract.

Q. Can you explain what you mean by an "extra loader"?

A. There were weeks when there was a vessel that was put in, that would go to maybe one or two ports and over to Long Beach, that would be offered out. The space on that extra loader would be over and above the offering that was under our initial set of service loops. It was some -- it was a vessel that had a whole different rotation. It was separate and above our regular, standard offering, and that was called an extra loader. And that was a premium service. And it was, okay, if you want some extra space, I have some here. And we would make a separate contract or a bullet within their contract of a rate that would be different. In that case, that's the highest bidder. Whoever wants to pay the most for that extra loader, that's when the rate comes in. But for a standard contract, no. You know, standard contracts, you got what you got.

APP 640-41.

150. Yet, the lanes included in extra loader opportunities overlapped with the lanes included in regular service contracts. Mr. Mitchell characterized that the overlap in lanes was due to these being high-demand lanes:

Q. And in your experience with your customers, were there instances in which the cargo volumes that were shipping on premium contracts were

encompassing lanes that were also included in those customers' service contracts for that year?

A. Well, yes, because those were the high-demand lanes.

Q. And were the premium contract prices per TEU higher than the rates that were included in the annual service contracts?

A. They're higher than their annual service contract, but lower than what else was in the market.

APP 1730.

151. For example, the 2020 service contract included rates from Shanghai, Yantian, and Xiamen to Los Angeles/Long Beach ("LALB"). Various amendments increased the rates for these same port pairs over specific planned extra loader vessel voyages. RPFF ¶ 354; *see also* APP 4020 (Jensen summary of rate increases applicable to named specific sailings); RPFF ¶ 361. The table summarizes the increases:

Amendment No.	Vessel(s)	Date	Price	% Increase	Cite
Original	--	Starting July 1, 2020		--	APP 3387-89
2	SC2 RFA 002E	August 25, 2020		177%	APP 3404
4	SC2-CBJ-082E	September 16, 2020		177%	APP 3412
6	SC2-OMS-990E SC2-RFA-004E	November 9, 2020		233%	APP 3423
9	SC2-OMS-991E SC2-RFA-005E	November 26, 2020		243%	APP 3434
10	SC2-OMS-991E SC2-RFA-005E	December 10, 2020		292%	APP 3438
14	SC2-RFA-006E	January 20, 2021		292%	APP 3456

152. During 2020, OOCL initially memorialized extra loader pricing via amendment to BBY's regular service contract. *See, e.g.*, APP 3439 (Amendment 10 to the 2020 service contract); *see also* RPFF ¶ 485 (summarizing amendments); APP 1152-53 (email detailing extra loader pricing for BBY, afterwards memorialized by Amendment 10). But, beginning in 2021, OOCL created entirely separate contracts, with their own contract numbers, to memorialize higher pricing for extra loader opportunities.
153. Specifically, in early 2021, OOCL rolled out its secondary or "premium" contracts program. APP 4169; *see also* RPPFF ¶ 447; APP 1734.
154. OOCL informed BBY of its premium contracts program in January 2021, writing in a January 6, 2021, email:

Based on the continued strong demand from our BCO customers for space / equipment above their standard monthly allocation, we have developed an option to address the demand.

Our idea is to offer select customers the option to sign a second contract.

How it would work:

1. MQC = 1 TEU
2. Set rates for WC/ EC [West Coast / East Coast] = \$ [REDACTED] to EC ports and \$ [REDACTED] to WC ports.
3. Any demand over and above BBB's standard monthly allocation, the space request would be reviewed. If confirmed/released, the premium contract rates would be assessed.
4. OOCL at origin would manually apply the premium contract pricing.
5. The available loops are outlined below and will be limited to direct call ports

Please advise if Bed Bath & Beyond has any interest in this pilot program which is scheduled to begin in February.

APP 4169-70; CPFF ¶ 292; RRPFF ¶ 292.

155. The MQC in each premium contract was "1 TEU" and volume provided under the premium contract was not counted as volume pursuant to the regular service contract. APP 4169; APP 3664; APP 3792; APP 640-41 (OOCL explaining that "there were special extra loaders and special buffer space that would – that was considered separately. That had nothing to do with the MQC for the initial contract"); APP 2889 (OOCL's Mr. Young testified: "Well, we were told that there were premium contracts that were used for -- specifically for extra loaders, but it did not pull any MQC from the original or the basic contract."); *see also* Opposition at 46 ("The MQC in each secondary contract was '1 TEU,' and each amendment addressed separate capacity from the annual service contract with volume commitments therein."); Opposition at 23 (noting the analysis only related to "OOCL's space allocations under the 2020 and 2021 service contracts, not to any space afforded under the Secondary (or so-called Premium) contracts.").
156. BBY and OOCL entered into two premium service contracts. CPFF ¶ 290; RRPFF ¶ 290; APP 3647; APP 3685. These premium service contracts had their own contract numbers (different than the regular service contract numbers). *See, e.g.*, APP 3670. These premium service contracts, which started with an MQC of just 1 TEU, were then sometimes amended to specify volume commitments on particular vessels. Opposition at 46; *see e.g.*, APP 3675-76 (Amendment 2, specifying vessel name, voyage numbers, and the MQC for each sailing, in addition to pricing). Other amendments updated pricing, but without providing any specific MQCs for sailings. *See, e.g.*, APP 3707.

157. BBY and OOCL entered into an ocean carrier agreement, with service contract number PE212602 (“First Premium Service Contract”), effective as of January 14, 2021, which was amended on three occasions (the “First Premium Service Contract Amendments”). CPFF ¶ 290.1; RRPFF ¶ 290.1; APP 3647 (carrier’s service commitment language is at APP 3649-50); APP 3670; APP 3675; APP 3680.
158. The term of the First Premium Service Contract was set as January 14, 2021, through April 30, 2021, but was later amended to January 14, 2021, through May 31, 2021. CPFF ¶ 291.1.1; RRPFF ¶ 291.1.1; APP 3660; APP 3680; *see also* RX 808-09.
159. Both amendments 2 and 3 to the First Premium Service Contract included volume commitments on particular vessels, and updated pricing. RPFF ¶ 387; CRPFF ¶ 387; APP 3675; APP 3680. But it is not clear whether OOCL actually carried these volumes for BBY.
160. BBY and OOCL also entered service contract Number PE212612 (“Second Premium Service Contract”), which was effective as of May 21, 2021, and initially set to expire April 30, 2022. APP 3685; APP 3698; CPFF ¶ 290.2; RRPFF ¶ 290.2.
161. The Second Premium Service Contract was amended on at least seven occasions (the “Second Premium Service Contract Amendments”). CPFF ¶ 290.2; RRPFF ¶ 290.2; RPFF ¶ 632; CRPFF ¶ 632; RPFF ¶ 639; APP 3707; APP 3713; APP 3715; APP 3721; APP 3726; APP 3731; APP 3737; APP 3744; APP 3750.
162. After OOCL’s development of separate premium contracts, they generally began to formalize premium space as amendments to those premium contracts vs. as amendments to the regular service contracts; but in contemporaneous communications, the parties continued to refer to either as “extra loader” opportunities. *See, e.g.*, APP 3022; RX 1152-53; RX 808-09; CPFF ¶ 254; RRPFF ¶ 254; APP 1382; APP 641.
163. Some of these extra loaders constituted vessels that OOCL owned; others were borrowed or sub-chartered from other carriers. APP 1382 (also describing that in some cases COSCO would launch an extra loader and share space with OOCL; and in return OOCL would launch an extra loader and share space with COSCO).
164. Internal written guidelines promulgated by OOCL’s Trade department in Hong Kong ranked OOCL’s customers on both letter-grade (A through F) and “VALUE” scales based on their respective “contributions” – i.e., how high their rates were as compared with OOCL’s overall fixed service contract rates and “open” (i.e., spot) rates with BCOs and NVOCCs. CPFF ¶ 253; RRPFF ¶ 253; APP 3121 (Excel sheet, BBY Ex. 62); APP 1377-79 (“So this is a guideline, the guideline not only just for selecting customer based on priority but also have some guidance on what business at that time we need to control what business that we prefer at that period of time.”).
165. As of February 2022, OOCL calculated BBY’s grade as an “F” per these guidelines. Brief at 42; APP 3121 (Excel sheet, BBY Ex. 62 (Tab “USEC,” row 111; and Tab [REDACTED] row 110)); *see also* APP 1378 (“Q. Is the system A, B, C, D, F is that like

grades in school where A is the most contribution and F is the least contribution to OOCL? A. Yes, something like this.”).

166. BBY sent OOCL a letter on February 9, 2022, that in part specifically addressed OOCL’s failure to meet MQCs, stating:

OOCL failing to meet the volume commitments set forth in the MQC/MVC award of 3,800 FEUs per contract year, equating to 317 FEUs per month (see below graph), under [the 2021 Service Contract] between our companies dated 5/1/21 (“Service Contract”). As a result, we have been forced to use alternate carriers both on the spot and charter markets to cover the shortfall, both at rates significantly higher than those set forth in the [2021] Service Contract. This would have been unnecessary had OOCL merely met its contractual commitments. . . . It is our hope that OOCL will now choose to meet its obligations by providing the MQC/MVC levels you agreed to.

APP 3307-08. The February 9, 2022, letter from BBY to OOCL also included a chart, “which reflected the volume actually moved under the two service contracts in place in 2021.” RPF ¶ 294.

167. There is no indication of MQC shortfall, meaning a customer being behind on their annualized MQC, being utilized by OOCL to determine to whom it would offer extra loader space. For example, Gavin Murdoch, OOCL USA Vice President of Risk Management and Compliance and Safety, Security, and Environmental Controls, testified:

Q. Do you have any sense of whether a particular customer’s MQC performance would be relevant to OOCL’s decision to offer additional space?

A. Not that I’m aware of.

Q. Do you have any understanding of whether OOCL’s own CSAL allocations to a particular customer were relevant to the consideration of whether to offer that customer additional space?

A. Not that I’m aware of.

APP 1831.

168. Mr. Murdoch also testified:

Q. Why weren’t extra loaders used by OOCL to help customers who were behind on their MQCs make up their MQCs?

A. No. The extra loaders were not to help customers that were behind on their MQC. It had nothing to do with the MQC under their standard

contracts. The extra loaders and the premium contracts were separate; separate service, separate contract, and outside the scope of the standard contracts. And the extra loaders were just provided based on demand from our customers for additional space beyond what was in their standard service contracts and their allocations. . . .

Q. Given that enormous number of customers who were behind on their MQC, why would OOCL not deploy extra loader vessels to make up that space for their service contract customers? . . .

A. I - I don't know. At the same time, I don't know why the customers were behind on their MQC in their standard service contracts. What were they doing or not doing? I have no idea."

APP 1861-62.

169. In or around September 2021, OOCL began to scale back its premium contracts program. *See, e.g.*, RX 851 (OOCL email describing the suspension of its premium offering program in the U.S., with some exceptions). However, the evidence shows that BBBY and OOCL continued to amend their Second Premium Service contract through October 2021. APP 3744; APP 3750.
170. As of mid-February 2022, OOCL had decided to entirely suspend its premium contracts program in the United States. An internal OOCL email sent on February 21, 2022, indicated:

Please note that we have decided **to suspend Premium Offering program** in the US market until further notice, for both BCO & NVO segment, except those under pre-agreed Premium CSAL before, with immediate effect. We will also do adjustment on booking acceptance and increase flexibility on booking accommodation for selective BCOs (commit) business, for more details, please refer to separate email from COM team titled ***Extra Protection BCO List . . . which will be fine-tuned from time to time.

APP 3119 (emphasis and underlines in original).

171. Mike Young, OOCL's functional department head for Regulatory Compliance, reflected on the cancellation of the premium contracts program in a March 22, 2022, internal OOCL email writing:

[REDACTED]

On CSAL – this was an issue we raised late last year, as we saw that many of the US BCOs were falling behind specifically in their MQC commitment and determined the situation on the Premium Contracts without correlation to the MQC in the standard contracts..after which the Premium contracts were cancelled, and we started to provide additional space to try and address the potential MQC shortfall.

APP 3233 (emphases added); APP 489.

3. Select Communications Regarding Extra Loader Pricing

172. On July 20, 2020, during the 2020 annual service contract period, OOCL informed BBY that they “may have two extra loaders in the month of August ex Shanghai and Yantian to LALGB.” APP 3022 (corresponding to weeks 31-35). This was less than a month into the 2020 service contract, which began July 1, 2020. APP 3374.
173. After additional emails, on July 28, 2020, OOCL sent BBY an email to discuss pricing, noting “We spoke with our Trade colleague and for BBB to position themselves to have cargo on the extra loader, [REDACTED] Please advise if acceptable and we will begin the amendment process.” APP 3018.
174. BBY responded noting OOCL’s proposal was “almost a \$ [REDACTED] increase on this extra loader.” APP 3018. OOCL replied on July 28, 2020, writing: “As we discussed on Monday, the available space for this vessel is in high demand and we expect to easily fill it with Open market cargo and other BCOs. [REDACTED]”

██████ *It is not our intention to gouge, but to position BBB to secure space on the vessel listed below. Please advise if BBB will move forward.*” APP 3017 (emphasis added); RX 23.

175. BBY replied asking “if we agreed to this, would we get all the space Pacy notes below that we need.” APP 3017. OOCL replied later on July 28, 2020 writing: “We cannot make any guarantees on what will be loaded. However, *BBB will position itself to secure space on this extra loader from both SHA/YTN*. Wish we could provide an absolute number, but we cannot.” APP 3017-18 (emphasis added).
176. OOCL clarified: “We will ask for the full amount of TEUs projected for the WK# 33 extra loader should BBB agree to the \$ ██████.” APP 3016. BBY then responded agreeing to the increase for the extra loader. APP 3016.
177. However, on July 30, 2020, OOCL told BBY: “We will not be able to carry any freight. This is truly disappointing as thought we had positioned BBB to get on the ship.” APP 3015. BBY replied writing “this is disappointing as we had planned to move a large of number of containers with you on these vessels[.] We are not seeing the strong lift from OOCL and now this. What was the final reasoning this turned 180 degrees in a matter of days. We support OOCL yearly during slack season as well as peak.” APP 3014.
178. BBY replied again on July 30, 2020, writing:

[T]o say that we’re disappointed in not being able to get ANY space on this extra loader is a colossal understatement! Jim gave us a # of \$ ██████/40 to get on this vessel and now that’s not good enough?? At what rate did ppl get on? Why wasn’t that info communicated to us before you decided to close us out? *We’re dying for space* and now we have to rebook the containers that we were under the impression would be moved by you. Not a good way to treat a long time (and we thought valuable!) customer. Is there any chance that we can still get some space on the extra loader?

APP 3014 (emphasis added).

179. OOCL replied, apologizing and writing: “Admittedly, we mismanaged the week 33 extra loader. It was an internal miscommunication in terms of the overall space OOCL procured on the vsl. We have subsequently flushed out the root cause and will be more detailed and specific in further extra loader communications.” APP 3014.
180. On August 4, 2020, BBY emailed OOCL expressing “space concerns” and asking “why are we not getting space out of our largest volume port that was spelled out in our RFP and in projections I sent out.” RX 1238. OOCL replied on August 4, 2020, noting “Although you have been providing a rolling forecasts, there are times when the bookings do not line up with the forecasted weeks. We cannot push forward an allocation that has been missed or inadvertently booked on a service loop with no allocation provided” and adding “if there are extra loaders coming on line, we will

certainly reach out to BBB to discuss what we may be able to provide and the relative premium.” RX 1238.

181. In mid-August 2020, BBY again expressed concerns regarding falling behind their annualized MQC. Specifically, on August 18, 2020, BBY emailed OOCL writing:

Jim, we are falling behind for last few week are min MQC[.] BBB should be receiving 22 FEU’s a week and it’s not there.

We need movement and we need it out of Shanghai to west coast[.] We know Yusen is attempting and your not accepting. Need an answer on Wednesday on how your going to approach this and make up for the short falls in the last few weeks[.]

APP 4102 (spelling as in original).

182. Mr. Mitchell replied on August 19, 2020, recommending PSS and extra loaders, writing:

Yours noted with regards to the BBB lift over the last few weeks. We understand the frustration, given the large volumes which BBB are looking to move.

We looked back over the last couple of weeks at the confirmed bookings for the BBB group as a whole. *We admit to being short against expectations*, but the bookings being made are not in line with the allocations provided. So basically, BBB is leaving TEUs on the table.

Our suggestions on how we can ensure that allocations are fully utilized are as follows:

1) September CSAL allocation has been provided to both BBB and [another entity]. Yusen needs to make bookings on the given loops in alignment with the allocations. The initial bookings should be made up to the allocations, then make more new bookings for additional volumes. Our Regional and SLC management teams review bookings on a daily basis, so pended bookings can be released on certain loops.

As reference, for WK # 37 we have provide an allocation for WC services of 16 TEUs. Currently, there are no bookings against the allocations. . . .

3) *Consider paying a PSS on all shipments to the West Coast.* The demand for space is overwhelming and we have more than 40 BCOs in our region who are paying PSS. *The PSS would put BBB in position to secure extra space on the high demand loops to the West Coast.* We cannot advise an exact number on a weekly basis, but BBB will be in a position to secure volume. If the PSS is an option, we suggest \$700 per

40' GP and 40' HQ. We can limit it to the West Coast and also limit the duration, say end of September.

4) WK # 38/39 extra loader to the WC. We would be able to provide BBB up to 20 TEUs ex Shanghai on the extra loader based on BBB's acceptance of a PSS of \$1,500 per 40' GP / HQ for that specific vessel. . . .

Meantime, overall MQC is tracking 103%, so we are providing BBB the support necessary to fulfill the MQC.

APP 4101-02 (emphases added); *see also* APP 3396; APP 3291.

183. In November 2020, OOCL again approached BBBY offering extra loader space. In a email dated November 20, 2020, OOCL wrote:

We just received the confirmation from Trade as to the numbers we can offer Bed Bath & Beyond for the WK 52 and 53 extra loaders. For WK # 52, we are offering 20 TEUs for Yantian and 30 TEUs ex Shanghai . . . For WK # 53, we are offering 10 TEUs ex Yantian and 10 TEUs ex Shanghai Please confirm that BBB wishes to move forward on these extra loaders based on the space allocations provided and the PSS being \$ [REDACTED] per 40' GP/HQ with other sizes per formula. We request your feedback by 1:00 PM today. If yes, we will send out an amendment to establish the pricing ASAP.

RX 1152-53.

184. On November 20, 2020, BBBY accepted the rates for the space on the extra loaders and asked that the rates be included in the contract amendment that BBBY and OOCL were about to sign. RX 1152.
185. After informing BBBY about its premium contracts program on January 6, 2021, OOCL then emailed BBBY regarding an extra loader opportunity on January 12, 2021, writing:

Given the on-going strong demand, we know that there is continued pressure to move large segments of volume, with limited extra space available. We are reaching out to BBB as we have an extra loader scheduled in late January. This extra loader will be calling the origin ports of Shanghai and Xiamen, with only one discharge port, Los Angeles. . . . We have a small regional allocation, so *we are being selective* on the customers we are approaching. Should BBB have interest, we would file rates specific to this vessel sailing. *We are offering BBB an opportunity to secure space*, but no set allocation at this time. *It will be first come, first serve in terms of space allocation*, so need your feedback ASAP.

The requested PSS would be \$ [REDACTED] per 40' GP / HQ over BBB's current contract rates, with other sizes per formula. We ask for BBB to

provide feedback by close of business today. We have a tight window to confirm space requirements and file amendments.

APP 4113-14 (emphasis added; underline in original); *see also* APP 4169 (Jan. 6, 2021 email introducing the premium contracts program).

186. Later the same day on January 12, 2021, Mr. Mitchell wrote to BBY:

We have been advised that the premium for this extra loader is a little higher than what we quoted below. It seems that the demand is quite high. Please advise if Bed Bath & Beyond would accept a \$[REDACTED] per 40' GP / HQ PSS, with other sizes per formular for this extra loader. If yes, we will revert ASAP on what we can provide for space.

APP 4113. Thus, the already elevated extra loader price increased by an additional 25% in one day.

187. On January 14, 2021, BBY and OOCL entered into their First Premium Service Contract. APP 3647.
188. On January 21, 2021, Mr. Schmiemann sent an internal OOCL email, informing sales team members: "I have been updated that some BCO's are going as high as \$[REDACTED] WC for space on this xl loader. Keep this in mind when you are speaking to your accounts. *Essentially, space will go to the highest bidder.*" APP 3024 (emphasis added); APP 1072-73. Mr. Mitchell replied writing: "Noted and thank you for the advisement. Will tactfully approach BBB." APP 3024.
189. Mr. Mitchell of OOCL then emailed BBY, still on January 21, 2021, at 1:42pm, writing:

We are hearing that customers in other regions are offering \$7,000 per container for space on this extra loader. The competition is stiff for the slots that we have available to roll out on this extra loader. . . .

We are not looking to gouge, but stating the reality of the current market environment for any extra space. Please advise if BBB would accept a \$5,800 per 40' GP / HQ PSS on top of their primary contract pricing. This would position BBB at just around the \$7000 mark. Please advise.

APP 3027 (emphases added); RX 22.

190. Later on January 21, 2021, BBY emailed Yusen, copying OOCL, and writing:

Pacy, follow up to OOCL premium rate contract we signed this week. OOCL has put aside a separate allocation for BBB under this contract for weeks noted below.

It is important we take advantage of this space.

Jim reached out to me today and noticed we have not used all the space for week 5 on the EXC services into the USEC. Please any orders that are not yet confirmed for these lanes and that cargo is available, please try to use this space.

RX 1235-37.

191. On January 28, 2021, Mr. Mitchell emailed BBY, writing:

In follow up to my VM message a few minutes ago, we will be extending space allocation under premium contracts for the month of March. The rates would mirror the current premium contract pricing of \$ [REDACTED] pc 40' GP for the West Coast and \$ [REDACTED] per 40' GP for the East Coast. Although we understand that the WC is in very high demand, even under premium contract pricing. So it is our recommendation to elevate the WC rate to \$ [REDACTED] pc 40' GP.

We need to know if BBB wishes to renew the premium contract for March. If yes, then we need to nail down what BBB would require for space. The attached excel file outlines the current allocations, by service loop and origin. We will use those allocations as our basis point for the March allocations. Please advise if BBB is agreeable with same. There are no guarantees that these will become the March allocations, but it is a start.

APP 4110-11.

192. On January 29, 2021, OOCL emailed BBY reminding that the “secondary contract expires in February, but we will extend through March, but need BBB’s confirmation on the suggested change to the WC rate. Also, need feedback on space required. There is no guarantee that we can provide all the space requested, but the attached is a start. Please advise and we will do our best to try and secure.” APP 4116.

193. Later on January 29, 2021, OOCL sent a follow-up email to BBY, writing:

Confirm, this is the correct contract number for the secondary contract and it does expire in April. Earlier this month, we were not sure if we would extend the program beyond the end of February. . . . Meantime, we strongly encourage BBB to consider the WC rates jumping to \$ [REDACTED] on March 1st as there are BCOs who are paying [REDACTED] for WC slots on their premium contracts. *We wish to ensure that BBB will be provided a West Coast allocation for March.*

APP 4115 (emphasis added).

194. BBY responded on January 29, 2021, writing:

[T]hank you for confirming our secondary rates extend through this April. As it relates to your below call outs re WC rates, do you feel comfortable that if we agree to the \$[REDACTED]/40' rate that we'll get space considering other BCO's might be paying something higher? I'm not looking to write you a blank check but I also want to ensure that we'll get the space we need when we need it so pls advise.

APP 4115.

195. OOCL replied later on January 29, 2021, writing:

With regards to the WC, at \$[REDACTED], BBB would be right in line with the average being paid by BCOs under the premium contract. *We understand that there are limits that can be paid, even in this environment. However, without at least going to the average being paid, it will minimize the changes that BBB will secure a WC allocation.* Wish we could be more exact on what we can provide, but this is a new program being rolled out to BCOs. Please advise. Thank you!

APP 4115 (emphasis added).

4. Why BBY Agreed to Overcharges

196. BBY's Senior Director of International Supply Chain, Patrick Hackett, credibly testified that agreeing to surcharges was necessary to obtain space on OOCL vessels, for example testifying:

A. Yeah. I would say what was different, I think, about it, when things really started to get hectic and space was getting very much constrained, during the normal contract process, to your point, as I mentioned earlier, there was back and forth. Hey, can you do this? Can you do that? I can do that. You know, like a typical negotiation. My recollection of kind of when these things started to be put in place, it's like, hey, this is the peak season surcharge and it's going to be effective on this date, and this is what the rates are on these lanes. Okay? There wasn't much negotiation. Let's put it that way. It was more one way. And then it was like, if you want to get space on the vessel, you're going to have to do this, and we said all right.

APP 821-22; *see also* CPFF ¶¶ 9, 276; RRPFF ¶ 9.

197. Mr. Hackett also testified:

A. One was they were coming to us with peak season surcharge and they were saying, listen, yeah, I know we have a contract, but if you want to get on a vessel, you're going to have to agree to these peak season surcharges. So, candidly, our hand was kind of forced, as it was with other importers because it was a global phenomenon. And, so, yeah, we

did agree to them. Keeping in mind that we are a retailer, right? If we don't have product on the shelves, we don't have business.

APP 849; *see also* CPFF ¶ 275; CRPFF ¶ 366; APP 821-22.

198. Mr. Hackett testified that premium contracts and premium rates were presented by OOCL not as a way to achieve incremental space above and beyond the MQC, but rather to achieve space on vessels generally. APP 822 (“I wouldn’t necessarily agree that it was for incremental space above and beyond. To me, and the way that, quite candidly, I think it got presented, it was like, if you want to get any space, you’re going to need to sign these premium contracts and move these goods under these premium rates; otherwise, you’re not going to get space on the vessel. And that was kind of a common approach, I think, during that time, once again, not only with OOCL, but with some of our other carriers. Not all carriers, as I recall, had a premium contract, but OOCL was one that did.”).

199. Mr. Hackett also testified:

Q. And on premium contracts, how do they work, to your recollection?

A. They were typically maybe for a set period of time or for a set sailing, but it was a defined period that -- and, if I recall, it was more for some of the larger lanes as opposed to maybe in the service contract where you’d have all, you know, X hundreds of lanes or something. And they would be a fixed rate for a period of time that, I believe, if I remember right, were not necessarily subject to any incremental peak season kind of rate. . . .

Q. And who raised the availability of premium contracts? Is that something that OOCL brought to Bed Bath as an option?

A. They did. I know there was another one of our larger carriers did the same thing. I would say that it was the carriers that would initiate it with us. So we went. We had our normal contract. Found that we weren’t getting space at the agreed-upon rates. And they were coming and saying, well, if you want to basically get space, we can do a peak season. And so I know that we did kind of some dialogue pushback, but when we found that if we didn’t do it, we weren’t going to get space, we agreed to that.

APP 877.

200. BBY’s Vice President of Global Transportation through September 21, 2022, Reid Klosowsky, testified that while OOCL did not force BBY to sign a premium contract, there also was no other option if they wanted to get space at the time. Specifically in the context of the first premium rate contract, Mr. Klosowsky described:

A. Again, my recollection is that this was required of Bed Bath & Beyond because the original MQC was not able to be met on the existing

equipment that OOCL had, so they offered this as a higher cost alternative. . . .

Q. If this is a separate contract than the original service contract, would you agree with me that the additional TEUs, the 22 and 60, were additional capacity over and above the service contract MQC?

A. I don't -- I can't agree with that; no.

Q. And why not?

A. Again, my recollection and understanding was that it was not over and above, it was the only option that we had at the time to get service.

Q. But this is not a -- OOCL didn't force you to sign -- didn't force Bed Bath & Beyond to sign this service contract, PE212602; correct?

A. No. There was no force. But there were really no other options either.

APP 1280; APP 1239.

201. As another example, on December 22, 2020, OOCL emailed BBY, writing:

We are reaching out to Bed Bath & Beyond as the contract Peak Season Surcharge will expire at the end of December. We suggest that Bed Bath & Beyond consider extending the PSS through February. *This will not guarantee extra space, but it will help to differentiate Bed Bath & Beyond for procurement of equipment for the space allocated.* If we can provide extra space through space allocation swaps, we will do our best to cover any requests. . . . Please advise if Bed Bath & Beyond agrees to the extension of the PSS through February 28th, 2021.

APP 3068 (emphasis added).

202. BBY then agreed to extend PSS as OOCL had suggested, writing in a separate email to OOCL on December 22, 2020: "hopefully you can communicate based on this email that BBB has accepted the PSS so continue to accept bookings from Yusen. As you know bookings are being made weeks out and we can not have any delays as it's hard enough getting space as you know." APP 3067. OOCL responded on December 23, 2020, writing: "No worries! We are releasing the bookings." APP 3067.

203. In the fall of 2021, OOCL described accepting PSS add-ons as a way to position for 2022-23 contract volumes. RX 837. On October 13, 2021, OOCL emailed BBY, writing:

We did not have the opportunity to discuss a PSS with you on our call earlier today. However, as we head into Q4 and 2022, volumes continue to be strong and the demand for space unabated. Throughout the peak,

numerous customers have been paying a peak season surcharge. These BCOs are now extending their PSS applications through January 31st, 2022. *These customers see the need to remain competitive against other BCOs vying for space and equipment. They also realize that they need to position themselves for the 2022 contract season*, where the push for additional space through MQC increases will be the primary focus. Equally important is being rate competitive amongst their peers.

Bed Bath & Beyond has been exempt from paying a peak season surcharge in 2021. We are now asking Bed Bath & Beyond to consider paying a PSS through the end of January, 2022.

The PSS quantum being requested is \$ [REDACTED] per 40' GP and \$40' HQ. . . .

APP 3035 (emphasis added) (BBBY being “exempt from paying a peak season surcharge in 2021” appears to be a reference to the 2021 service contract, as Peak Season Surcharge fees were made applicable to BBBY via service contract amendment, extending at least through April 30, 2021, *see* APP 3467).

204. On October 14, 2021, BBBY emailed OOCL, replying to a subject line that read in part “Peak Season Surcharge through January 31, 2022.” BBBY asked:

[W]ould this proposed PSS be across the board for all lanes, or just select ones (i.e. ex-China only)? Also, would it apply on the contract rates we agreed to that went into effect on 5/1/21? Finally, does it provide us w/ any add'l space or just maintain our current weekly allocations and equipment availability?

RX 837.

205. OOCL replied on October 14, 2021, writing:

The proposed PSS would be across all lanes as space is tight all around. It would also apply to the rates that we agreed to and filed on 5/21/201 [sic]. There are no guarantees on space or equipment availability. However. As we have recently shown, we are providing extra space opportunities to BBB and will continue to do so. This is also about positioning for the 2022 contract.

RX 837.

206. Internal OOCL emails demonstrated awareness of the pressure on customers to agree to price increases. For example, in a January 16, 2021, email, OOCL USA Vice President of Sales for the Eastern Region, Mr. Schmiemann first noted customers whose MQCs had already been met would be given the option to agree to a rate increase through April 30, 2021 - or to extend their agreements with a rate increase through April 2022 - or be removed from the CSAL. He then added:

In fact, some customers, that have yet to meet their MQC, have already agreed to similar rates thru 2022. Customers are of the mindset to secure agreements and space before carriers fill their basket. Almost a first come first sever [sic] scenario.

APP 3069.

207. Internal OOCL emails also indicated a high success rate regarding PSS extensions. For example, OOCL's North America Group Meeting Notes, dated October 25, 2021, noted: "PSS extension campaign for TPT EB Committed segment is progressing very well with a high success rate. [REDACTED] accounts controlled by NAG have filed extension till last Fri. We have this week to tie up all loose ends." APP 4185.
208. For these reasons, the evidence shows that BBBY did not voluntarily agree to PSS and premium contract/extra loader amendments, but rather, felt that it had no other choice if it wanted its goods moved. *See, e.g.*, APP 849; APP 821-22. Similarly, the evidence does not show that BBBY agreed to a lower quantity being shipped. To the contrary, the evidence shows that BBBY was "dying for space." APP 3014.

5. Enhanced Profitability for OOCL

209. "Extra loader" space was treated by OOCL as a premium service and allocated to the highest bidder. CPFF ¶ 255; RRPFF ¶ 255; APP 640-41 (describing that extra loader space "was a premium service" and OOCL would "make a separate contract or a bullet within their contract of a rate that would be different. In that case, that's the highest bidder. Whoever wants to pay the most for that extra loader.")
210. During the 2020-21 shipping year, OOCL's rates under premium contracts never went down. CPFF ¶ 300; RRPFF ¶ 300; APP 1731 ("Q During the period of 2020 to 2021 Service Contract years, or shipping years, were there times where the premium contract rates went down on certain lanes? A No.").
211. Also during the pandemic years (2020-2022), OOCL's average revenue per TEU increased. CPFF ¶ 325; RRPFF ¶ 325.
212. The secondary service contract prices per TEU were higher than the prices in the regular service contracts. RPF ¶ 660; *see also* APP 630-31 (testimony from Ms. Forminio, stating that the spot market rate was three or four times higher than the contract rate in 2020, with the gap in 2021 being not as significant but also not "that much of a change" vs. 2020; Ms. Forminio also testified that once "space became a premium and COVID hit, and there was so much confusion . . . the rates did soar because space was at such a premium and, like anything else, you know, you can't get something, they'll pay anything to get it, so the rates went up"); CPFF ¶ 251; RRPFF ¶ 251.
213. Space designated for use under premium contracts or as extra loaders was more profitable for OOCL than space designated under standard service contracts. *See, e.g.*, APP 2722 ("Q. Sure. OOCL receives more revenue from the space that it designates as extra loader space to be used pursuant to premium contracts with its customers. It

receives more revenue from that space for use under premium contracts than it would if it had designated that same space as standard container space to be used to carry containers pursuant to their standard service contracts with customers? A. For the same slots, definitely.”); *see also* CPFF ¶ 297; RPPF ¶ 297.

214. There is also evidence indicating that OOCL saw extra loader special pricing and PSS as substitutable strategies to increase price. For example, Mr. Mitchell testified as follows:

Q. And do you recall the reason why the shift away from PSS with Bed Bath & Beyond in that shipping year?

A. I just think it was easier to manage.

Q. How so?

A. Well, because we were providing extra space on specific service loops that were operated by us, so it made it easier to, in terms of booking, control, and admin.

APP 1749.

215. Specific to BBY’s pricing, the OOCL-BBY premium contracts – and the extra loader opportunities offered by OOCL – had higher freight rates vs. the regular service contracts between BBY and OOCL. *See, e.g.*, APP 3378-90 (annual contract pricing); APP 3278-86 (annual contract pricing); APP 3404 (extra loader pricing); APP 3412 (extra loader pricing); APP 3670 (premium contract pricing); APP 3676 (premium contract pricing); APP 3707 (premium contract pricing); APP 4020 (Jensen summary); *see also* Opposition at 44 (“The Service Contracts had lower rates, but the services OOCL operated thereunder . . . were often filled to capacity (and sometimes technically beyond capacity), so it might take longer to book a shipment under that service contract.”).
216. For example, the extra loader opportunity presented to BBY in July 2020 (where BBY was not ultimately provided with space) represented higher rates vs. the regular service contract. APP 3014; APP 3018 (BBY noted that OOCL’s proposal was [REDACTED]).
217. As a further example of OOCL’s extra loader price increases in the Shanghai-LA lane in January 2021, BBY expert Mr. McCown assesses that the increases in OOCL’s PSS quote “were not driven by what was actually going on in the Shanghai-LA spot market as the average of the weekly rates increased only 1.7% from December 2020 to January 2021. Instead, it appears that OOCL was ratcheting up its PSS rates to approach the pricing that it was seeing on the spot market. By January 22, 2021, OOCL’s PSS fees were so high as to virtually match spot rates, eliminating the benefit of (and frustrating the purpose of) fixed-price service contracts.” APP 3779, ¶¶ 116-117.
218. “Spot market” refers to the financial marketplace where the purchase of immediate or short-term transportation services takes place. RPPF ¶ 59; CRPF ¶ 59; RX 1779.

219. Spot market rates are also called “open rates.” An open rate is a rate that is not a fixed rate throughout the year, but rather can be changed within three months. APP 1377; *see also* RPFF ¶ 59(b); CRPFF ¶ 59(b).

6. OOCL Internally Discussed Moving Volume Away from Lower Paying Customers

220. In June 2020, internal OOCL communications discussed reducing or replacing customers with lower pay cargo. For example, on June 5, 2020, OOCL described that an employee had “done a fantastic job and secured a PSS rate of \$ [REDACTED]/40” noting this “rate appears to be well above projected matric assumptions.” APP 2939. In response, another OOCL employee wrote: “Did we already review option within NAW CSAL to temporarily reduce/replace those with lowest contribution? And/or within NAG? . . . Perhaps reduce from above to cater space for this new SGSA member and lane.” APP 2938.
221. Later on June 5, 2020, an OOCL employee replied “should trade advise space not available we will visit the option of NAG reduction of the lower paying customers. With the rate level being offered by this customer it indeed can take an NAG view and we absolutely should do all we are able to take advantage of this opportunity. While we are aware of current space constraint across the board, should any space be granted we can work from there. If not we will review NAG current book of business and make recommendations of customers we can reduce for this period to accommodate this request.” APP 2938.
222. OOCL Ltd. Commercial Director Transpacific Trade Eastbound, Jingdong “Marvic” Chen, replied on June 5, 2020, writing:

Given what’s happening in the Spot market, NAG should take the chance to do some self-optimization if a handful of clients are willing to pay PSS, and reduce space on some of the lower pay cargo. During the contract cycle, Teli and I also advised the same message to RSD & Sales Rep that low pay cargo would have to compete space when we face crunch situation.

APP 2937-38 (emphasis added).

223. An OOCL employee responded on June 12, 2020, writing:

Recap the current understand if we even get a [REDACTED]/40’ PSS:

1. There will not be extra space from TPT HKG; We need to work within NAG CSAL
2. With NAG current overbooking for 120-140%, *if we need to cater the PSS or premium rate customers, we must cut the current active booking which need to be select by RSD.* (if COM managers are not going to be involved)

3. With the PSS filing, we need to know the actual volume per wk and period of time they need to cater as update CSAL is the correct ways.

APP 2937 (emphasis added).

224. In a separate email thread, an OOCL employee wrote on June 12, 2020:

Hello SLC Commercial team,

We are beginning to see some traction with PSS requests and filings. It will be important that we are tracking and managing accordingly. The SLC IB team will coordinate with TCRs to ensure those *customers that have accepted and signed a PSS are allocated the necessary space*. Attached is the format we have use [sic] previously appreciate if we can continue to use this format. All regions using the same format will be critical to avoiding any confusion by TCR and circumventing any potential problems with *booking acceptance for those customers that have signed a PSS*.

APP 2949 (emphases added). Mr. Chen thanked the employee, writing “We agree and should ensure internal transparency for better decision-making.” APP 2948-49.

225. An OOCL employee responded on June 17, 2020, writing: “We have internal NAG meeting to review how to cater CSAL of customer signed PSS If Com manager has idea which need to be trimmed, please work with RSD, RBA. Space team will act accordingly after RSD/RBA/COM manager decisions.” APP 2947.
226. OOCL Trans-Pacific Trade East Bound (“TPTEB”) Commercial team lead, Rosie Venneman, wrote to Mr. Schmiemann on October 22, 2020, discussing possible bridge (short term) contracts for two companies, stating:

- [REDACTED] the market conditions that existed at the time the BBB contract was negotiated no longer exist
- [REDACTED] - optimization is something we always need to strive for,

APP 3007-08; *see also* APP 2989; APP 3780.

227. On October 23, 2020, Mr. Schmiemann sent an internal OOCL email, writing:

We share a common philosophy in terms of optimizing our portfolio. The only difference is the quantum. Our discussion with BBB surrounded a premium of \$600. *Trades view is that we need to be much higher based on the current mkt conditions. In terms of space, we have altered our*

CSAL taking space away from customers who are not paying a PSS, or have poor booking behavior, to accommodate [other customer] volumes. I would be remiss not mentioning that a bull mkt does not go on forever. Customers can digest carriers aim to optimize, when the timing is right, however, their sentiment can change quickly if they feel we are acting opportunistically.

APP 3007 (emphasis added); APP 684; CRPFF ¶ 235.

D. Detention and Demurrage Charges

228. Detention and demurrage (“D&D” or “Det”) charges may apply to containers after the allotted free days for those containers have expired. APP 1300; APP 3964. Essentially, when containers are left at the ports, or when empty containers are not returned to the ports inside of the “free day” window, D&D charges may begin to accrue. APP 1300-01; APP 1505-06; APP 2351-53. Here, OOCL sometimes applied D&D charges to containers, which it then billed to BBY. *See, e.g.*, APP 181.
229. BBY’s shipments at issue regarding its D&D claims were under merchant haulage/CY terms, and BBY relied on its drayage providers to provide whatever equipment and chassis were necessary to transport containers at the marine terminals to its various warehouses, and not upon OOCL. APP 1026; APP 2355; RPFF ¶¶ 519, 523; CRPFF ¶¶ 519, 523; *see also* RPFF ¶ 516 (“The containers at issue were CY shipments, that is, from loadport container yard to destination port container yard”); CRPFF ¶ 516.
230. Between 2020 and 2022, \$1,784,164.88 in demurrage charges were assessed for BBY shipments moving under OOCL terms. CPFF ¶ 345; RRPFF ¶ 345.
231. Between 2020 and 2022, \$6,306,612.95 in detention charges were assessed for BBY shipments moving under OOCL terms. CPFF ¶ 346; RRPFF ¶ 346.
232. OOCL profited from the demurrage charges paid by its customers. As OOCL USA Vice President of Customer Service, Andrew Donohue, testified:

Q. In addition to covering its costs for these rates, did OOCL profit off of the demurrage charges it charged its customers?

A. Yes. There was an element of profit.

Q. Can you describe that element in more detail?

A. Actually, I should be specific. I can’t speak for all locations around the world. But there were some areas where it was cost plus. So there was a margin on the demurrage rate. So we did experience a profit on the demurrage charge. But there were other areas where we were at a loss, and we had to try and recoup. So it’s fluid depending on the location.

APP 553; *see also* RRPFF ¶ 385 (“OOCL admits that it earned profit from DD charges”); CPFF ¶ 385.

233. The locations where OOCL profited from demurrage charges included the port of Los Angeles / Long Beach. CPFF ¶ 386; RRPFF ¶ 386; APP 553 (“Q. Which areas would there be profit? A. Pacific northwest, Pacific southwest, south Atlantic, sometimes the northeast. Q. What about the region that includes LA/Long Beach? A. So speaking strictly about our tariff rate, yes, there would be profit in LA/Long Beach. But for individual service contracts that have customized demurrage rates or detention rates, it may not be a profit. We could be accepting those terms at a loss.”)
234. OOCL’s Equipment Management Centre Detention & Demurrage team (“EMCDD”), which is based in OOCL’s headquarters team in Hong Kong, oversees global D&D handling in general. CPFF ¶ 396; RRPFF ¶ 396; APP 2339.
235. OOCL has a demurrage and detention dispute process for submitting disputes available on OOCL’s website, which was in place throughout the shipping years at issue. APP 2355; RRPFF ¶ 391; *see also* RPF ¶ 540; CRPFF ¶ 540.
236. In or around December 2021, BBY engaged a third-party company, EDRA, to help with tracking and tracing containers and to streamline the demurrage payment process. APP 2433-34; APP 2449-50.
237. Also in December 2021, BBY tasked an employee with managing delivery of containers from ports to distribution centers and serving as a liaison to EDRA and dray carriers to try to deal with the challenging conditions. APP 3791; *see also* CPFF ¶ 413.7.
238. At various points between 2020 and 2022, BBY expressed general frustration to OOCL concerning D&D charges. For example, over the course of 2020-2022, BBY sent two letters to OOCL expressing frustrations regarding D&D billing, among other issues. The first letter from BBY to OOCL was dated October 18, 2021, and the second was dated February 8, 2022. APP 2936; APP 3307-08.
239. BBY’s October 18, 2021, letter (“October 2021 Letter”) to OOCL noted concerns related to D&D charges, stating:

As we are sure you are aware, Bed Bath & Beyond Inc. (“BBB”), as well as many other international ocean shippers, has been unable to at times secure valid pier pick-up or delivery appointments at the Port of Los Angeles/Long Beach, or when provided such appointments, has been turned away when attempting to access the port. This has caused, and continues to cause, us to allocate significant portions of our transportation resources to this area, to date with little success. The result is that BBB cannot timely obtain its containerized goods or return empty containers, causing these containers to go beyond their free time due to no fault of our own. Due to this, we’ve been forced to bear significant and ongoing detention and demurrage charges for a situation caused by your company

and its terminal partners, including vessel delays and your inability to provide correct appointment/cutoff dates and times.

We strongly believe that the actions of your company in assessing the charges in question is not in the spirit of the Federal Maritime Commission's guidance as to what constitutes reasonable demurrage and detention practices. Therefore, with Port of Los Angeles/Long Beach congestion forecasted to continue into the foreseeable future, BBB is hereby putting OOCL on notice that we expect to from the date of this correspondence forward be exempt from detention and demurrage charges that are not proven to be caused by our actions, and over which we have no control. Further, we request a full refund of all such charges.

We thank you for your consideration, and please feel free to contact me if you wish to discuss this matter further.

APP 2936.

240. On October 19, 2021, Mr. Schmiemann replied, writing:

From an OOCL perspective, OOCL is a fully compliant carrier and we are aligned with the FMC Final Rule related to the application of DD charges. While OOCL does not apply blanket exceptions, we do apply mitigation to incurred DD charges where these charges were incurred due to situations that were outside the customers control.

We would request that BBB provide specific details of the impacted containers, that will allow our DD team to extend free time for the period that BBB was either unable to collect the laden cargo or return the empty container to our designated return facility. Where situations that impact free time are known in advance – i.e. port closures, Weather impacts etc., OOCL proactively extends the free time for the affected periods.

OOCL has a dedicated team in place in our Headquarter office in Salt Lake City that manages and applies the DD rules and billing process as well as the necessary steps and procedures in place to address detention and demurrages cases in an effective and compliant manner – including the handling any mitigation requests.

APP 4130.

241. BBY also expressed D&D related concerns, including one specific example, in a February 5, 2022, email to OOCL:

I very much appreciate the time you and the OOCL team gave us 2 Fridays ago to discuss issues related to the charges being incurred by Bed Bath for detention and demurrage from your company.

As you are aware, Wednesday, Jan 19 we provided an example of the denial of access to Pacific Container Terminal to retrieve two containers on 1/11, a copy of which was attached from Knight Transportation. To date, we have not yet back from your team as to why they were denied access of [sic] if you can apply an abatement to the demurrage. Once you provide this response, we will send additional examples of delays we experienced because of denial of access. We chose to proceed in this manner so as to allow you to research each claim without overwhelming you, and to map out the review and action process. This is going to be a big project for both sides. Let's plan out resources accordingly. . . .

In addition to the appointment and return problems we have discussed with OOCL and written to you about that delayed us from picking up and returning containers, we want to share the following as additional issues for which [we] are not responsible. These issues are some of the underlying reasons why we have requested concessions and abatement from OOCL for the enormous shipping expense and negative business impacts we have been forced to absorb over the last four months. . . .

3. Shipping delays at origin and anchoring delays at destination, [none] of which was contributed by my company, caused our containers to arrive in a bulk manner that could not reasonably be picked-up in a manner to maximize container flow, resulting in port backlogs, and demurrage and detention charges. Our shipping plan, which would have enabled a smooth flow between the port and our drayage carriers and warehouses, could never be fully implemented.

4. We have been advised that OOCL allowed their traditional IPI shippers to abandon that service type, and instead flood the local market with a volume of containers beyond the local chassis supply and drayage carriers capacity. This situation was not caused by my company, but, as allowed by OOCL, adversely impacted BBB's chassis and shipping costs.

[W]e request again that you 1) abate the demurrage and detention fees going forward, 2) issue substantive credits to past demurrage and detention billed from September 2021 to current These are all charges we believe should never have been charged in the first place and for which OOCL has been enriched beyond our agreement as a result.

APP 4091-92 (underlines in original).

242. Then on February 9, 2022, BBY sent its second letter, already discussed in the context of complaints regarding MQC fulfillment ("February 2022 Letter") to OOCL, reiterating its concerns regarding D&D and MQC issues:

As you are aware, on October 18, 2021 I sent you a letter setting forth the cost and harm being caused to my company, Bed Bath & Beyond Inc. (“BBB”), due to issues in obtaining pick-up and delivery appointments at the Port of Los Angeles/Long Beach, or to pick-up and return containers when such appointments were provided. Further, as these conditions were causing BBB to accrue substantial detention and demurrage charges for conditions we were not responsible for, we asked to be reimbursed for past charges and exempted from future charges. To date, OOCL’s response has been to change nothing, and to continue to act in a manner detrimental to BBB which we believe to be unfair and unsupportable.

In addition to the port issues described above, we believe that operational actions of your company have also placed undue burdens and expenses on BBB. Examples of such actions are:

. . . . Shipping delays at origin and anchoring delays at destination, none of which were contributed to by BBB, caused our containers to arrive in a bulk manner that could not reasonably be picked up in a way that would maximize container flow, resulting in port backlogs and detention and demurrage charges. Our shipping plan, which would have enabled a smooth flow between the port and our drayage carriers and warehouses, could never be fully implemented. . . .

-While somewhat loosened this past December, the policy of our not being allowed to pick up a loaded container without returning and [sic] empty was a questionable practice that unquestionably forced demurrage charges on to BBB.

BBB has been a good and loyal customer of OOCL for many years, and we hope that our relationship with your company extends beyond this very challenging moment in time. . . . [W]e request that you (1) abate detention and demurrage fees going forward, (2) issue substantive credits for demurrage and detention billed from OOCL to present

APP 3307-08.

243. On February 16, 2022, Mr. Murdoch wrote in an internal OOCL email with subject line “BBB Claims:”

While we are awaiting a response and data that I requested from Trade yesterday, our attorney has drafted another letter to BBB. Although Trade has indicated no willingness to mitigate DD without supporting documentation from BBB, this remains a sensitive issue. We can remove the DD wording from the attached draft pending Trade’s further consideration; I didn’t get an answer from HKG yet. Besides, you had already covered the DD in the last letter you sent them.

The section of the attached draft pertaining to the MQC can be sent while we continue working through the data. Focus on this so we aren't repeating ourselves. . . . Reid requested to include him and Pat on any communications related to the capacity being provided against their MQC in 2021.

RX 848-49.

244. Later on February 16, Mr. Murdoch replied to the same internal OOCL email thread writing: "Trade must determine how they want to proceed. At the same time, no commercial consideration on the DD is quite a risk per our attorney." RX 847.

245. Mr. Young replied to Mr. Murdoch on February 16, 2022, writing:

Have we even evaluated the DD billed as correct ... They seem to imply-but have not provided evidence to qualify, that they were not responsible for delays in Pick up - or MT return to our facility ... If this is the case and can be validated - the DD should not be billed - per the FMC Final Rule ... I agree with the attorney - to simply dismiss out of hand without investigation would create potential risk that the situation may be presented to the FMC.

RX 847.

246. Also on February 16, 2022, Mr. Young replied to a follow-up email from Mr. Schmiemann, writing:

[M]y comment was more predicated as to whether we have reviewed the assessed charges, at least from an internal perspective to ensure we are correct - they raised the issue in October - and we cited that we are in compliance with the Final Rule, but did not explicitly review their specific issue on DD If there were issues to return empties or to pick up loads based on the prevailing situation at the time I just want to be sure we have validated our billing - or if there are circumstances that impacted operationally our billing on their cargo ... We know trades perspective -which is on a commercial consideration, but are we sure operationally we are 100% correct - so we talk from position of strength and compliance.

RX 846.

247. Mr. Schmiemann replied to Mr. Young on February 17, 2022, writing: "Prior to BBB submitting payment for Det their warehouse audits the invoices. Up to this point in time, they have only disputed a few invoices which the dispute team has reviewed. In these cases, we found no fault on our end." RX 845-46.
248. Mr. Young replied later on February 17, 2022, writing: "Ok, thanks Tom but in their initial letter and follow up they were looking for re-imbursement and the suspension of

future DD invoice due to congestion and ability to return. I had not seen anything to address those issues.” RX 845 (Mr. Schmiemann replied writing “neither have I, as it is our attorney who is guiding us on our response.”).

249. Later on February 17, 2022, Mr. Mitchell, replied noting he had received a call from BBY advising “that BBB will be paying a large amount of our current outstanding DET. BBB is processing invoices for payment that could come to \$600K. . . . BBB could be concerned with possible credit suspension for non-payment. It could also be that they have no documentation in hand to support a review of the invoices for possible mitigation.” RX 844.
250. On April 19, 2022, BBY’s Reid Klosowsky emailed Reade Kidd of EDRA, and its4logistics, and others at BBY writing:

Reade/Paul - Do you have a schedule of the Demurrage fees and their escalation rates by Terminal? This demurrage schedule from GCT in Bayonne below blew my “ever-loving” mind just now when Hayden shared their schedule.

Dejuan/Hayden - We need a game plan from you to get every container older than 9 days off port today. Now I understand why the demurrage is running \$2M a week. The scale from these terminals goes berserk after 10 days! God help us all!

RX 906.

251. While BBY did raise high level D&D issues with OOCL, and provided a small number of discrete examples, there is otherwise no evidence in the record of more granular information being provided regarding the D&D claims that it now disputes. APP 2351 (OOCL USA Director of Demurrage and Detention Team, Tracy Sha, describing two discrete claim disputes, which her team vetted and resolved); APP 2237; RX 846; *see also* RPFF ¶ 501.
252. BBY further acknowledges that “a concerted evaluation or dispute was not made for each and every container” for which BBY seeks demurrage and detention reparations. CRPFF ¶ 496; RPFF ¶ 496.

E. Retaliation and Refusal to Deal

1. Negotiations After BBY’s October 2021 Letter

253. The October 18, 2021, letter from BBY to OOCL, quoted in full above, noted frustrations concerning D&D billing and explicitly referred to the FMC, stating: “the charges in question [are] not in the spirit of the Federal Maritime Commission’s guidance as to what constitutes reasonable demurrage and detention practices.” APP 2936.

254. The February 9, 2022, letter from BBY to OOCL did not explicitly mention the FMC. APP 3307-08.
255. BBY sent both the October 18, 2021, letter and the February 9, 2022, letter during the time period of the 2021 service contract. APP 3274.
256. Mr. Hackett, BBY's Director of International Supply Chain, who signed and sent the October 2021 Letter, testified as follows regarding this letter:

Q. [Y]ou advised us that you really were not involved in the demurrage/detention dispute process. How did it come to be that your signature appears on this letter?

A. This letter was actually, if I recall, written by our attorneys, and I was directed by my management to sign it and I sent this exact letter out to every carrier that we were doing business with because we had similar issues with them that we had with OOCL. . . .

Q. The second paragraph says, we strongly believe that the actions of your company in assessing the charges in question is not in the spirit of the Federal Maritime Commission's guidance as to what constitutes reasonable demurrage and detention practices. . . . Was it your intention in sending this letter to make any type of threat to OOCL that Bed Bath intended to file a claim with the Federal Maritime Commission?

A. *It was not my intent.* I think that the reason for this letter, from my standpoint, was to, in a sense, almost appeal to all the carriers that we were doing business with, especially someone like an OOCL that we had done business with for a long, long time, to point out, listen, you know, we're not responsible. You know, we're unable to oftentimes be able to pick up a full container at a port because it was blocked or in an area that we couldn't even get to, nor were we able to return an empty container back because we couldn't get a chassis or we couldn't get, you know, an appointment to go back in. So I think it was really an appeal to all the carriers to say, listen, you know, you keep sending these bills. We're trying to work with you. You know, I know that just from anecdotally or hearing, you know, my counterparts that deal with the import DCs to, you know, try and address some of the challenges that they may have had to really just kind of, hey, just stop sending the bills. I mean, the dollars - you know, at the end - I don't know what was the total dollar amount owed, but I know it was in the millions of dollars. *But, for me, personally, no, it was never my intent to threaten anything to anybody. It was just calling out something that was of grave concern to us and, you know, a tough situation.*

APP 829 (emphasis added); *but see* CRPFF ¶ 670 (asserting that Mr. Hackett is not responsible for making litigation decisions).

257. OOCL, however, interpreted the October 2021 letter as a threatening letter. For example, Mr. Devine wrote in an October 21, 2021, internal OOCL email concerning Bed Bath and Beyond: “These are the same folks behind the threatening DD letter, dated 18 Oct.” APP 3251.

258. Mr. Devine testified as follows concerning his October 21, 2021, email:

Q. And you – when you said, “These are the same folks behind the threatening DD letter dated 18 October,” what letter were you referring to?

A. Obviously, I’m referring to a letter that came from Bed Bath & Beyond dated October 18th. We’d have to pull that from the records.

Q. What did you mean by “threatening”?

A. Apparently, the letter must have been threatening; threatening support, threatening complaint, threatening by some nature. Threatening nonpayment. Threatening . . .

Q. Why was that letter relevant to this discussion?

A. The letter – again, we don’t have the letter to refer to specifically. But from my general understanding here, the threatening tone of the letter, they might have been threatening support, they might have been threatening nonpayment, they might have been threatening some kind of complaint, they might have been threatening some type of legal action. And this is an e-mail from me, basically, warning our people to be very careful.

APP 481-82.

259. OOCL USA Vice President of Sales, Vincent DelPrete, testified that he interpreted the October 2021 letter as indicating BBY may file a lawsuit:

Q. Got it, thank you. If you could just scroll up briefly in this letter, I just wanted to note for Mr. DelPrete that you see the date here as October 18th, 2021, correct?

A. Right.

Q. Do you recall if at this time there was concern of litigation from Bed Bath & Beyond?

A. Yes, it seemed like a pretty, I don’t want to say threatening, but yeah, it had a lot of, you know, it seemed like a very legal type letter, yes.

Q. So would you characterize this as threatening or not?

A. No, just, well, threatening in terms of that they might try to create some legal case based on this, but I think more so that they were upset and they felt that they needed to have some modification of some of the bills.

APP 345.

260. Two days after the October 2021 Letter, on October 20, 2021, Mr. DelPrete emailed others inside OOCL, writing:

Typical retailer in denial. Act completely out of control in terms of planning and then bully your vendors to suck up the problem & all the costs!!

Then report you to the authorities when you don't bow down?!

To say the least, not a strategic OOCL partner for sure and despite the restructuring and new board, I still doubt their long term viability as an ongoing brand.

Simple solution is to *cut back their bookings* then we will have fewer problems with them.

With all the customers who want to expand with us, this one *jumped to head of the class for deselection*.

APP 3245 (emphasis added); APP 374-76 (Mr. DelPrete testified that when he wrote “the authorities” he was referring to FMC and that “Deselection means when it comes time to issue another contract, we don’t actively engage for renewal.”)

261. Later on October 20, 2021, Mr. Schmiemann, replied writing: “Vinny, don’t know it [sic] we want to jump to deselection yet. They do have some shortcomings which we can work thru. Overall, we have solid communication channels open both at origin and destination. They agreed to a PSS and have used the premium contract in the past. Let’s see how it plays out.” APP 3245; APP 377.
262. On February 3, 2022, OOCL sent an internal email sharing the round one offer it had sent to BBY for the 2022 service contract, noting among other bullets [REDACTED] APP 3198.
263. BBY sent its second letter to OOCL on February 9, 2022. APP 3307-08.
264. On February 17, 2022, Jim Mitchell/OOCL Inside Sales Analyst sent an internal OOCL email to the Trade Team noting “BBB has opened the RFQ bid platform for round two offerings. They also provided round one feedback, which is focused entirely on TPT EB for USA.” APP 3197-98.

265. OOCL Trans-Pacific Trade East Bound Commercial team lead, Rosie Venneman, emailed in response on February 18, 2022, writing “We would maintain our Rd 1 offer for the time being.” APP 3197; *see also* APP 2989. Mr. Mitchell acknowledged this email, writing later on February 18: “Yours noted and will hold tight with round one offering for the time being. Thank you!” APP 3197.
266. On February 22, 2022, OOCL Ltd. Commercial Director Transpacific Trade Eastbound, Mr. Chen, wrote:

For your heads up, considering the uncertainty of space supply in 2022, BBB’s inability to manage their supply chain efficiently and OOCL’s corporate direction of more IPI, *OOCL would like reduce our MQC space commitment significantly* if BBB would accept our rates and BP revision for renewal. We may further discuss.

APP 3197 (phrasing as in original; emphasis added); APP 1870-71; RRPFF ¶ 481.

267. Mr. Schmiemann replied to Mr. Chen later on February 22, 2022, writing:

We have already committed an MQC roll over and have reconfigured the ISC plan accordingly. WC will be [REDACTED] teu and EC [REDACTED] teu. I realize the corporate IPI direction. Maybe they should stop with the IPI restrictions. We are also reworking WSI for more IPI by taking away some of their TPA volumes. Same for many other customers in order to back into our reduced TPA MS allocation. Attached please [find] a preview of our efforts to move in this direction. We speak to this point every week and tweak TPA and IPI based on how negotiations are evolving. *Since we have the leverage*, we are driving the awards to match up with the ISC plan MS allocation. The process is quite fluid right now.

APP 2963 (emphases added); APP 1871.

268. Mr. Chen replied to Mr. Schmiemann on February 22, 2022, writing: “Did we officially commit to rolling over MQC to BBB in written? If not, we still have chance to reduce MQC before we renew.” APP 2962-63. Mr. Schmiemann replied: “I do not think in writing but we have verbally committed several times.” APP 2962.
269. Mr. Chen replied later on February 22, 2022, writing: “*Per HKG’s direction, we need to reduce our space commitment to BBB.* Since we have not yet concluded the renewal, please find a way to inform BBB our latest intent to reduce our commitment, based on reasons I have mentioned. Thanks.” APP 2962 (emphasis added).
270. Mr. Schmiemann responded to Mr. Chen on February 22, 2022 at 12:20 PM, writing:

My credibility is at stake here which I am not inclined to compromise. The topic of MQC has come up on a few occasions during Jim and my discussions with BBB and we agreed to maintain. I would also be concerned with the perception from a retaliatory standpoint. I will call

you shortly. Adding others to copy who are intimate with what is going on with BBB.

APP 2961-62.

271. Mr. Young replied to Mr. Schmiemann's February 22, 12:20 PM email on February 23, 2022, writing:

This issue below related to BBB (Bed Bath and Beyond), who recently wrote to OOCL in relation to DD charges and the fact that they, on a number of occasions, needed to go to the open market to ship their cargo as they could not get space – despite the Contract and MQC / CSAL status (see attached) is currently being reviewed to frame our response. We have been addressing this with our US attorney to ensure we respond effectively to the issues raised. While we have reviewed and agreed some mitigation (yet to be offered) for the BBB shipments – we have not addressed the issue related to the freight and shipment / MQC status, as we still need some direction from HK.

The issue of concern here is the notation from Trade that we must reduce the MQC commitment for BBB by 17%. [REDACTED] As we push to lower the MQC while the other issues are still under review, our worry is that BBB will perceive that we are retaliating against them due to the above issues and want to reduce our exposure – while increasing the rate. On the proposed rate offer – *we have submitted our second update without changing any rate offering as advised by trade, which is not the normal course.*

We have been trying to settle the Letter quietly with BBB to avoid any potential complaint to the FMC / DOJ – and will have discussions with Reid Klosowsky, The VP for Global Transportation, to try and address the issues on DD and MQC, but we believe that our offer and the push by trade in this case to reduce our commitment in light of the ongoing issues may create a situation that they could refer the case to the FMC. (BBB have since accepted the reduced MQC, but this is without Reids knowledge we know as he is travelling) and is actually at a RILA conference in which Commissioner Dye is presenting and will make a push for any grievances that companies may have to be raised with the FMC.

We believe the FMC is being more aggressive [REDACTED]

[REDACTED] Our other concern is with the issue on Premium contracts (PC) – that we raised in our review with Trade on MQC late 2021, and which, if raised with the FMC, may give raise to concerns on “gouging” or unfair practice as the PCs did not allow MQC consumption while charging a premium over the regular SC. At our presentation to Trade they decided there and then to terminate the Premium Contracts.

While we are trying to work with BBB, and we are sure there will be others . . . that will start to appear, the actions taken to reduce or deselect some customers (Trade provided a list of customers below 1000TEU commitment in 2021 for deselection) – may give rise to complaints to the FMC and push support for the OSRA 2021/2022 Bills to protect the US consumer and Shippers/Importers.

It really is important that trade is aware that some of the actions being taken may inadvertently push support of OSRA and to the detriment of the trade as a whole. We need to tread carefully and manage these situations positively to ensure that our customers know we are a trusted partner and comply with regulatory issues that some in HK may not be aware.

We continue to work on the BBB issue and others as they materialize – but we need to ensure that Trade recognizes the environment that we are currently operating to avoid potential regulatory complaints. Attached is the communicate to Trade from Gavin on the latest numbers we will provide to BBB, but we are still not clear on how to address the issue on market rates through nonsupport of their MQC. Also enclose the letter sent to you earlier on the FMC drive to get more complaints registered.

APP 3195 (emphasis added); APP 2795; APP 2886-88; RPFF ¶ 264; CRPFF ¶ 264.

272. Mr. Chen also replied to Mr. Schmiemann’s February 22, 12:20 PM email in a separate thread, writing: “I understand your concern. Per HKG’s rollout direction, we are required to reduce contract MQC at least 17% to every customers [sic], not to mention BBB who primarily supports coastal cargo. Surely we can talk.” APP 3078, APP 216.
273. Mr. Schmiemann replied later on February 22, 2022, writing: “The MQC discount of 17% off of the award (2021 MQC) has been explained and accepted by BBB. I will call you.” APP 2961; RRPFF ¶ 477. Mr. Chen replied writing: “Agree with you that reducing space commitment is so sensitive given the backdrop of BBB’s complaining letter, and it will generate a perception OOCL being retaliatory which is very eye-catching on FMC’s radar.” APP 2960; APP 708.
274. OOCL USA Regional Business Analyst, Ms. Forminio, also replied to Mr. Schmiemann’s February 23, 2022, email writing: “There was no instruction to reduce every account by 17% just our region total to be reduced. We have to be able to make

the choice of who to reduce and who to maintain as long as we reduce overall.” APP 3077; APP 2243; *see also* APP 708-09 (Ms. Forminio testified regarding this email: “my opinion was, okay, we’ve got to reduce the whole region by 17 percent. Let’s do that. But we should be able to increase somebody and take somebody else down maybe that doesn’t have much value.”)

275. Mr. Schmiemann replied to Ms. Forminio writing: [REDACTED]
[REDACTED] APP 3077.
276. Ms. Forminio replied to Mr. Schmiemann, later on February 23, 2022, writing: “Oh yes that’s true but I think his comment to reduce every customer volume by 17% was not right *he was just using it as justification to reduce BBB*. But I see you got through to him so that’s great.” APP 3077 (emphasis added); APP 709; CRPFF ¶ 686.
277. On March 1, 2022, OOCL Ltd. General Manager Trans-Pacific Trade, Ms. Lam, expressed in an internal OOCL email to Mr. Chen: “I will intend to offer BBB extreme amount of space in late March/April.” APP 207; APP 1381.
278. On March 16, 2022, Mr. Murdoch wrote in an internal OOCL email: “Just wanted to over [sic] the next steps with Tom and Jim. *We are offering extra space but it’s doubtful BBB will be able to use it*. Tom has invited BBB for a face-to-face meeting or dinner 1st week of April. We need to get a feel for their position.” APP 3317 (emphasis added); APP 1838.
279. On March 17, 2022, Mr. Young sent an internal OOCL email discussing the political environment for carriers and writing:
- We have been fortunate so far to stave off any perception of OOCL being party to any “gouging” opportunities, and know all carriers are pushing SC rates and to gain commitments for long term periods to lock in high prices. . . .
- As examples of the issues we are encountering... 1.BBB – *we offered rates for their 7000T contract offer around 1000-1500 above the rates quoted to other shippers with similar SC MQC*. When BBB requested some reduction compared to the rates being offered by other carriers, Trade declined and stuck to the initial offered rates – while appreciate we need to peg our rates based on our own commercial consideration and costs – *the fact that we have other contracts with other parties on similar MQC and shipping pattern* may potentially be construed that we are retaliating and holding our position to limit our carrying with BBB Trade refused to budge on the rates for BBB based on our initial offering.
- APP 4165-66 (emphases added); APP 456-60; APP 2733.
280. On March 19, 2022, Mr. Young sent an internal OOCL email expressing concerns regarding OOCL’s pricing policies, writing:

In the past we tried to pitch high – the customer pitched low and we negotiated to a middle ground. Under the current environment this isn't an effective strategy (if that's what we are still doing) and pitching high in most cases will result in customers walking away from OOCL, are signing in fear that if they do not commit - they will not secure space – so they accede in some cases just to ensure they can ship their commodity.

[REDACTED]

APP 4176 (emphasis added); APP 470; RRPFF ¶ 90.

281. A March 23, 2022 internal OOCL email summarized the following re the “BBB case:”

- Tom, Vinny, and Jim are having a dinner meeting with BBB, Reid Klosowsky, on April 5. Sales to hear from Reid whether the issues in their formal letter regarding MQC space allotment and premium rates that were applied are now considered resolved by Trade's recent offer on additional space under current contract, taking into account projections against MQC by end-April.
- Jim reported reaching out to BBB with Trade's extra space offerings of 1,100 TEUs on Tuesday, March 8th and 1,500 TEUs on Monday, March 14th. BBB conveyed the per vessel allocations and the vessel sailing details to Yusen on both offerings. Then provided an update to BBB on the bookings received against the 1,100 TEU allocation on Thursday, March 17th. Later, the IB Tracker was updated as per below chart provided by Glenn.
- Jim advised that *BBB is unlikely to avail themselves of all the extra space offered by Trade as BBB is “in between seasons”*.
- An extension of the current contract might still be required to help boost BBB's MQC.
- Andrew reported that BBB has about \$1.5 mill in unbilled DET, mostly in L.A. due to unreturned empties. We are to alert BBB to avoid surprises.
- Dan advised that BBB has about \$250k in credits that they can use to pay down their o/s.

APP 3318 (emphasis added). Action items included “follow up on BBB DET payment scheduled for 3/23 of about \$1.45 mill” and preparation of a “list of containers on the street incurring DET and to forward to BBB.” APP 3318.

282. On April 11, 2022, Mr. Mitchell sent an internal OOCL email, stating: “We are ready to send the final 2022-2023 contract draft to BBB for signing / filing. We have removed the below notation ‘P1’ and replaced with Clause #44, ‘Payment Terms’ as outlined below. Please urgently provide approval on credit so we may send the BP.” RX 1188-89.

283. Daniel Levine, Credit & Business Analyst for OOCL, replied later on April 11, 2022, expressing concerns about BBY's finances, writing:

FinCon does not recommend putting payment terms in the contract.

- Failure (bankruptcy) score and delinquency score are high risk (screenshots below)
- Bed Bath and Beyond is 1,846,582 past due with OOCL
- Lost 900 million over last 3 years
 - o 2021: loss 150,773,000
 - o 2020: loss 613,816,000
 - o 2019: loss 137,224,000

If trade approves payment terms in contract then the standard payment terms finance recommends are below.

Payments are due 30 days after the ETA/ETD date referenced on the invoice. Credit does not apply to detention or demurrage charges. At carrier's option, this provision can be revoked if and when shipper's account balance is overdue.

RX 1188.

284. The 2022 service contract (# MT226042) dated April 28, 2022, was ultimately agreed to by both parties, and the contract commenced on May 1, 2022. APP 5146; *see also* CPFF ¶ 31; RRPFF ¶ 31.
285. The evidence shows that OOCL reduced the MQC of the signed 2022 service contract by 17% due to retaliation. *See, e.g.*, APP 3077-78.

2. Negotiations After Formation of the 2022 Service Contract

286. On July 22, August 5, and August 12, 2022, Mr. Mitchell reported in internal OOCL emails that BBY "would like us to make downward rate adjustments due to differentials between our contracted pricing and spot rates." APP 4332; APP 4334; APP 4336.
287. On August 11, 2022, BBY emailed OOCL, writing:

[P]er our recent conversations and email exchanges we are seeing rates across the board dropping. By far OOCL is our highest rated carrier.

We now have direct contract rates into the USWC in the \$ [REDACTED] range and \$ [REDACTED]'s into the USEC. We are being approached by an NVO closely related to OOCL with more favorable rates at this time along with other NVO's quoting in the mid \$ [REDACTED]'s to the USWC and mid \$ [REDACTED]'s into the USEC.

We ask OOCL to review and advise back asap what direction OOCL will be taking as your current rates are not in line with the market as demand has slowed down and capacity is at its highest.

APP 4109.

288. In response, on August 23, 2022, OOCL emailed BBY writing: “Please see our offer for rate adjustments, effective now thru Oct 31, 2022.” APP 4108.

289. In response, BBY asked that OOCL take another look for possible further downward price adjustments, but OOCL replied on September 1, 2022 writing:

We were advised that we cannot go any lower than what we have proposed. The adjustments offered provide reductions of close to \$ [REDACTED] per 40’ GP and 40’ HQ ex CBPs to both the West and East Coasts. We will have to hold firm on our current offering. Please advise if we should move forward with amending the contract.

APP 4108.

290. BBY continued to advise OOCL that the rates it was offering to BBY were above market, and even above NVO pricing. *See, e.g.,* APP 4107 (“I received below quote from an NVO on 9/2, as you can see these rates are well below what OOCL is offering BBB and this is not just one carrier offering these rates we are seeing it daily in rates falling.”); APP 4106 (“additional rates that came in today from another NVO . . . OOCL is not just a few hundred above the market but thousands.”).

291. OOCL was aware that the ‘reduced’ rates it was offering to BBY still were not likely to be used by BBY. As Mr. Chen noted an internal OOCL email on October 26, 2022:

We had previously reduced BBB’s rates to bring them more in line with the current market. The expiration date on these adjusted rates is October 31st. We ask if Trade will agree to extend the rates through November 30th, 2022. *BBB has not utilized them as there are more competitive rates in the market, but we should look to keep them close.*

APP 2985; *see also* RPPFF ¶ 493.

292. On September 6, 2022, Mr. Murdoch sent an internal OOCL email, including notes from an August 30, 2022 meeting. Those meeting notes included the following information concerning BBY:

- BBB - Sales provided weekly BBB update on 8/30:

1) Performance vs CSAL and Future Bookings: BBB’s weekly allocation for TPT EB is 144 TEUs. They are within their CSAL through September.

2) Outstanding Ocean Freight: As of the Aug 30th SOA, we now have \$134,150.00 in past due invoices for combined Ocean Freight, (\$785), and DET. Last week's over 30 day outstanding was \$337,392.50. We received notification from BBB on Friday, 8/26, that they were remitting \$297,165.00 via ACH These funds will be received on Tuesday, 8/30. . . . None of this payment from 8/26 appears to address the over 30 day balance owed. It appears to only covers negative aging ocean freight.

3) Long dwelling containers on the street and at the terminals.

On dock: This week BBB had a total of 3 containers accruing DEM. Of these 3 containers, 2 are at the Indianapolis, IN rail ramp waiting to be delivered. SLCDISPATCH team advised that both containers are scheduled for delivery. Meantime, BBB advised on 8/30 that the 1 remaining container at SAV03 was returned empty on 8/26.

Off dock: There are currently 56 containers, which have accrued an estimated \$155,805.00 in DET charges, up from \$103,895.00 in estimated DET charges in WK # 34. Of these 56 containers, there are 17 containers that have been on the street for between 13-118 days, 7 of these were discharged in NYC and 10 in LALB. There are also 12 containers that have been on the street for between 6 -11 days. BBB advised on 8/23 that one of these containers is missing, OOLU4417540, under B/L # 2132776980. BBB's trucker will be filing a Police report for the missing container and we notified the LGBEQP team accordingly.

On 8/30, we received an e-mail from BBB's OPS team asking if there is any room for DET waiver. We advised BBB that if they have any documentation showing that they tried to return empties, but could not, to forward the documents for our review for potential mitigation. If no support, then it comes down to commercial consideration. Based on this inquiry, can expect that they will request commercial consideration for accruing DET.

BBB's financial status remains a concern. Dan participated in a conference call with BBB and provided below recommendations:

FINCON's recommendation:

- a. Do not suspend credit immediately,
- b. Push for payment on all past due balances,
- c. **Do not decrease rates and let BBB "deselect" OOCL due to higher rates**
 - i. As BBB mentioned, OOCL rates are too high.
 - ii. As BBB mentioned, they will most likely reduce the number of carriers they use. Currently they have contracts with 9.
 - iii. This will allow OOCL to continue to collect funds without aggravating BBB through the credit suspension process.

- d. If OOCL does reduce the rates, all future shipments must be done on cash on documents - no credit. *BBB's most likely reaction will be to book with other carriers.*
- e. *Based on my opinion, it's only a matter of time before they declare bankruptcy or get bought out.* With \$1.4b of debt and \$1.9b of lease obligations, BBB will most likely need bankruptcy assistance to reduce these obligations. I would also assume that the banks have a security interest in any unencumbered property and the inventory. Thus, the likelihood of collecting the full outstanding balance is very slim if they declare bankruptcy. It is better to prepare now as once bankruptcy is filed, we will have to fight to retain the cash already received due to the "90 day claw-back" period.

Sales advised BBB has requested to adjust their rate further and we will decline. BBB volumes versus their original forecast is down considerably. Their future forecast is also on the decline. We will continue to push for payments and provide transparency through our weekly reporting channel.

APP 3322-23 (bold in original; italics added).

- 293. On October 31, 2022, an internal OOCL email directed the sales team to "cross reference the attached with customers who have renegotiated rates to ensure CSAL utilization" noting "we are looking at a CSAL utilization gap of [REDACTED] TEU." APP 3036.
- 294. Mr. Mitchell replied on November 1, 2022, adding "Meanwhile, no need to reach out to Bed Bath & Beyond as *our rates are purposely higher than what they will ship against.*" APP 3036 (emphasis added); APP 1755.
- 295. The record does not demonstrate that BBY accepted the reduced rates that OOCL offered in the latter part of 2022. APP 2983; APP 2989 (amendment pending as of Jan. 13, 2023).
- 296. Between October and December, OOCL continued to internally discuss re-offering to BBY the rate adjustment contained in their proposed amendment 7, which BBY had declined in August 2022. APP 4108.
- 297. On December 1, 2022, Mr. Mitchell sent an internal OOCL email, writing:

We had a conversation with the folks from BBB with regards to the pended AM # 7. They cannot go forward with signing the amendment as the rates just are too high above the current market. They have about 150 Feus of MQC to be used between now and the end of the contract, April 30th, 2023. They would like to support us, but cannot do so at above market levels.

APP 2980.

298. On December 14, 2022, Ms. Venneman replied writing: “After review, we will hold firm on our last adjusted rate offer and extend thru Jan 31, 2023. From a commercial perspective, the decision is based on their overall financial health, A/R balance, and history of commercial waivers.” APP 2979; APP 1756.

299. On December 20, 2022, Mr. Mitchell replied, writing:

Last week we met with the folks from BBB to discuss the current market and the 2023 outlook. They understand that we are hesitant to do business with them due to their financial situation, but they remain resolute in wanting to continue the relationship.

In terms of finances, they “will be deliberate about who and when they pay”, but any ocean freight or valid DET invoices “will be paid”, both now and in the future. Case in point, on Friday, 12/16, BBB remitted \$10,080.00 in outstanding DET. Once we post payment, which should be today, BBB will effectively have under \$35K on their SOA, almost all is DET and virtually no ocean freight.

Unpaid DET, will be USD \$31,005.00. Unpaid aging ocean freight is \$1,402.50, (Supplemental charges which are being processed for payment). There is no negative aging ocean freight.

In terms of MQC fulfillment, we were told that “if the rates are competitive”, they have enough volume to meet the remaining MQC on the contract. This is roughly 202 FEUs of cargo. . . .

If we cannot move forward with adjusting their rates to current market levels, then we need to issue an amendment to reduce the MQC to what has shipped YTD and close out this contract. Please bear in mind that if we go this route, *we could be open to FMC scrutiny for retaliatory pricing.*

Please further review and advise Trade’s position on adjusting the BBB contract rates through January 31st, 2023.

APP 2979 (emphasis added); APP 1756; APP 216.

300. Mr. Chen replied later on December 20, 2022, writing: “Pricing is a commercial issue, Carriers have the right to decide whether to engage a client commercially. [REDACTED]

[REDACTED] This is the first time I hear ‘retaliatory pricing’. Can you please elaborate about this?” APP 2978; APP 216.

301. Mr. Young replied on December 20, 2022, writing: “I agree - reducing their MQC does not constitute retaliatory action.... If we say we are not going to consider business with BBB then there must be sound commercial reason and not related to any issues with DD or any complaints in the past on charges or ‘other’ business issues.” APP 2978.

302. Mr. Schmiemann replied on December 21, 2022, writing: “When reading this string the word ‘Discriminatory’ entered my mind. I know it is not the same as retaliatory but could indirectly fall into that category.” APP 2977-78; APP 217.
303. Mr. Young replied on December 21, 2022: [REDACTED]
[REDACTED] Remember there is also pending legislation on ‘refusal to negotiate’ that has NPRM already in place and could be a rule after early 2023, depending on how the FMC tracks the responses and creates a formal reply prior to issuing intent to create rule.” APP 2991.
304. Mr. Chen responded later on December 21, 2022, writing:
- We certainly will quote for ISE service. Common carriers cannot decline to quote according to the Shipping Act, but a common carrier does not have a duty to grant a contract/deal to every potential party.
- Regarding the NPRM Mike referred to, it is about ‘Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier.’ Although we are still awaiting the final rules, in the NPRM, FMC did recognize common carriers’ commercial reasonableness as following:
- An ocean common carrier may be viewed as having acted reasonably in exercising its business discretion to proceed with a certain arrangement over another by taking into account such factors as profitability and compatibility with its business development strategy.
- APP 2991. The FMC rule name is not entitled to confidential treatment.
305. On December 22, 2022, Mr. Schmiemann replied:
- My concern is that we are openly out in the mkt offering both NVO’s and BCO’s rate that are thousands of dollars below BBB rates. The FMC may view OOCL as discriminating against BBB if a complaint was filed. BBB has asked us to treat them as we are treating other similarly situated shippers. BBB has outwardly declared to us their desire to fulfill their contract MQC. They are struggled due to our competitors having rates that are more in line with the mkt.*
- APP 2990 (emphasis added); APP 2245.
306. Mr. Chen responded on December 22, 2022, writing: “As Rosie mentioned before in the email string, we have strong concerns about their financial situation. The details I quoted from the NPRM have reconfirmed we are compliant.” APP 2990; APP 219.
307. Mr. Schmiemann replied later on December 22, 2022, writing: “If we are so concerned over their financial position *why are we charging them exorbitant rates compared to the*

mkt levels. I would think we would work toward getting the contract fulfilled minimizing our cost exposure assessing mkt level rates.” APP 2989-90 (emphasis added); APP 219; APP 2247.

308. On January 13, 2023, Mr. Mitchell sent an internal OOCL email, writing:

[REDACTED]

[REDACTED] . . .

According to the attached lift report, as of December 5th, they have shipped a total volume of 1,636 TEUs or 818 FEUs.

We suggest reducing the contract MQC and Sub-MQCs to the below numbers:

1. Total MQC is currently 1,020 FEUs. Suggest to reduce to 706 FEUs.
- 2) Sub-MQC for TPT EB is 1,000 FEUs. Suggest to reduce to 700 FEUs.
- 3) Sub-MQC for TAN WB is 20 FEUs. Suggest to reduce to 6 FEUs.

If Lead Trade agrees, we ask that pended AM # 7 be revised to remove both the Rates and FCR currently listed and list only the updated MQCs.

APP 2989 (emphasis added).

309. BBY filed for bankruptcy in April 2023. RX 671.

F. Reparations

1. Foundational Damages Data

310. There are three key BBY exhibits containing the data that forms the basis of BBY’s damages calculations: P-0000810432, P-0000353819, and BBY Ex. 330. All three of these exhibits were introduced by BBY into the record for this proceeding with a handful of other Excel files on December 13, 2024, along with BBY’s initial submission of its opening brief.⁹ When BBY issued its amended brief on January 17, 2025, and its revised confidentiality materials on April 29, 2025, it did not resubmit these or other Excel files.

⁹ BBY Ex. 330 was marked by BBY as confidential and will remain confidential, however, confidential treatment is not granted to the total damages calculated for service contract years. P/432 and P/819 were submitted with BBY’s Excel files marked as public.

311. P-0000353819 (also referred to as P/819, BBY Ex. 329, APP 3358, and APP 4414),¹⁰ was produced to OOCL and is “a spreadsheet that was sent as an attachment to an email” from “Paul Pastor to Ian Pinchuk on May 17, 2023. The subject line of the email was ‘Berman file v3[.]’” Hill Declaration filed March 20, 2025 (“Hill Decl.”) at 2; *see also* Reply at 59-60. “P-0000353819 contains information data from BBY’s third-party payment processing service, Berman Blake.” Hill. Decl. at 3. As explained by Mr. Pinchuk, BBY’s Senior Director of Global Logistics, various vendors would send invoices “to Berman, and Berman would then facilitate invoices or notifications to our Payables Group as to who would get paid and when, and then the payments would be dispersed.” APP 2076.
312. P-0000810432 (also referred to as P/432, BBY Ex. 328, APP-3357, and APP 4419)¹¹ was produced to OOCL and is a spreadsheet “containing container information selected by former logistics employees of BBY from BBY data sources.” Hill Decl. at 2; *see also* Reply at 59. Specifically, it was created by Mr. Cuniff, BBY’s Senior Director of Financial Analysis, around the summer of 2023. APP 277. Mr. Cuniff noted the containers were selected based on a “date-range criteria.” APP 278. He also explained that P/432 (marked in his deposition as Cuniff Ex. 407) “was a document that supplements the Berman records because [BBY] did not previously use Berman to house all of our import container information; so, therefore, Logistics was able to provide a supplemental report – I think it’s the previous one – that contained records that were not loaded in or not part of Berman once we fully had imports in the Berman database.” APP 296-97.
313. In summary then, P/819 and P/432 include the universe of container-level invoice data for BBY shipments, including OOCL and all other carriers, over the relevant timeframe. *See* Hill Decl. at 3 (“As indicated in BBY’s Answer and Supplemental Answer to Interrogatory No. 1, P-0000353819 and P-0000810432 together comprise the data showing the ‘information concerning the containers of Complainant’s cargo that form the basis of Complainant’s claims for reparations, such as cargo carried by other carriers at higher rates.’”).

¹⁰ There is no substantive content at either APP 3358 or APP 4414. Both simply indicate “Document Produced in Native Format.” P-0000353819 is the bates number used by BBY, when this file was produced to OOCL in discovery. Both Excel files P-0000353819 and BBY Ex. 329 were introduced into evidence in this proceeding by BBY on December 13, 2024, they contain the same number of rows (through row 135160) and columns of data (through column BV) and appear identical. BBY refers to them synonymously. Reply at 59-60.

¹¹ APP-3357 and APP 4419 both only state “Document Produced in Native Format.” P-0000810432 is the bates number used by BBY, when this Excel file was produced to OOCL in discovery. Both Excel files P-0000810432 and BBY Ex. 328 were filed by BBY on December 13, 2024, and they contain the same number of rows (through row 7469) and columns of data (through column Q), and they appear identical. BBY refers to them synonymously. Reply at 59-60.

314. P/819 and P/432 also constitute the sources of data for Appendices A-1 through A-4 and B-1 through B-4 of the McCown report, which show BBY's requested shortfall reparations. APP 3929 (listing both P-0000353819 and P-0000810432 among "Sources Considered" in the McCown report); APP 1467; APP 1469; APP 1506; Hill Decl. at 2-3; *see also* Opposition to Motion to Exclude at 6; Opposition at 60.
315. BBY Ex. 330 (also referred to as APP 3359),¹² produced to OOCL as Attachment A to Complainant's Supplemental Interrogatory Responses, "merges container-level data from P-0000353819 and P-0000810432 and compares the cost of containers shipped with OOCL on relevant lanes during each shipping year with the costs for such containers pursuant to the respective Service Contracts to calculate the amounts charged by OOCL to BBY in excess of what those containers should have cost had OOCL honored its service commitments." Hill Decl. at 4-5; *see also* Reply at 60.
316. OOCL does not present its own calculation of damages for any of the alleged violations, other than to assert that none are due. *See, e.g.,* Opposition at 60-70. OOCL does, however, have access to and references its own container-level data concerning BBY shipments. For example, Mr. Jensen refers to a "full set of data in excel format [that] has been provided by Mr. Glenn Metzger relating to the bookings made by BBY during the contractual period." APP 4016; *see also* APP 2596. Mr. Jensen noted these were "submitted along with my report named as follows: 'BBB Booking Data May 2020 to April 2021.xls,' 'BBB Booking vs CSAL May 2021 to Sep 2021.xls,' [and] 'BBB Booking vs CSAL Oct 2021 to May 2022.xls.'" APP 4016.

2. Shortfall Reparations

a. Transported Containers and Shortfall Volumes

317. BBY proposes that the container volume transported under the 2020 service contract is 1,475.85 FEU, and that the volume transported under the 2021 service contract is 2,432.74 FEU. CPFF ¶¶ 95, 104. Then subtracting the MQCs initially established by both contracts (2,100 FEU and 3,796 FEU respectively), BBY asserts that the shortfall for the 2020 service contract would be 624.15 FEU and the shortfall for the 2021 service contract would be 1,363.26 FEU. CPFF ¶¶ 95, 104. Mr. McCown's shortfall reparations analysis assumes these shortfall numbers. APP 3794 (utilizing a shortfall of 624.20 FEU for the 2020 service contract, which appears to be a rounding difference); APP 3810; *see also* APP 3809; APP 3844.
318. OOCL points to slides prepared by Karen Lam and other OOCL employees in June 2024 ("Lam slides"), more than a year after the commencement of this proceeding. APP 3039-40; APP 1386; *see also* Opposition at 21-26. The Lam slide assessing 2020 service contract fulfillment states as follows:

¹² APP 3359 only states "Document Produced in Native Format."

PE203297 (2020-2021 regular contract) Summary for TPTEB

*Excluded commodity Group A for extra loaders

- OOCL space protection
 - CSAL provided (excluded blank sailings 55 TEU) = 2544 TEU
 - Over CSAL accommodation = 1275.25 TEU or 458 cases
 - CSAL + Over accommodation = 3819.25 TEU
 - Rejected TEU below CSAL = 191.75 TEU or 69 cases
 - Total space provided by OOCL = 3627.5 TEU
 - Original MQC = 4200 TEU
 - Pro-rata MQC (PE203297v0: 52 weeks, PE203297v17: 43 weeks)
= $4200/52 \times 43 = 3473$ TEU
 - Total space provided under regular services by OOCL vs pro-rata MQC = 104.4%
- BBY fulfilment
 - Total confirmed bookings = 2586.25 TEU
 - Cancelled, terminated, no show bookings = 552.75 TEU
 - Loaded bookings = 2033.50 TEU
 - Unfulfilled TEU = 1041.25 TEU (Total space provided by OOCL of 3627.5 TEU - Total confirmed bookings of 2586.25 TEU)
 - Pro-rata MQC = 3473 TEU
 - Total confirmed bookings vs pro-rata MQC = 74.5%
 - Loaded bookings vs pro-rata MQC = 58.5%

*All calculations based on MQC TEU, i.e. the MQC calculation logic as per the terms and conditions set forth in customer's contract

APP 3039.

319. The Lam slide assessing 2021 service contract fulfillment states as follows:

PE213179 (2021-2022 regular contract) Summary for TPTEB

- OOCL space protection
 - CSAL provided (exclude blank sailings 1258 TEU) = 5095 TEU
 - Over CSAL accommodation = 1658 TEU or 427 cases
 - CSAL + Over accommodation = 6753 TEU
 - Rejected TEU below CSAL = 104 TEU or 22 cases
 - Total space provided by OOCL = 6649 TEU
 - TPTEB Sub-MQC = 7072 TEU
 - Total space provided under regular services by OOCL vs MQC = 94%
- BBY fulfilment
 - Total confirmed bookings = 5556 TEU
 - Cancelled, terminated, no show bookings = 1308 TEU
 - Loaded bookings = 4248 TEU
 - Unfulfilled TEU = 1093 TEU (Total space provided by OOCL of 6649 TEU - Total confirmed bookings of 5556 TEU)
 - TPTEB Sub-MQC = 7072 TEU

- Total confirmed bookings vs MQC = 78.6%
- Loaded bookings vs MQC = 60%

*All calculations based on MQC TEU, i.e. the MQC calculation logic as per the terms and conditions set forth in customer's contract

APP 3040.

320. The Lam slides were generated by pulling data from OOCL's CSAL database and IRIS-4 system. RPFF ¶¶ 581-83, 594; *see also* Opposition at 22. The team responsible for the Lam slides developed Spotfire graphs as an intermediary step, which purport to show the CSAL for BBY, week by week, and other data summarized on the Lam slides, including space "provided" to BBY. RPFF ¶¶ 586-87, 591; Opposition at 22-24.
321. There are a number of different approaches used in the Lam slides to count the number of shipments. APP 3039-40; APP 1386. The methodology of preparing these slides, despite being discussed in briefing, declarations, and in deposition (*see, e.g.*, Opposition 21-22; APP 1344-46; APP 1385-87; APP 1392-97; RX 637-60), is not adequately explained, for example, in terms of clarifying how cancelled, terminated, and no show data was determined by OOCL systems; and to the extent that the slide preparation has been explained, the logic is faulty due to reliance upon the CSAL and other internal OOCL data systems shown to have been unreliable with respect to capturing customer inputs. Consequently, these slides are found not to be credible.
322. Mr. Metzger, OOCL Director of Marketing and Sales, also opined on MQC fulfillment, concluding in deposition testimony that OOCL "met and exceeded its commitments, or its allocation." APP 1627. While Mr. Metzger differentiated his approach from Ms. Lam's, Mr. Metzger nevertheless relied upon "confirmed" OOCL bookings, which in turn depended upon the accuracy of OOCL's internal systems, to reach his conclusions. *See, e.g.*, APP 1627-29. Further, contrary to his more recent conclusion that OOCL "met and exceeded its commitments," Mr. Metzger's contemporaneous communications reflected concerns with OOCL's performance in terms of MQC fulfillment. *See, e.g.*, APP 2952-59 (September 2021 presentation slide deck drafted by Mr. Young with Mr. Metzger); APP 1628 (Mr. Metzger described preparing portions of the slides, explaining "I had performance concerns. Since I'm tasked with following up on performance issues and reviewing performance for the Sales organization, I found that there was a concern in terms of MQC performance, as well as other areas that I believed needed fine-tuning."). While OOCL did also reference more than 100% MQC fulfillment in at least one contemporaneous communication, which was not drafted by Mr. Metzger, such references are similarly found to be inaccurate and unreliable because of their reliance on the CSAL and other unreliable OOCL systems data. *See, e.g.*, APP 4102.
323. Additionally, OOCL proposes that bookings "confirmed" by OOCL and cancelled by BBY, or for which BBY was a no-show, ought to be counted towards fulfillment of its MQC. But the cancellation and no-show numbers tabulated in the Lam slides, and separately tabulated by Mr. Jensen, are similarly found to be unreliable. In addition to the underlying "provided" or "confirmed" booking counts having been found to be unreliable, OOCL systems have been shown to be unreliable in tracking information,

including attempted bookings and other customer inputs. *See, e.g.*, APP 2941; APP 3184.

324. Further, lack of timely notice to BBY that a shipment had been confirmed – particularly in the 2021 service contract year, where OOCL opened up a huge volume to BBY with very short notice – may be counted by OOCL as cancelations or no-shows, even though the confirmations were not provided with reasonable time to act, or in good faith. APP 207; APP 3317-18.
325. As well, it is documented that OOCL would accept more bookings than the total space allocation available, OOCL’s rationale being that customers did not deliver 100% of the containers they booked “[s]o the regions, the loading regions will have to make some buffer.” APP 2717; *see also* CPFF ¶ 219; RPPFF ¶ 219; CPFF ¶ 219.1; RPPFF ¶ 219.1. OOCL’s practice of overbooking thus is a further reason that OOCL’s alternate proposed volume counts cannot be trusted, since even a booking “confirmed” by OOCL did not necessarily indicate that there was truly space available on the vessel.
326. Illustrating Mr. Jensen’s reliance upon the accuracy of OOCL’s internal data systems to judge whether OOCL had met its MQC commitments, Mr. Jensen testified as follows:

Q You state that BBY canceled 487 TEU.

A Yes.

Q What is your source for that information?

A That is also the Excel data that came from Mr. Glenn Metzger.

Q You didn’t look at any actual cancelation communications or documents generated by Bed Bath, did you?

A No. Because my understanding is the dataset provided here captures all of that information. The dataset captures if a booking is made, whether that booking is then confirmed, whether a confirmed booking is then shipped, whether a confirmed booking is then canceled, or whether a confirmed booking is then a no-show. . . .

Q And on what do you base your conclusion that Bed Bath chose not to utilize that space?

A Because Bed Bath had made a booking. That booking was confirmed by OOCL. And Bed Bath -- and then the booking was subsequently canceled by Bed Bath, which, to me, indicates it has been a choice on the part of Bed Bath.

Q And, again, this conclusion is based solely on the summary data provided to you by OOCL, correct?

A That is based on the raw booking data in OOCL. I don’t see there’s any other database to obtain this information.

APP 1019-20.

327. Given these many issues, the quantity of containers actually shipped, i.e. transported, is found to be the most appropriate and reliable measure of fulfilment against the MQC.
328. OOCL does also offer a proposed count of volume actually shipped under the 2020 and 2021 service contracts. In its proposed findings of fact, OOCL asserts that it loaded 1,016.75 FEU pursuant to the 2020 service contract, and that it loaded 2,124 FEU pursuant to the 2021 service contract. RPFF ¶ 602. OOCL relies upon the Lam slides for these numbers. RPFF ¶ 602; APP 3039-40.
329. However, OOCL's expert, Mr. Jensen, provides a differing count of the volume actually shipped under the two service contracts, tabulating that 1,046 FEU were shipped pursuant to the 2020 service contract, and that 1,968.5 FEU were shipped pursuant to the 2021 service contract. APP 4017; APP 4019. Rather than rely upon the Lam slides for these numbers, he explains that he utilized three Excel files:

A full set of data in excel format has been provided by Mr. Glenn Metzger relating to the bookings made by BBY during the contractual period. This is provided in the form of 3 excel files which are submitted along with my report named as follows:

“BBB Booking Data May 2020 to April 2021.xls”

“BBB Booking vs CSAL May 2021 to Sep 2021.xls”

“BBB Booking vs CSAL Oct 2021 to May 2022.xls”

APP 4016; *see also* APP 4017-19.

330. Out of OOCL's proposed counts of containers transported by OOCL, Mr. Jensen's “shipped” figures are the most concretely and credibly explained, and are found to be more reliable than the Lam slide tabulation of “loaded bookings.” *Compare* APP 4016-19 *with* RX 637-60 (declarations from OOCL members involved with the Lam slide analysis) and Karen Lam deposition excerpts (APP 1344-46; 1385; 1392; 1396; 1399).
331. Indeed, after carefully considering the evidence, it appears that Mr. Jensen and BBY essentially concur on the calculation of the total FEU transported by OOCL for BBY, although Mr. Jensen *excludes* extra loaders, while BBY *includes* extra loaders.
332. Looking at the 2021 service contract year,¹³ the difference between BBY and Mr. Jensen's shipped counts is likely explained by whether or not extra loader volumes are included. Specifically, during the 2021 service contract, BBY counted 2,432.74 FEU as shipped, while Mr. Jensen counted 1,968.5 FEU as shipped, which is a difference of 464.24 FEU. Mr. Jensen also separately concluded that, under the Second Premium Service Contract (PE212612), OOCL shipped 465 FEUs. APP 4018; *see also* RPFF ¶ 447 (similarly concluding that OOCL carried 465 FEU under the Second Premium

¹³ The Second Premium Service Contract was effective inside of the dates contained by the 2021 service contract, which ran from May 21, 2021, through April 30, 2022. CPFF ¶ 30; RRPFF ¶ 30; CPFF ¶ 290.2; RRPFF ¶ 290.2.

Service Contract). This means that BBBY and Mr. Jensen's shipped counts for 2021, excluding extra loaders, match each other within 1 FEU.¹⁴

333. Extra loader volumes likely also explain the difference between BBBY and Mr. Jensen's proposed shipped volumes for the 2020 service contract year.¹⁵ For the 2020 service contract, BBBY counted 1,475.85 FEU as shipped, while Mr. Jensen counted 1,046 FEU as shipped, which is a difference of 429.85 FEU. CPFF ¶ 95; APP 4017. Mr. Jensen also separately concluded that, under the First Premium Contract (PE212602), OOCL shipped 196.5 FEU. APP 4017. Based on this, a gap of at least 233 FEU would continue to exist, which likely represents extra loaders shipped as amendments to the 2020 service contract (vs. extra loaders shipped under the First Premium Contract).¹⁶
334. Thus, Mr. Jensen's shipped volumes likely do not include extra loaders. *See also* Opposition at 21 (OOCL's statement in briefing that "the volume shipped under these Secondary Contracts (sometimes called 'premium contracts') was not included in OOCL's analysis of space afforded under the Service Contracts.").
335. BBBY does not explicitly state in briefing whether or not it included extra loaders in its count of FEU shipped, although its phrasing implies that it did. *See, e.g.*, CPFF ¶ 95 (stating that "[d]uring the term of the 2020 Service Contract, OOCL's misconduct caused OOCL to carry only 1,475.85 FEU of the 2,100 contracted FEUs" (emphasis added)); *see also* CPFF ¶¶ 101, 104; Brief at 14-16, 53.
336. Therefore, the extra loaders shipped by OOCL for BBBY during the 2020 service contract period, including those shipped under the First Premium Contract and extra

¹⁴ BBBY's precise count of FEU shipped under the Second Premium Service Contract is not clear from briefing, but BBBY also does not contradict Mr. Jensen's count of extra loaders shipped under the Second Premium Service. For example, BBBY references a subset of extra loader volumes during the 2021 service contract is referenced in a February 9, 2022, letter from Mr. Hackett to OOCL. APP 3307-08. Based on this letter, which seemingly expresses volume in terms of TEU, BBBY counts at least 173.5 FEU shipped under contract number PE212612 between May and November 2021. APP 3308.

¹⁵ The First Premium Service Contract was initially operative between January 14, 2021, and April 30, 2021, but later amended to extend through May 31, 2021; while the 2020 service contract initially ran from July 1, 2020, through June 30, 2021, but ultimately shortened to end on April 30, 2021. CPFF ¶ 290.1.1; RRPFF ¶ 291.1.1; CPFF ¶ 29.1; RRPFF ¶ 29.1.

¹⁶ Mr. Jensen tabulated those extra loaders that shipped pursuant to the First Premium Contract, for contract number PE212602. APP 4017. But those are not all of the extra loaders that OOCL shipped for BBBY during the time period of the 2020 service contract. There were also extra loaders shipped prior to the First Premium Contract, and Mr. Jensen does not separately tabulate those, neither does he appear to have included those in his 2020 shipped count. While the record does not clearly distinguish the count of these additional extra loaders, there are nevertheless a myriad of references to extra loader shipments carried by OOCL prior to the First Premium Contract. *See, e.g.*, RPPF ¶ 354. Also in evidence are a myriad of requests from BBBY for extra loader space prior to the First Premium Contract. *See, e.g.*, RPPF ¶ 367.

loaders shipped as otherwise memorialized, is found to be 429.85 FEU, based on subtracting BBY's tabulated shipped volume in 2020 from Mr. Jensen's tabulated shipped volume in 2020.

337. The full count of extra loaders during the 2021-22 service contract, meanwhile, is found to be 464.24 FEU, as there are no indications that extra loaders were shipped by OOCL other than via the Second Premium Contract. APP 4018.
338. Thus, not including extra loaders, 1,046 FEU is found to be the quantity transported under the 2020 service contract, and 1,968.5 FEU is found to be the quantity transported under the 2021 service contract.
339. As demonstrated in the MQC shortfall chart below, if BBY's shipped count is adjusted (to exclude extra loaders), and if Mr. Jensen's shipped numbers are utilized (vs. his other counts provided) they produce the same shortfall totals for the 2020 and 2021 service contracts: of 690.5 FEU for the 2020 service contract using the prorated original MQC; and 1827.5 FEU for the 2021 service contract using the original MQC. For comparison, the charts below also show the resulting shortfalls if the Lam calculations of "loaded" bookings, or if the drawdown numbers, were instead used as the number of shipments.

2020 Shortfall, using either 2,100 or 1,736.5 FEUs as MQC (CPFF ¶ 29.2; RRPFF ¶ 29.2)

Source	No. of shipments (FEU)	Resulting Shortfall in FEU, i.e., MQC - No. of shpmts		Cites
		MQC=2,100	MQC=1,736.5	
BBBY	1,475.85 carried during "term of the 2020 Service Contract"	624.15	260.65	CPFF ¶¶ 95, 101, 317.2
	[1,475.85 minus total extra loader count of 429.85 = 1,046]	1,054	690.50	
Jensen report	1,046 FEU "shipped"	1,054	690.50	APP 4017
Lam/OOCL	1,016.75 FEU "loaded bookings"	1,083.25	719.75	APP 3039; RPFF ¶ 602
Drawdown	1,085.5 FEU (2 months shorter)	1,014.50	651.00	CPFF ¶ 29.3; RPFF ¶¶ 647, 649

2021 Shortfall, using 3,796 FEUs as MQC (CPFF ¶ 30.1; RRPFF ¶ 30.1)

Source	No. of shipments (FEU)	Resulting Shortfall in FEU (3796 MQC - No. of shpmts)	Cites
BBBY	2,432.74 FEU carried during "term of the 2021 Service Contract"	1,363.26 FEU	CPFF ¶¶ 104, 319.1, 340; APP 3810
	[2,432.74 minus total extra loader count of 465 = 1,968.5]	1,827.5	APP 4019 (Jensen)
Jensen report	1,968.5 FEU "shipped"	1,827.5	APP 4019
Lam/OOCL	2,124 FEU "loaded bookings"	1,672	APP 3040; RPFF ¶ 602
Drawdown	1,530.5 FEU	2,265.5	CPFF ¶ 30.2; RPFF ¶¶ 648-49

340. To determine the shortfall, the 2021 service contract will be evaluated first, since it is more straightforward. Subtracting the FEU transported from the original contract MQC, which is found to best reflect the agreement of the parties, most accurately measures the shortfalls. Thus, the MQC utilized for the 2021 service contract is 3,796 FEUs. CPFF ¶ 30.1; RRPFF ¶ 30.1. The 2021 service contract shortfall is therefore found to be 3,796 minus 1,968.5, which equals 1,827.50 FEU.
341. For the 2020 service contract, the original MQC of 2,100 FEU is prorated, to take into account that the contract was mutually and voluntarily shortened to 43 weeks from 52 weeks. CPFF ¶ 29.1; RRPFF ¶ 29.1. Therefore, the 1,046 FEU transported is subtracted from an adjusted MQC of 1,736.5 FEU, and the resulting 2020 service contract shortfall is therefore found to be 1,736.5 minus 1,046, which equals 690.50 FEU.

b. NVO/FF Charges

342. The Count I reparations award, under these facts, is calculated by taking the excess charges that BBY paid to NVO/FFs for container volumes not carried under the OOCL regular contract and adding that to the excess cost of OOCL's overcharges. BBY refers to the overcharges to NVO/FFs as its shortfall damages, while referring to overcharges by OOCL as its "PSS/Premium Contract Charges," addressed in the next section.
343. BBY requests Count I MQC shortfalls reparations of \$3,146,072.00 under the 2020 service contract and \$19,563,799.79 under the 2021 service contract. Brief at 91. This is the excess cost of containers transported by NVO/FF carriers versus what the cost should have been under the respective OOCL service contracts.
344. BBY also notes in a footnote that, in "the alternative, if the Presiding Officer were to use BBY's average profits per container during the relevant time period as the measure of BBY's injury for purposes of calculating reparations, BBY would be entitled to lost profits in the amount of \$133,055,566." Brief at 91 n.11. This alternate reparations calculation is, however, not utilized in this decision, because looking at the difference in cost based on actual shipments by OOCL and NVO/FFs is a more accurate reflection of BBY's actual damages under these facts.
345. In support of these calculations of its NVO/FF shortfall damages, BBY asserts that:

Appendices A-1 through A-4 of the McCown Report reflect actual shipments undertaken by BBY during the term of the 2020 Service Contract on lanes that were supposed to be covered by the 2020 Service Contract, using NVOs or freight forwarders, as OOCL was failing to meet its service commitments under the 2020 Service Contract. . . . Appendices B-1 through B-4 of the McCown Report reflect actual shipments undertaken by BBY during the term of the 2021 Service Contract on lanes that were supposed to be covered by the 2021 Service Contract, using NVOs or freight forwarders, as OOCL was failing to meet its service commitments under the 2021 Service Contract.

Brief at 92-93.

346. BBY then concludes that:

As summarized in Appendix A-4, BBY had to incur additional incremental expenses of \$3,146,072.00 in connection with OOCL's shortfall during the 2020 Service Contract year. . . . As summarized by Appendix B-4, BBY had to incur additional incremental expenses of \$19,563,799.79 as a result of OOCL's shortfall during the 2021 Service Contract year.

Brief at 92-93.

347. Mr. McCown's expert report states that the table contained at Appendix A-1 "reflects actual shipments undertaken by BBY during the 2020 service contract year on lanes covered by the 2020 service contract, using NVOs or freight forwarders." APP 3794. The analysis proceeds with the assumption that "OOCL's total shortfall in 2020 was 624.20 FEUs" and Mr. McCown asserts that the "shipments in this chart sum to 625.125 FEUs and would have, if shipped via OOCL, fulfilled OOCL's 2020 MQC." APP 3794.
348. The expert report of Mr. McCown similarly details that the table contained at Appendix B-1 "reflects actual shipments undertaken by BBY during the 2021 service contract year on lanes covered by the 2021 service contract, using NVOs or freight forwarders." APP 3810. The analysis proceeds with the assumption that OOCL's total shortfall in 2021 was 1,363.26 FEUs and Mr. McCown asserts that the "shipments in this chart sum to 1363.875 FEUs and would have, if shipped via OOCL, fulfilled OOCL's 2021 MQC." APP 3810.
349. The A-1 and B-1 Appendices contain detailed shipment data for each shipment, including: date of departure, date of discharge, bill of lading number, carrier, port of loading, port of discharge, the container size, the carrier total fee, and the total per container, with the tables at Appendix A-1 running from APP 3794-3804 and the tables at Appendix B-1 running from APP 3810-37.
350. Appendix A-2 notes that the "2020 Service Contract covered many lanes, not all of which were actually used. The table below summarizes the number of containers BBY shipped via NVOCCs or freight forwarders on lanes covered by the 2020 service contract, as set forth in Appendix A-1." APP 3805. Similarly, Appendix B-2 notes: "The 2021 Service Contract covered many lanes, not all of which were actually used. The table below summarizes the number of containers shipped via NVO on lanes covered by the 2021 Service Contract, as set forth in Appendix B-1." APP 3838. Appendices A-2 and B-2 then show the precise number of container shipments within the data set presented, for each specific port pair, also specifying the container size of the actual shipment. APP 3805-06; APP 3838-40.
351. Appendix A-3 provides a calculation of the but-for freight expenses over the same routes and uses the same container size rate, for the 2020 service contract. APP 3807-08. Appendix B-3 provides a calculation of the but-for freight expenses over the same routes and uses the same container size rate, for the 2021 service contract. APP 3841-43. Mr.

McCown explains that these tables calculate how much BBY would have paid if it had shipped each of the loads referenced in the preceding appendices via OOCL, at the freight rates specified in the relevant annual service contract. APP 3841; APP 3807.

352. Finally, Appendix A-4 summarizes the results of the McCown report for the 2020 service contract, stating:

The table below summarizes the impact of the data set forth in Appendices A-1 through A-3. As shown below, BBY was forced to incur additional incremental expenses of \$3,146,072.00 as a result of OOCL's shortfall during the 2020 service contract year.

OOCL service commitment (FEU):	2100
OOCL shortfall:	624.20
NVO Shipments on impacted Lanes (FEU):	625.125
Cost of NVO freight on impacted lanes:	\$4,019,568.00
But-for cost if OOCL had carried the NVO shipments at Service Contract rates:	\$873,496.00
<i>Excess cost to BBY arising from OOCL shortfall:</i>	<i>\$3,146,072.00</i>

APP 3809.

353. Appendix B-4 in turn summarizes the results of the McCown report for the 2021 service contract, stating:

The table below summarizes the impact of the data set forth in Appendices B-1 through B-3. As shown below, BBY was forced to incur additional incremental expenses of \$19,563,799.79 as a result of OOCL's shortfall during the 2021 service contract year.

OOCL service commitment (FEU):	3796
OOCL shortfall:	1363.26
NVO Shipments on impacted Lanes (FEU):	1363.875
Cost of NVO freight on impacted lanes:	\$23,169,245.50
But-for cost if OOCL had carried the NVO shipments at Service Contract rates:	\$3,613,975.00
<i>Excess cost to BBY arising from OOCL shortfall:</i>	<i>\$19,555,270.50</i>

APP 3844.

354. Regarding Appendix B-4, there appears to be a typo in the summary of the information presented. The table itself on Appendix B-4, as copied above, is consistent with the totals yielded by Appendices B-1 through B-3. Mr. McCown also correctly calculates that \$3,613,975.00 subtracted from \$23,169,245.50 is \$19,555,270.50. APP 3844. But the summary paragraph lists \$19,563,799.79. APP 3844. Because the preceding appendices, and the summary data table, both support the \$19,555,270.50 total, this figure is taken to be Mr. McCown's determination of the additional incremental

expenses incurred by BBY as a result of OOCL's shortfall during the 2021 service contract year. APP 3844.

355. Mr. Jensen acknowledges that as a "hypothetical math calculation" he does not have a problem with the math performed in Mr. McCown's shortfall analysis:

Q. Do you have any problem with the mathematical computation that Mr. McCown did in comparing the amount Bed Bath actually paid OOCL for freight less the amount that Bed Bath would have paid OOCL at the fixed rate in the service contract? As a hypothetical math calculation, you don't have any problem with the math that he performed, right?

A. As far as I recall, yes.

APP 1025-26.

356. Appendix A-1 was reviewed to ensure the shipments were within the appropriate timeframe. Looking at the first column, the departure date, shows that the included shipments departed between December 23, 2020, and April 30, 2021, which is consistent with the operative dates of the 2020 service contract. APP 3794-804. Moreover, the shipments listed were all loaded in an overseas port, and discharged in a United States port. APP 3794-804.
357. Appendix B-1 was also reviewed to ensure the shipments were within the appropriate timeframe. Looking at the first column, the departure date, shows that the included shipments departed between May 8, 2021, and April 29, 2022, which is consistent with the operative dates of the 2021 service contract. APP 3810-36. Moreover, the shipments listed were all loaded in an overseas port, and discharged in a United States port. APP 3794-804; APP 3810-36.
358. The McCown report shows the basis of BBY's MQC shortfall reparations in appropriate detail, with the analysis spanning 50 pages. APP 3794-844. In addition, the McCown report reasonably compares the cost of freight transported for BBY by NVO/FFs during the relevant contract years; and the analysis has appropriately matched these shipments to specific routes and rates identified in the relevant regular OOCL service contracts, subtracting the contract cost from the actual cost, yielding the actual excess costs to BBY arising from this portion of the contract shortfalls. APP 3794-844.
359. Further, as it has been determined that BBY is entitled to shortfall damages up to the contract shortfall of 690.50 FEU for the 2020 service contract and up to the contract shortfall of 1,827.50 FEU for the 2021 service contract, the excess costs for the entire shipment volumes identified in the McCown report (of 625.125 FEU in 2020 and 1363.875 FEU in 2021) are appropriately compensable to BBY. APP 3794; APP 3810.
360. The total excess costs to BBY from shipments by NVO/FF carriers, as found in the McCown report, of \$3,146,072 for the 2020 service contract and \$19,555,270.50 for the 2021 service contract are thus found to be well explained, well supported, and an

accurate measure of BBY's actual damages for transporting containers using NVO/FF alternate carriers. APP 3809; APP 3844.

c. Overcharges for PSS/Premium Contracts/Extra Loaders

361. BBY also requests reparations of \$7,109,296.00 for "Count I: PSS/Premium Contract Charges (2020 Service Contract)" and \$6,623,453.00 for "Count I: PSS/Premium Contract Charges (2021 Service Contract)." Brief at 91.

362. In its brief, BBY's main explanation of these numbers consists of the following:

OOCL's imposition of PSS, other surcharges, and demand for premium contracts damaged BBY by \$7,109,296.00 during the term of the 2020 Service Contract and \$6,623,453.00 during the term of the 2021 Service Contract. (McCown Report ¶ 177 [APP-3792]; Dep. Ex. 330 [APP-3359].) . . . If OOCL had honored its service commitments instead of ratcheting up rates to achieve spot market-level returns, BBY would not have been subject to the \$13.7 million in PSS and premium charges that it had to pay. (McCown Report ¶ 180 [APP-3792].)

Brief at 93. Note that paragraphs 177 and 180 of the McCown report restate these same requested reparations totals, but without providing any additional support for them. Specifically, Mr. McCown's report states:

177. As alleged in the Complaint, OOCL's imposition of PSS, other surcharges, and demand for premium contracts damaged BBY by \$7,109,296.00 under the 2020 Service Contract and \$6,623,453.00 under the 2021 Service Contract. . . .

180. If OOCL had honored its service commitments instead of ratcheting up rates to achieve spot-level returns, BBY would not have been subject to the \$13.7 million in PSS and premium charges.

APP 3792.

363. Earlier in Mr. McCown's report, there is a chart, with numbers matching the PSS/premium contract reparations figures provided by BBY. But this earlier reference similarly provides no discernible support, other than a citation to "Chen Dep. Ex 1," which is a citation to the complaint. Specifically, paragraph 114 and the chart following it, state as follows:

114. The table below shows the total PSS that OOCL required to move even approximately two-thirds of the MQC in the service contracts. (Chen Dep. Ex 1.) The contract volumes are expressed in FEUs and the resulting average cost per FEU is shown along with the equivalent cost per TEU for ready comparison to indices and other statistics typically expressed on a TEU basis.

Table 9

<i>Item/Year</i>	<i>Total Cost</i>	<i>FEUs</i>	<i>Cost/FEU</i>	<i>Cost/TEU</i>
<i>PSS Premium:</i>				
2020 Service Contract				
2021 Service Contract				
<i>Total:</i>				

APP 3778. The record does not support these figures.

364. BBY references the total PSS/premium contract reparations it requests in one other location in its Brief, asserting:

The total cost differential BBY had to pay under the Service Contracts due to OOCL's PSS pricing policies was approximately \$13.7 million. (C283.) In his report, BBY's expert McCown analyzes a representative period to show that, in effect, OOCL's PSS policy allowed OOCL to achieve on average 72.9% of the then-prevailing spot market price for each FEU shipped under the 2020 Service Contract. (C284.)

Brief at 47.

365. BBY's proposed finding of fact 283 asserts as follows:

283. The total cost differential BBY had to pay under the Service Contracts due to OOCL's PSS pricing policies was approximately \$13.7 million. See P-0000801023 [APP-4418]; Ex. 330 (Tabs "SY 20", "20 But For," "20 Damages", Tabs "SY 21", "21 But For," and "21 Damages") [APP-3359]; see also Ex. 326 at 9, 10 [APP-3345-3346]; 1AC ¶¶ 42,51 [APP-85]; Ex. 381 (McCown Report) ¶ 114 (Table 9) [APP-3778].

CPFF ¶ 283 (brackets in original).

366. The McCown report does not independently calculate BBY's PSS and premium contract reparations. However, BBY Ex. 330, also cited in BBY's proposed finding of fact 283, does show BBY's work in terms of identifying "all containers by container number about which [BBY] complain[s] that Respondents charged Complainant a premium to carry." Hill Decl. at 4-5 (also noting this data was provided to OOCL as part of BBY's Supplemental Interrogatory Response No. 3).

367. BBY further explains in its Reply brief:

As discussed above, BBY's Supplemental Interrogatory Responses describe in granular detail the calculations underlying BBY's PSS damages, wherein it: (1) merges container-level data from P-0000353819 and P-0000810432, (2) compares the cost of containers actually shipped with OOCL on relevant lanes during each Shipping Year with the what [it] should have cost pursuant to the respective Service Contracts to (3) calculate the amounts charged by OOCL to BBY in excess of what

those containers should have cost had OOCL honored its service commitments. (Hill Decl. ¶¶ 15-20.)

Reply at 65 (emphasis omitted).

368. The damages that BBY requests in briefing, however, do not match the evidence. BBY requests \$7,109,296 for PSS/premium contract charges during the 2020 service contract and \$6,623,453 for PSS/premium contract charges during the 2021 service contract. Brief at 91. However, BBY Ex. 330 calculates the PSS/premium contract charges during the 2020 service contract as \$2,151,715, and the PSS/premium contract charges during the 2021 service contract as \$7,313,271. BBY Ex. 330. Therefore, the totals from BBY Ex. 330 will be considered as BBY's requested damages for PSS and premium contract reparations.
369. BBY Ex. 330 merges container level data from P/819 and P/432, and it contains a total of six worksheet tabs. Hill Decl. at 4-5. Specifically, worksheet tab "SY 20" shows 2020 service contract year shipments by OOCL for which BBY alleges "that Respondents charged Complainant a premium to carry," while worksheet tab "SY 21" shows the same for the 2021 service contract year. Hill Decl. at 4. Next, worksheet tab "20 But For" looks to the 2020 service contract "to determine the contract cost on relevant port pairs" and "how much cargo of each size and between each port pair should have cost," while worksheet tab "21 But For" does the same for the 2021 service contract. Hill Decl. at 4. Finally, worksheet tab "20 Damages" subtracts what it "should have cost" to ship the SY 20 containers based on the 2020 service contract, "from the amount that the containers actually cost . . . yielding the amount paid by BBY to OOCL for carriage in excess of what the cargo should have cost" under the 2020 services contract. Hill Decl. at 5 (emphases omitted). Worksheet tab "21 Damages" does the same based on the 2021 service contract. Hill Decl. at 5.
370. The SY 20 and SY 21 data includes both extra loader shipments and also regular service contract shipments for which PSS charges are alleged to have applied. BBY Ex. 330; Hill Decl. 4-5. It does not include the complete universe of OOCL shipments during the time period of the 2020 and 2021 service contracts. *Compare* BBY Ex. 330 with P/819 and P/432.
371. The data contained in BBY Ex. 330 includes such key information as bill of lading numbers, shows the carrier (OOCL) for the shipments listed, lists the carrier total in dollars, the port of loading, the port of discharge, and the dates of the invoice, loading, and discharge. BBY Ex. 330.
372. It can also be confirmed that the data in SY 20 and SY 21 was pulled from P/819 or P/432. Specifically, based on spot checks, invoice numbers examined from BBY Ex. 330 were found with the same carrier total in P/819 invoice data.¹⁷ Of particular import,

¹⁷ P/819 invoice data includes BBY shipments carried by OOCL in addition to shipments carried by NVO/FFs. P/432 includes BBY shipments carried by a number of carriers, but does not include OOCL shipment data.

based on both spot checks and data filtering, it appears that each total dollar value pulled into SY 20 and SY 21 specifically corresponded to an “Ocean Freight” invoice charge from OOCL. BBY Ex. 330; P/819. It is therefore found more likely than not that BBY’s Ex. 330 invoice data specifically corresponds to OOCL charges labeled as Ocean Freight.

373. Additionally, the shipments in tab SY 20 were loaded from July 1, 2020, to April 30, 2021, from overseas ports to ports in the United States. BBY Ex. 330. Similarly, the shipments in tab SY 21 were loaded from May 1, 2021, to April 30, 2022, from overseas ports to ports in the United States. BBY Ex. 330. Thus, the evidence matches the timeframe and ports.
374. Utilizing the best available data, found in BBY Ex. 330, to calculate the excess cost for OOCL shipments, it is therefore found that BBY was overcharged for PSS and extra loader shipments during the 2020 service contract year by \$2,151,715; and during the 2021 service contract by \$7,313,271. BBY Ex. 330.
375. These damages for OOCL shipments are added to the alternate carrier damages of \$3,146,072 for the 2020 service contract and \$19,555,270.50 for the 2021 service contract. Thus, the total Count I reparations for the 2020 service contract is \$5,297,787 and for the 2021 service contract is \$26,868,541.50.

3. Detention and Demurrage Fees

376. Mr. McCown, BBY’s expert, concluded that OOCL’s per diem rates amounted to “more than 100 times the actual daily carrying cost of the containers” and were “excessive and not reasonably calculated to compensate OOCL for the expense or incentivize customers to move containers.” APP 3784.
377. BBY’s expert uses Trailer Bridge as a benchmark from which to compare OOCL’s detention and demurrage rates. APP 3782-84.
378. Mr. Steffen, OOCL’s expert, asserts that there is no “explanation of how Trailer Bridge’s finances, operations, markets and business practices were comparable to OOCL.” APP 3962. Mr. Steffen points to the different geographic markets served, that the data used was outdated and from 2008, and that it declared bankruptcy in 2011 to conclude that Trailer Bridge is “useless for benchmarking” and which “preclude its use as a benchmark for purposes of estimating demurrage and detention rates for a leading, global and profitable enterprise such as OOCL.” APP 3962-64.
379. Mr. Steffen asserted that “OOCL’s fees were the lowest among its peers,” after comparing OOCL’s demurrage rates to those of Cosco, Yang Ming, and ZIM, finding that all four companies offered the same number of free days with Yang Ming’s rate higher than OOCL by day 15. APP 3964.
380. Mr. Steffen further described his comparison of OOCL’s detention rates with Hapag-Lloyd and Yang Ming, finding that OOCL’s fees were the lowest and that OOCL extended one more free day than Hapag-Lloyd and Yang Ming. APP 3964.

4. Lost Profits Claim for 2022-23

381. BBY bases its refusal to deal reparations request on the 2022 service contract year, specifically alleging that its 2022-23 shipping year lost profits amounted to \$44,906,060.97. Brief at 91.
382. In addition, BBY alleges that its damages should be doubled for the 2022-23 shipping year lost profits, an additional \$44,906,060.97, based on its retaliation claim. Brief at 91.
383. As BBY explains in briefing, its logic regarding the refusal to deal reparations claim is that “BBY is entitled to reparations from OOCL in the amount of \$44,906,060.97” based on “OOCL’s knowingly improper decision to rescind, during negotiations, its repeated offer to maintain BBY’s 2021-2022 MQC for the 2022-2023 shipping year, and instead reduce BBY’s MQC by 671 FEUs following protected conduct by BBY” Brief at 96.
384. BBY seemingly multiplies this alleged volume loss by an average profit per container of \$66,924.07. Brief at 97. ‘Seemingly’ because 671 multiplied by \$66,924.07 is equal to \$44,906,050.97, not \$44,906,060.97; but no other profit per container figure is offered by BBY. Brief at 95-100; Reply at 68-71.
385. BBY explains that its calculations of average revenue and profit per container are “based on actual shipments and profits recorded from May 1, 2020, the start date of the 2020 Service Contract, to April 30, 2022, when the 2021 Service Contract concluded.” Brief at 98 (also explaining that “Rick Cuniff, BBY’s former Senior Director of Financial Analysis, gathered data from multiple sources, including detailed records of shipped containers, product markups, and sales figures, and created a spreadsheet detailing container profitability during the relevant time period,” i.e. APP 4008, which points to Excel file, BBY Ex. 401).
386. Since the 2022 service contract spanned the time period from May 1, 2022, through April 30, 2023, this means that no data utilized to calculate the profit per container analysis matches with the time period of the 2022 service contract. Brief at 98; CPFF ¶ 31; RRPFF ¶ 31.
387. Particularly given that BBY filed for bankruptcy in April 2023, in the final month of the 2022 service contract, this time period mismatch in the data used to calculate profits per container, which BBY alleges as being applicable to the 2022 service contract year, is significant. RX 671; CPFF ¶ 31; RRPFF ¶ 31.
388. BBY’s claim that it is entitled to \$44,906,060.97 for refusal to deal, and its request for a doubling of this \$44,906,060.97 due to retaliation, both are subject to this same failing in terms of a time period mismatch. Brief at 91-100.

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Preliminary Issues

1. OOCL Objections to the Proceeding

BBBY alleges that the Commission has subject matter jurisdiction over each of BBBY's claims pursuant to the Shipping Act and that the Commission has personal jurisdiction over Respondents as ocean common carriers that have entered into a service contract with BBBY. Brief at 11-13. In its reply, BBBY contends that the presiding officer has jurisdiction to adjudicate this proceeding and the presiding officer has constitutional authority to adjudicate this proceeding. Reply at 71-79.

OOCL argues that the complaint fails to state claims for Counts I, III, IV, and V, and the Commission lacks jurisdiction, asserting that Congress in 1998 sharply curtailed FMC authority to regulate service contract terms and performance; the Commission lacks authority over profits or prices in foreign trade; 46 U.S.C. § 40502(f) forecloses FMC jurisdiction and thus § 41104(a)(2) does not apply to Complainant's claims; Complainant has failed to show subject matter jurisdiction over Count I under § 41102(c); Count I fails to state a claim under § 41102(c) pertaining to space allocation; the denial of a hearing violates the Administrative Procedure Act; and the Presiding Officer is not Constitutionally authorized to adjudicate the claims presented. Opposition at 71-103.

OOCL's arguments overlap and are, at times, confusing. The parties' arguments are addressed below with regard to (a) failure to state a claim, (b) Count I, including subject matter jurisdiction and failure to state a claim for transportation functions, (c) personal jurisdiction, and (d) procedural due process, including oral hearing and ALJ removal.

a. Failure to State a Claim, Counts I, III, IV, and V

OOCL contends that the complaint fails to state claims for Counts I, III, IV, and V, and the Commission lacks jurisdiction. OOCL argues first that, continuing its deregulatory efforts begun in 1984, Congress in 1998 sharply curtailed FMC authority to regulate service contract terms and performance, and OOCL concludes that BBBY is attempting to reinterpret the Shipping Act to "regulate service-contract rates, terms, and performance." Opposition at 71-77. Next, OOCL asserts that the Commission "lacks authority over profits or prices in foreign trade," arguing that the Commission has no authority to determine the reasonableness of prices, revenues, or profits for ocean transportation. Opposition at 77-82. Third, OOCL alleges that 46 U.S.C. § 40502(f) forecloses Commission jurisdiction and thus Count III, § 41104(a)(2), does not apply to Complainant's claims. Opposition at 82-87.

It is first worth noting that Respondents create a straw man when they allege that BBBY is seeking to set rates, practices, profits, or prices. BBBY has not brought a case to set rates, terms, or performance or to fix profits or prices. And Respondents are correct that the Commission no longer engages in rate setting. Determining if a practice is reasonable is not the same as rate setting. For example, the "Commission is not categorically barred from considering prices in order to determine whether a refusal to deal or to negotiate with respect to vessel space accommodations is unreasonable." *World Shipping Council v. FMC*, 2026 WL 880278, at *7

(D.C. Cir. 2026). For reparations, the issue is not rate setting but the proper measure of actual injury given the facts provided by the parties, which would be difficult to determine without consideration of the actual rates paid.¹⁸ BBY does not request and the decision does not set the rates for past or future shipments.

The purposes of the Shipping Act at the relevant time were to:

- (1) establish a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States with a minimum of government intervention and regulatory costs;
- (2) provide an efficient and economic transportation system in the ocean commerce of the United States that is, insofar as possible, in harmony with, and responsive to, international shipping practices; (3) encourage the development of an economically sound and efficient liner fleet of vessels of the United States capable of meeting national security needs; and
- (4) promote the growth and development of United States exports through competitive and efficient ocean transportation and by placing a greater reliance on the marketplace.

46 U.S.C. § 40101 (prior to OSRA 2022 amendment).

The D.C. Circuit recently discussed the history of the Shipping Act, explaining:

Although the Congress first comprehensively regulated the shipping industry with the Shipping Act of 1916, the 1984 Act largely created the modern regime, in which the Congress sought to regulate “with a minimum of government intervention and regulatory costs.” To that end, the 1984 Act implemented various deregulatory reforms, such as the authorization of service contracts, which provide a privately negotiated alternative to the publication of a tariff approved by the FMC. The 1984 Act, together with the ICC Termination Act of 1995, also eliminated the Commission’s general ratemaking authority over common carriers under §§ 17 and 18 of the 1916 Act.

World Shipping Council v. FMC, 2026 WL 880278, at *1 (citations omitted).

Since the Shipping Act of 1984 and OSRA 1998, service contracts have become predominant.

In addition to providing service pursuant to tariff rates, under the Shipping Act of 1984 and OSRA [1998], ocean common carriers and carrier agreements containing appropriate authority may also provide ocean transportation pursuant

¹⁸ This is a private party proceeding. If this were an enforcement action, the daily penalty for Shipping Act violations in 2026 is \$14,988 per violation and \$74,943 per knowing and willful violation. 46 U.S.C. § 41107(a); 46 C.F.R. § 506.5; 90 Fed. Reg. 3039, 3040 (Jan. 14, 2025); see also *MSC Mediterranean Shipping Co., S.A.-Possible Violations of the Shipping Act*, 46 U.S.C. §§ 41102(c), 40501, and 41104(a)(2)(A), Docket No. 23-08, 2026 WL 92421, *8 (FMC Jan. 6, 2026)).

to a service contract. Since the enactment of OSRA in 1998, the ocean shipping regime of public tariffs has given way to a system of confidential service contracts between carriers and their customers. Such service contracts have become the predominant means of providing ocean transportation.

Unlike tariff rates that may be modified periodically by the carrier, under a service contract a shipper may lock in its rates (or a rate schedule or formula) for ocean transportation of cargo for a fixed time period, regardless of fluctuations in the tariff rate. It also guarantees certain carrier services, such as assurances of space or sailing frequency. In exchange the service contract shipper promises to ship a certain minimum quantity of cargo or portion of its cargo pursuant to the terms of the contract.

Thomas J. Schoenbaum, 1 Admiralty & Mar. Law § 10:2 (C)(2)(e) (6th ed.) (Dec. 2022) (citations omitted). While the Shipping Act of 1984, as amended by OSRA 1998, authorized the use of service contracts, it did not deprive the Commission of jurisdiction to regulate service contracts.

The Shipping Act clearly intends that the Commission be allowed to consider cases regarding rates, terms, and performance. For example, section 41102(c), alleged in counts I and II, prohibits a failure to “establish, observe, and enforce just and reasonable regulations and practices.” 46 U.S.C. § 41102(c). Additionally, the section 41104(a)(2) statute alleged in Count III prohibits a common carrier from providing “service in the liner trade that is - (A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract.” 46 U.S.C. § 41104(a)(2). Thus, the Shipping Act requires the Commission to consider rates, charges, classifications, rules, and practices and to assess whether practices are just and reasonable. That is what BBY is asking the Commission to do in this proceeding.

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006) (the Commission was obligated to hear allegations particular to the Shipping Act, even where the complainant has already obtained an arbitration award for related breach of contract claims); *see also Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (the Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations).

The Shipping Act, section 40502(f), provides: “Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court. The contract dispute resolution forum may not be controlled by or in any way affiliated with a controlled carrier or by the government that owns or controls the carrier.” 46 U.S.C. § 40502(f).

The D.C. Circuit recently addressed section 40502(f), stating:

The “best reading of the statute,” *Loper Bright [Enters. v. Raimondo]*, 603 U.S. 369, 400 (2024)], makes it plain that § 40502(f) cannot be so broad as to swallow the Commission’s statutory authority to adjudicate whole categories of Shipping Act violations that clearly contemplate Commission enforcement. As we explain below, both the terms of the statute and the applicable caselaw confirm this point. *See, e.g., A/S Ivarans [Rederi v. United States]*, 895 F.2d 1441, 1446 (D.C. Cir. 1990)] (holding that “parties may not construct an obstacle to the FMC’s right to enforce the Shipping Acts”).

For instance, § 41104(a)(2)(A) makes it a violation of the Act for a carrier to “provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in ... a service contract.” This indicates that deviation from a service contract may be a violation of the Shipping Act. *See also id.* § 41102(b)(2) (making it a “[g]eneral prohibition[]” of the Shipping Act for regulated entities to operate “not in accordance with the terms of” certain agreements filed with the Commission). It is obvious that, under these provisions, a claim of breach of the parties’ service contract might overlap with violations of the Shipping Act.

MSC Mediterranean Shipping Co. S.A. v. FMC, 141 F.4th 222, 232 (D.C. Cir. 2025).

The claims in *MSC Mediterranean Shipping Co. S.A. v. FMC* were similar to the claims here. The D.C. Circuit found:

While Mediterranean argues that count I alleges no more than an “alleged failure to perform ... contractual duties,” count I alleges a systemic pattern and practice of misconduct that transcends one individual contractual dispute and claims statutory violations as to other shippers, too. The ALJ thus appropriately concluded that “[a]llegations in the amended complaint extend beyond allegations of breach of the service contract to allege practices that violate the Shipping Act, such as failing to maintain or provide booking reports, systematically preferring higher-priced cargo, and coercing surcharges.” Put differently, the complaint does not seek to litigate particular terms of the service agreements, but rather compliance with the Shipping Act in the course of performance under the contracts.

Id. at 233-34 (citations omitted).

The D.C. Circuit’s conclusions are supported by Commission precedent. In *Cargo One*, the Commission specifically addressed whether section 40502(f), formerly section 8(c), precluded Commission jurisdiction over complaints alleging Shipping Act violations related to service contracts:

Given the specificity the Shipping Act provides with respect to the types of complaints a person may not bring (i.e., only section 6(g)), and given the specificity as to types of relief available for various violations of the Prohibited Acts, we believe that Congress did not intend that the section 8(c) “exclusive

remedy” language would nullify the sections 10 and 11 rights of complainants to bring suit on any matter tangentially or even substantially related to service contract obligations. Moreover, if parties were not meant to obtain reparations for violations of section 10 stemming from transportation under service contracts, it is likely that the statute would have clearly limited either the types of proceedings which can be initiated by private complainants, or the availability of reparations.

Cargo One, Inc. v. Cosco Container Lines Co., Ltd., 28 S.R.R. 1635, 2000 WL 1648961, at *12 (FMC Oct. 31, 2000) (the allegations here were previously in section 10). The Commission also stated that it was “Congress’ intention that the Commission is the appropriate forum for resolving allegations of violations of certain section 10 Prohibited Acts, even if they arise from transportation governed by a service contract.” *Cargo One*, 2000 WL 1648961, at *12. The Commission focused on whether a claim was inherently a breach of contract claim or whether it involved elements particular to the Shipping Act, stating:

For section 8(c) to have meaning, it must have been intended to preclude the filing of some complaints of Shipping Act violations, and not just breach of contract claims, as such claims would not be actionable before the Commission in any event. Thus, it is “reasonable to construe [s]ection 8(c) to apply to actions alleging a violation of the 1984 [Shipping] Act.” *Vinmar* at 424. However, we find it inappropriate and contrary to the intent of the statute that section 8(c) bar any Shipping Act claim which bears some similarity to, overlaps with, or is couched in terms suggesting that the remedy may be available in a breach of contract action. *We believe the more appropriate test is whether a complainant’s allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act.* We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.

Cargo One, 2000 WL 1648961, at *14 (emphasis added). The Commission elaborated:

While section 8(c) reasonably precludes the Commission from adjudicating breach of contract claims, the courts more properly equipped to address those matters are not authorized to address Shipping Act matters exclusively within the Commission’s jurisdiction. Such issues are not addressed in actions for breach of contract and no remedy for such violations would be provided in a breach of contract action. Moreover, as noted *supra*, reliance on the Commission to pursue such violations *sua sponte* in its investigatory role would eviscerate the reparations remedy afforded complainants by the statute. Therefore, we find that the ALJ should proceed to consider those claims.

Cargo One, 2000 WL 1648961, at *15.

In *Anchor Shipping*, the Commission addressed the question of “whether a party to a service contract who participated in arbitration and either could have or did raise all relevant Shipping Act claims in that proceeding, should now be barred from bringing a complaint before the Commission that pertains to the same service contract.” *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 2006 WL 2007808, at *7 (FMC May 10, 2006). Discussing its statutory authority, the Commission found that “the ALJ improperly dismissed Anchor’s complaint,” stating:

The arbitration clause in the parties’ service contract does not outweigh the Commission’s duty to protect the public by ensuring that service contracts are implemented in accordance with the Shipping Act. Although service contracts are between private parties, the Commission regulates the content as well as the conduct under the contracts. The regulation of service contracts is akin to the regulation of agreements, because the Commission is the regulatory body charged with administering the Shipping Act and, therefore, must ensure that service contracts and agreements are filed and implemented pursuant to the statutory requirements and Commission regulations.

Anchor Shipping, 2006 WL 2007808, at *8. The Commission further stated:

The Commission has an interest in ensuring that service contracts are used in a manner that complies with the Shipping Act and the Commission’s regulations, so that it can be certain that the public and the shipping industry are protected. This interest outweighs the intentions of two private parties, as set forth in the arbitration clause of their service contract. While section 8(c) provides that parties to a service contract may agree to arbitrate breach of contract issues, it was not Congress’ intent that the Commission be barred from adjudicating whether the parties’ conduct violates the Shipping Act and Commission regulations.

Anchor Shipping, 2006 WL 2007808, at *10 (citing *A/S Ivarans Rederi*, 895 F.2d 1441); see also *Mediterranean Shipping Co. USA v. Cargo Inc.*, 46 F. Supp. 3d 294, 301 (S.D.N.Y. 2014) (“alleged violations of the Shipping Act must be addressed with the Federal Maritime Commission.”).

In reviewing the pre-2022 OSRA Shipping Act, it is clear that both service contracts and cargo space accommodations are regulated, as they are explicitly mentioned. See, e.g., 46 U.S.C. § 41104(a)(1) (a common carrier may not “allow a person to obtain transportation for property at less than the rates or charges established by the carrier in its tariff or *service contract*” by enumerated means); 41104(a)(2) (a common carrier may not “provide service in the liner trade that is—(A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a *service contract* . . .” or “(B) under a tariff or *service contract* that has been suspended or prohibited”); 41104(a)(3) (a common carrier may not “retaliate against a shipper by refusing, or threatening to refuse, *cargo space accommodations* when available, . . .”); 41104(a)(5) and (9) (“for service pursuant to a *service contract* . . .”); and 41104(a)(12) (a common carrier may not “knowingly and willfully enter into a *service contract* . . .”). If Congress wanted to prohibit sections 41102(c), 41104(a)(2),

41104(a)(10), or 41104(a)(3) from applying to service contracts or to cargo space accommodations, it could have done so.

The alleged deviations from the service contracts here may be a violation of the Shipping Act. The Commission is obligated to consider the alleged Shipping Act violations, and those violations are not foreclosed by 46 U.S.C. § 40502(f). Accordingly, BBY has not failed to state a claim and the Commission has jurisdiction.

b. Count 1

Count I alleges a violation of section 41102(c) for unreasonable minimum quantity commitment shortfalls and unreasonable surcharges, premium contract rates, and extra loaders rates. Section 41102(c) prohibits failure “to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). OOCL raises two issues specific to Count I: (i) subject matter jurisdiction and (ii) failure to state a claim.

i. Subject Matter Jurisdiction

OOCL asserts that Complainant has failed to show subject matter jurisdiction over Count I under § 41102(c), arguing that the claim is “at its core, an allegation that OOCL breached the service contracts,” exclusively “cognizable in a Federal district court pursuant to its admiralty jurisdiction,” and “nothing more than a garden variety breach of contract claim.” Opposition at 88-93. This allegation appears to overlap significantly with the issues raised above.

The D.C. Circuit stated that “deviation from a service contract may be a violation of the Shipping Act,” while acknowledging that “a claim of breach of the parties’ service contract might overlap with violations of the Shipping Act.” *MSC Mediterranean Shipping Co. v. FMC*, 141 F.4th at 232. For the reasons outlined above, the alleged violation of section 41102(c) in Count I is not prohibited by section 40502(f) and does not raise a mere breach of contract issue. Indeed, the allegations in Count I specifically refer to OOCL’s practices in assigning space during a surge in demand, which require considerations beyond the four corners of the service contracts and consideration of the supply chain disruptions. The Commission has subject matter jurisdiction over the allegations.

ii. Failure to State a Claim for Transportation Function

OOCL further asserts that Count I fails to state a claim under §41102(c) pertaining to space allocation, arguing that section 41102(c) “does not apply to space allocations and rates under service contracts” because those are “transportation” functions, not relating to or connected with receiving, handling, storing, or delivering property. Opposition at 93-99.

BBY contends that OOCL’s cases are “outdated and inapplicable,” the question of whether section 41102(c) “extends to rate disputes with respect to service contracts has been resolved by the U.S. Court of Appeals for the D.C. Circuit, relying on Supreme Court precedent,” and “current binding precedent, including *MCS Industries* and *OJ Commerce*, supports BBY’s position.” Reply at 7-9.

This issue was raised by the parties previously, with OOCL citing the same cases here as in their Opposition to BBY's Motion for Partial Decision. In its Opposition, OOCL adds a discussion of the 1989 D.C. Circuit decision relied upon in the Order on Complainant's Motion for Partial Decision on the Pleadings ("Order MPD"). Opposition at 99 (citing *Nat'l Customs Brokers & Forwarders Ass'n of Am., Inc. v. United States*, 883 F.2d 93, 98-99 (D.C. Cir. 1989) ("*NCBFAA*"). OOCL asserts that *NCBFAA* "was not about 'rates' or 'ocean common carriers,' but about 'freight forwarders' and their 'fees'" and that "[f]orwarding services, unlike ocean transportation, have always been considered within the Commission's authority under 46 U.S.C. § 41102(c) and its predecessors, section 17 (second paragraph)." Opposition at 99.

Although OOCL contends that forwarding services were always within the Commission's authority under this statute, that is not the argument made in that case. Rather, *NCBFAA* argued that "the FMC had long applied section 17 only to physical services performed at the terminal. Although some forwarder activities, petitioner thus maintains, are subject to the Commission's 'reasonable practice' jurisdiction, those activities do not include fee arrangements for forwarding services preliminary to an actual shipment." *NCBFAA*, 883 F.2d at 98-99 (citations omitted). The court upheld the FMC's rule "on the ground that the Commission, in the reasonable exercise of its rulemaking authority, may interpret section 10(d)(1) to prohibit forwarder discrimination in the charges billed to customers." *NCBFAA*, 883 F.2d at 100. While the case *sub judice* is about ocean carrier practices and not forwarder fees, OOCL does not explain why that would materially alter the analysis.

In this case, BBY pled both a Count I violation of section 41102(c) and a Count III violation of section 41104(a)(2), which prohibits a common carrier from providing service in the liner trade that is "not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract." 46 U.S.C. § 41104(a)(2). The practices identified by BBY in Count I are the same practices it points to in support of Count III. As discussed more below, section 41104(a)(2) is an alternate ground supporting the decision for Count I. And there is no question under section 41104(a)(2), by the plain language of the statute, that the Commission has jurisdiction over rates, charges, rules, and practices in service contracts. Accordingly, for the reasons provided in the Order MPD, and in *NCBFAA*, BBY has stated a claim for section 41102(c).

c. Personal Jurisdiction

The parties do not address personal jurisdiction over Respondents in their briefs, except that in describing its answer, OOCL lists as its fifth affirmative defense: "Respondent OOCL (Europe) Limited's area of operations is solely European trade and as a result it was not involved in the services at issue." Opposition at 10; Answer Amended Complaint at 36. The issue is considered to ensure that the Commission has personal jurisdiction over both Respondents.

The evidence shows that OOCL Ltd. is a vessel operating "ocean common carrier" as that term is defined by 46 U.S.C. § 40102(7) and (18) with FMC organization number 011398, subject to regulation by the FMC. Amended Complaint ¶ 17; Answer Amended Complaint ¶ 17. The evidence also shows that OOCL Europe is an "ocean common carrier" as that term is defined by 46 U.S.C. § 40102(18) with FMC organization number 024786. CPFF ¶ 14; RPPFF ¶ 14. Moreover, the service contracts at issue are between BBY and [REDACTED]

3360; APP 3261; APP 5132. Because the Respondents were [REDACTED] APP
[REDACTED] personal jurisdiction over both Respondents is established.

d. Procedural Due Process

OOCL contends that denial of a hearing violates the Administrative Procedure Act and that the Presiding Officer is not Constitutionally authorized to adjudicate the claims presented. Opposition at 100-03. BBY asserts that the Presiding Officer has constitutional authority to adjudicate this proceeding. Reply at 74-79. The arguments regarding an oral hearing are addressed prior to the arguments about ALJ removal impacting ALJ constitutionality.

i. Oral Hearing

Commission Rule 62 states that when filing a complaint, the “complaint should designate whether an oral hearing is requested and the desired place for any oral hearing. The presiding officer will determine whether an oral hearing is necessary.” 46 C.F.R. § 502.62(a)(5). Similarly, when answering a complaint, the “answer should designate whether an oral hearing is requested and the desired place for any oral hearing. The presiding officer will determine whether an oral hearing is necessary.” 46 C.F.R. § 502.62(b)(3).

The Commission explained its policy on oral hearings over fifty years ago in a 1977 Informal Statement.

The Commission has for some time been concerned with the problem of delay, encountered in formal proceedings. In an effort to assist litigating parties and presiding administrative judges in their efforts to reduce the expense of formal litigation, the Commission has revised its prehearing and discovery rules extensively in an effort to reduce issues, arrive at stipulations of fact, and avoid to the fullest extent possible the need to engage in long, drawn out oral interrogation and cross-examination which has resulted in unnecessary expense and delay in the development of factual records with little compensating benefit.

Avoidance of Trial-Type Oral Hearings, Informal Statement of Policy, 17 S.R.R. 457 (FMC Mar. 23, 1977).

“Commission hearings are usually held by means of written testimony and documentary evidence in the form of briefs and proposed findings of fact. If oral hearings are held, additional time is typically required to review transcripts and file briefs and proposed findings of fact after the oral testimony.” *Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd.-Possible Violations of 46 U.S.C. § 41102(c)*, Docket No. 21-16, 2022 WL 795814, at *1 (March 8, 2022) (Order Regarding Oral Hearing) (citations omitted). As explained by Judge Kline in 2001:

It is the Commission’s policy to seek to decide cases on the basis of written evidence unless the nature of the issues is such that an oral trial-type hearing is necessary. See the Order of Investigation and Hearing in the instant case at 5; *Avoidance of Trial-type Oral Hearings*, Informal Statement of Policy, 17 S.R.R. 457 (1977). The use of such “paper” hearings has been upheld by numerous

courts. See, e.g., *State of Pa. v. Riley*, 84 F.3d 125, 130 (3rd Cir. 1996), and cases cited therein; *Boston Carrier, Inc. v. I.C.C.*, 728 F.2d 1508, 1511 n. 5 (D.C. Cir. 1984); *Cities of Carlisle and Neola, Iowa v. F.E.R.C.*, 741 F.2d 429, 431 (D.C. Cir. 1984).

Stallion Cargo, Inc.-Possible Violations of Sections 10(A)(1) and 10(B)(1) of the Shipping Act of 1984, Docket No. 99-18, 2001 WL 379928, at *28 n. 4 (ALJ March 15, 2001) (*aff'd in part and vacated in part*, 2001 WL 35725562 (FMC Oct. 18, 2001)).

In its complaint, BBY requested an oral hearing in Washington, DC. Complaint at 35; Amended Complaint at 53. In its answer, OOCL also requested an oral hearing in Washington, DC. Answer at 15; Answer Amended Complaint at 35, 37. However, in the parties' first joint status report, submitted on June 6, 2023, the parties proposed a schedule that did not include an oral hearing but rather moved to briefing immediately after the close of discovery. JSR 1 at 2-3. The parties' proposed schedule was adopted.

The parties' scheduling requests continued to be granted throughout the proceeding. On August 4, 2023, the parties filed a joint motion to extend briefing and other deadlines; however, they did not request an oral hearing. On August 23, 2023, a revised scheduling order was issued which revised the discovery schedule as requested by the parties. On November 10, 2023, the parties filed a joint status update and motion to extend briefing and other deadlines; however, they did not request an oral hearing. On November 17, 2023, a second revised scheduling order was issued which revised the discovery schedule. On March 15, 2024, the parties filed a joint status report and proposed briefing schedule; however, they again did not request an oral hearing. On March 21, 2024, an order was issued adopting the parties' proposed briefing schedule. On May 21, 2024, the parties filed a joint motion to extend expert witness deadlines; however, they did not request an oral hearing. On May 22, 2024, a third revised scheduling order was issued which revised the expert witness deadlines as requested by the parties. On June 28, 2024, the parties filed a joint status report and motion to extend expert witness deadlines; however, they did not request an oral hearing. On August 23, 2024, the parties' proposed deadlines were again accepted, and the fourth revised scheduling order was issued.

Therefore, although the complaint and answer request an oral hearing, prior to briefing, neither party proposed any schedule that included an oral hearing or otherwise indicated that such a hearing would be necessary for due process. While the parties were encouraged to proceed expeditiously, as required by the Commission's deadlines for issuing an initial decision, *see* 46 U.S.C. § 41302(c), the parties were also granted additional time on multiple occasions. If either party believed that an oral hearing was necessary, they should have raised the issue when it could have been considered and included in the schedule.

ii. ALJ Removal

OOCL argues that due to the legal constraints on the removal of FMC administrative law judges, this proceeding is constitutionally defective and should be stayed until the removal standards are modified. Opposition at 100.

BBBY contends that well-established law does not support OOCL's arguments that "FMC ALJs are unconstitutional; that, in turn, all proceedings heard by FMC ALJs are constitutionally defective and must be halted indefinitely pending the creation of new removal protections." Reply at 74. Pointing to "the purely adjudicative functions of FMC ALJs," BBBY asserts that "most circuits that have addressed challenges to removal protections for ALJs have rejected those challenges." Reply at 76.

In a recent enforcement proceeding, the Administrative Law Judge stated:

To the extent MSC intends to challenge the constitutionality of Congress's grant of exclusive jurisdiction over Shipping Act claims to the Commission, I will not address this issue here, since it is generally considered that the constitutionality of Congressional enactments is beyond the jurisdiction of administrative agencies. *Motor & Equip. Mfrs. Ass'n, Inc. v. E.P.A.*, 627 F.2d 1095, 1115 (D.C. Cir. 1979) (citing *Weinberger v. Salfi*, 422 U.S. 749, 765 (1975); *Johnson v. Robison*, 415 U.S. 361, 368 (1974)).

MSC Mediterranean Shipping Co., S.A.-Possible Violations of the Shipping Act, 46 U.S.C. §§ 41102(c), 40501, and 41104(a)(2)(A), Docket No. 23-08, 2025 WL 708791, at *18 (ALJ Feb. 25, 2025) (*aff'd* 2026 WL 92421 (FMC Jan. 6, 2026)). This is consistent with precedent. "It was entirely correct for the FMC to decline to decide the tonnage clause issue, on the ground that the federal courts provide more appropriate forums for constitutional claims." *Plaquemines Port, Harbor & Terminal Dist. v. FMC*, 838 F.2d 536, 544 (D.C. Cir. 1988) (citations omitted).

The Commission affirmed the *MSC Mediterranean Shipping Company* holding regarding constitutionality and addressed the arguments regarding ALJ removal protections at length. *MSC Mediterranean Shipping Co.,-Possible Violations*, 2026 WL 92421. The Commission found that "the removal protection that ALJs have is no basis to set aside any remedy imposed here" because the respondent had "shown no harm caused by such protection, as it must in order to prevail." 2026 WL 92421, at *36. The Commission noted that relying on *Collins v. Yellen*, 594 U.S. 220 (2021), "appellate courts in at least nine Circuits have refused to enjoin or reverse agency action based on removal-protection challenges where, as here, there was no evidence that the removal protections had actually harmed the claimant." *Id.* at *37. Although this is a private party proceeding and *MSC Mediterranean Shipping Co.* was an enforcement proceeding, the same analysis would apply.

Therefore, this decision declines to address the ALJ removal issue as federal courts provide more appropriate forums for constitutional claims.

2. Burden of Proof

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021)

(Order Affirming Initial Decision on Remand). It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 1993 WL 13975538, at *13 (ALJ Dec. 9, 1993), adopted in relevant part, 1994 WL 279898 (FMC June 13, 1994).

B. Relevant Law

The Shipping Act defines and regulates a number of different types of entities that are involved in the international shipment of goods by water, including common carriers, which are subject to sections 41102(c) and 41104(a) at issue in this proceeding. The Shipping Act defines the term common carrier.

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(7).

The statutory definitions are echoed in the Commission’s regulations:

Common carrier means any person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation that:

- (1) Assumes responsibility for the transportation from the port or point of receipt to the port or point of destination, and
- (2) Utilizes, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country

46 C.F.R. § 515.2(e).

C. Discussion

The discussion is organized according to the alleged statutory violations, as follows:

1. Section 41102(c), service commitments (space allocation and overcharges);
2. Section 41102(c) and 46 C.F.R. § 545.5, demurrage and detention practices;
3. Section 41104(a)(2), service not in accordance with the service contract;
4. Section 41104(a)(10), refusals to deal;
5. Section 41104(a)(3), retaliation; and
6. Reparations.

The first two counts allege unreasonable practices under section 41102(c), first regarding service commitments and then detention and demurrage practices. Then, the other alleged violations and reparations are addressed.

1. Service Commitments Unreasonable Practices, Section 41102(c)

In Count I, BBBY asserts that OOCL failed to meet its service commitments, specifically regarding space allocation and premium pricing, under the service contracts and thus violated section 41102(c). Brief at 4, 13-54; Reply at 2-28.

OOCL contends, regarding Count I, that OOCL met its space obligation; BBBY has placed no documents in the record that calculate or otherwise explain the amount of space OOCL provided to BBBY over the entirety of the 2020 and 2021 shipping years; without such evidence BBBY cannot meet its burden; and 46 U.S.C. § 41102(c) does not apply to space allocations and rates under service contracts. Opposition at 13-29, 93-100.

Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). On December 17, 2018, the Commission issued Rule 545.4, specifying the elements of a section 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64480 (Dec. 17, 2018). Rule 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4. Ocean carriers “do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c).” Demurrage and Detention Rule, 85 Fed. Reg. 29638, 29648 (May 18, 2020).

For Count I, each of the five factors will be addressed in turn. The reasonableness factor discusses the arguments about the customer space allocation system, PSS and premium pricing for extra loaders, and service contract negotiations separately. The normal, customary, and continuous element is addressed after discussing reasonableness.

a. Common Carrier

The first element requires that the respondent be an ocean common carrier, marine terminal operator, or ocean transportation intermediary. Here, the parties agree that OOCL is an ocean common carrier. RRPFF ¶¶ 11, 14. Therefore, this element is met.

b. Receiving, Handling, Storing, or Delivering of Property

BBBY asserts that “OOCL’s failure to honor its service commitments, diversion of contracted space to other shippers, and failure to accept bookings” relate to or are connected with receiving, handling, storing, or delivering property and that the cases cited by OOCL “are outdated and inapplicable.” Brief at 18; Reply at 7-9. OOCL contends that BBBY’s allegations involve “transportation functions” which do not constitute receiving, handling, storing, or delivering property. Opposition at 3, 94-100. This is addressed above in section III.A.1.b.ii.

OOCL reiterates the arguments that were rejected in the September 28, 2023, Order on Complainant’s Motion for Partial Decision on the Pleadings and Respondents’ Motion for Entry of a Protective Order at 9-12 (“MDP Order”). That order relied on *Nat’l Customs Brokers & Forwarders Ass’n of Am., Inc. v. United States*, 883 F.2d 93, 98-99 (D.C. Cir. 1989) (“*NCBFAA*”) to conclude that “although there may have originally been some question about whether section 41102(c) extended to rates, that question has been resolved by the D.C. Circuit, relying on Supreme Court precedent. Therefore, shipping rates may be considered part of receiving, handling, storing, or delivering property.” MDP Order at 12.

OOCL contends that the *NCBFAA* case “was not about ocean common carrier rates or practices” but rather about “fee arrangements for forwarding services preliminary to an actual shipment.” Opposition at 99. However, OOCL does not explain why the analysis would be different for common carrier rate practices. Indeed, it would seem odd if the Commission could regulate practices for forwarders under section 41102(c) that it could not regulate for common carriers. OOCL does not provide any cases after the *NCBFAA* decision in 1989 that directly address this issue. Moreover, allegations regarding bookings and cargo space allocations are related to receiving and delivering property. Therefore, for the reasons outlined in the MDP Order, it is found that the practices at issue here are related to receiving, handling, storing, or delivering property as required by section 41102(c).

c. Unjust or Unreasonable Practice

BBBY alleges three separate unreasonable practices and seeks reparations for the first two: (i) customer space allocation system, (ii) surcharges and premium rates, and (iii) negotiating contracts without intending to comply with them. These alleged practices are separately discussed below.

i. Customer Space Allocation System

(a) Parties’ Arguments

BBBY asserts that OOCL failed to reasonably allocate space to it, arguing that BBBY’s reliance on OOCL’s service commitments was reasonable and consistent with prior practice;

OOCL's policies failed to make reasonable accommodations to provide space to BBY under the OOCL's flawed allocation system; and OOCL failed to accurately track booking attempts. Brief at 22-39. In its reply, BBY alleges that OOCL concedes shortfalls of 624.15 FEUs for the 2020 service contract and 1,363.26 FEUs for the 2021 service contract. Reply at 11-14.

OOCL contends that BBY does not present evidence that OOCL failed to meet its service contract commitments; OOCL's CSAL data showed that OOCL provided 104.4% of the space that it said it would provide to BBY in the 2020 service contract and 94% of the space that it said it would provide to BBY in the 2021 service contract; "OOCL made the requisite space available and BBY did not deliver the requisite number of containers to fill that space;" and two OOCL analyses of booking data confirm that OOCL fully met its obligations to provide space under both the 2020 and 2021 service contracts. Opposition at 13-29.

(b) Parties' Regular Service Contracts

BBY and OOCL entered into service contract number PE203297, effective July 1, 2020, and initially covering the time period from July 1, 2020, through June 30, 2021 (the "2020" or "2020-21" service contract). Amended Complaint ¶ 32; Answer Amended Complaint ¶ 32; RRPFF ¶ 29; APP 3360-97; APP 3361; APP 3374. The 2020 service contract set a minimum quantity commitment ("MQC") of 4,200 TEUs, equal to 2,100 forty-foot equivalent container units ("FEUs"). RRPFF ¶ 29.2; APP 3378. The 17th Amendment drew down the MQC to 2,171 TEU, equal to 1085.5 FEUs, and shortened the term of the 2020 service contract to July 1, 2020, through April 30, 2021. APP 3469; RRPFF ¶ 29.

BBY and OOCL also entered into service contract number PE213179, effective May 1, 2021, and covering the time period from May 1, 2021, through April 30, 2022 (the "2021" or "2021-22" service contract). RRPFF ¶ 30; APP 3261-92; APP 3274. The 2021 service contract set an MQC of 7,592 TEUs, equal to 3,796 FEUs. RRPFF ¶ 30.1; APP 3278. The 16th Amendment drew down the MQC to 3,061 TEUs, equal to 1,530.5 FEUs. APP 3278; APP 3643.

In addition, BBY and OOCL entered into a service contract for the 2022-23 shipping year, service contract number MT226042, effective as of May 1, 2022, and covering the time period from May 1, 2022, through April 30, 2023 (the "2022" or "2022-23" service contract). APP 5132-70. However, this contract is not at issue with respect to BBY's count I (or count III) claims. Brief at 13-17, 72-73; Reply at 2-7, 11-13. Rather the 2022 contract comes into play for BBY's retaliation, refusal to deal, and reparations claims. Brief at 81-87, 89.

BBY's 2020 and 2021 service contracts are sometimes referred to in communications as BBY's "regular," "annual," "initial," "original," or "basic" service contracts, as a way to differentiate between these and the "premium" or "secondary" contracts signed later by the parties; or as a way to contrast with amendments to these regular contracts that memorialized premium extra loader pricing for particular vessel voyages, discussed further below. *See, e.g.*, APP 640-41; APP 3195; APP 227; APP 1730; APP 2889.

(c) Minimum Quantity Commitment

The issue of demand exceeding supply occurs periodically in international shipping. Indeed, over a hundred years ago, the Commission's predecessor considered whether a

“practice” limiting space (an embargo) “was unjust or unreasonable.” *Boston Wool Trade Assoc. v. Merchants Miners Trans. Co.*, Docket No. 11, 1 U.S.S.B. 32, 35 (United States Shipping Board Dec. 13, 1921). The complainant asserted that “the embargoes were placed by the carrier in order to increase its revenue and were not justified by traffic conditions then prevalent;” however, the Board found “ample evidence of record with respect to the severely congested condition of traffic.” *Id.* at 33. Moreover, testimony showed that “the purpose of this practice was to insure a degree of service to all shippers,” and that “space in the vessels of the respondent was apportioned as equitably as possible among the shippers who had previously notified the forwarding agent that they had wool to move in consequence of which all shippers were able to have some of their traffic handled on each sailing.” *Id.* at 34.

The Commission has repeatedly stated that: “Where the demand for space exceeds the supply, the law is clear: a common carrier must equitably prorate its available space among shippers.” *Banana Distributors, Inc. v. Grace Line*, 5 F.M.B. 615, 620 (FMB 1959) (*aff’d sub nom Grace Line Inc. v. Federal Maritime Board*, 280 F.2d 790 (2d Cir. 1960)); *see also* Fact Finding Investigation No. 23, 1998 WL 940278, at *1 (FMC Sept. 21, 1998) (“While that decision was rendered under the Shipping Act, 1916, nothing contained in the 1984 Act, or in subsequent case law, would appear to alter this obligation of common carriers subject to regulation by the Commission to ‘equitably prorate’ available space.”). “If carriers offer service contracts they should have reasonably available adequate space to meet the needs of all shippers similarly situated who attempt to access the contract. If a carrier is booked 100 percent with contract cargo, barring other reasonable accommodations, it may have to charter other space or pro-rate its capacity among all its service contract shippers.” *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, Docket No. 88-15, 1990 WL 427466, at *32 (FMC Oct. 19, 1990).

In another case, a Shipping Act violation was found from “very sloppy” booking procedures that “did not comport with the conduct which the law expects of a common carrier.” *Levantino & Sons v. Prudential-Grace Lines*, 18 F.M.C. 89, 105 (ALJ Aug. 17, 1973) (admin. final Dec. 16, 1974). Complainant Levantino claimed that respondent Grace Lines failed to provide it with space accommodation which Grace had contracted to carry. *Id.* at 89.

In the instant case the violations of section 14 Fourth and 16 First do not center on discrimination against Levantino, since the record clearly shows that numerous shippers suffered shutouts in addition to Levantino. It is this indiscriminate pattern, however, which pointedly demonstrates that Grace had, for a time, exercised no care in booking cargo or in preplanning the loading of the vessel. The result was a random pattern of shutouts affecting shippers in varying degrees from voyage to voyage. There is no dispute as to the cause of this problem, Grace admitting that its booking procedure had been “very sloppy” and its preplanning for loading vessels inadequate, and that once reforms were instituted no further shutouts occurred.

Levantino & Sons, 18 F.M.C. at 104. Booking procedures are central to this case as well.

BBBY argues that OOCL’s systemic failures to reasonably provide space accommodations “were driven by its unreasonable policies, undergirded by its flawed and

unworkable CSAL scheme and shoddy booking systems, of discriminating against fixed-rate service contract customers in favor of higher-priced freight at or near spot market rates.” Reply at 9.

OOCL contends that “MQC imposes an obligation on the ocean carrier *to provide space* and the shipper *to use that space*” and argues that no one “at or on behalf of BBY (or its booking agent Yusen Logistics) ever calculated how much container space OOCL provided to BBY during the 2020 and 2021 shipping years.” Opposition at 13-20. Rather, OOCL relies on its own analysis, which it says: “extended to evaluating the extent to which BBY fulfilled its contractual obligations to provide space to BBY, which accounted for confirmed bookings minus cancelled, terminated, and no-show bookings plus unfilled TEUs (that is, space set aside for BBY that BBY did not use).” Opposition at 26 (citing RPFF ¶ 601). Thus, OOCL contends that “OOCL made the requisite space available and BBY did not deliver the requisite number of containers to fill that space.” Opposition at 26. The evidence, however, does not support these arguments.

OOCL asserts that BBY’s “purported shortfall numbers are no more than the difference between BBY’s original MQC in those two shipping years and the number of containers actually carried by OOCL.” Opposition at 20. OOCL further contends that the shortfall should also account for “the amount of container space that OOCL made available to BBY during the course of each shipping year (as was its contractual duty), the number of containers that OOCL carried in excess of its space obligations, or the amount of space made available to BBY that BBY did not utilize” and that BBY “fails to identify any bookings that OOCL purportedly declined.” Opposition at 20. Thus, OOCL claims that it should receive credit for container space made available (both used and unused) and space “in excess of its space obligations” meaning, presumably, cargo for which OOCL charged premium rates.

But as explained below, OOCL’s internal systems, including the CSAL, were unreliable, so that OOCL’s space use arguments, particularly regarding “confirmed” bookings and “unfilled TEUs (that is, space set aside for BBY that BBY did not use)” are not reliable. *See* Opposition at 26. Moreover, there is no credible indication that BBY could not have used the space, if given a reasonable opportunity to do so, and therefore the shortfall is reasonably calculated as the difference between BBY’s original MQC, although prorated for the shortened 2020 service contract, and the number of containers actually carried by OOCL.

For purposes of liability, BBY must establish that OOCL had an unreasonable practice. Here, the alleged unreasonable practice was relying on the CSAL to allocate space where the CSAL did not take into account the MQC or otherwise assure sufficient space. So while the outcome – the failure to meet the service contract minimum quantity commitment – is relevant to determining damages, for liability, the focus is on the reasonableness of the space allocation practices.

The evidence shows that OOCL’s space allocation system was unreasonable and that OOCL did not make a good faith effort to make space available to BBY. Discussed below is the contemporaneous evidence regarding CSAL, OOCL data, mitigation and BBY’s use of space, drawdown amendments, and MQC conclusions. It is found that OOCL’s conclusions that

it met the MQCs are not consistent with the contemporaneous emails, the data presented by BBY, data presented by OOCL's own expert, or the drawdown amendment quantities.

(1) CSAL

The CSAL ("Customer Space Allocation List") was OOCL's system for allocating space. Throughout 2020-2022, OOCL's own employees complained that the system did not provide sufficient space to meet minimum quantity commitments and did not function properly. Moreover, the evidence shows that CSAL was not implemented to ensure sufficient space allocations or the efficient flow of cargo. Rather, the system was used to maximize profits.

CSAL allocations were issued by OOCL monthly, broken down by sail week and by lanes/service loops. CRPFF ¶ 234; APP 1710. The CSAL did not necessarily mirror the MQC in an annual contract or customer projections and OOCL systems would not automatically notify customers when a booking request exceeded OOCL's internal CSAL allocation to that customer. APP 1598-99; APP 1995; APP 3045-47; APP 228; RX 1230; RRPFF ¶ 225.1.

Shippers did not interact directly with OOCL's CSAL system. Rather, shippers could request space through "My OOCL Center" or by calling OOCL. Customer space requests then had to be manually input by an OOCL representative into OOCL's internal platform, called IRIS-4. APP 1842-46; RRPFF ¶ 208. "CSAL is basically a separate system outside of the IRIS-4 database - or enterprise system." APP 1635. My OOCL Center would not automatically notify customers when a booking request exceeded OOCL's internal CSAL allocation to that customer. CPFF ¶ 225.1; RRPFF ¶ 225.1 (OOCL employees must manually review booking requests and then update the customer on any germane issue, for example, that booking request being declined because it exceeded the customer's CSAL allocation).

In September of 2021, Mr. Young, OOCL's functional department head for Regulatory Compliance, prepared executive summary comments, with input from Mr. Metzger, OOCL USA Director of Marketing and Sales, which were sent to OOCL's Trade Department, and which summarized a number of CSAL issues:

The reasons for these declined bookings are numerous, but through customer interactions the discrepancies found within the TPT EB booking acceptance process / procedures warrant corrective action to ensure OOCL remains commercially sensitive and delivers what has been promised, and to ensure compliance to regulatory issues that pertain.

In many cases the impact to MQC, creating a situation that even based on pro-rated MQC, places NAG customers significantly adrift from the contractual commitments agreed and documented. In many cases, as discussed, even bookings within CSAL are not always honored, especially where the booking made initially that may be in excess of CSAL – the booking acceptance process does not facilitate the acceptance of "within CSAL" quantity and the pending of the excess quantity – the entire quantity is rejected and placed under TCR control that undermines our support of the committed volume under the SC.

NAG regularly communicates with the NAG customers and communicates the CSAL allocations to facilitate their ability to book within our agreed limits, and complaints abound on our inability to accept within the agreed commitment. This can and would potentially become a regulatory issue and add weight to the current action within Congress in the US (specifically related to Outbound US customers) – to amend the Shipping Act that will bind the ocean carrier to have to accept bookings made – as long as space is available and there is no impact to the safety of the vessel. This will preclude carriers’ ability to decide their business direction.

Another issue we also have seen relates to “premium” contracts with Minimal MQC made with US customers in addition to their standard SC agreements. While in and of itself – not specifically a regulatory issue, where this does impact a regulatory perspective is where we decline booking requests within the standard contracts – but we provide space to the customer on the same service at the premium contact [sic] level (at obviously higher rates). This process may violate the contractual agreements and regulatory practices – and open OOCL to some liability with the FMC – and potentially the DOJ with whom the FMC now has a MOU based on the EO issued by President Biden.

Some of the issues related to visibility also relate to HOW we react in declining bookings with the customer...If we decline based on the external request that comes to IRIS4 (from MOC or EDI) without update into IRIS4 – the rejected bookings are not visible to the teams through regular reporting from IRIS4 – creating lack of visibility to customers booking requests and OOCL response when raised by NAG Customers. While the request can be found in the external booking request option – it will be blind on reports called to monitor customer performance and OOCL’s support or otherwise.

As a standard process – NAG also submits CSAL allocations on customer basis to HK – There is a booking release process under BAL which is derived from CSAL agreed submissions. Once TCC reviews and approves CSAL, it is provided to TCR who then convert the file into BAL for CSU to use. There is no direct issue with this process except that it is slow due to the handoffs and approvals, and often may not be followed based on the booking reports and handling that we see today. We know that the CSAL digitization project (eCSAL) will reduce the latency that we see with this manual hand off – but we must have some process that ensures we protect the agreed CSAL committed to the NAG customer.

CSU do not bring majority of bookings from EBR into IRIS4, rather they decline the majority in EBR. This affects “true” visibility, and when you throw in booking windows and TCR cutoff changes, that adds more complexities. The booking windows do not align with what was defined when the CSAL file was finalized and advised to the customer. We need to ensure there is defined Booking release process to protect the agreed CSAL requirements from the customer – or any notification to the TCR regions to ensure awareness and compliance once HK approves the allocation, and set up in BAL.

The foregoing indicates that there are definite issues in relation to our standard Booking acceptance policy, as outlined in our discussion last week.

The foregoing outlines some corrective action we would require ensuring that OOCL is compliant in both the regulatory sense and in support of our commitment to the customers, with whom we have a legal contract. . . .

APP 3184-85; RRPFF ¶ 80.1. Thus, OOCL was aware of the CSAL issues.

The sections below address: booking request issues; attempted bookings; and underperformance.

(i) Booking Request Issues

There were a number of booking request issues, including that booking requests above CSAL were declined; booking requests within CSAL were also sometimes declined; CSAL was use it or lose it; and CSAL had pending, timing, accuracy, and overbooking issues.

If a shipper requested space above the CSAL as determined by OOCL, that request was declined and would never get input into IRIS-4. APP 1845; APP 3046 (August 5, 2021 internal OOCL email noting, “If customer books above CSAL on one booking, we decline the entire booking. Why not accept up to CSAL allocation and refuse the overage.”); APP 2851 (“It was a protocol that was designed within IRIS4, that if we set up their CSAL for 10 and they book 20, we could not take that. . . . [T]he basis was, how do we decide which 10 we’re going to take? I don’t know which 10 the customer wants to prioritize. So we rejected based on a message within the rejection telling them that you’ve exceeded your allocation. Please book within allocation.”).

OOCL USA Vice President of Risk Management and Compliance, Mr. Murdoch, testified that a shipper’s booking request over CSAL would be denied and not placed in the internal IRIS-4 system:

Q. And so going back to my question a moment ago but elaborating on it, in the instance I described before where a customer submits a request for space that exceeds the CSAL allocation for that particular port pair during that time period, if they’ve submitted a request for four 40-foot containers, CSAL has three 40-foot containers, and there’s no further back-and-forth with the Customer Service exceeded that, does that booking request get rejected in its entirety?

A. It just – it would never get input into IRIS-4.

APP 1845. Mr. Murdoch also testified that the Customer Service rep in Asia would go to the Space Team in Asia and ask for permission to create the booking that exceeds the space allocation to the CSAL; and that if that was not approved, the rep would inform the customer of the issue, and let them decide what they wanted to do, for example, to request three containers instead or to book all four containers on another carrier. APP 1846. But in reality, the end result was often that shippers simply lost that entire shipping volume, for a variety of reasons, as elaborated below.

OOCL employees testified that during both the 2020 and 2021 shipping years, it was “still OOCL’s policy that if the shipper booked more than its allocation the entire booking request would be canceled.” APP 661. As Ms. Forminio explained:

Q. Did OOCL have a specific policy that if a shipper booked more than its allocation the entire booking request would be canceled?

A. That was a problem early on, but we -- I think that was fixed. I remember that happening, and I think it was because they didn’t know which -- like, if you had a booking for 15 and you only got 10, which 10 do I pick? So they would reject the booking and tell them, rebook it, but only book 10. You know what I mean? It was -- the booking person didn’t have the ability to discern which 10 you should get. You know what I mean?

Q. So you said that happened early on. Can you be more specific about the time frame?

A. When space was so tight. It was probably in the beginning of all this going on. You know, probably in the first few months when there were probably -- also, there were people that weren’t used to taking bookings because a lot of people were sick, so they had different people taking the booking desk and it was short-staffed, and it was really difficult. So I think that when space was so, so tight and these people were told, just take what’s in CSAL, just take what’s protected for them, don’t take anything else, they really took it quite literally. So, at the beginning, I think the communication wasn’t as good as it could be, but I think once we pointed it out, they would reject the booking and then with a caveat to the customer: just book ten. Don’t book more. If you want to book more, try to book another five. If we have the space, we’ll try to give it to you, but if we don’t, we’ll reject that one, but you’ll get your ten. You know what I mean? So we would live up to what we promised. . . . it wasn’t too long to figure out that all these bookings were being rejected with CSAL and we couldn’t understand it. And it was clarified pretty quickly. I mean, it was just within, you know, a week or so when we figured out what was actual root cause of the problem, and we addressed it and it seemed to be getting a little better. You know, it got better. And then we -- and then there was also some education on our end too to tell our customers, tell them not to book like that; book what we promised you and it’ll go a lot smoother. You know, do two bookings, then, and then you’ll get your space. So, yeah, there was a lot of that confusion. It was difficult.

Q. Yes. So by the time the 2021 shipping year rolled around, was it still OOCL’s policy that if the shipper booked more than its allocation the entire booking request would be canceled?

A. I think so, yes. And, again, it’s strictly because how are these people supposed to figure out, you know, what do you want, you know?

APP 661.

Contemporaneous warnings from OOCL in the record did not sufficiently make clear the import of not exceeding the CSAL allocation, i.e., that the entire booking would be rejected, potentially resulting in no volume on a vessel, in the event that a booking request exceeded the CSAL selected by OOCL for the week. *See, e.g.*, APP 3000 (August 12, 2020, email from OOCL to BBY noting: “For the September CSAL allocations, we ask that Yusen Logistics make the initial bookings up to the allocations provided for the specific origin and service loop. Any additional bookings will be reviewed on a daily basis, so if they are pended one day, they can be confirmed/released the next.”).

OOCL similarly advised booking “up to” the allocation in a November 2020 email. However, again, OOCL did not describe the consequences of attempting to book above the CSAL. RX 788-89 (November 16, 2020, email, noting simply: “Please ensure that Yusen Logistics submits bookings up to the allocations and delivers as booked. Since equipment continues to be tight in South China, we suggest booking 40’ GPs instead of 40’ HQs.”). By late July 2021, booking advice was more clear, for example an email from OOCL to BBY stated: “Book to the allocation. Do not book above the allocation. If the allocation is 6 TEUs, do not book 8 TEUs. We will not release the 6 TEUs against a booking made for 8 TEUs.” RX 977. An email from OOCL to BBY in August 2021 stated that bookings should be made “in line with allocations,” yet again failed to make explicit that the entire booking would be rejected if it exceeded the CSAL. APP 4101; *see also* RX 3123 (“Book to the allocation”).

Adding to the issue for shipping customers, My OOCL Center would not automatically notify customers when a booking request exceeded OOCL’s internal CSAL allocation to that customer. RRPFF ¶ 225.1. OOCL also did not consistently provide explanations to BBY when bookings were canceled; and sometimes pended bookings – i.e., neither accepted nor rejected, but rather put the booking into a limbo status. APP 1645; APP 2414; *see also* CRPFF ¶ 35.

“Pending status” for a booking meant that a booking was with customer service due to a concern about equipment or space. CPFF ¶ 231; RRPFF ¶ 231; APP 1645. Pending status could also be the result of an internal delay, for example OOCL being behind in its internal submission of the CSAL file. APP 1645. OOCL acknowledged that there were instances where there was not space available close to the end of a booking window. Thus, when a customer booking was put into pended status, even if the customer had a CSAL allocation, by the time the pended status was resolved, there may not be any space remaining on the vessel. APP 1645; RRPFF ¶ 229.5; APP 1606.

OOCL had a responsibility to put BBY on notice of this practice. This responsibility was further heightened by the fact that, once a booking above CSAL had been attempted, OOCL’s systems sometimes locked out that customer, and would not accept a later booking, even if it was within CSAL. APP 3184 (Mr. Young’s Executive Summary stated: “In many cases, as discussed, even bookings within CSAL are not always honored, especially where the booking made initially that may be in excess of CSAL.”).

Another challenge was that booking requests within CSAL were also sometimes declined. Internal OOCL communications discussed customer space requests being rejected

despite those requests being *within* CSAL. For example, on October 5, 2020, OOCL Assistant Manager TPTEB Space Management, Jonathan Rice, wrote:

NAG requested 232 Booking released (all withing [sic] CSAL based on notes provided); 51 were released as requested, 58 booking were declined. Bookings within CSAL based on notes were declined. The balance went unactioned.

I have also attached some examples we have received from sales of bookings being declined within CSAL (no adjustment required). . . . This is an ongoing issue that I know Glenn is addressing, but may warrant further discussion with SLC commercial to ensure all parties are properly informed. . . . There are many more cases like the above that will ultimately impact NAG in the present with low utilization, but based on the feedback we have seen will be remembered come contract renewal time.

APP 2940-41 (italics in original); APP 198; *see also* APP 3184.

Further, even when shippers booked up to the CSAL in one booking request, and entered a second request for additional volumes, OOCL systems sometimes looked at those combined requests together, ultimately rejecting both. APP 2941 (OOCL email describing “Customer is assigned CSAL of 2 TEU, they made 2 bookings 1x40 & 1x20 as we advise them to do if booking over CSAL, but since they were made very close to one another CSV pends both bookings. This would be on the NAG review sheet to request the 1x40 released, but both are likely to remain long pending, ultimately dropping off due to lack of action.”)

Another issue was that CSAL was use it or lose it. OOCL USA New England Sales Representative, Jim Mitchell, described CSAL space as being given to customers on a “use it or lose it” basis. APP 1700. OOCL stated in an August 4, 2020, email: “We cannot push forward an allocation that has been missed or inadvertently booked on a service loop with no allocation provided.” RX 1238. Thus, if a customer did not use its CSAL allocation during a particular week, that allocation would be lost; this was the case irrespective of the reason for the customer not using that CSAL allocation, for example if caused by one of the many OOCL problems identified. APP 1700 (“if [customers] don’t deliver on space that’s allocated in a given week, then that allocation is lost if they don’t deliver against it. . . . We encourage them to book up to the allocation to ensure they get their space.”). This “use it or lose it” approach was an internal OOCL policy, not something required by the parties’ agreements.

There were also timing alignment challenges in terms of OOCL setting the CSAL allocation in advance of the 2-month forecasts that BBY was sending to OOCL. RX 1230. In addition, the timing windows ultimately used by OOCL did not always line up with what had been advised to the customer. *See, e.g.,* APP 3185 (“The booking windows do not align with what was defined when the CSAL file was finalized and advised to the customer.”); RX 1230 (“What we can do to bring BBB’s 2 month rolling forecasts in alignment with our allocations is to reach out to Paul when we are tasked with planning a new month’s allocation. If BBB can provide a revised allocation, we will work with those numbers to ensure closer alignment with BBB’s space requirements for the coming month.”).

As a further problem, internal OOCL communications discussed CSAL inaccuracy, resulting in bookings being declined in error. APP 2941 (noting “what is input into the booking notes is not always accurate” and also describing the “low/med probability of CSAL accuracy” and concluding that since the “NAE has 190 accounts in CSAL,” this “in itself, when factoring accuracy rate, inherently means bookings will be declined because they are not in CSAL or the CSAL volumes are not correct.”); *see also* APP 2958 (internal OOCL presentation showing that as of September 2021, OOCL was declining bookings at a rate of over 37.9%).

Additionally, OOCL would accept more bookings than the total space allocation available. OOCL’s rationale was that customers did not deliver 100% of the containers they booked “[s]o the regions, the loading regions will have to make some buffer.” APP 2717; *see also* RRPFF ¶ 219; RRPFF ¶ 219.1. However, as a result of OOCL’s practice of overbooking, for OOCL to ‘confirm’ a booking cannot be trusted as indicating there was in fact genuinely space available on the vessel for that shipping volume.

There is evidence that a significant number of BBBY’s bookings were cancelled because of individual requests exceeding the CSAL. APP 1032 (OOCL’s expert Mr. Jensen testified: “there were a significant amount of cases where there was rejection for Bed Bath & Beyond bookings, but that was because those were attempted to be booked beyond the CSAL.”). Based on this, and the many other issues with OOCL’s implementation of the CSAL, BBBY was not afforded a reasonable opportunity to use the space allegedly allotted to it by the CSAL.

(ii) Attempted Bookings

OOCL’s systems did not consistently track attempted bookings. For example, on August 2, 2020, BBBY emailed OOCL writing:

Jim, you noted yesterday that you did not see any booking request from Yusen for Shanghai / LAX but it appears based on below Yusen did attempt to book but received rejections. Is it possible your origin team is not posting these rejections to allow you to have visibility. And regarding the SHA/LAX booking that Jim questions this time, we did book with OOCL but again it’s declined by their local team. It’s strange that they can’t find it in their record. Kindly see the attached reply of their team and here below are the rejected bookings. The email is in Chinese and OOCL/SHA is saying booking is rejected coz their ship is already overbooked.

RX 1231; *see also* RX 1230-31 (OOCL replied: “With no allocations provided ex Shanghai to the WC, bookings would be declined, then ultimately deleted from the system”); APP 2941 (noting “what is input into the booking notes is not always accurate”). More than a year later, in September 2021, Mr. Young described: “the rejected bookings are not visible to the teams through regular reporting from IRIS4 – creating lack of visibility to customers booking requests and OOCL response when raised by NAG Customers.” APP 3184.

Therefore, OOCL’s data, both from CSAL and IRIS-4, is not reliable, including regarding attempted bookings and other customer inputs. Rather, the evidence shows that

BBBY attempted to book many containers that it was unable to book and even needed to charter its own vessels to accommodate its needs. *See Mitigation, III.C.1.c.i.(c)(3), below.*

(iii) Underperformance

The CSAL system for assigning space to BBBY was not designed to meet contractual commitments. Although the service contracts commit to an annual MQC, OOCL's CSAL system did not appropriately take that into account. Moreover, rather than being designed to ensure that all BCOs received the amount of space to which they were entitled, it was designed to maximize OOCL profits. As early as October 2, 2020, Ms. Forminio wrote in an internal OOCL email: "We have the data and it's the same every week we have enough cargo to fill our allocation twice over and we can't get it loaded. . . . As long as we are working with a yield mindset and employing SNY we will not meet our numbers." APP 2943. Mr. Schmiemann agreed, stating: "Bookings are being declined at an alarming rate, every week." APP 2943.

Internal OOCL documents reflected widespread issues with MQC fulfillment for BCO customers continuing throughout 2021. For example, Ms. Forminio emailed Mr. Schmiemann on August 5, 2021, noting that the percent of fulfillment for BCO customers on standard (i.e., non-premium) service contracts equals fifteen percent. APP 3045. The gap for BBBY between the service contract MQCs and actual shipments was also reflected in contemporaneous communications. For example, a July 30, 2020, email from BBBY to OOCL noted "We're dying for space." APP 3014. And, on August 25, 2021, BBBY raised the issue of low accepted booking with OOCL, complaining that bookings were trending below the weekly allocation and that much of the support they did get from OOCL in terms of space during this period was "coming from extra loaders and premium contract" allocations. APP 3030; *see also* APP 4329; APP 2957; APP 3308.

OOCL's employees continued to have concerns about OOCL's MQC performance, with Mr. Schmiemann writing in a "very preliminary draft" email on August 5, 2021:

- CSAL- Very restrictive and rigid which can be interpreted as a tool to maximize profits. *Nowhere in the SnY guidelines does it mention MQC fulfillment.* If customer books above CSAL on one booking, we decline the entire booking. Why not accept up to CSAL allocation and refuse the overage. Should we revisit and relax the SnY guidelines in order to focus on servicing our customers based on MQC/52?

APP 3046 (emphasis added); APP 703.

A September 2021 internal OOCL presentation "sought to analyze internal concerns over MQC underperformance" and included the following information:

Problem Statement: Customers are unable to secure adequate space on standard services under mutually agreed Service Contracts to fulfill business requirements and to meet MQC commitments, and at the same time, ensuring regulatory compliance.

Objectives

- Ensure compliance with regulatory requirements

- Ensure we meet contractual commitments to our customers
- Streamline the CSAL / system process to ensure we accommodate the committed volumes as contracted.

APP 2953-54; RRPFF ¶ 80; APP 1628.

At Mr. Young's deposition, he testified about a presentation related to "the performance on MQC and why the NAG BCOs were still so far behind in achieving their MQC," stating:

So . . . after Glenn produced all the data and the information, we were very concerned that we have . . . so many customers that are -- based on a prorated position, were going to potentially not reach their MQC. So we wanted to raise this with Hong Kong to say, what are we going to do? How are we going to correct this situation so that our customers can reach their commitment?

APP 2860. Mr. Young explained in the executive summary: "the discrepancies found within the TPT EB booking acceptance process / procedures warrant corrective action to ensure OOCL remains commercially sensitive and delivers what has been promised," and in "many cases the impact to MQC, creating a situation that even based on pro-rated MQC, places NAG customers significantly adrift from the contractual commitments agreed and documented." APP 3184-85; *see also* APP 3233 (On March 22, 2022, Mr. Young wrote: "this was an issue we raised late last year, as we saw that many of the US BCOs were falling behind specifically in their MQC commitment").

Thus, OOCL's internal contemporaneous data showed significant and persistent MQC underperformance caused by OOCL.

(2) OOCL data

OOCL argues CSAL data showed that OOCL provided 104.4% of the space that it said it would provide to BBY in the 2020 service contract and 94% of the space that it said it would provide to BBY in the 2021 service contract and that it exceeded its commitment. Opposition at 5, 12, 26.

While OOCL asserted in an August 2020 email to BBY that "overall MQC is tracking 103%, so we are providing BBB the support necessary to fulfill the MQC," APP 4101, it is found that OOCL's calculation is not credible and that OOCL was counting its CSAL as space "provided" to BBY, but which cannot reasonably be considered space provided to BBY given the myriad of booking problems identified within OOCL's systems at the time. Moreover, there is no evidence that CSAL was designed to nor would it have ensured that BBY received its full MQC.

OOCL points to slides prepared by Karen Lam and other OOCL employees in June 2024, more than a year after this proceeding began, although the slides are based on data from 2020-2022. APP 3039-40; APP 1386. The team responsible for the Lam slides initially created Spotfire graphs, used to create the slides, which conclude that total space provided under regular services by OOCL versus pro-rata MQC was 104.4% in 2020-21; and total space provided by OOCL versus MQC was 94% in 2021-22. APP 3039-40 (also concluding that loaded bookings

versus pro-rata MQC was 58.8% in 2020-21 and 60% in 2021-22). These slides, and the underlying Spotfire graphs, are found not to be credible or reliable however, because: the methodology of counting “provided” volumes is not found to accurately reflect space made available to BBY; the chart and data presented are based on unreliable CSAL and IRIS-4 data; the numbers presented are not consistent with other evidence found to be more credible; and the analysis performed by Ms. Lam and other OOCL employees was not a contemporaneous record, rather it was prepared for this litigation. *See, e.g.*, APP 3039-40; APP 1386. Accordingly, the Lam slide calculations are found not credible and not given weight.

(3) Mitigation and BBY Use of Space

BBY asserts that it made bona fide and significant efforts to mitigate OOCL’s MQC shortfalls. Brief at 52-53. OOCL argues that BBY did not meet its obligation to use the space provided and complains that BBY does not identify specific containers that it tried and was unable to ship with OOCL, contending that “OOCL made the requisite space available and BBY did not deliver the requisite number of containers to fill that space.” Opposition at 26.

The evidence does not support OOCL’s argument. Rather, the evidence shows that BBY was attempting to ship containers and that it went so far as to charter its own vessels. Moreover, BBY reasonably provided containers to OOCL when given the opportunity to ship, including when OOCL, in bad faith, made offers to ship excessive numbers of containers on short notice, anticipating that BBY would not be able to fill the space allotted. APP 207; APP 1838; APP 3318.

Highlighting BBY’s need for space – and its attempts to mitigate damages – in August 2021, BBY chartered two vessels on its own, arranging to ship approximately 220 FEUs from Yantian to Los Angeles/Long Beach at “two to three times the normal rate” because of its pressing need for space. APP 1280; APP 4397 (noting a total of 222 FEU); *see also* CPFF ¶ 342; RPPFF ¶ 342 (also noting that, at the same time, BBY used OOCL’s secondary/premium contract to transport another 590 containers). BBY also agreed to ship containers with OOCL at premium prices, which is discussed more below.

On September 29, 2021, Mr. McQuade of Yusen Logistics emailed BBY’s Reid Klosowsky saying: “Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.” APP 1554; *see also* App 2403.

On February 5, 2022, BBY emailed OOCL expressing both detention and demurrage billing concerns and concerns regarding MQC fulfillment. On the subject of MQC fulfillment, BBY wrote:

OOCL has failed to meet the volume commitments set forth MQC award of 3800 FEU’s (equating 317 per month to your company set forth in the May 2021 (OOCL Service Contract # PE213179 dated 4/29/21). As a result, we have been forced to use alternate carriers both on the spot market and by chartering vessels to cover the shortfall.

APP 4091.

BBBY also sent a letter to OOCL dated February 9, 2022, which noted the following about MQC fulfillment: “OOCL failing to meet the volume commitments set forth in the MQC/MVC award of 3,800 FEUs per contract year, equating to 317 FEUs per month (see below graph), under [the 2021 service contract] between our companies” and “As a result, we have been forced to use alternate carriers both on the spot and charter markets to cover the shortfall, both at rates significantly higher than those set forth in the [2021] Service Contract. This would have been unnecessary had OOCL merely met its contractual commitments.” APP 3307-08. BBBY continued by stating that “It is our hope that OOCL will now choose to meet its obligations by providing the MQC/MVC levels you agreed to.” APP 3307-08. The February 9, 2022, letter from BBBY to OOCL also included a chart, “which reflected the volume actually moved under the two service contracts in place in 2021.” RPFF ¶ 294.

On February 11, 2022, BBBY reiterated its need for additional space, writing: “Any additional capacity above the projections would be appreciated.” RX 797. On February 16, 2022, Mr. Schmiemann sent an internal OOCL email about the March CSAL for BBBY, stating: “Please take note [of] Donna’s final comments relative to our commitment to meet their weekly allocation based on the contract MQC/52. If we, for whatever reason cannot fit their allocated space into the regular March CSAL, we have utilized buffer space, afforded to the region from HKG, to overcompensate” also noting that OOCL would be “keen to monitor [BBBY’s] bookings vs. CSAL allocation in the coming weeks and months.” APP 5127; APP 1851.

On March 8, 2021, the day after an OOCL email about needing to amend service contracts to reduce the MQC “to the amount shipped,” less than two months prior to the end of the 2021 service contract, OOCL offered BBBY 1100 TEUs of additional space which would have been available to BBBY from the end of March through mid-April. RPFF ¶ 436; CRPFF ¶ 436. This means that on March 8, 2022, OOCL made available 29% of the annual space allocation, to be used over one month with only a few weeks notice. “In view that our space provision, under contract # PE213179, has not been at a satisfactory level, Trade has worked out some extra space . . . They are willing to provide a total of 1100 Teu from the end March until mid-April in order to help improve BBB’s contract MQC fulfillment.” RX 1672 (emphasis omitted). Because of the short notice, BBBY was not able to use all of the 1100 TEU; but BBBY was able to utilize 870 TEU out of this 1100, over 79%, demonstrating that it took the best advantage it could of this offer of space, despite the very tight timeline. APP 1384; RPFF ¶ 436; CRPFF ¶ 436.

OOCL knew that it was doubtful BBBY would be able to use all of this space. As OOCL Ltd. General Manager Trans-Pacific Trade, Ms. Lam, expressed in a March 1, 2022, internal OOCL email to Mr. Chen: “I will intend to offer BBB extreme amount of space in late March/April.” APP 207; APP 1381. On March 16, 2022, Mr. Murdoch similarly wrote in an internal OOCL email: “We are offering extra space but it’s doubtful BBB will be able to use it. Tom has invited BBB for a face-to-face meeting or dinner 1st week of April. We need to get a feel for their position.” APP 3317. Thus, this offer of space was not made in good faith.

As discussed in the section on reparations and expert evidence, BBBY is not required to identify specific containers that it tried and was unable to ship with OOCL. *See MCS Industries, Inc. v. MSC Mediterranean Shipping Co. SA*, Docket No. 21-05, 2024 WL 3514613, at *8

(FMC July 16, 2024) (Order Affirming Initial Decision on Remand) (*aff'd sub nom. MSC Mediterranean Shipping Co. S.A. v. FMC*, 141 F.4th 222 (D.C. Cir. 2025)).

OOCL failed to provide space to BBY in a reasonable manner, with sufficient notice for BBY to utilize it. Moreover, BBY showed that it was able to utilize space provided, including over 79% of the “extreme amount” offered at the end of the 2021 service contract. BBY acted reasonably under the circumstances and was not required to engage in additional mitigation.

(4) Drawdown Amendments

OOCL asserts that to “avoid BBY having to pay liquidated damages, the parties agreed to reduce the MQC amount to the actual number of containers carried in service contract years 2020 and 2021 and executed service contract amendments to that effect.” Opposition at 26 n.21 (citing RPFF ¶¶ 647-48). Thus, OOCL suggests that BBY could have been penalized by OOCL’s failure to reasonably allocate sufficient space. *See* APP 3364; APP 3264.

The “practice of reducing MQCs to reflect the volume of cargo actually shipped is consistent with the industry-wide practice in the ocean transportation industry.” *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Docket No. 13-07, 2014 WL 5316345, at *30 (ALJ April 17, 2014) (dismissed on appeal due to settlement). Paul Pastor, BBY Senior Associate, Import Logistics and International Supply Chain, testified that these amendments, called drawdowns, are common. APP 2005. The drawdown amendment does not necessarily reflect the total shipped under the annual service contract, however, depending on the timing and information available at the time of the drawdown amendment. The amount of the drawdowns shows that the parties agreed that they were not likely to meet the minimum quantity commitments for both the 2020 and 2021 shipping years.

On March 7, 2022, Mr. Mitchell, sent an internal OOCL email noting “We need to check to see how these customers are doing versus their MQC. Trade has given Sales the green light for moving forward on MQC reduction amendments. Please run DRT reports and have MQCs adjusted to match what has shipped YTD. We have time to have these amendments signed and filed, but prefer to have these all done within the next week.” APP 4329-30; *see also* APP 4328-29; APP 4319-20 (April 27, 2022 internal OOCL from OOCL USA Vice President of Sales for the Eastern Region, Thomas Schmiemann, noting: “With only 3 working days remaining in the contract cycle, all contracts with a 4/30 expiration need to be brought to conclusion. Of equal importance, let’s make certain all of the listed contracts have had or will have their MQC reduced to the amount shipped to avoid any downstream freight issues.”).

In 2020, the drawdown container quantity was 1,085 FEUs, for a contract shortened from 52 weeks to roughly 43 weeks. If this drawdown amount were to be subtracted from the originally agreed upon MQC, pro rated for 43 weeks vs. 52 weeks, this would equate to a shortfall of 651.5 FEUs. APP 3469; CPFF ¶ 29.1-29.3; RRPFF ¶ 29.1-29.3; RPFF ¶¶ 647, 649. In 2021, the drawdown container quantity was 1,530.5 FEUs, which would equate to a shortfall of 2,265.5 FEUs, subtracted from the originally agreed upon MQC. APP 3643; CPFF ¶¶ 30.1-30.2; RRPFF ¶¶ 30.1-30.2; RPFF ¶¶ 648, 649. These drawdown amendments are not found to be the most accurate measure of the actual shortfalls experienced under the contracts for

purposes of reparations, however, these also serve as a cross-check concerning the general magnitude of the shortfalls experienced by BBY.

(5) MQC conclusions

“An efficient [and] economic transportation system is one in which all parties adhere to agreed-upon responsibilities.” *Edaf Antillas, Inc. v. Crowley Caribbean Logistics*, Docket No. 14-04, 2016 WL 5110081, *13 (FMC Sept. 14, 2016) (Com. Doyle, Chairman Cordero and Com. Maffei, concurring). This “furthers the purposes of the Shipping Act which include promoting an efficient, competitive, and economical transportation system for U.S. ocean commerce.” *Bakerly, LLC v. Seafrigo USA, Inc.*, Docket No. 22-17, 2026 WL 254020 (Jan. 22, 2026) (attorney fees order).

The evidence shows that OOCL has an unjust or unreasonable practice regarding space allocation. OOCL did not make a good faith effort to make available to BBY the space which it had promised in the parties’ service contracts. Moreover, the CSAL and internal systems developed and used by OOCL failed to properly track booking requests, denied bookings, and did not reasonably allow BBY to use the space for which it had contracted. At the same time, OOCL was encouraging BBY to agree to surcharges and premium rates to obtain space. The evidence moreover shows that BBY made a good faith effort and reasonably utilized the space provided to it. Therefore, BBY has established that OOCL’s space allocation practices, including reliance on CSAL, was unreasonable. This element is therefore met.

The next two sections address the reasonableness of surcharges and premium rates for extra loaders and service contracts negotiations. Then the remaining 41102(c) elements are addressed.

ii. PSS and Premium Pricing for Extra Loaders

BBY contends that OOCL employed an unreasonable policy of preferring higher-priced freight at the expense of its service commitments, arguing that OOCL unreasonably discriminated against its fixed-price service contract customers, including BBY, in favor of higher-priced freight; OOCL unreasonably coerced exorbitant PSS charges; OOCL unreasonably shifted space from its regular service contracts with BBY to premium contracts; and OOCL unreasonably discriminated against its North American BCO customers in the transpacific trade in favor of other routes. Brief at 39-50; Reply at 21-22.

In its opposition to Count I, OOCL does not focus on BBY’s arguments that “OOCL employed an unreasonable policy of preferring higher-priced freight at the expense of its service commitments.” However, OOCL’s arguments in other sections of its opposition, including primarily Count III, are relevant and considered.

OOCL refers to its “Secondary (or so-called Premium) contracts” in briefing, yet it was OOCL itself, in contemporaneous records, that repeatedly referred to these as “premium” contracts. Opposition at 23; *see, e.g.*, APP 3184-85 (repeated references to “premium” contracts in Mr. Young’s executive summary); APP 1076 (“Just to give you an indication of the NAE’s customer MQC shortfall, not counting premium contracts . . .”); APP 3046 (internal OOCL from Mr. Schmiemann repeatedly referred to “premium contracts”). Indeed, even in the email in

which OOCL initially informed BBBY about its “option to sign a second contract,” OOCL repeatedly referred to these as “premium contracts.” APP 4169-70 (“If confirmed/released, the premium contract rates would be assessed” and noting that “OOCL at origin would manually apply the premium contract pricing.”).

OOCL alleges that shippers entered into these premium contracts voluntarily; they covered a separate, ad hoc service, often on short timelines and direct services (instead of routes with multiple port calls) not covered by the regular service contracts; if such prices could not have been achieved, OOCL would not have created the service, and shippers, including Complainant, would not have had access to the additional space at any price; and the secondary contracts were “agreed on an arms-length basis between BBBY and OOCL and used for shipping cargo over and above BBBY’s annual MQC allocation.” Opposition at 43-47.

Over the relevant time period, BBBY paid more than its initial annual contract rates for shipments as a result of peak season surcharge (PSS) increases. BBBY also paid raised prices for “extra loader” opportunities, meaning space on particular vessels voyages, originally documented as amendments to the annual service contracts, but with pricing that applied only to the vessel voyages in question. Later OOCL rolled out its “premium contracts” program wherein it formed secondary contracts with existing customers, with higher than annual contract pricing and volume commitments separate from the annual contract’s MQC. All of these various methods led to BBBY being overcharged by OOCL.

OOCL used the term “PSS” in email communications with BBBY, sometimes referring to ocean freight increased charges applied broadly over date ranges, and other times referring to increased charges to be applied to specific extra loaders. For example, in an August 19, 2020, email, OOCL encouraged BBBY to “Consider paying a PSS on all shipments to the West Coast. . . If the PSS is an option, we suggest \$700 per 40’ GP and 40’ HQ. We can limit it to the West Coast and also limit the duration, say end of September.” APP 4102; APP 3374. In the same email, OOCL also described to BBBY that there was a “WK # 38/39 extra loader to the WC. We would be able to provide BBB up to 20 TEUs ex Shanghai on the extra loader based on BBB’s acceptance of a PSS of \$1,500 per 40’ GP / HQ for that specific vessel.” APP 4101.

As early as the month the 2020 contract started, July 2020, OOCL began offering BBBY “extra loader” opportunities, wherein BBBY was told that it may be able to secure space on particular vessels, but at a price point higher than in its regular service contract. APP 3014-22; APP 3374. OOCL’s general criteria for extra loaders was who would pay a premium for the voyage. As OOCL USA Vice President of Sales for the Eastern Region, Thomas Schmiemann, described in an August 6, 2020, internal OOCL email: “We have scaled down the number of candidates for the extra loaders. The criteria is very simple; who will pay a premium in the range of \$800-\$1000. It will be a top down strategy.” APP 3066. When BBBY questioned the price increase for the extra loader, OOCL replied that “the available space for this vessel is in high demand and we expect to easily fill it with Open market cargo and other BCOs. . . . It is not our intention to gouge, but to position BBB to secure space on the vessel listed below.” APP 3017.

For this August 2020 extra loader, OOCL said it could not guarantee space but paying the additional amount would position BBBY “to secure space on this extra loader.” However,

OOCL stated that they would “ask for the full amount of TEUs projected for the WK# 33 extra loader should BBB agree to the \$1950.” APP 3016. No space ended up being available. BBY expressed its disappointment saying: “We’re dying for space and now we have to rebook the containers that we were under the impression would be moved by you.” APP 3014.

OOCL presented extra loaders as “separate and above our regular, standard offering,” and characterized them as a premium service, that went to the “the highest bidder.” APP 640-41. For example, the 2020 service contract included rates from Chinese ports to LA/LB. At least five different amendments to the 2020 service contract increased the rates for these same port pairs over specific extra loader vessel voyages. APP 4020; APP 3387-89; APP 3404; APP 3412; APP 3423; APP 3434; APP 3438; APP 3456. The ships were going between the same port pairs identified in the parties’ initial contracts, just at a higher cost to the shipper.

Then in early 2021, OOCL rolled out its secondary or “premium” contracts program. APP 4169; APP 1734. After OOCL’s development of separate premium contracts, they generally began to formalize premium space opportunities as amendments to those premium contracts versus as amendments to the regular service contracts; but in contemporaneous communications, the parties generally refer to either as “extra loader” opportunities.

Yet, the lanes included in extra loader opportunities overlapped with the lanes included in regular service contracts. Mr. Mitchell characterized that the overlap in lanes was due to these being “high-demand lanes.” APP 1730. The testimony is clear that MQC was not considered in providing extra loader access. Mr. Murdoch testified:

Q. Why weren’t extra loaders used by OOCL to help customers who were behind on their MQCs make up their MQCs?

A. No. The extra loaders were not to help customers that were behind on their MQC. It had nothing to do with the MQC under their standard contracts. The extra loaders and the premium contracts were separate; separate service, separate contract, and outside the scope of the standard contracts. And the extra loaders were just provided based on demand from our customers for additional space beyond what was in their standard service contracts and their allocations. . . .

Q. Given that enormous number of customers who were behind on their MQC, why would OOCL not deploy extra loader vessels to make up that space for their service contract customers? . . .

A. I - I don’t know. At the same time, I don’t know why the customers were behind on their MQC in their standard service contracts. What were they doing or not doing? I have no idea.”

APP 1861-62.

As of mid-February 2022, OOCL had decided to entirely suspend its premium contracts program in the United States. APP 3119. Mike Young, OOCL’s functional department head for Regulatory Compliance, reflected on the cancellation of the premium contracts program in a March 22, 2022, internal OOCL email writing: [REDACTED]

[REDACTED] APP 3233. Mr. Young continued by highlighting the CSAL issues, stating:

On CSAL – this was an issue we raised late last year, as we saw that many of the US BCOs were falling behind specifically in their MQC commitment and determined the situation on the Premium Contracts without correlation to the MQC in the standard contracts..after which the Premium contracts were cancelled, and we started to provide additional space to try and address the potential MQC shortfall.

APP 3233 (punctuation in original); APP 489.

In addition to premium pricing for extra loaders, OOCL added PSS at times, despite the regular contracts stipulating that PSS was already included. For example, the initial 2020 service contract stated that “Rates are inclusive of . . . Peak Season Surcharge (PSS).” APP 3391; APP 12. However, Amendment 6 to the 2020 service contract, dated November 6, 2020, added a section [REDACTED] which stated [REDACTED]

[REDACTED] APP 3424; *see also* RX 3127 (rates after PSS addition).

Amendment 8, dated November 20, 2020, made further edits to the PSS language, changing the Amendment 6 language to: [REDACTED]

[REDACTED] APP 3431. Amendment 11 to the 2020 service contract, dated December 23, 2020, extended PSS charges until February 28, 2021. APP 3444; CRPFF ¶ 378. [REDACTED]

[REDACTED] APP 3466; *see also* 4020 (Mr. Jensen’s reference to a PSS of [REDACTED] /40’ container from Far East to North America for a period of time within the 2020 service contract).

While there does not appear to be a 2021 service contract amendment explicitly adding “PSS” over a specific date range, as early as the first amendment to the 2021 service contract, there were already numerous increases to freight rates. APP 3471-72. These appear simply to have been a variant on the many ways that OOCL implemented unreasonable ocean freight overcharges. APP 3471-646; *see also* APP 3245 (October 2021 internal OOCL email, in which Mr. Schmiemann’s indicated that BBY “agreed to a PSS” in the context of his recommendation that OOCL not “jump to deselection [of BBY] yet.”); APP 1749 (“Q. And do you recall the reason why the shift away from PSS with Bed Bath & Beyond in that shipping year? A. I just think it was easier to manage. Q. How so? A. Well, because we were providing

extra space on specific service loops that were operated by us, so it made it easier to, in terms of booking, control, and admin.”).

Such overcharges, like the explicitly labeled “PSS,” are found to be unreasonable and not voluntarily agreed to by BBY. As just one example, in the original 2021 service contract, the price for the [REDACTED] to [REDACTED] route for a [REDACTED] container was set at \$ [REDACTED]. APP 3281. The first amendment to the 2021 service contract increased this rate to \$ [REDACTED] through [REDACTED] (APP 3472); the second amendment increased this rate to \$ [REDACTED] from [REDACTED] (APP 3472); the fourth amendment increased this rate to \$ [REDACTED] from [REDACTED] (APP 3488); the fifth amendment increased this rate to \$ [REDACTED] from [REDACTED] (APP 3492); then the seventh, eighth, ninth, tenth, eleventh, and fourteenth amendments maintained this rate of \$ [REDACTED] extending the time periods of its application. APP 3524; APP 3562; APP 3578; APP 3582; APP 3586; APP 3602. Thus, in this decision, the term “PSS” includes such ocean freight overcharges, which were implemented subsequent to the pricing in the original 2020 and 2021 service contracts.

Contemporaneous emails support that OOCL’s space allocation decisions were heavily influenced by PSS and premium pricing. For example, on August 19, 2020, after BBY expressed that it was not getting volume out of the port that it most needed, OOCL stated that “[w]e admit to being short against expectations, but the bookings being made are not in line with the allocations provided.” APP 4101. OOCL made suggestions including “[c]onsider paying a PSS on all shipments to the West Coast” and an offer of extra loader space for week 39 for an increased price. APP 4101-02. A January 21, 2021, email from OOCL to BBY said “We are not looking to gouge, but stating the reality of the current market environment for any extra space.” APP 3027. Thus, when BBY asked about receiving the space it had been promised, it was offered space at a higher rate through PSS, premium pricing, or higher cost extra loaders and it was clear that space would go to the highest bidder.

Indeed, OOCL records show that a focus on cargo shipping at premium rates impacted customers’ bookings. On June 12, 2020, an OOCL employee wrote that with “NAG current overbooking for 120-140%, if we need to cater the PSS or premium rate customers, we must cut the current active booking.” APP 2937. On October 23, 2020, Mr. Schmiemann sent an internal OOCL email, writing: “In terms of space, we have altered our CSAL taking space away from customers who are not paying a PSS, or have poor booking behavior.” APP 3007.

There is no indication of MQC performance, i.e. a customer being behind on their annualized MQC, being utilized by OOCL to determine to whom it would offer extra loader space. Rather, internal written guidelines promulgated by OOCL’s Trade department in Hong Kong ranked OOCL’s customers on both letter-grade (A through F) and “VALUE” scales based on their respective “contributions” – i.e., how high their rates were as compared with OOCL’s overall fixed service contract rates and “open” (i.e., spot) rates with BCOs and NVOCCs. As of February 2022, OOCL calculated BBY’s grade as an “F” per these guidelines. APP 3121.

OOCL asserts that as a result of the COVID pandemic, “OOCL lost approximately 4% of its container carrying capacity from 2020 to 2021 and 5% from 2021 to 2022.” Opposition at 11. “Commission precedent indicates that because of the common carriage aspects of service contracts, carriers lacking sufficient space must pro-rate their available space among contract

shippers as an alternative to possibly acquiring additional capacity.” *California Shipping Line*, 1990 WL 427466, at *32. Thus, priority should have gone to cargo which OOCL had previously committed to transport, and to the extent that these extra loaders created additional capacity, OOCL should have first fulfilled its pre-existing contractual requirements, rather than being utilized only as a premium service or at higher rates.

OOCL also linked premium rates to future contracts. An internal OOCL January 16, 2021, email from OOCL noted that “some customers, that have yet to meet their MQC, have already agreed to similar rates thru 2022. Customers are of the mindset to secure agreements and space before carriers fill their basket. Almost a first come first serve [sic] scenario.” APP 3069. OOCL sent BBY an email on October 14, 2021, regarding a proposed PSS and noting that “[t]his is also about positioning for the 2022 contract.” RX 837.

This first-come, first-serve approach was also mentioned in a January 12, 2021, email from OOCL to BBY, which said: “We are offering BBB an opportunity to secure space, but no set allocation at this time. It will be first come, first serve in terms of space allocation.” APP 4113; *see also* APP 3024 (“space will go to the highest bidder.”). The Commission’s predecessor discussed the unreasonableness of a first-come, first-serve approach. “Nor is the common law principle of ‘first-come first-served’ fair because it disregards the rights of the shipping public as a whole and tends to foster monopoly in favor of the large shipper.” *Patrick Lumber Co. v. Calmar S.S. Corp.*, 2 U.S.M.C. 494, 499 (United States Maritime Commission Feb. 4, 1941).

BBY’s Senior Director of International Supply Chain, Patrick Hackett, credibly testified that agreeing to surcharges was necessary to obtain space on OOCL vessels, saying:

A. One was they were coming to us with peak season surcharge and they were saying, listen, yeah, I know we have a contract, but if you want to get on a vessel, you’re going to have to agree to these peak season surcharges. So, candidly, our hand was kind of forced, as it was with other importers because it was a global phenomenon. And, so, yeah, we did agree to them. Keeping in mind that we are a retailer, right? If we don’t have product on the shelves, we don’t have business

APP 849. He further explained: “There wasn’t much negotiation. Let’s put it that way. It was more one way. And then it was like, if you want to get space on the vessel, you’re going to have to do this, and we said all right.” APP 821-22. Similarly, BBY’s Vice President of Global Transportation through September 21, 2022, Reid Klosowsky, credibly testified that while OOCL did not force BBY to sign a premium contract, there also was no other option if they wanted to get space at the time. APP 1280.

The OOCL-BBY premium contracts – and the extra loader opportunities offered by OOCL – had higher freight rates than the regular service contracts between BBY and OOCL. *See, e.g.*, APP 3404; APP 3412; APP 3670; APP 3676; APP 3707; APP 4020. PSS fees, and other direct increases to freight rates, of course increased BBY’s ocean freight costs as well. *See, e.g.*, RX 3127; APP 3471-72; APP 3476; APP 3488; APP 3492; APP 3524. BBY expert Mr. McCown stated: by January 22, 2021, “OOCL’s PSS fees were so high as to virtually

match spot rates, eliminating the benefit of (and frustrating the purpose of) fixed-price service contracts.” APP 3779, ¶¶ 116-117.

Caselaw is clear that even when demand exceeds supply, carriers must act in a reasonable manner, and “if a shipper qualified, he may not be denied space at the pleasure, and for the profit, of the carrier.” *Grace Line Inc. v. FMB*, 280 F.2d at 793. “A carrier must establish a reasonable plan in order to cope with periods of congestion and must fill its capacity in a reasonable and just manner when such periods occur.” *Levantino & Sons*, 18 F.M.C. at 104.

The evidence shows that OOCL’s plan to cope with the pandemic’s period of congestion was to focus primarily on profits, without sufficient consideration of contractual commitments. OOCL did not make a good faith effort to meet its MQC, but rather pressured BBY to agree to surcharges and premium rates to obtain space promised in the service contract. The evidence shows that OOCL preferred higher-priced freight at the expense of its service commitments, unreasonable coerced overcharges, and unreasonably shifted space to higher-priced cargo. This decision does not address whether OOCL could have charged a higher rate for additional service once it met its initial MQC as that is not what the facts show here. Thus, the evidence shows that OOCL had unjust or unreasonable practices when imposing surcharges and premium rates.

The next section addresses whether OOCL had an unjust or unreasonable practice of negotiating service contracts without intending to comply.

iii. Service Contract Negotiations

BBY asserts that OOCL maintained an unreasonable policy of negotiating service contracts without intending to comply. Brief at 50-51. OOCL does not directly address this argument.

BBY primarily relies on previous allegations to support this argument. This evidence does not show that OOCL negotiated service contracts without intending to comply. Rather, it appears that OOCL took advantage of supply chain congestion. Moreover, as other practices have been found unreasonable, this additional practice would not change the proceedings’ outcome. BBY has not met its burden to establish that OOCL maintained an unreasonable policy of negotiating service contracts without intending to comply. Therefore, OOCL is not found to have engaged in this unreasonable practice and this is not an additional basis to find OOCL’s practices unreasonable.

iv. Conclusions Regarding Reasonableness

OOCL’s space allocation system and its PSS and premium pricing practices, including for extra loaders, are found to be unreasonable. The final two elements of a section 41102(c) claim are addressed next: whether the practices occurred on a normal, customary, and continuous basis and whether they were the proximate cause of injury.

d. Normal, Customary, and Continuous Basis

BBY asserts that OOCL’s unreasonable practices occurred on a normal, customary, and continuous basis both as to BBY and as to other OOCL customers. Brief at 13-17; Reply

at 2-7. OOCL argues that a practice has to be normal and customary and that there “was nothing normal about the 2020-2022 shipping years.” Opposition at 94 n.58.

The evidence shows that OOCL’s practices were applied to BBY over an extended period spanning 2020 to 2022 and impacted thousands of containers. *See, e.g.*, APP 3013; APP 2957; APP 3308. Moreover, the evidence shows systemic issues with space allocation and premium pricing so other shippers faced similar challenges. *See, e.g.*, APP 3181; APP 3180; APP 3184. Regulated entities are expected to engage in reasonable practices even when there are challenges to the shipping industry and OOCL does not cite any law to the contrary. Therefore, the evidence supports finding that OOCL’s unreasonable practices occurred on a normal, customary, and continuous basis as required under section 41102(c).

e. Proximate Cause

BBY contends that OOCL’s practices were the proximate cause of the losses claimed by BBY. Brief at 54; Reply at 28. OOCL’s expert Boris Steffen contends that Mr. McCown “did not identify any facts, and perform any independent analysis thereof, to demonstrate with reasonable certainty that there was an actual shortfall between the space provided by OOCL and what was required of OOCL under either Service Contract. Doing so is necessary to show a causal relationship between a violation and any damages allegedly ascribed to it.” APP 3957 (footnotes omitted).

The evidence shows that the damages alleged by BBY were proximately caused by the alleged violations. For example, OOCL’s reliance on an unreasonable space allocation system was the proximate cause of OOCL’s failure to transport the MQC. Also, OOCL’s unreasonable practices regarding surcharges and premium rates were the proximate cause of BBY paying in excess of contract amounts. Whether BBY provides sufficient support for the reparations alleged is a separate issue which is addressed below. For purposes of the section 41102(c) analysis, BBY has established that OOCL’s practices were the proximate cause of BBY’s losses.

BBY has established all five elements of a section 41102(c) claim for the two practices found to be unreasonable: OOCL has an unjust or unreasonable practice regarding space allocation and regarding surcharges and premium rates for extra loaders. Whether reparations can be awarded for these violations is addressed in section 6, after discussing the other alleged violations. BBY also contends that section 41102(c) was violated by the detention and demurrage charges that were imposed. That allegation is discussed next.

2. Detention and Demurrage, Section 41102(c) & 46 C.F.R. § 545.5

BBY contends that OOCL took advantage of the unprecedented supply chain dislocations and resulting congestion at marine terminals around the world, including the United States and, in particular, the port of Los Angeles / Long Beach, to assess unreasonable detention and demurrage charges on BBY, even though such charges arose from circumstances outside of BBY’s control (and despite BBY’s enormous efforts to avoid or mitigate such charges) and thus did not function to incentivize the free flow of containers, as required under FMC rules and regulations; and that the D&D charges at issue during the relevant time period in this action

were untethered to any direct or opportunity costs to OOCL associated with the underlying containers, and were objectively excessive and unreasonable. Brief at 4, 54-73; Reply at 28-43.

OOCL asserts that to make out a statutory violation for unreasonable detention and demurrage charges under section 41102(c), a complainant must prove the unreasonableness of the challenged demurrage and detention practices on a shipment-by-shipment, date-by-date, charge-by-charge basis, which burden Complainant has not carried here and that OOCL's detention and demurrage charges were just and reasonable. Opposition at 29-42.

The analysis of many of the section 41102(c) elements is similar to the analysis above. The primary difference regarding the detention and demurrage claim is the reasonableness element. Therefore, after a discussion of the legal framework, the reasonableness of detention and demurrage rates and charges are discussed. As the evidence does not establish an unreasonable practice, the other elements are not discussed.

a. Legal Framework

The issue in Count II is whether OOCL's detention and demurrage practices violated section 41102(c), which states that a "common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c). The elements are the same as are discussed above.

On April 28, 2020, the Commission issued an Interpretive Rule on Demurrage and Detention Under the Shipping Act, effective May 18, 2020. 85 Fed. Reg. 29638 (May 18, 2020) ("Demurrage and Detention Rule"). The Demurrage and Detention Rule provides "guidance as to what [the Commission] may consider in assessing whether a demurrage or detention practice is unjust or unreasonable" under section 41102(c). 85 Fed. Reg. 29638.

Commission Rule 545.5 provides in pertinent part:

(a) Purpose. The purpose of this rule is to provide guidance about how the Commission will interpret 46 U.S.C. 41102(c) and § 545.4(d) in the context of demurrage and detention.

(b) Applicability and scope. This rule applies to practices and regulations relating to demurrage and detention for containerized cargo. For purposes of this rule, the terms demurrage and detention encompass any charges, including "per diem," assessed by ocean common carriers, marine terminal operators, or ocean transportation intermediaries ("regulated entities") related to the use of marine terminal space (e.g., land) or shipping containers, not including freight charges.

(c) Incentive principle—

(1) General. In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to

which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.

(2) Particular applications of incentive principle—

(i) Cargo availability. The Commission may consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval.

(ii) Empty container return. Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable.

(iii) Notice of cargo availability. In assessing the reasonableness of demurrage practices and regulations, the Commission may consider whether and how regulated entities provide notice to cargo interests that cargo is available for retrieval. The Commission may consider the type of notice, to whom notice is provided, the format of notice, method of distribution of notice, the timing of notice, and the effect of the notice.

(iv) Government inspections. In assessing the reasonableness of demurrage and detention practices in the context of government inspections, the Commission may consider the extent to which demurrage and detention are serving their intended purposes and may also consider any extenuating circumstances.

(d) Demurrage and detention policies. The Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements.

(e) Transparent terminology. The Commission may consider in the reasonableness analysis the extent to which regulated entities have clearly defined the terms used in demurrage and detention practices and regulations, the accessibility of definitions, and the extent to which the definitions differ from how the terms are used in other contexts.

(f) Non-Preclusion. Nothing in this rule precludes the Commission from considering factors, arguments, and evidence in addition to those specifically listed in this rule.

46 C.F.R. § 545.5; *see also Bakerly*, 2026 WL 254020.

In the Detention and Demurrage Rule, the Commission addressed the role of these charges. Ocean carriers argued that demurrage and detention function to compensate them for costs associated with their equipment. 85 Fed. Reg. at 29651. Marine terminal operators, and shippers and intermediaries, also indicated that demurrage and detention have a compensatory element. *Id.* The Commission stated:

Historically, the Commission recognized that demurrage has “penal elements which are designed to encourage the prompt movement of cargoes off the piers” and includes a compensatory element which accounts for “the use of the pier facilities, for watchmen, fire protection, etc., on the cargo not picked up during free time.” It is important to specify, however, what this compensatory aspect of demurrage traditionally meant. To the extent demurrage had a compensatory aspect, it was to reimburse ocean carriers for costs incurred *after* free time expired—“costs” in this context meant *additional* costs associated with cargo remaining on a pier after free time. In other words, demurrage and detention are not the mechanism by which ocean carriers recover all costs related to their equipment, and the Commission cannot assume that these charges are the primary method by which ocean carriers recover their capital investment and container costs, as some commenters suggest.

85 Fed. Reg. at 29651 (footnotes omitted, emphasis in original).

b. Unjust or Unreasonable Practice

BBBY identifies two practices that it alleges are unreasonable: first, that OOCL’s detention and demurrage rates were unjustified, and second, that OOCL assessed unreasonable detention and demurrage charges against it. OOCL contends that BBBY failed to establish a violation of the reasonableness element of a section 41102(c) claim.

i. Detention and Demurrage Rates

BBBY argues that OOCL’s unreasonable detention and demurrage rates are unjustified as a means of compensating OOCL’s direct or opportunity costs associated with container movement. Brief at 57-60; Reply at 28-31. OOCL asserts that BBBY fails to prove Count II relating to detention and demurrage under 41102(c) and they provide a brief description of detention and demurrage. Opposition at 29-31.

BBBY alleges that “OOCL’s detention and demurrage charges are being assessed in order to drive profit, rather than to promote freight fluidity as the incentive principle requires” and relies on its expert report to establish that OOCL charges “exorbitantly high rates.” Brief at 58-59.

Commission cases have discussed whether charges imposed by marine terminal operators (“MTOs”) are unreasonable under section 41102(c) and its predecessor, section 10(d)(1).

Specifically, with regard to charges assessed by an MTO, the question under section 10(d)(1) is not whether a complainant has received some “substantial benefit,” but whether the correlation of that benefit to the charges imposed is reasonable. *Volkswagenwerk Aktiengesellschaft v. Fed. Mar. Comm’n*, 390 U.S. 261, 282 (1968). Such a charge “is unreasonable if it is not reasonably related, either to an actual service performed for, or a benefit conferred upon, the person being charged.” *Ind. Port Comm’n v. Fed. Mar. Comm’n*, 521 F.2d 281, 285 (D.C. Cir. 1975).

Kawasaki Kisen Kaisha, Ltd. v. The Port Authority of New York and New Jersey, Docket No. 11-12, 2014 WL 7328475, at *9 (FMC Nov. 20, 2014). “When applying the *Volkswagenwerk* standard, the Commission determines ‘whether the charge levied is reasonably related to the service rendered’ based on a comparative cost/benefit analysis of concurrent users of a facility.” *Id.* (cleaned up) (citing *New Orleans Steamship Ass’n v. Plaquemines Port, Harbor & Terminal Dist.*, 28 F.M.C. 556, 566 n.40 (FMC Sept. 16, 1986) (*aff’d sub nom. Plaquemines II*, 838 F.2d 536 (D.C. Cir. 1988) (quoting *Volkswagenwerk*, 390 U.S. at 282))).

The evidence shows that between 2020 and 2022, \$1,784,164.88 in demurrage charges were assessed for BBY shipments moving under OOCL terms. CPFF ¶ 345; RRPFF ¶ 345. Between 2020 and 2022, \$6,306,612.95 in detention charges were assessed for BBY shipments moving under OOCL terms. CPFF ¶ 346; RRPFF ¶ 346.

The evidence further shows that OOCL profited from the detention and demurrage charges it billed to its customers. OOCL USA Vice President of Customer Service, Andrew Donohue, testified:

Yes. There was an element of profit. . . . Actually, I should be specific. I can’t speak for all locations around the world. But there were some areas where it was cost plus. So there was a margin on the demurrage rate. So we did experience a profit on the demurrage charge. But there were other areas where we were at a loss, and we had to try and recoup. So it’s fluid depending on the location.

APP 553; *see also* RRPFF ¶ 385 (“OOCL admits that it earned profit from DD charges”); CPFF ¶ 385. The locations where OOCL profited from demurrage charges included the port of Los Angeles / Long Beach, with testimony that: “So speaking strictly about our tariff rate, yes, there would be profit in LA/Long Beach. But for individual service contracts that have customized demurrage rates or detention rates, it may not be a profit. We could be accepting those terms at a loss.” APP 553; CPFF ¶ 386; RRPFF ¶ 386.

Mr. McCown, BBY’s expert, concluded that OOCL’s per diem rates amounted to “more than 100 times the actual daily carrying cost of the containers” and were “excessive and not reasonably calculated to compensate OOCL for the expense or incentivize customers to move containers.” APP 3784. BBY’s expert used Trailer Bridge as a benchmark from which to compare OOCL’s detention and demurrage rates. Mr. Steffen, OOCL’s expert, asserts that there is no “explanation of how Trailer Bridge’s finances, operations, markets and business practices were comparable to OOCL.” APP 3962. Mr. Steffen points to the different geographic markets served, that the data used was outdated and from 2008, and that it declared bankruptcy

in 2011, concluding that Trailer Bridge is “useless for benchmarking” and which “preclude[s] its use as a benchmark for purposes of estimating demurrage and detention rates for a leading, global and profitable enterprise such as OOCL.” APP 3962-64.

Mr. Steffen asserted that “OOCL’s fees were the lowest among its peers,” after comparing OOCL’s demurrage rates to those of COSCO, Yang Ming, and ZIM, finding that all four companies offered the same number of free days with Yang Ming’s rate being higher than OOCL by day 15. APP 3964. OOCL’s detention rates were compared with Hapag-Lloyd and Yang Ming to find that OOCL’s fees were the lowest and that it extended one more free day than Hapag-Lloyd and Yang Ming. APP 3964.

Neither expert provides a persuasive analysis regarding the rates. The benchmark company relied on by Mr. McCown served a different geographic market, operated at a different scale, and is woefully outdated. Mr. Steffen’s analysis would be more persuasive if he consistently compared detention and demurrage charges. Instead, he looks at some carriers to compare demurrage rates and looks at different carriers to compare detention charges. This leaves the impression that the information was cherry-picked and not representative.

Here, the record is clear that BBY received a benefit – they retained use of OOCL’s container and chassis beyond the allotted free time. BBY argues that OOCL’s rates were unreasonable because they were “driving revenue” and higher than the Trailer Bridge rates and because BBY’s detention and demurrage billing increased significantly. However, BBY does not point to any Commission precedent for finding rates unreasonable because they are higher than another entity’s rates or because there was a profit component. And, the increase in billing may not have been due to the rates but delays in retrieving cargo. BBY does not present the comparative cost/benefit analysis that would be required to determine whether the detention and demurrage charges were reasonably related to the benefit received.

Even if the evidence showed that the detention and demurrage rates were unreasonably high, BBY has also not established that unreasonable rates were the proximate cause of BBY’s detention and demurrage losses. 46 C.F.R. § 545.4(e); *see also USL Auto Exporting Inc. v. Easy Shipping Corp.*, Docket No. 23-13, 2025 WL 1181598, at *24 (ALJ April 16, 2025) (adm. final May 19, 2025). If the containers had been picked up within free time, then, regardless of the rates, there would have been no charges incurred by BBY. Therefore, it is important to determine why the containers were not picked up within free time and why the detention and demurrage charges were incurred. BBY has not presented evidence of why specific containers were not picked up within free time. Therefore, BBY has not met its burden to establish that detention and demurrage rates were unreasonable.

The other detention and demurrage practice that BBY alleges is unreasonable is the charges assessed. The reasonableness of those charges is addressed next.

ii. Detention and Demurrage Charges

BBY argues that OOCL’s detention and demurrage charges were unreasonable because port congestion significantly disrupted the flow of containers; OOCL assessed arbitrary and exorbitant detention and demurrage charges against BBY; OOCL maintained

unreasonable invoicing and collection practices as to the detention and demurrage charges assessed against BBY; OOCL did not have meaningful dispute resolution policies or practices as to the detention and demurrage charges assessed against BBY; and factors outside of BBY's control interfered with BBY's bona fide and significant efforts to mitigate OOCL's unreasonable detention and demurrage charges. Brief at 36-40; Reply at 31-43.

OOCL asserts that the required elements of a detention and demurrage claim are not met; BBY omits required 41102(c) elements; and OOCL's detention and demurrage charges were just and reasonable. Opposition at 31-47.

At various points between 2020 and 2022, BBY contacted OOCL concerning D&D charges. For example, on October 18, 2021, BBY sent a letter to OOCL expressing frustration regarding D&D billing, among other issues. APP 2936. BBY also expressed D&D related concerns, including one specific example, in a February 5, 2022, email to OOCL:

As you are aware, Wednesday, Jan 19 we provided an example of the denial of access to Pacific Container Terminal to retrieve two containers on 1/11, a copy of which was attached from Knight Transportation. To date, we have not yet [heard] back from your team as to why they were denied access of [sic] if you can apply an abatement to the demurrage. Once you provide this response, we will send additional examples of delays we experienced because of denial of access. We chose to proceed in this manner so as to allow you to research each claim without overwhelming you, and to map out the review and action process. This is going to be a big project for both sides. Let's plan out resources accordingly. . . .

In addition to the appointment [pick-up] and return problems we have discussed with OOCL and written to you about that delayed us from picking up and returning containers, we want to share the following as additional issues for which [we] are not responsible. These issues are some of the underlying reasons why we have requested concessions and abatement from OOCL for the enormous shipping expense and negative business impacts we have been forced to absorb over the last four months. . . .

3. Shipping delays at origin and anchoring delays at destination, [none] of which was contributed by my company, caused our containers to arrive in a bulk manner that could not reasonably be picked-up in a manner to maximize container flow, resulting in port backlogs, and demurrage and detention charges. Our shipping plan, which would have enabled a smooth flow between the port and our drayage carriers and warehouses, could never be fully implemented. . . .

APP 4091-92 (underlines in original).

Then on February 9, 2022, BBY sent the February 2022 Letter to OOCL, reiterating its concerns regarding D&D and MQC issues with a specific example:

Shipping delays at origin and anchoring delays at destination, none of which were contributed to by BBB, caused our containers to arrive in a bulk manner that could not reasonably be picked up in a way that would maximize container flow, resulting in port backlogs and detention and demurrage charges. Our shipping plan, which would have enabled a smooth flow between the port and our drayage carriers and warehouses, could never be fully implemented.

APP 3307-08.

On February 16, 2022, Mr. Murdoch wrote in an internal OOCL email stating: “Although Trade has indicated no willingness to mitigate DD without supporting documentation from BBB, this remains a sensitive issue.” RX 848-49. Mr. Young replied to Mr. Murdoch on February 16, 2022, writing:

Have we even evaluated the DD billed as correct ... They seem to imply - but have not provided evidence to qualify, that they were not responsible for delays in Pick up - or MT return to our facility ... If this is the case and can be validated - the DD should not be billed - per the FMC Final Rule ... I agree with the attorney - to simply dismiss out of hand without investigation would create potential risk that the situation may be presented to the FMC – especially since Commissioner Dye’s outreach to elicit complaints and how to file.

RX 847 (ellipses in original). Also on February 16, 2022, Mr. Young replied to a follow-up email from Mr. Schmiemann, writing:

[M]y comment was more predicated as to whether we have reviewed the assessed charges, at least from an internal perspective to ensure we are correct - they raised the issue in October - and we cited that we are in compliance with the Final Rule, but did not explicitly review their specific issue on DD If there were issues to return empties or to pick up loads based on the prevailing situation at the time I just want to be sure we have validated our billing - or if there are circumstances that impacted operationally our billing on their cargo ... We know trades perspective -which is on a commercial consideration, but are we sure operationally we are 100% correct- so we talk from position of strength and compliance.

RX 846.

Mr. Schmiemann replied to Mr. Young on February 17, 2022, writing: “Prior to BBB submitting payment for Det their warehouse audits the invoices. Up to this point in time, they have only disputed a few invoices which the dispute team has reviewed. In these cases, we found no fault on our end.” RX 845-46. Later on February 17, 2022, Mr. Mitchell sent an email stating “BBB could be concerned with possible credit suspension for non-payment. It could also be that they have no documentation in hand to support a review of the invoices for possible mitigation.” RX 844. Thus, the evidence shows that OOCL reviewed the few charges contested by BBY.

BBBY was aware that marine terminal operators charged detention and demurrage that OOCL passed through to BBBY. On April 19, 2022, BBBY emailed Reade Kidd of EDRAI, and its4logistics, and others at BBBY writing:

Reade/Paul - Do you have a schedule of the Demurrage fees and their escalation rates by Terminal? This demurrage schedule from GCT in Bayonne below blew my “ever-loving” mind just now when Hayden shared their schedule.

Dejuan/Hayden - We need a game plan from you to get every container older than 9 days off port today. Now I understand why the demurrage is running \$2M a week. The scale from these terminals goes berserk after 10 days! God help us all!

RX 906. It appears that the terminal’s demurrage charges were designed to incentivize picking up containers and that the rate increased the longer a container remained in demurrage.

While BBBY did raise detention and demurrage issues with OOCL, and provided a small number of discrete examples, there is otherwise no evidence in the record of specific contested charges. APP 2351 (OOCL USA Director of Demurrage and Detention Team, Tracy Sha, describing two discrete claim disputes during the relevant time period, which her team vetted and resolved); APP 2237; RX 846; *see also* RPFF ¶ 501. BBBY further acknowledges that a concerted evaluation or dispute was not made for each and every container for which BBBY seeks demurrage and detention reparations. CRPFF ¶ 496; RPFF ¶ 496.

BBBY requests reparations for *all* of its detention and demurrage charges. However, BBBY did not provide a shipment-by-shipment analysis of the reason containers accrued detention and demurrage charges. Rather, as argued by OOCL, “BBBY relies upon vague, generalized, and anecdotal claims of congestion or equipment shortages without demonstrating in any case what actually caused delays to the specific containers which led to demurrage or detention charges.” Opposition at 31.

In a prior case, a violation was found only for the days “when there is evidence that sufficient appointments were not available” but that a violation was not found where there was no evidence regarding the availability of appointments. *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC-Possible Violations of 46 U.S.C. § 41102(c)*, Docket No. 21-09, 2022 WL 1239377, at *2, *30 (ALJ April 22, 2022) (FMC approved settlement June 8, 2022). In a different case, alleging that demurrage and detention charges were categorically unreasonable, the claim was denied as there was not sufficient evidence. *Samsung Electronics America, Inc. v. SM Line Corp.*, Docket No. 23-01, 2025 WL 2231637 (ALJ May 28, 2025) (appeal pending) (“The Commission’s requirement that the reasonableness of demurrage and detention charges be determined on a container-by-container basis suggests that the question of reasonableness turns on the specific facts and circumstances of each shipment at issue.”). Therefore, providing sufficient evidence is critical.

BBBY further acknowledges that there were periods when BBBY’s container yards and some of its warehouses were not full, implying that at some times they were full. Reply at 41. BBBY further asserts that “when warehouses were generally full, not all buildings were at

capacity” and some of BBY’s “warehouses becoming full was not BBY’s fault.” *Id.* Given that at least some of the detention and demurrage charges may have been the fault, and therefore responsibility, of BBY, it cannot be categorically found that all detention and demurrage charges should have been paid by OOCL. Accordingly, BBY has not established that OOCL’s detention and demurrage charging practices were unreasonable as required for a section 41102(c) claim.

Because the reasonableness element is not met, the remaining section 41102(c) elements are not addressed. Thus, BBY’s section 41102(c) claim based on detention and demurrage practices is denied. The next allegation addressed is section 41104(a)(2) regarding service not in accordance with the service contracts.

3. Service Not in Accordance with Service Contracts, Section 41104(a)(2)

BBY contends that OOCL’s actions of systematically failing to meet its service commitments - and seeking to coerce BBY to pay PSS and enter into premium rate contracts - were not in accordance with the rates, charges, classifications, rules, and practices contained in the parties’ service contracts. Brief at 4, 9, 72-74; Reply at 43-46.

OOCL asserts that BBY does not allege that OOCL ever assessed it a rate or charge, or engaged in a practice, that was not set forth in the specific service contract under which any of BBY’s shipments moved; and shippers who voluntarily entered into secondary contracts could choose whether to use the service contract or secondary contract for shipments; and “not only were the rates under the Secondary Contracts within market, but they were also agreed on an arms-length basis between BBY and OOCL and used for shipping cargo over and above BBY’s annual MQC allocation.” Opposition at 42-47.

During the period covered by the allegations, section 41104(a)(2) stated:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . (2) provide service in the liner trade that is - (A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under Chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a)(2) of this title;

46 U.S.C. § 41104(a)(2), also referred to as the filed rate doctrine (previously 10(b)(2)(A)).

The filed rate doctrine requires that “the agreed to rate (whether filed in tariffs or negotiated in a service contract or NRA) must be charged - not more and not less. However, that filed or negotiated rate may not be enforceable if it violates the Shipping Act, for example, if it is an unreasonable practice under section 41102(c).” *Bakerly, LLC v. Seafrigo USA, Inc.*, 2024 WL 95381, at *34 (ALJ Jan. 3, 2024) (*aff’d* 2024 WL 4678461 (FMC Oct. 30, 2024)); *see also Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves*, Docket No. 14-06, 2021 WL 1575018, at *17 n.15 (FMC April 16, 2021) (The Shipping Act requires common carriers to abide by the terms of their published tariffs and service contracts.).

The conduct and damages at issue in this count overlap with the conduct and damages alleged in Count I. Essentially, OOCL contends that charges were in accord with the regular

service contract or premium service contract rates. BBY asserts that OOCL was systematically failing to meet its service commitments and that the premium contracts were unreasonable and were not voluntary, but rather “consistent with OOCL employee’s use of terms like ‘gouging’ and ‘hostage’ to describe OOCL’s policies.” Reply at 43-45.

As discussed in Count I, the evidence shows that OOCL did not fulfill its minimum quantity commitment as initially agreed to in its service contracts, although BBY demonstrated that it was able to utilize space reasonably provided to it. The evidence also shows that after signing the service contracts, and while not having met the MQC, OOCL charged premium rates, above the rates initially agreed to in the service contract. In particular, OOCL’s argument relies on its contention that BBY “voluntarily entered into secondary contracts.” The evidence does not support this argument. For example, BBY credibly testified that “There wasn’t much negotiation. . . . It was more one way. And then it was like, if you want to get space on the vessel, you’re going to have to do this, and we said all right,” and “our hand was forced.” APP 821-22; APP 849. This evidence, already discussed at length, supports a finding that OOCL also violated section 41104(a)(2).

OOCL also argues that “the Commission has held (although ALJs have recently ignored) that claims under Section 41104(a)(2) are expressly removed from FMC jurisdiction by 46 U.S.C. § 40502(f), so may not be adjudicated before the Commission.” Opposition at 3. This is not accurate. In *Anchor Shipping*, complainant alleged that the respondent “used its influence within the shipping industry to coerce Anchor into accepting rate increases, reductions in volume allowed under the contract, and other unilateral amendments” and that Anchor “was coerced into accepting unwarranted amendments to the contract.” *Id.* at *2. Administrative Law Judge Kline dismissed the proceeding, stating that the complaint mixed breach of contract claims with Shipping Act claims and that Anchor had received an arbitration award. *Anchor Shipping Co. v. Aliaña Navegação E Logística Ltda.*, Docket No. 02-04, 2006 WL 2007808, at *4-5 (FMC May 10, 2006). The Commission reversed, reiterating that the party alleging the violations may rebut the presumption that the claim is not more than a simple breach of contract claim. *Id.* at *9-10. Chairman Blust and Commissioner Dye issued a concurring opinion finding the ALJ decision “fundamentally incorrect” and stating: “Let us make perfectly clear that it is the Commission’s unique obligation to adjudicate Shipping Act claims. Once a complainant alleges Shipping Act violations, particularly acts prohibited under section 10 of the Shipping Act, the complaint, on its face, is sufficient to survive a motion to dismiss.” *Id.* at *13.

The allegations and evidence of the section 41104(a)(2) violation extend beyond allegations of breach of the service contract to allege practices that violate the Shipping Act, such as utilizing an unreliable space allocation system to prioritize higher priced bookings over the previously contracted space and price agreements. Thus, determination of the Shipping Act claim requires consideration of the unique factors impacting the supply chain, including the soaring costs of spot rates. Similarly, the pressure imposed on BBY to ship via PSS, premium contracts, and extra loaders requires consideration of the lack of viable shipping alternatives and impacts on freight fluidity. These considerations rely on evidence outside of the particular terms of the service agreements, to ensure compliance with the Shipping Act in the course of performance under the contracts.

Therefore, BBY has rebutted the presumption that this is a breach of contract claim and has established that the claims of systematically failing to meet its service commitments, and seeking to coerce BBY to pay PSS and enter into premium rate/extra loader contracts, under these facts, were not voluntary and not in accordance with the rates, charges, classifications, rules, and practices of the parties' initial service contracts. The decision does not find unreasonable voluntary and mutually agreed upon revisions to contractual terms, such as the shortening of the 2020 service contract period. Accordingly, section 41104(a)(2) is an alternate ground supporting the finding that OOCL's conduct with regard to rates, charges, rules, and practices violated the Shipping Act.

4. Refusal to Deal, Section 41104(a)(10)

BBY contends that OOCL engaged in unlawful and unreasonable refusals to deal through its deliberate scheme to fail to meet its service commitments; its explicit quid pro quo demand for excessive surcharges and premium pricing; its deliberate deprioritization of BBY; and its refusal to quote sufficient space for BBY in the 2022-23 shipping year. Brief at 4, 88-90; Reply at 56-58.

OOCL asserts that it met its container space commitments during the shipping years at issue; the parties "mutually agreed to, signed, and filed 47 contracts (two annual and two secondary/premium service contracts, and forty-one amendments thereto) with the FMC during this period;" declining to reduce its freight rates with BBY further in the Fall of 2022 is not a violation of section 41104(a)(10); and OOCL did not otherwise unreasonably refuse to deal or negotiate. Opposition at 58-60.

Section 41104(a)(10) stated, during the relevant timeframe, that: "(a) In General.—A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not— ... (10) unreasonably refuse to deal or negotiate." 46 U.S.C. § 41104(a)(10); previously section 10(b)(10), and before OSRA 1999, section 10(b)(12). *See Canaveral Port Auth.-Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, Docket No. 02-02, 2003 WL 723336, at *5 n.6 (FMC Feb. 24, 2003). OSRA 2022 changed this section to add an example: "(10) unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier." 46 U.S.C. § 41104(a)(10).

After this proceeding was filed, the Commission issued a final rule regarding the Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier, and an announcement of the effective date. 89 Fed. Reg. 59648 (July 23, 2024); 90 Fed. Reg. 30 (Jan. 2, 2025); 46 C.F.R. § 542.1. Pursuant to the Refusal to Deal Rule, "Unreasonable means ocean common carrier conduct that unduly restricts the ability of shippers to meaningfully access ocean carriage services from that ocean common carrier." 46 C.F.R. § 542.1(b). A non-binding example of unreasonable conduct includes: "Vessel capacity limitations not justified by legitimate transportation factors." 46 C.F.R. § 542.1(e)(2). Transportation factors include: "vessel safety and stability, weather-related scheduling considerations, and other factors related to vessel operation outside the vessel operator's control and not reasonably foreseeable." 46 C.F.R. § 542.1(b). As an example of unreasonable conduct, the rule includes: "Quoting rates that are so

far above current market rates they cannot be considered a good faith offer or an attempt at engaging in good faith negotiations.” 46 C.F.R. § 542.1(h)(1); *see also World Shipping Council v. FMC*, 2026 WL 880278, at *4-6.

Failing to arrive at favorable terms – or any terms at all – following a negotiation is not a refusal to deal or negotiate. *Canaveral*, 2003 WL 723336, at *18 (citing *Seacon Terminals, Inc. v. Port of Seattle*, Docket No. 90-16, 26 S.R.R. 886, 899, 1993 WL 197325 (FMC Apr. 14, 1993)). For example, a respondent “was not required to give every potential lessee a lease; it was required to apply its stated criteria for granting the preferential lease terms in a fair and even-handed manner.” *Ceres Marine Terminals v. Maryland Port Admin.*, Docket 94-01, 29 S.R.R. 356, 372, 2001 WL 1085428, *23 (FMC Aug. 15, 2001). The Commission has stated that “in determining reasonableness, the agency will look to whether a marine terminal operator gave actual consideration to an entity’s efforts at negotiation.” *Canaveral Port Auth.*, 2003 WL 723336, at *18. “Refusals to deal or negotiate are factually driven and determined on a case-by-case basis,” although the ultimate burden of persuasion remains with the complainant to show that the refusal to deal or negotiate was unreasonable. *Id.* at *13, *18.

In a case affirmed by the Commission and D.C. Circuit, the Administrative Law Judge explained:

The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of the OSRA [1998]. All that is required is that common carriers . . . refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.

New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans, Docket No. 00-11, 29 S.R.R. 345, 351, 2001 WL 865692, *8 (ALJ June 27, 2001) (*aff’d* 29 S.R.R. 1066, 2002 WL 33836158 (FMC June 28, 2002) (*aff’d sub nom New Orleans Stevedoring Co. v. FMC*, 80 Fed. Appx. 681 (D.C. Cir. 2003))).

In *Global Link*, the ALJ dismissed a refusal to deal claim, finding that Hapag-Lloyd did not unreasonably refuse to deal or negotiate by refusing to reduce service contract rates when market shipping rates declined during the life of the contract. *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Docket No. 13-07, 33 S.R.R. 512, 2014 WL 5316345, at *18 (ALJ April 17, 2014) (dismissed on appeal due to settlement, 2015 WL 3955128 (FMC April 14, 2015)). The *Global Link* decision enforced the terms of the parties’ agreement, stating:

Focusing on Global Link’s claim that Hapag-Lloyd unreasonably refused to deal or negotiate on Global Link’s request to reduce the 2012 Service Contract rates, the question in this proceeding becomes: When an ocean common carrier has negotiated with a shipper and entered into a service contract, does that carrier unreasonably refuse to deal or negotiate with the shipper in violation of section 41104(10) if the carrier will not *renegotiate* the terms of the exiting service contract when the shipper so demands? In other words, when a shipper states it is no longer satisfied with the terms of an existing contract - in this case, by claiming that the rates set forth in the service contract are too high because

market shipping rates declined after the parties signed the contract and the shipper wants to renegotiate for lower rates - does section 41104(10) require the carrier to abandon its rights established by the contract and agree to lower rates? I conclude that the answer is no.

Global Link, 2014 WL 5316345, at *18 (emphasis in original).

To establish a violation of section 41104(a)(10), the Complainant must establish that (a) Respondents are common carriers, (b) Respondents refused to deal or negotiate, and (c) such refusal was unreasonable. The first element, that Respondents are common carriers, has been answered affirmatively above. The other two factors are addressed below.

BBBY contends that OOCL refused to deal or negotiate by “failing to make reasonable accommodations to provide space to BBBY under the service contracts, failure to accurately track BBBY’s booking attempts, and engaging in a scheme to withhold service by refusing to make reasonable accommodations to provide space to BBBY and other of its BCO customers.” Brief at 88. Additionally, BBBY argues that OOCL failed to provide contracted space to BBBY without PSS or premium rates; failed to assess D&D charges in a reasonable manner; and failed to engage in good faith negotiations for the 2022-23 shipping year in a reasonable manner. Brief at 89; Reply at 56-57. The reparations sought for violation of this section are the same reparations sought for the violations alleged in Counts I and II with respect to the former two arguments, i.e. that OOCL failed to provide contracted space to BBBY without PSS or premium rates and failed to assess D&D charges in a reasonable manner. Brief at 91. But BBBY also seeks reparations for the 2022-23 Shipping Year, seeking to recoup lost profits, which BBBY calculates as \$44,906,060.97. Brief at 91; 96-100.

OOCL asserts that it met its container space commitments; the allegations “fall well outside the test set out by the Commission for claims for refusal to deal;” and that any refusal must be unreasonable. Opposition at 59-60.

The conduct that BBBY contends is an unreasonable refusal to deal with respect to Counts I and II is the same conduct that is addressed above and no additional reparations are sought for these violations. The same facts are relevant and will not be repeated here. The evidence does not show that OOCL refused to deal or negotiate in imposing detention and demurrage charges. But, as was found above, OOCL unreasonably failed to provide space in the 2020-21 and 2021-22 shipping years, and refused to provide space without PSS and premium rates for extra loaders. These actions constituted a partial shutout and were not justified, as the amendments to price and MQC were not found to be voluntary. Accordingly, the refusal to deal count is another basis to support finding violations for MQC shortfalls for the 2020 and 2021 service contracts and for imposing overcharges.

BBBY also contends that OOCL failed to engage in good faith negotiations for the 2022-23 shipping year and seeks reparations for lost profits. The evidence shows that OOCL did not negotiate the 2022-23 contract in good faith. This refusal was related to the retaliation claim, addressed in the next section. This section focuses on OOCL intentionally reducing quantities and quoting rates so far above market rates that they cannot be considered a good faith offer or negotiation. This is evident from statements by its own employees.

Mr. Chen emailed Mr. Schmiemann on February 22, 2022, writing: “Did we officially commit to rolling over MQC to BBB in written? If not, we still have chance to reduce MQC before we renew.” APP 2962. Mr. Schmiemann replied: “I do not think in writing but we have verbally committed several times.” APP 2962. Mr. Chen replied later on February 22, 2022, writing: “*Per HKG’s direction, we need to reduce our space commitment to BBB.* Since we have not yet concluded the renewal, please find a way to inform BBB our latest intent to reduce our commitment, based on reasons I have mentioned. Thanks.” APP 2962 (emphasis added). Mr. Schmiemann responded to Mr. Chen that same day, writing:

My credibility is at stake here which I am not inclined to compromise. The topic of MQC has come up on a few occasions during Jim and my discussions with BBB and we agreed to maintain. I would also be concerned with the perception from a retaliatory standpoint. I will call you shortly. Adding others to copy who are intimate with what is going on with BBB.

APP 2961-62.

Mr. Chen replied to Mr. Schmiemann’s February 22, 2022, email in a separate thread, writing: “I understand your concern. Per HKG’s rollout direction, we are required to reduce contract MQC at least 17% to every customers [sic], not to mention BBB who primarily supports coastal cargo. Surely we can talk.” APP 3078; APP 216. Mr. Schmiemann replied later on February 22, 2022, writing: “The MQC discount of 17% off of the award (2021 MQC) has been explained and accepted by BBB. I will call you.” APP 2961; RRPFF ¶ 477. OOCL USA Regional Business Analyst, Ms. Forminio, replied to Mr. Schmiemann, later on February 23, 2022, writing: “I think his comment to reduce every customer volume by 17% was not right *he was just using it as justification to reduce BBB.* But I see you got through to him so that’s great.” APP 3077 (emphasis added); APP 709.

On March 17, 2022, Mr. Young sent an internal OOCL email, writing:

We have been fortunate so far to stave off any perception of OOCL being party to any “gouging” opportunities, and know all carriers are pushing SC rates and to gain commitments for long term periods to lock in high prices. . . . As examples of the issues we are encountering...

1.BBB – we offered rates for their 7000T contract offer around 1000-1500 above the rates quoted to other shippers with similar service contract MQCs. When BBB requested some reduction compared to the rates being offered by other carriers, Trade declined and stuck to the initial offered rates – while appreciate we need to peg our rates based on our own commercial consideration and costs – *the fact that we have other contracts with other parties on similar MQC and shipping pattern* may potentially be construed that we are retaliating and holding our position to limit our carrying with BBB Trade refused to budge on the rates for BBB based on our initial offering.

APP 456; APP 460; APP 2733 (emphasis added); *see also* APP 4165-66.

On March 19, 2022, Mr. Young sent an internal OOCL email expressing concerns regarding OOCL's pricing policies, writing:

In the past we tried to pitch high – the customer pitched low and we negotiated to a middle ground. Under the current environment this isn't an effective strategy (if that's what we are still doing) and pitching high in most cases will result in customers walking away from OOCL, are signing in fear that if they do not commit - they will not secure space – so they accede in some cases just to ensure they can ship their commodity.

APP 4176 (emphasis added); APP 470; RRPFF ¶ 90.

The evidence shows that OOCL intentionally quoted a reduced MQC and rates so far above market that they cannot be considered a good faith offer or negotiation. *See also* APP 1755 (OOCL internal email on November 1, 2022, noting “no need to reach out to Bed Bath & Beyond as our rates are purposely higher than what they will ship against.”). Indeed, it appears that OOCL may have been using its offer as a way to make BBY walk away. Moreover, any concerns about BBY's financial viability were not raised until later and were not a motivating factor in the decision about what quantity and rates to offer. *See* section III.C.5.b.iii below. Thus, the evidence shows that OOCL did not have a legitimate transportation or other appropriate basis for quoting reduced quantities and above-market rates.

Accordingly, BBY has also established a violation of the Shipping Act for refusal to deal during the 2022-23 shipping year. Reparations will be addressed below, which requires assessing BBY's proffered lost profits calculation, which BBY requests to be doubled based on retaliation.

5. Retaliation, Section 41104(a)(3)

BBY contends that when BBY raised concerns regarding OOCL's unlawful practices and threatened OOCL with claims before the FMC, OOCL responded by unlawfully retaliating against BBY; and after BBY engaged in protected activity by challenging OOCL's charges and practices, OOCL retaliated by falling short on its service commitments to BBY, imposing and refusing to waive enormous unreasonable charges, deprioritizing BBY for space, and refusing to offer sufficient space in the following shipping year's service contract negotiations. Brief at 4, 74-87; Reply at 46-55.

OOCL asserts that no protected activity occurred relevant to a claim of retaliation; the first letter referenced by Complainant contained no threat of filing a complaint, and its author said it was not intended as a threat; the second letter made no reference to the FMC; and OOCL did not engage in an act of retaliation against BBY. Opposition at 47-58.

During the relevant timeframe, section 41104(a)(3) provided that: “A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when

available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” 46 U.S.C. § 41104(3) (now 41102(d)). Additional damages, up to double the actual injury, may be available for a violation of the anti-retaliation provision. 46 U.S.C. § 41305(c).

Retaliation in the shipping industry has long been a concern. The Report of the Committee on the Merchant Marine and Fisheries on Steamship Agreements and Affiliations in the American Foreign and Domestic Trade under H. Res. 587 (1914) (“Alexander Report”) investigated foreign and domestic shipping lines, proposing that among other things, Congress empower the Interstate Commerce Commission to “[a]dopt whatever measures it may deem necessary to protect the complainant against retaliation,” and prohibit carriers from “retaliating against any shipper by refusing space accommodations when such are available, or by resorting to other unfair methods of discrimination, because such shipper has patronized an independent line, or has filed a complaint charging unfair treatment, or for any other reason.” Alexander Report at 421; *see also* Statement of the Commission on Retaliation, Docket No. 21-15, 3 F.M.C.2d 201, 202, 2021 WL 9204128 (FMC Dec. 28, 2021) (“Statement on Retaliation”).

“In passing the Shipping Act of 1916 . . . Congress followed the basic recommendations of the Alexander Committee.” *Fed. Mar. Bd. v. Isbrandtsen Co.*, 356 U.S. 481, 490 (1958).

Section 14 of the 1916 Act prohibited deferred rebates, fighting ships, making discriminatory shipping contracts and “retaliat[ing] against any shipper by refusing, or threatening to refuse, space accommodations when such are available, or resort to other discriminating or unfair methods, because such shipper has patronized any other carrier or has filed a complaint charging unfair treatment, or for any other reason.” This language was carried forward with little change as section 10(b)(5) in the Shipping Act of 1984 and its codification as 46 U.S.C. § 41104(a)(3).

Statement on Retaliation, 3 F.M.C.2d at 202-03 (footnotes omitted).

The Commission issued the Statement on Retaliation “to clarify that it will interpret 46 U.S.C. § 41104(a)(3) – the anti-retaliation provision – broadly to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission, and to address new shipping practices and new forms of retaliation.” Statement on Retaliation, 3 F.M.C.2d at 201. The Commission concluded, stating:

A complainant must show that a carrier engaged in prohibited conduct (refusing cargo space accommodations or other unfair or unjustly discriminatory methods), with respect to a protected entity (shipper), because the protected entity engaged in protected activity (patronizing other carriers, filing a complaint, or other activities of the same class).

Statement on Retaliation, 3 F.M.C.2d at 209.

This section will address the retaliation arguments in this proceeding by discussing whether (a) BBBY is a shipper which engaged in protected activity, and (b) OOCL is a common carrier which engaged in prohibited conduct.

a. Shipper Activity

The Commission has indicated that “although § 41104(a)(3) protects ‘shippers,’ that term includes more than just cargo owners.” Statement on Retaliation, 3 F.M.C.2d at 201. As discussed above, BBY is a shipper and OOCL does not challenge this element. Therefore, this element is met.

BBY contends that OOCL retaliated against it because BBY “conveyed a threat to file a complaint with the FMC” in the October 2021 letter which “explicitly asserted that OOCL’s practices violated the Shipping Act;” OOCL’s employees interpreted the BBY October 2021 letter as a threat to file a complaint with the FMC; and “any anti-retaliation provision must be read broadly to protect preliminary steps in order to have any effect.” Brief at 76-79.

OOCL argues that the Commission has “applied a narrow interpretation” of the “any other reason” language; the October 2021 letter “by its plain language contained absolutely no threat of filing a complaint;” the letter’s author said it “was not intended as a threat;” the Commission in *OJ Commerce* set a limit on what might fall within the class of “filing a complaint;” two other cases have read *OJ Commerce* narrowly; and “OOCL was confident by April 2022 that risk of any claim by BBY was in the past.” Opposition at 48-54.

The Shipping Act prohibition on retaliation is rooted in the Alexander Report in 1914. As the Commission explained:

The Alexander Report predated the 1916 Shipping Act and laid the groundwork for the Commission’s prohibition on retaliation because shippers were willing to provide confidential information to the Commission, but “very few were willing (fearing retaliation) to testify openly.” Carriers, through monopolist power, “so completely dominate the shippers” that the shippers “can not afford, for fear of retaliation” to address grievances in the open or antagonize the carriers. The 1916 Shipping Act accepted the recommendation of the Alexander Report to prohibit retaliation, and the final language of the prohibition closely approximates the prohibition at issue here.

OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S, Docket No. 21-11, 2024 WL 4034610, at *19 (FMC Aug. 27, 2024) (quoting Alexander Report at 5, 306).

Section 41104(a)(3) states that a common carrier may not retaliate against a shipper “because the shipper has patronized another carrier, or has filed a complaint, or *for any other reason.*” 46 U.S.C. § 41104(a)(3) (emphasis added). The “Commission ‘will interpret . . . the anti-retaliation provision . . . broadly to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission, and to address new shipping practices and new forms of retaliation.’” *OJ Commerce*, 2024 WL 4034610, at *17 (quoting Statement on Retaliation, 3 F.M.C.2d at 201).

The Commission has indicated that “protected activity includes not only filing a complaint with the Commission but also participating in Commission investigatory or

enforcement efforts, commenting on a rulemaking, or using CADRS' dispute resolution procedures." Statement on Retaliation, 3 F.M.C.2d at 201. In *OJ Commerce*, the Commission addressed whether the "prohibition on retaliation extends to a notice of intention to file a case with the Commission," finding that "such a protection is consistent with statutory language and the Commission's guidance." *OJ Commerce*, 2024 WL 4034610, at *16. The Commission stated that OJ Commerce ("OJC") "sought cargo space it was due under the contract, objected to demurrage fees [respondent] ultimately refunded, and otherwise raised legitimate concerns, so OJC's notices of intention to file pursue legal action were not spurious" and that if "such clearly meritorious claims do not warrant protection from retaliation, it is not clear from [respondent's] arguments when a carrier would be prohibited from retaliating." *Id.* at *18. The Commission further found that the "policy implications of the ALJ's decision are also consistent with the Commission's previous guidance" as "OJC's two formal demand letters served essentially the same purpose as enlisting CADRS, by putting [the carrier] on notice of OJC's claims and providing an opportunity to resolve them before more formal litigation." *Id.* at *19. The Commission concluded that the *OJ Commerce* decision was "consistent with the Commission's long history of prioritizing protecting shippers given the imbalance of power between shippers and carriers." *Id.*

The evidence here shows that BBY sent two letters to OOCL that it contends were protected activity. The October 18, 2021, letter noted frustrations concerning detention and demurrage billing, stating in relevant part:

We strongly believe that the actions of your company in assessing the charges in question is not in the spirit of the Federal Maritime Commission's guidance as to what constitutes reasonable demurrage and detention practices. Therefore, with Port of Los Angeles/Long Beach congestion forecasted to continue into the foreseeable future, BBB is hereby putting OOCL on notice that we expect to from the date of this correspondence forward be exempt from detention and demurrage charges that are not proven to be caused by our actions, and over which we have no control. Further, we request a full refund of all such charges.

APP 2936. The February 2022 letter from BBY to OOCL did not mention the FMC. It stated in part:

As you are aware, on October 18, 2021 I sent you a letter setting forth the cost and harm being caused to my company, Bed Bath & Beyond Inc. ("BBB"), due to issues in obtaining pick-up and delivery appointments at the Port of Los Angeles/Long Beach, or to pick-up and return containers when such appointments were provided. Further, as these conditions were causing BBB to accrue substantial detention and [d]emurrage charges for conditions we were not responsible for, we asked to be reimbursed for past charges and exempted from future charges. To date, OOCL's response has been to change nothing, and to continue to act in a manner detrimental to BBB which we believe to be unfair and unsupportable. In addition to the port issues described above, we believe that operational actions of your company have also placed undue burdens and expenses on BBB.

APP 3307-08.

The letter’s author testified that “for me, personally, no, it was never my intent to threaten anything to anybody. It was just calling out something that was of grave concern to us and, you know, a tough situation.” APP 829 (emphasis added); *but see* CRPFF ¶ 670 (asserting that Mr. Hackett is not responsible for making litigation decisions).

OOCL claimed to BBY that it was fully compliant, writing in an October 19, 2021, email response:

From an OOCL perspective, OOCL is a fully compliant carrier and we are aligned with the FMC Final Rule related to the application of DD charges. . . .

OOCL has a dedicated team in place in our Headquarter office in Salt Lake City that manages and applies the DD rules and billing process as well as the necessary steps and procedures in place to address detention and demurrages cases in an effective and compliant manner – including the handling [of] any mitigation requests.

APP 4130.

OOCL internally interpreted the October 18, 2021, letter as threatening. For example, two days later, on October 20, 2021, OOCL USA Vice President of Sales, Vincent DelPrete, emailed others inside OOCL, writing:

Typical retailer in denial. Act completely out of control in terms of planning and then bully your vendors to suck up the problem & all the costs!!

Then *report you to the authorities* when you don’t bow down?!

To say the least, not a strategic OOCL partner for sure and despite the restructuring and new board, I still doubt their long term viability as an ongoing brand.

Simple solution is to *cut back their bookings* then we will have fewer problems with them.

With all the customers who want to expand with us, this one *jumped to head of the class for deselection*.

APP 3245 (emphasis added); APP 374-76. Mr. DelPrete testified that he interpreted the October 2021 letter as indicating BBY may file a lawsuit:

Q. Do you recall if at this time there was concern of litigation from Bed Bath & Beyond?

A. Yes, it seemed like a pretty, I don’t want to say threatening, but yeah, it had a lot of, you know, it seemed like a very legal type letter, yes.

Q. So would you characterize this as threatening or not?

A. No, just, well, threatening in terms of that they might try to create some legal case based on this, but I think more so that they were upset and they felt that they needed to have some modification of some of the bills.

APP 345.

The next day, on October 21, 2021, Mr. Devine wrote in an internal OOCL email: “These are the same folks behind the threatening DD letter, dated 18 Oct.” APP 3251. Mr. Devine testified:

Q. What did you mean by “threatening”?

A. Apparently, the letter must have been threatening; threatening support, threatening complaint, threatening by some nature. Threatening nonpayment. Threatening . . .

Q. Why was that letter relevant to this discussion?

A. The letter – again, we don’t have the letter to refer to specifically. But from my general understanding here, the threatening tone of the letter, they might have been threatening support, they might have been threatening nonpayment, they might have been threatening some kind of complaint, they might have been threatening some type of legal action. And this is an e-mail from me, basically, warning our people to be very careful.

APP 481-82.

This factual scenario differs from *OJ Commerce* because BBY did not explicitly threaten to file a suit at the Commission and the author did not intend the letter as a threat. However, the October 2021 letter did state that BBY believed OOCL’s practices were “not in the spirit of the Federal Maritime Commission’s guidance as to what constitutes reasonable demurrage and detention practices” and that BBY was “putting OOCL on notice.” APP 2936. Moreover, the author intended to “call[] out something that was of grave concern to us and, you know, a tough situation.” APP 829. Thus, there was an implied threat.

OOCL points to two other recent cases interpreting the phrase “or for any other reason.” The *BBY/MS* decision, issued prior to the Commission’s decision in *OJ Commerce*, stated:

Even if a threat to file a complaint with the Commission constitutes “any other reason,” the complaint *sub judice* does not plead facts that demonstrate that BBY threatened to file a complaint, or engage in any way, with the Commission. It is not necessary to discuss the other elements of the retaliation claim because MS did not raise them in the Motion and this required element of the retaliation claim is not met.

20230930-DK-BUTTERFLY-I, Inc., v. MSC Mediterranean Shipping Co. SA, Docket No. 23-12, 2024 WL 1299768, at *5 (ALJ March 25, 2024) (Order Granting Respondent’s Partial Motion to Dismiss) (“BBBY/MSC”) (ALJ dismissed case due to settlement).

In the other case, the *Samsung/OOCL* decision relied on the *BBBY/MSC* decision to find that the complaint did not sufficiently allege a retaliation claim where it did not allege protected activity nor did it allege prohibited conduct. The *Samsung/OOCL* decision states:

Even though SEA is correct that a threat to file a complaint with the Commission constitutes protected activity, there is no allegation of such a threat anywhere in the complaint. The complaint speaks only to a demand letter alleging unspecified “unlawful charges,” and which “invited OOCL to respond in a substantive manner, and asked that OOCL indicate its interest in discussing cooperative resolution.” That a complaint was ultimately filed is not sufficient for me to reasonably infer that the demand letter included a threat to file, as SEA urges. And while the demand letter does mention “unlawful charges,” the mere mention of unspecified unlawful activity is not sufficient factual material from which to infer that SEA expressed an intention to engage with the Commission to resolve a dispute or raised a specific issue under the Shipping Act, such that the protections of the anti-retaliation provision would be necessary to encourage early discussion and resolution of alleged violations.

Samsung Electronics America, Inc. v. Orient Overseas Container Line Ltd. and OOCL (Europe) Ltd., Docket No. 24-17, 2024 WL 4893409, at *10 (ALJ Nov. 18, 2024) (Order Partially Granting Motion to Dismiss). Moreover, the decision states that the complaint “failed to plead any retaliatory activity with respect to vessel-space accommodation or otherwise.” *Id.*

These two orders are not binding on this proceeding and do not include a detailed discussion of the Commission’s decision in *OJ Commerce*. Just as the Statement on Retaliation “did not try to address every possible scenario,” the *OJ Commerce* decision only addressed the particular facts raised in that case and found that they fit within the “for any other reason” language in the statute. *OJ Commerce*, 2024 WL 4034610, at *17. The Commission did not state that explicit threats were the outer bound of included conduct but rather contrasted the facts, stating: “Offhand bluster or idle threats are of a different class.” *Id.* Indeed the express language of the statute – “for any other reason” – does not suggest that Congress intended to limit retaliation claims based on the complainant’s conduct.

Here, the October 18, 2021, letter explicitly mentioned the Shipping Act, OOCL’s demurrage and detention practices, and put OOCL “on notice.” APP 2936. This implicit threat is more similar to the letter in *OJ Commerce* than to offhand bluster or idle threats. Indeed, the reaction by OOCL to the letter clearly shows that they interpreted the letter as a threat. Thus, the Commission statement applies, where it found that “two formal demand letters served essentially the same purpose as enlisting CADRS, by putting [the carrier] on notice of OJC’s claims and providing an opportunity to resolve them before more formal litigation,” as well as its conclusion that the finding of retaliation was “consistent with the Commission’s long history of prioritizing protecting shippers given the imbalance of power between shippers and carriers.” *OJ Commerce*, 2024 WL 4034610, at *19.

Just two days after the October 2021 letter, an internal OOCL email stated: “Typical retailer in denial. Act completely out of control in terms of planning and then bully your vendors to suck up the problem & all the costs!! Then report you to the authorities when you don’t bow down?!” APP 3245. The next day, an internal OOCL email stated: “These are the same folks behind the threatening DD letter, dated 18 Oct.” APP 3251. It is clear from the facts developed here that BBBY raised the possibility of a Shipping Act violation and that OOCL interpreted the letter as threatening to report OOCL “to the authorities,” by which Mr. DelPrete meant the Commission. APP 375. This conduct is closely related to the listed violations and fits within the “for any other reason” language. Such a finding is consistent with the Statement on Retaliation policy of interpreting the anti-retaliation provision “broadly to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission” and the *OJ Commerce* policy of allowing shippers to put respondents “on notice of [shipper’s] claims and providing an opportunity to resolve them before more formal litigation.” *OJ Commerce*, 2024 WL 4034610, *17, *19.

OOCL argues that “simply receiving generic customer complaints and declining to kowtow to every shipper demand should not damn a regulated entity to claims of retaliation.” Opposition at 52-53. However, as the Commission stated in *OJ Commerce*, “a notice of intention to file a case with the Commission does not mean a complaint is valid and the carrier can always ensure that their conduct does not violate the Shipping Act. Instead, as the ALJ explained, it starts a conversation that can avoid complaints to the Commission.” *OJ Commerce*, 2024 WL 4034610, *19. Indeed, there is not sufficient evidence in the record to find that OOCL violated the Detention and Demurrage Rule. Nonetheless, raising such concerns should not lead to cutting bookings or jumping an entity to the “head of the class for deselection.” APP 3245.

Accordingly, the evidence supports finding that this element is met by the implicit threat in the October 2021 letter.

b. Respondents’ Conduct

Section 41104(a)(3) applies to common carriers, either alone or in conjunction with any other person. 46 U.S.C. § 41104(a)(3). As discussed above, the evidence shows that OOCL was acting as a common carrier and this element is not in dispute. Therefore, BBBY has established that OOCL was a common carrier.

Section 41104(a)(3) begins by prohibiting a common carrier from “refusing, or threatening to refuse, cargo space accommodations when available,” or resorting “to other unfair or unjustly discriminatory methods.” 46 U.S.C. § 41104(a)(3). The Commission has stated that “refusing to sign a service contract that guarantees cargo space and rates is a form of refusing cargo space accommodations.” *OJ Commerce*, 2024 WL 4034610 at *14.

The Commission recently explained the “resort to other unfair or unjustly discriminatory methods” clause.

The “other unfair or unjustly discriminatory” language is a “catchall clause by which Congress meant to prohibit other devices not specifically enumerated but similar in purpose and effect to those barred by § 14 First, Second, and the

‘retaliate’ clause of § 14 Third.” The Court in *Isbrandtsen* held that only conduct “designed to stifle outside competition” fell within this catchall. But it is not hard to envision situations where a carrier might engage in retaliatory conduct that has nothing to do with competition with other carriers. A carrier might engage in conduct detrimental to a shipper (e.g., refusing to enter into, renew, or amend a service contract) to “get even” with or deter that shipper and other shippers from complaining to the Commission. Under a broad reading of *Isbrandtsen*, this type of carrier conduct would not violate § 41104(a)(3) because it would not involve conduct designed to stifle outside competition.

While the Commission is bound by *Isbrandtsen*, the Commission does not believe it requires such a result and interprets it as not applying where a retaliation claim is based on complaint-related activity (filing a complaint, participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or bringing a dispute to CADRS). *Isbrandtsen* did not involve allegations that a carrier retaliated against a shipper because it “filed a complaint charging unfair treatment.” Rather, at issue was a dual rate contract system designed to protect a conference from an independent carrier. Consequently, the Court had no reason to address, and did not purport to address, the language in the statute that protects shippers who file a complaint. Further, the Court deemed the purpose of section 14 Third was to outlaw practices used to stifle the competition of independent carriers but did not discuss the portions of the Alexander Report that referred to protecting complaining shippers.

Statement on Retaliation, 3 F.M.C.2d at 208 (footnotes omitted).

BBBY alleges that OOCL engaged in retaliation in three ways: i. during the 2021-22 shipping year, refusing to accept BBBY’s bookings and assessing punitive D&D charges; ii. while negotiating for the 2022-23 shipping year: (a) offering rates to BBBY significantly higher than those offered to other shippers with similar service contracts and (b) reducing BBBY’s MQC as a precondition to entering into a 2022-23 service contract; and iii. during the 2022-2023 shipping year, refusing any rate reductions requested by BBBY. Brief at 80-88. Each allegation is addressed below.

i. Bookings for the 2021-22 Shipping Year

BBBY alleges that OOCL engaged in retaliation by refusing to accept BBBY’s bookings during the 2021-22 shipping year and assessing punitive D&D Charges. Brief at 80-81; Reply at 51. OOCL contends that OOCL employees testified that they did not engage in retaliatory pricing and the Shipping Act, as amended in 1998, specifically authorized ocean carriers to treat different customers differently, no matter how similarly situated and substantially increase[d] the discretion given to common carriers to provide different service contract terms to similarly situated shippers.” Opposition at 55 (citing RPFF ¶¶ 677, 682; quoting S. REP. NO. 105-61, at 28 (1997)).

OOCL is correct that the Shipping Act “does not prohibit common carriers from charging different rates to similarly situated shippers for transportation service pursuant to

service contracts.” *Global Link*, 2014 WL 5316345, at *22. Indeed, there are many legitimate transportation factors that justify charging different rates. However, that does not mean that carriers can retaliate or violate other sections of the Shipping Act.

The facts establish that within days of BBY’s October 18, 2021, letter, OOCL discussed cutting back BBY bookings. Specifically, on October 20, 2021, two days after the BBY letter, Mr. DelPrete emailed others inside OOCL, writing: “Simple solution is to cut back their bookings then we will have fewer problems with them.” APP 3245. Moreover, BBY points to OOCL’s failure to meet its service commitment for that year and alleges a “rapid deceleration of shipped cargo.” Brief at 81. As discussed above, the evidence shows that OOCL failed to meet its MQC commitment, which lends further support to OOCL cutting back BBY’s bookings as retaliation for the October letter. The facts do not show that OOCL imposed or refused to waive detention and demurrage charges in retaliation.

The facts here show that the decline in bookings was motivated not just by an unreasonable booking system but also as retaliation for the October 2021 letter and not for legitimate reasons. Thus, all elements of retaliation are met for OOCL’s failure to provide the promised bookings in the 2021 shipping year, from October 18, 2021, through April 30, 2022.

ii. Negotiations for the 2022-23 Shipping Year

(a) MQC

BBY alleges that OOCL engaged in retaliation by discriminatorily reducing BBY’s MQC as a precondition to entering into a service contract for the 2022-23 shipping year. Brief at 82-84; Reply at 54-55.

OOCL contends that “OOCL’s decision to reduce MQCs that it would offer was not specific to BBY but rather applied across the board to all shippers.” Opposition at 57. OOCL’s General Manager of Trans-Pacific Trade Karen Lam submitted an affidavit listing the types of appropriate factors that can impact rate negotiations. RPFF ¶ 680. If these were the factors that impacted OOCL’s treatment of BBY, this claim might not have been successful, but the affidavit is not consistent with the contemporaneous evidence and is found not credible.

In addition to cutting bookings, on October 20, 2021, two days after the BBY letter, Mr. DelPrete’s internal email said: “With all the customers who want to expand with us, *this one jumped to head of the class for deselection*.” APP 3245 (emphasis added). According to Mr. DelPrete, “Deselection means when it comes time to issue another contract, we don’t actively engage for renewal.” APP 375-76. However, another OOCL employee, Mr. Schmiemann, responded that: “Vinny, don’t know if we want to jump to deselection yet. They do have some shortcomings which we can work thru. Overall, we have solid communication channels open both at origin and destination. They agreed to a PSS and have used the premium contract in the past. Let’s see how it plays out.” APP 3245.

As discussed with regard to refusal to deal, on February 3, 2022, OOCL sent an internal email sharing the round one offer it had sent to BBY for the 2022 service contract, noting among other bullets [REDACTED] APP 3198. This was before BBY sent its second letter to OOCL on February 8, 2022. APP 3307-

08. On February 17, 2022, Jim Mitchell/OOCL Inside Sales Analyst sent an internal OOCL email to the Trade Team noting [REDACTED]

[REDACTED] APP 3198. OOCL Trans-Pacific Trade East Bound Commercial team lead, Rosie Venneman, emailed in response on February 18, 2022, writing “We would maintain our Rd 1 offer for the time being.” APP 3197; *see also* APP 2989. Mr. Mitchell acknowledged this email, writing later on February 18: “Yours noted and will hold tight with round one offering for the time being. Thank you!” APP 3197.

On February 22, 2022, Mr. Chen at OOCL wrote: “For your heads up, considering the uncertainty of space supply in 2022, BBB’s inability to manage their supply chain efficiently and OOCL’s corporate direction of more IPI, OOCL would like reduce our MQC space commitment significantly if BBB would accept our rates and BP revision for renewal.” APP 3198 (phrasing as in original); APP 1870-71.

Mr. Schmiemann replied to Mr. Chen later on February 22, 2022, writing:

We have already committed an MQC roll over and have reconfigured the ISC plan accordingly. WC will be [REDACTED] teu and EC [REDACTED] teu. I realize the corporate IPI direction. Maybe they should stop with the IPI restrictions. We are also reworking WSI for more IPI by taking away some of their TPA volumes. Same for many other customers in order to back into our reduced TPA MS allocation. Attached please find a preview of our efforts to move in this direction. We speak to this point every week and tweak TPA and IPI based on how negotiations are evolving. Since we have the leverage, we are driving the awards to match up with the ISC plan MS allocation. The process is quite fluid right now.

APP 2963 (emphases added).

Mr. Chen replied to Mr. Schmiemann on February 22, 2022, writing: “Did we officially commit to rolling over MQC to BBB in writing? If not, we still have chance to reduce MQC before we renew.” APP 2962. Mr. Schmiemann replied: “I do not think in writing but we have verbally committed several times.” APP 2962. Mr. Chen replied later on February 22, 2022, writing: “*Per HKG’s direction, we need to reduce our space commitment to BBB.* Since we have not yet concluded the renewal, please find a way to inform BBB our latest intent to reduce our commitment, based on reasons I have mentioned.” APP 2962 (emphasis added).

Mr. Schmiemann responded to Mr. Chen on February 22, 2022, writing: “My credibility is at stake here which I am not inclined to compromise. The topic of MQC has come up on a few occasions during Jim and my discussions with BBB and we agreed to maintain. I would also be concerned with the perception from a retaliatory standpoint.” APP 2961-62. Mr. Young replied to Mr. Schmiemann’s February 22, 2022, email on February 23, 2022, writing:

This issue below related to BBB (Bed Bath and Beyond), who recently wrote to OOCL in relation to DD charges and the fact that they, on a number of occasions, needed to go to the open market to ship their cargo as they could not

get space – despite the Contract and MQC / CSAL status (see attached) is currently being reviewed to frame our response. We have been addressing this with our US attorney to ensure we respond effectively to the issues raised. While we have reviewed and agreed some mitigation (yet to be offered) for the BBB shipments – we have not addressed the issue related to the freight and shipment / MQC status, as we still need some direction from HK.

The issue of concern here is the notation from Trade that we must reduce the MQC commitment for BBB by 17%. [REDACTED]

As we push to lower the MQC while the other issues are still under review, our worry is that BBB will perceive that we are retaliating against them due to the above issues and want to reduce our exposure – while increasing the rate. On the proposed rate offer – we have submitted our second update without changing any rate offering as advised by trade, which is not the normal course.

We have been trying to settle the Letter quietly with BBB to avoid any potential complaint to the FMC / DOJ – and will have discussions with Reid Klosowsky, The VP for Global Transportation, to try and address the issues on DD and MQC, but we believe that our offer and the push by trade in this case to reduce our commitment in light of the ongoing issues may create a situation that they could refer the case to the FMC. (BBB have since accepted the reduced MQC, but this is without Reids knowledge we know as he is travelling) and is actually at a RILA conference in which Commissioner Dye is presenting and will make a push for any grievances that companies may have to be raised with the FMC.

We believe the FMC is being more aggressive [REDACTED]

[REDACTED] Our other concern is with the issue on Premium contracts (PC) – that we raised in our review with Trade on MQC late 2021, and which, if raised with the FMC, may give raise to concerns on “gouging” or unfair practice as the PCs did not allow MQC consumption while charging a premium over the regular SC. At our presentation to Trade they decided there and then to terminate the Premium Contracts.

While we are trying to work with BBB, and we are sure there will be others . . . that will start to appear, the actions taken to reduce or deselect some customers (Trade provided a list of customers below 1000TEU commitment in 2021 for deselection) – may give rise to complaints to the FMC and push support for the OSRA 2021/2022 Bills to protect the US consumer and Shippers/Importers.

It really is important that trade is aware that some of the actions being taken may inadvertently push support of OSRA and to the detriment of the trade as a whole. We need to tread carefully and manage these situations positively to ensure that our customers know we are a trusted partner and comply with regulatory issues that some in HK may not be aware.

We continue to work on the BBB issue and others as they materialize – but we need to ensure that Trade recognizes the environment that we are currently operating to avoid potential regulatory complaints. Attached is the communique to Trade from Gavin on the latest numbers we will provide to BBB, but we are still not clear on how to address the issue on market rates through nonsupport of their MQC. Also enclose the letter sent to you earlier on the FMC drive to get more complaints registered.

APP 3195 (emphasis added); *see also* RPFF ¶ 264; CRPFF ¶ 264.

Mr. Chen also replied to Mr. Schmiemann's February 22, 2022, email in a separate thread, writing: "Per HKG's rollout direction, we are required to reduce contract MQC at least 17% to every customers [sic], not to mention BBB who primarily supports coastal cargo." APP 3078. Mr. Schmiemann replied later on February 22, 2022 writing: "The MQC discount of 17% off of the award (2021 MQC) has been explained and accepted by BBB." APP 3078. Mr. Chen replied writing: "Agree with you that reducing space commitment is so sensitive given the backdrop of BBB's complaining letter, and it will generate a perception OOCL being retaliatory which is very eye-catching on FMC's radar." APP 2960.

OOCL USA Regional Business Analyst, Ms. Forminio, also replied to Mr. Schmiemann's February 23, 2022, email writing: "There was no instruction to reduce every account by 17% just our region total to be reduced. We have to be able to make the choice of who to reduce and who to maintain as long as we reduce overall." APP 3077; *see also* APP 708. Mr. Schmiemann replied to Ms. Forminio writing: [REDACTED]

[REDACTED] APP 3077. Ms. Forminio replied to Mr. Schmiemann, later on February 23, 2022, writing: "Oh yes that's true but I think his comment to reduce every customer volume by 17% was not right *he was just using it as justification to reduce BBB*. But I see you got through to him so that's great." APP 3077 (emphasis added).

The evidence shows that negotiations for the 2022-23 contract were influenced by OOCL's desire to move away from working with BBY, which was motivated by a concern that BBY might file an FMC complaint. Although this was not a complete shutout, it was aimed at reducing the volume offered to BBY. While most cases address a complete shutout, the prohibitions against retaliation are meant to be read broadly. A respondent should not escape liability by engaging in a partial shutout.

On balance, the evidence of retaliation is stronger than the evidence of concern over the financial viability of BBY, which concern could have been addressed in other ways, for example, limiting the amount of credit extended to BBY as discussed more below. The

evidence supports finding that OOCL reduced the MQC it offered to BBY in 2022-23 by 17% due to retaliation.

(b) Rate Negotiations

BBY also alleges that OOCL engaged in retaliation by offering rates to BBY significantly higher than those offered to other shippers with similar service contracts while negotiating the 2022 Shipping Year. Brief at 81-82; Reply at 51-54. OOCL contends that “in August 2022, OOCL’s Financial Control Team warned its sales force that BBY represented a grave solvency risk, and in hindsight wisely restricted business with the company to cash, no credit” and “internal protocol for OOCL trade personnel was to reduce exposure to any customer about whom Financial Control had issued alerts.” Opposition at 56-57.

The evidence shows that OOCL knowingly and intentionally offered BBY above-market rates. On March 17, 2022, Mr. Young sent an internal OOCL email, writing:

We have been fortunate so far to stave off any perception of OOCL being party to any “gouging” opportunities, and know all carriers are pushing SC rates and to gain commitments for long term periods to lock in high prices. . . . As examples of the issues we are encountering...

1.BBB – we offered rates for their 7000T contract offer around 1000-1500 *above the rates quoted to other shippers with similar SC MQC*. When BBB requested some reduction compared to the rates being offered by other carriers, Trade declined and stuck to the initial offered rates – while appreciate we need to peg our rates based on our own commercial consideration and costs – *the fact that we have other contracts with other parties on similar MQC and shipping pattern* may potentially be construed that we are retaliating and holding our position to limit our carrying with BBB Trade refused to budge on the rates for BBB based on our initial offering.

APP 4165-66 (emphases added). On March 19, 2022, Mr. Young sent another internal OOCL email expressing concerns regarding OOCL’s pricing policies, writing:

In the past we tried to pitch high – the customer pitched low and we negotiated to a middle ground. Under the current environment this isn’t an effective strategy (if that’s what we are still doing) and pitching high in most cases will result in customers walking away from OOCL, are signing in fear that if they do not commit – they will not secure space – so they accede in some cases just to ensure they can ship their commodity.

APP 4176 (emphasis added); APP 470; RRPFF ¶ 90.

Despite concerns raised by its own employees, OOCL declined to reduce its rates. All of the above suggest retaliation. However, there is also evidence of some concerns about BBY’s

financial viability. While it would be appropriate for a carrier to consider insolvency risk, here, the facts do not show that this was the motivating factor for OOCL offering BBY higher 2022 service contract rates. In February 2022, Mr. Chen's email discussing reducing OOCL's space commitment to BBY mentioned "BBB's inability to manage their supply chain efficiently" but made no reference to BBY financials in deciding "to reduce our MQC space commitment significantly if BBB would accept our rates" for renewal. APP 2962. OOCL subsequently raised concerns about BBY's financial condition; however, those concerns do not surface until late April 2022 as the 2022-23 service contract negotiations were ending. RX 1188-89. The evidence does not show that they influenced contract negotiations; rather, they impacted and are discussed below regarding BBY's request for rate reductions during the 2022-23 service contract year.

Accordingly, the evidence shows that OOCL retaliated against BBY by charging rates "purposely higher than what they will ship against." APP 1755. Concerns about BBY's financial condition could have been addressed in other ways, and did not justify the higher rates. The evidence supports finding that OOCL charged above-market rates to BBY during the 2022-23 service contract, hoping that BBY would choose not to ship with them, due to retaliation.

iii Rate Reductions for the 2022-23 Shipping Year

BBY alleges that OOCL engaged in retaliation by refusing any rate reductions requested by BBY in the 2022-23 shipping year. Brief at 84-87; Reply at 55. OOCL contends that "OOCL also declined to further reduce previously negotiated rates with BBY when it became apparent that BBY was facing solvency risks in the Fall of 2022, a sound business decision in retrospect given BBY's bankruptcy shortly thereafter in the Spring of 2023." Opposition at 58.

Financial concerns regarding BBY were raised after an internal OOCL email on April 11, 2022, from Mr. Mitchell, stating: "We are ready to send the final 2022-2023 contract draft to BBB for signing . . . Please urgently provide approval on credit so we may send the BP." RX 1188-89. Daniel Levine, Credit & Business Analyst for OOCL, replied later that day expressing concerns about BBY's finances, writing: "FinCon does not recommend putting payment terms in the contract. • Failure (bankruptcy) score and delinquency score are high risk." RX 1188. The contract was signed a few days later and these concerns did not appear to impede finalizing the agreement.

On July 22, August 5, and August 12, 2022, Mr. Mitchell reported in internal OOCL emails that BBY "would like us to make downward rate adjustments due to differentials between our contracted pricing and spot rates." APP 4332-36. On August 11, 2022, BBY again emailed OOCL, writing: "per our recent conversations and email exchanges we are seeing rates across the board dropping. By far OOCL is our highest rated carrier" and asking "OOCL to review and advise back asap what direction OOCL will be taking as your current rates are not in line with the market as demand has slowed down and capacity is at its highest." APP 4109.

BBY continued to advise OOCL that the rates it was offering to BBY were above market, and even above NVO pricing. *See, e.g.*, APP 4107 ("I received below quote from an

NVO on 9/2, as you can see these rates are well below what OOCL is offering BBB and this is not just one carrier offering these rates we are seeing it daily in rates falling.”); APP 4106 (“additional rates that came in today from another NVO . . . OOCL is not just a few hundred above the market but thousands.”). In response, on August 23, 2022, OOCL emailed BBY writing: “Please see our offer for rate adjustments, effective now thru Oct 31, 2022.” APP 4108. In response, BBY asked that OOCL take another look for possible further downward price adjustments, but OOCL replied on September 1, 2022 writing: “We were advised that we cannot go any lower than what we have proposed.” APP 4108.

An email from Mr. Mitchell on November 1, 2022, stated: “Meanwhile, no need to reach out to Bed Bath & Beyond as *our rates are purposely higher than what they will ship against.*” APP 1755 (emphasis added). The record does not demonstrate that BBY accepted the reduced rates that OOCL offered in the latter part of 2022. APP 2983. Between October and December, OOCL continued to internally discuss re-offering to BBY the rate adjustment contained in their proposed amendment 7, which BBY had declined in August 2022. APP 4108.

On December 1, 2022, Mr. Mitchell sent an internal OOCL email, writing:

We had a conversation with the folks from BBB with regards to the pended AM # 7. They cannot go forward with signing the amendment as the rates just are too high above the current market. They have about 150 Feus of MQC to be used between now and the end of the contract, April 30th, 2023. They would like to support us, but cannot do so at above market levels.

APP 2980. On December 14, 2022, Ms. Venneman replied writing: “After review, we will hold firm on our last adjusted rate offer and extend thru Jan 31, 2023. From a commercial perspective, the decision is based on their overall financial health, A/R balance, and history of commercial waivers.” APP 2979; APP 1756.

On December 20, 2022, Mr. Mitchell replied, writing:

Last week we met with the folks from BBB to discuss the current market and the 2023 outlook. They understand that we are hesitant to do business with them due to their financial situation, but they remain resolute in wanting to continue the relationship. . . . If we cannot move forward with adjusting their rates to current market levels, then we need to issue an amendment to reduce the MQC to what has shipped YTD and close out this contract. Please bear in mind that if we go this route, *we could be open to FMC scrutiny for retaliatory pricing.*

APP 2979 (emphasis added); APP 1756; APP 216.

Mr. Chen replied later on December 20, 2022, writing:

Pricing is a commercial issue, Carriers have the right to decide whether to engage a client commercially. [REDACTED]

This is the first time I hear ‘retaliatory pricing’. Can you please elaborate about this?

APP 2978; APP 216. Mr. Young replied on December 20, 2022, writing: “I agree - reducing their MQC does not constitute retaliatory action.... If we say we are not going to consider business with BBB then there must be sound commercial reason and not related to any issues with DD or any complaints in the past on charges or ‘other’ business issues.” APP 2978.

Mr. Schmiemann replied on December 21, 2022: “When reading this string the word ‘Discriminatory’ entered my mind. I know it is not the same as retaliatory but could indirectly fall into that category.” APP 2977-78. Mr. Young replied on December 21, 2022:

[REDACTED] Remember there is also pending legislation on ‘refusal to negotiate’ that has NPRM already in place and could be a rule after early 2023, depending on how the FMC tracks the responses and creates a formal reply prior to issuing intent to create rule.

APP 2991.

Mr. Chen responded later on December 21, 2022, writing:

We certainly will quote for ISE service. Common carriers cannot decline to quote according to the Shipping Act, but a common carrier does not have a duty to grant a contract/deal to every potential party. Regarding the NPRM Mike referred to, it is about ‘Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier.’ Although we are still awaiting the final rules, in the NPRM, FMC did recognize common carriers’ commercial reasonableness as following:

An ocean common carrier may be viewed as having acted reasonably in exercising its business discretion to proceed with a certain arrangement over another by taking into account such factors as profitability and compatibility with its business development strategy.

APP 2991.

On December 22, 2022, Mr. Schmiemann replied:

My concern is that we are openly out in the mkt offering both NVO’s and BCO’s rate that are thousands of dollars below BBB rates. The FMC may view OOCL as discriminating against BBB if a complaint was filed. BBB has asked us to treat them as we are treating other similarly situated shippers. BBB has outwardly declared to us their desire to fulfill their contract MQC. They are struggled due to our competitors having rates that are more in line with the mkt.

APP 2990 (emphasis added); APP 2245.

Mr. Chen responded on December 22, 2022, writing: “As Rosie mentioned before in the email string, we have strong concerns about their financial situation. The details I quoted from the NPRM have reconfirmed we are compliant.” APP 2990; APP 219. Mr. Schmiemann replied later on December 22, 2022, writing: “If we are so concerned over their financial position why are we charging them exorbitant rates compared to the mkt levels. I would think we would work toward getting the contract fulfilled minimizing our cost exposure assessing mkt level rates.” APP 2989-90.

On January 13, 2023, Mr. Mitchell sent an internal OOCL email, writing:

[REDACTED]

[REDACTED] . . . According to the attached lift report, as of December 5th, they have shipped a total volume of 1,636 TEUs or 818 FEUs.

We suggest reducing the contract MQC and Sub-MQCs to the below numbers:

1. Total MQC is currently 1,020 FEUs. Suggest to reduce to 706 FEUs.
- 2) Sub-MQC for TPT EB is 1,000 FEUs. Suggest to reduce to 700 FEUs.
- 3) Sub-MQC for TAN WB is 20 FEUs. Suggest to reduce to 6 FEUs.

APP 2989 (emphasis added).

BBBY filed for bankruptcy in April 2023. RX 671. OOCL’s concerns about BBBY’s financial viability were mentioned in April 2022, although the recommendation was to not put payment terms in the contract. RX 1188-89. An August 30, 2022, meeting recommended that: “If OOCL does reduce the rates, all future shipments must be done on cash on documents - no credit. BBB’s most likely reaction will be to book with other carriers. Based on my opinion, it’s only a matter of time before they declare bankruptcy or get bought out.” APP 3323. Neither of these credible concerns suggested charging above-market rates or not working with BBBY.

When BBBY requested prices be lowered to reasonable market rates, the record shows that OOCL used BBBY’s financial position as a pretext for the decision to continue to offer above-market rates, in the hopes of reducing its shipments for BBBY. OOCL was clearly aware that it was charging above-market rates. For example, Mr. Mitchell stated on November 1, 2022: “no need to reach out to Bed Bath & Beyond as our rates are purposely higher than what they will ship against.” APP 3036; APP 1755. “My concern is that we are openly out in the mkt offering both NVO’s and BCO’s rate that are thousands of dollars below BBB rates. . . . BBB has asked us to treat them as we are treating other similarly situated shippers. BBB has outwardly declared to us their desire to fulfill their contract MQC.” APP 2990. “If we are so concerned over their financial position why are we charging them exorbitant rates compared to the mkt levels. I would think we would work toward getting the contract fulfilled minimizing

our cost exposure assessing mkt level rates.” APP 2989-90. [REDACTED]

APP 2989.

Considering the totality of the circumstances, the record does not reflect that above-market prices were justified over concerns about BBBY’s financial viability. Typically, once prices are agreed to, a party is not obligated to renegotiate the price based on changing market conditions. *Global Link*, 2014 WL 5316345, at *18. However, here, the initial agreed prices in the 2022 service contract were not entered into in good faith and OOCL’s decision to uphold, and not to reduce, those unreasonable rates similarly was not in good faith. Therefore, continuing to charge rates that OOCL entered into in retaliation was also retaliatory.

Accordingly, BBBY has established that failure to reduce rates in the 2022-23 service contract meets all the requirements for a retaliation claim. Thus, retaliation is established for the reduction of bookings in the 2021-22 shipping year, beginning on October 18, 2021; negotiations for the 2022-23 shipping year contract; and OOCL’s refusal to reduce unreasonable rates during the 2022-23 shipping year. Reparations are addressed below.

6. Reparations

a. Parties Arguments

BBBY seeks \$165,355,872.69 in reparations, with a table listing the reparations sought for each count as well as a discussion of the basis for reparations for each count. Brief at 90-100; Reply at 58-71. BBBY seeks reparations for MQC shortfalls; PSS and premium contract overcharges; detention and demurrage charges; lost profits for refusal to deal in the 2022-23 shipping year; and double reparations for retaliation. *Id.*

OOCL asserts that Complainant fails to competently quantify any quantum of reparations, arguing that Complainant’s lost profits per container claim is both legally and factually deficient; Complainant’s “incremental expenses” claim is legally and factually deficient; Complainant’s reimbursement claim for detention and demurrage is legally and factually deficient; and Complainant is not entitled to statutory doubling of its lost profits claim. Opposition at 60-71.

b. Relevant Law

The Shipping Act provides for reparations “for actual injury caused by a violation.” 46 U.S.C. § 41305(b). In addition, additional damages may be imposed for certain claims, including violations of section 41104(a)(3), the anti-retaliation provision. The additional reparations provision applicable to this proceeding states:

On a showing that the injury was caused by an activity prohibited by section 41102(b), 41104(3) or (6), or 41105(1) or (3) of this title, the Commission may order the payment of additional amounts, but the total recovery of a complainant may not exceed twice the amount of the actual injury.

46 U.S.C. § 41305(c).

The Shipping Act requires that the “Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Act. 46 U.S.C. § 41305(b). Complainants bear the burden of proving that they are entitled to reparations. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022). “As the Commission has explained: ‘(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.’” *Id.* (citations omitted).

Reparations will only be awarded based on actual damages. “Actual damages means ‘compensation for the actual loss or injuries sustained by reason of the wrongdoing’ which complainants must show to a reasonable degree of certainty.” *Id.* (quoting *Cal. Shipping Line*, 1990 WL 427466, at *23). “That does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.” *Id.*

The statements of the Commission in *California Shipping Line Inc.* and the other cited cases are in the mainstream of the law of damages as followed by the courts, for example, regarding the principle that the fact of injury must be shown with reasonable certainty, that the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences, the principle that the damages must be foreseeable or proximate or, in contract law, within the contemplation of the parties at the time they entered into the contract, the fact that speculative damages are not allowed, and that regarding claims for lost profits, there must be reasonable certainty so that the court can be satisfied that the wrongful act caused the loss of profits.

Tractors & Farm Equipment Ltd. v. Cosmos Shipping Co., Docket No. 81-57, 26 S.R.R. 788, 798-99 (ALJ Nov. 23, 1992) (admin. final, Dec. 31, 1992).

It is noted that BBY filed a motion to amend the complaint to increase the reparations sought. The motion was denied as it was filed after discovery was completed and less than a month before initial briefing was due. The order stated:

The requested amendment here is ministerial and unnecessary. The Shipping Act requires that the “Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Act. 46 U.S.C. § 41305(b). Actual injury for a contested proceeding is not limited to the amount listed in the pleadings. Indeed, Commission Rules have specific provisions for providing proof of reparations in certain situations after a determination on the merits. 46 C.F.R. §§ 502.251, 502.252. In other cases, the Commission has accepted proof of damages on remand. *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, Docket No. 1947(I), 34 S.R.R. 613, 623 (FMC Oct. 7, 2016). While these sections may not apply to this case, they demonstrate that reparations generally are not limited to the amount listed in the amended complaint. The exception is where there is a default decision. *See MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd. and MSC Mediterranean*

Shipping Company SA, Docket No. 21-05, 2024 WL 692719, at *13 (ALJ Feb. 16, 2024) (*aff'd* 2024 WL 3514613, at *7, 15). Moreover, Respondents are now, prior to the filing of the briefs, on notice of the specific amount of reparations sought by Complainant.

Order Denying Complainant's Second Motion to Amend the Complaint at 2.

c. Relevant Evidence

i. Expert Evidence

OOCL vigorously opposes BBY expert witness John McCown. In its briefing, OOCL argues that his findings are irrelevant and unreliable. Opposition at 7-8, 13-15. OOCL's arguments focus on (a) foundation for admission and (b) correlation of damages to particular carriers.

(a) Foundation for Admission

OOCL contends that BBY's expert, Mr. McCown, "did not prepare the Appendices [in his report], did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBY (or Yusen) or a booking denial by OOCL." Opposition at 14. Moreover, OOCL alleges that "BBY fabricated two tables identifying containers that were apparently carried by NVOs," stating that: "No one knows who created these tables." Opposition at 61 (citing RPF ¶¶ 563, 564); *see also* Opposition at 67 ("lack of competent evidence.").

BBY responds, asserting that "each piece of evidence underlying these calculations was furnished to OOCL during discovery," and "the Appendices reflect accurate data drawn from BBY's enterprise database that was produced in discovery and which OOCL had ample opportunity to investigate if it so chose." Reply at 59-61; *see also* Opposition to Motion to Exclude at 6 (noting that Mr. "McCown's report directly cites to the sources of material for his analysis showing container level data such as ocean freight costs and port pairs, and those sources are drawn from documents produced in this proceeding from BBY's own records (which OOCL's counsel had the opportunity to, and did, inquire about during depositions).").

Mr. McCown indicated during his deposition that the source for his appendices was "Bed Bath and Beyond internal records." APP 1467; *see also* APP 1469; APP 1506. BBY further notes that the McCown report "cites to both Exhibits 328 and 329 as Sources Considered" adding that "they were the only two documents McCown listed from the document production that were not deposition exhibits." Opposition at 60; *see also* APP 3929 (listing P/432, BBY Ex. 328; and P/819, BBY Ex. 329).

The March 20, 2025, Declaration of J. Lee Hill indicates that BBY Ex. 328, P/432, is "a spreadsheet produced in this proceeding on August 23, 2024, containing container information selected by former logistics employees of BBY from BBY data sources;" and BBY Ex. 329, P/818, is "a spreadsheet that was sent as an attachment to an email" from Paul Pastor to Ian Pinchuk on May 17, 2023. Hill Decl. at 2-3. As explained in deposition testimony, Berman & Blake ("Berman") was a payment processing platform that handled invoice

processing for BBY. APP 2076 (Mr. Pinchuk, BBY's Senior Director of Global Logistics, explained that various vendors would send invoices "to Berman, and Berman would then facilitate invoices or notifications to our Payables Group as to who would get paid and when, and then the payments would be dispersed.").

The Administrative Procedure Act provides that in administrative hearings, "[a]ny oral or documentary evidence may be received, but the agency as a matter of policy shall provide for the exclusion of irrelevant, immaterial, or unduly repetitious evidence." 5 U.S.C. § 556(d). Commission rules regarding "Evidence Admissible" state:

In any proceeding under the rules in this part and in accordance with the Administrative Procedure Act, all evidence which is relevant, material, reliable and probative, and not unduly repetitious or cumulative, will be admissible. All other evidence will be excluded. The presiding officer may consider the Federal Rules of Evidence for guidance.

46 C.F.R. § 502.204(a).

The strict rules of evidence governing the admissibility of hearsay in judicial proceedings are not applicable to administrative hearings. *Richardson v. Perales*, 402 U.S. 389, 400, 402 (1971). "The Commission has recognized the liberal standards of admissibility of evidence in administrative proceedings, and has repeatedly '...identified the need for considerable relaxation of the rules of evidence followed by the federal courts in proceedings before the Commission.'" *EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc.-Possible Violations of Section 10 of the Shipping Act of 1984*, Docket No. 06-06, 31 S.R.R. 540, 547, 2008 WL 7149852 (FMC Dec. 18, 2008) (ellipse in original) (citing *Pacific Champion Express Co., Ltd.-Possible Violations of Section 10(b)(1) of the Shipping Act of 1984*, Docket No. 99-02, 28 S.R.R. 1105, 1105-06, 1999 WL 569391, *2 (ALJ July 8, 1999) (Order Granting BOE Motion to Admit its Direct Case into Evidence)).

In *Bimsha Int'l*, the ALJ excluded reparations evidence for lack of foundation and reliability after providing repeated opportunities to Bimsha to establish a foundation for the admission of the exhibits. The Commission explained:

Because Bimsha failed to lay the foundation for admitting the excluded exhibits, despite the ALJ's admonitions, the Respondent's objection, and a standard that does not require the actual person who prepared the document, the evidentiary exclusion was reasonable and consistent with Commission Rule 156 and the Administrative Procedure Act. Nevertheless, even though the ALJ's decision was reasonable and supported, it may also have been reasonable for him to have allowed the admission of the excluded evidence and then weighted it appropriately.

Bimsha Int'l v. Chief Cargo Services, Inc. and Kaiser Apparel, Inc., Docket No. 10-08, 2013 WL 9808692, at *6 (FMC Sept. 4, 2013).

Commission rules anticipate that if "many shipments or points of origin or destination are involved in a proceeding in which reparation is sought," reparations may be determined after

the liability determination, and in such cases, “freight bills and other exhibits bearing on the details of all shipments, and the amount of reparation on each, need not be produced at the original hearing unless called for or needed to develop other pertinent facts.” 46 C.F.R.

§ 502.251. Moreover, when “the Commission finds that reparation is due, but that the amount cannot be ascertained upon the record before it,” the complainant may prepare an “approved reparation statement . . . showing details of the shipments on which reparation is claimed.” 46 C.F.R. § 502.252. The format suggested by the rules is a table with columns listing: date of bill of lading; date of delivery or tender of delivery; date charges paid; vessel; voyage number; port of origin; and destination port. 46 C.F.R. § 502.252, Exhibit No. 1.

The McCown report appendices are admissible even though they are hearsay. These types of spreadsheets providing information about specific shipments are a typical type of evidence used in Commission proceedings. While the Hill declaration was provided late in the proceeding, the underlying data itself was drawn from BBY’s universe of invoicing data, which was provided to OOCL in discovery, and included as exhibits in BBY’s appendix. OOCL received the data, asked witnesses about the data, and could have requested additional information.

The McCown report appendices are found to be relevant, material, reliable and probative, and not unduly repetitious or cumulative. It is BBY’s burden to establish a foundation for admission of its evidence and BBY has done so. However, the weight given to the appendices is limited where the data appears inaccurate or other issues are found. These limitations are addressed below.

OOCL also renews its objection to the verification of the amended complaint and objects to the verification of interrogatory responses, specifically objecting to David Kastin’s verifications in relation to shortfall numbers. Opposition at 20, 17 n.14, 20 n. 16. Mr. Kastin joined BBY in 2022 as its Chief Legal Officer and currently serves as an independent consultant to its bankruptcy plan administrator. APP 1143. First, it is noted that this decision does not merely accept the shortfall numbers alleged by BBY in the amended complaint. Second, the evidence that was submitted was reviewed for indicia of reliability and not utilized merely based on Mr. Kastin’s verification. Third, Mr. Kastin was not employed at BBY at the time of the events that gave rise to this proceeding and does not have personal knowledge of the facts, rather his verification states that he believes “to the best of my knowledge, information, and belief, including information received from others, that the facts stated therein are true and correct.” Amended Complaint, Verification; Reply at 62. Therefore, for the reasons outlined in the December 6, 20204, order denying Respondent’s motion to strike the verification and dismiss the amended complaint, the verifications are found acceptable for this administrative proceeding.

(b) Correlation of Damages to Particular Carriers

OOCL’s primary argument is that “BBY’s assertions of lost profits per container are fundamentally flawed because there is no evidence, much less proof, of the containers that BBY alleges OOCL declined to book or what happened to those containers thereafter” and that such “containers do not correlate to any of the containers that OOCL allegedly declined to carry.” Opposition at 7. In the Motion to Reopen Discovery, OOCL contends that “[i]t remains

BBBY's burden to prove that the alleged freight charges incurred pertain to a particular ocean carrier." Motion to Reopen Discovery at 4. Thus, OOCL is arguing that BBBY must connect a request to book a specific container to a denial to ship that particular container, and then must show the cost of booking that specific container elsewhere. Commission precedent does not support this approach.

A similar argument was made in *MCS Industries, Inc. v. MSC Mediterranean Shipping Co. SA*, and the Commission described the Remand Initial Decision it was reviewing:

The ALJ also rejected Mediterranean's arguments that MCS had failed to show the differentials between its service contract rates and the spot market rates it paid for the replacement shipments reflected in its evidence were adequately supported measures of its damages. Remand Decision at 18-20. She found that Mediterranean was advocating for an excessively high standard of proof, and she rejected its apparent claims that MCS had to tie each spot shipment to a prior request that Mediterranean carry the shipment and to show that each spot shipment could not have been made any other way. *Id.* at 19-20.

Docket No. 21-05, 2024 WL 3514613, at *8 (FMC July 16, 2024) (Order Affirming Initial Decision on Remand) (*aff'd sub nom. MSC Mediterranean Shipping Co. S.A. v. FMC*, 141 F.4th 222 (D.C. Cir. 2025)). Neither the Commission nor the D.C. Circuit overturned this finding.

The efficiencies gained from containerization stems in part from the fact that containers are fungible – each 40-foot container is the same size regardless of the contents. When shippers and ocean carriers enter into service contracts, they do not agree to transport specific containers or specific goods but rather a total number of containers of a particular size. The shipper then has the flexibility to fill containers with whatever goods it needs to transport. Thus, the violation is based on the number of containers out of the MQC that a respondent failed to transport, if this is in violation of the Shipping Act, not on the journey of a particular container.

Indeed, an advantage of the system is that if a shipper needs to ship a particular container and OOCL can not ship that container, then the shipper can attempt to transport that particular container via other carriers with whom it has service contracts before attempting to ship by an NVO/FF. So, it is not only possible, but likely, that if BBBY could not ship a particular container with their regular OOCL contracts, that it would have tried to ship it under other service contracts with other ocean carriers, before resorting to an NVO/FF. And when BBBY produces a list of containers shipped by NVO/FFs, that list would be specific to the containers that BBBY shipped but not specific to any particular respondent or ocean carrier.

For shipments that OOCL transported, BBBY should be able to point to the specific shipment and excess costs associated with it. However, for containers that OOCL did not transport, OOCL's argument that BBBY has the burden to prove that the alleged freight charges incurred pertain to a particular ocean carrier is not persuasive. From a liability perspective, the question is whether a respondent failed to carry containers in violation of the Shipping Act. If so, at the reparations stage, the question is what reparations amount would provide compensation with a reasonable degree of certainty. Thus, when a carrier unlawfully fails to

ship containers, it has given up responsibility for and control over the costs associated with shipping that container.

ii. Shortfall Quantity

The MQC shortfall seems like it should be readily identifiable. However, there are conflicting approaches presented by the parties. First, the parties differ on which MQC to use, the initial agreed upon quantity or the quantity reflected in the drawdown amendments at the end of the contractual timeframes and whether to adjust for a shortened contractual period. Second, the parties disagree on what to count as shipped – for example, whether to count space allotted in CSAL, “confirmed” bookings, or shipments actually transported. Indeed, there are even internal conflicting approaches. For example, BBY expert McCown alleges different PSS/premium contract damage totals versus the evidence provided in BBY Ex. 330. And, OOCL expert Jensen counts the shortfall differently from OOCL employee Karen Lam. Once the best available method for counting the shortfall is determined, reparations can be calculated.

To calculate the shortfalls, BBY appropriately cites to its invoicing data in support of its shipment volumes. *See e.g.*, CPFF ¶¶ 95, 104 (citing to BBY Exs. 328 and 329). BBY’s discussion of how it determined its shipment count, however, is limited. For example, BBY does not explicitly state in briefing whether or not it included extra loaders in its count of FEU shipped, although it implies that it did. *See, e.g.*, CPFF ¶ 95 (stating that “[d]uring the term of the 2020 Service Contract, OOCL’s misconduct caused OOCL to carry only 1,475.85 FEU of the 2,100 contracted FEUs” (emphasis added)); *see also* CPFF ¶¶ 101, 104; Brief at 14-16, 53. BBY then subtracts its shipment counts from the initial MQCs to determine the shortfall. CPFF ¶¶ 95, 101. BBY also separately seeks reparations for overcharges from OOCL shipments invoiced at PSS or premium contract rates, which further confirms that what BBY terms as “shortfalls” is based only on shipments arranged through NVO/FFs.

OOCL expert, Lars Jensen, explains the source of his data well. Mr. Jensen details that a “full set of data in excel format has been provided by Mr. Glenn Metzger relating to the bookings made by BBY during the contractual period. This is provided in the form of 3 excel files which are submitted along with my report.” APP 4016 (citing BBB “Booking Data May 2020 to April 2021.xls,” “Booking vs CSAL May 2021 to Sep 2021.xls,” and “Booking vs CSAL Oct 2021 to May 2022.xls”). While the Jensen report does list the number of containers transported by OOCL pursuant to each service contract, this is not the primary metric advanced by Mr. Jensen. Rather, the Jensen report focused on bookings “confirmed” by OOCL, also noting the number of cancelled bookings and no-shows. Mr. Jensen proposes that the confirmed bookings be compared to the drawdown MQCs to assess whether OOCL met its commitments. The confirmed bookings, no-show, and cancellation numbers were all from OOCL systems and Mr. Jensen confirmed that he did not review email correspondence or other cancellation communications or documents generated by BBY to cross-check his dataset. APP 1019-20. Mr. Jensen concludes that, both for the 2020 and 2021 service contracts, “OOCL confirmed an amount of TEU booked by BBY which exceeded the agreed MQC.” APP 4017-18.

The Lam slides, prepared by OOCL employee Karen Lam along with other OOCL employees, calculates the shortfall based on space provided by the CSAL, considering this as implicitly reserved whether BBY chose to use it or not. APP 3039-40; APP 4028; *see also* RX

643-51. The Lam slides then also give OOCL credit for “over accommodation” beyond the CSAL and subtract for rejected TEU below the CSAL. In addition, the Lam slides calculate cancelled and no-show bookings, among other metrics, and appear to utilize the initial contract MQC for the 2021 service contract, and the initial MQC prorated to 43 from 52 weeks for the 2020 service contract. APP 3039-40. Mr. Jensen comments on Lam’s analysis, and her counting of the CSAL versus his alternate tabulation of “confirmed” bookings by OOCL that “[n]either approach is more correct than the other, but they measure two different elements of the contractual relationship.” APP 4028. The Lam slides do also note the number of containers transported by OOCL pursuant to each service contract, but as with Mr. Jensen, this is not the primary metric advanced by the Lam slides.

The first question is whether to use the MQC at the beginning or the end of the service contracts, i.e. the drawdown amendment quantity. The evidence shows that the drawdown amendments do not accurately reflect the mutual agreement of the parties; rather, by resetting the MQC, OOCL attempted to negate their space and price commitments, particularly where BBY was “dying for space,” willing and able to use the space, and did not want a reduced quantity. Thus, under the facts of this case, OOCL’s assertion that the drawdown amendment should be utilized as the MQC for purposes of calculating OOCL’s actual damages is not persuasive. Instead, the MQC at the beginning of the service contracts is the more accurate metric to use to calculate the shortfall here.

OOCL also implicitly argues that the MQC should be prorated to account for the shortening of the 2020 service contract. *See* RPFF § 602 (referring to 3,473 TEUs of pro rata space); *see also* APP 3039 (Lam slide, referencing a “pro-rata MQC” of 3,473 TEU, equal to 1,736.5 FEU based on 43 weeks versus the original 52 weeks). This adjustment of the 2020 service contract MQC for purposes of calculating the shortfall is appropriate, as it has been found that both parties voluntarily agreed to this shortening of the contract period.

The second question, then, is what best identifies the container volume to count as shipped. This quantity then will be used to calculate the total shortfall volume, if any, which constitute BBY’s actual damages, considering both the excess costs of shipments from NVO/FFs and OOCL overcharges.

As an initial point, the drawdown amendment volumes were considered as an option to identify the shipped volumes. This is held not to be the most accurate reflection of the total FEUs shipped, however, since the drawdown amendments do not necessarily reflect the total shipped under the annual service contracts, depending on the timing and information available on the date that the drawdown amendment was executed.

As already noted, OOCL’s calculations of MQC shortfall take into account space that OOCL claims to have “provided” to BBY, relying on OOCL systems. The Lam slides count the CSAL as provided space, which has been shown not to be reliable or reasonable. Meanwhile, Mr. Jensen relies upon other OOCL systems data, which BBY described as “garbage in garbage out.” APP 1019-20; *see, e.g.*, section II.B; *see also* APP 2941 (showing that what is input into OOCL booking notes is not always accurate). Indeed the evidence shows that some of the space offered by OOCL was not offered in good faith, and more broadly, OOCL’s calculations of offered or “provided” space are not credible. In addition, the

cancellation and no-show numbers, whether tabulated in the Lam slides or by Mr. Jensen, are not found to be reliable, again because of the unreliability of the underlying data from OOCL systems. Further, lack of timely notice to BBY that a shipment had been confirmed – particularly in the 2021 service contract year, where OOCL opened up a huge volume to BBY with very short notice – may be counted by OOCL as cancellations or no-shows, even though the confirmations were not provided in good faith or with reasonable time to act. On a smaller scale as well, bookings may well have been stuck in a pended state and confirmed at the last minute, when it was too late for BBY to reasonably utilize the volume. *See, e.g.*, APP 2940-41 (referencing bookings “long pended” despite request to release); APP 1645. In addition, it is documented that OOCL would accept more bookings than the total space allocation available, OOCL’s rationale being that customers did not deliver 100% of the containers they booked “[s]o the regions, the loading regions will have to make some buffer.” APP 2717; *see also* CPFF ¶ 219; RRPFF ¶ 219; CPFF ¶ 219.1; RRPFF ¶ 219.1. Such allegedly “provided” space cannot reasonably be accepted as space actually provided to BBY, given the myriad of booking and tracking problems identified within OOCL’s systems. *See, e.g.*, APP 3039-40; APP 1386.

Thus, the volume actually transported by OOCL is the most reliable and accurate metric by which to judge the volume fulfilled by OOCL. OOCL seems to suggest it would be illogical to tabulate the shortfall by subtracting the volume transported from the original MQC, writing of BBY’s shortfall calculations that: “In truth, these purported shortfall numbers are no more than the difference between BBY’s original MQC in those two shipping years and the number of containers actually *carried* by OOCL.” Opposition at 20 (emphasis in original). Yet, this is precisely the approach undertaken in a recent case requiring such a metric for reparations. *See, e.g., OJ Commerce*, 2023 WL 3969857, at *16, *48 (finding that 185 FEU were shipped out of an MQC of 200 for the 2020-21 service contract, resulting in a shortfall of 15 FEU, multiplied by the profit per container), reviewed by 2024 WL 4034610, at *30, *34 (FMC Aug. 27, 2024) (affirming the 15 FEU shortfall for the 2020-21 service contract, although multiplying by a slightly lower profit per container value).

Out of OOCL’s proposed counts of containers transported by OOCL, Mr. Jensen’s count of the “OOCL shipped” volumes are the best explained, and are found to be more reliable than the Lam slide’s tabulation of the transported volume. As also elaborated below and in the findings of fact, it appears that Mr. Jensen and BBY essentially concur on the number of containers transported, once extra loaders are excluded from BBY’s counts.

Looking specifically at the number of containers actually shipped by OOCL, Mr. Jensen concludes that 1,046 FEU were transported for BBY by OOCL pursuant to the 2020 service contract, and 1,968.5 FEU shipped were transported for BBY by OOCL pursuant to the 2021 service contract. APP 4017; APP 4019.

BBY tabulates, based on its invoicing data, that 1,475.85 FEU were shipped by OOCL during the 2020 service contract, which count is 429.85 FEU higher than Mr. Jensen’s shipped computation. CPFF ¶ 95; APP 4017. BBY further tabulates that 2,432.74 FEU were shipped by OOCL during the 2021 service contract, which count is 464.24 FEU higher than Mr. Jensen’s shipped computation. CPFF ¶ 104; APP 4019. These differences in FEU counts – specifically the difference between Mr. Jensen’s shipped counts versus BBY’s shipped counts

– are likely explained by BBY counting extra loaders, and Mr. Jensen not counting extra loaders. *See* section II.F.2.a.

Conceptually, it is more accurate here to *exclude* extra loaders volumes when calculating the quantity shipped under the service contracts, because OOCL presented those shipments as being apart from the regular service contract pricing and MQCs. *See, e.g.*, APP 4169; APP 3664; APP 3792; APP 640–41. Thus, on the question of the shortfall under this particular factual scenario, where there is evidence that BBY was able to use the space that was reasonably offered to it, it is appropriate to calculate the shortfall by subtracting the transported volume, excluding extra loaders, from the original or prorated MQC.

Thus, having resolved which MQCs to use, and having determined that the quantity transported by OOCL best demonstrates the fulfillment against those MQCs, the final shortfall numbers may be calculated. For the 2020 service contract, the total FEU transported, 1,046 FEU, is subtracted from a prorated MQC of 1,736.5 FEU, and the resulting 2020 service contract shortfall is found to be 690.5 FEU. For the 2021 service contract, the total FEU transported, 1,968.5 FEU, is subtracted from the original contract MQC of 3,796 FEU, and the resulting 2021 service contract shortfall is found to be 1,827.5 FEU. To summarize, there was a shortfall of 690.5 FEU for the 2020 service contract and 1,827.5 FEU for the 2021 service contract. The following section utilizes these shortfall quantities to determine the shortfall reparations, looking at both excess costs of NVO/FF shipments and OOCL overcharges.

iii. Shortfall Reparations

The shortfall quantities found above reflect the number of shipments that were committed to, but not transported by, OOCL pursuant to the terms of the 2020 and 2021 service contracts. BBY presents its related damages in two groups: (a) containers transported by NVO/FFs, where BBY paid more than it would have under the original OOCL service contract; and (b) containers transported by OOCL as extra loaders, where BBY paid more than it would have under the initial OOCL service contracts. Both of these properly fall into the category of shortfall damages, although BBY refers to the former in briefing as “MQC Shortfalls” while lumping overpayments for extra loaders into what it calls “PSS/Premium Contract Charges.”

Ideally, the shortfall would first be covered by compensating BBY for OOCL shipments at increased rates, and then by shipments through NVO/FFs at excess charges. However, due to limitations with the data presented, NVO/FF charges are considered first. For example, one complication in terms of BBY’s presentation of its damages, as discussed further below, is that within the category of “PSS/Premium Contract Charges,” BBY does not break out overpayments for extra loaders versus overpayments for shipments subject to PSS or similar ocean freight increased charges. This is not optimal, and it would have been preferable had BBY separately presented its extra loader overcharges (what it refers to as “Premium Contract Charges”) from other overcharges (what it refers to as “PSS”). However, BBY has presented detailed calculations sufficient to support its requests and OOCL has not identified specific problems with the shipment data. Considering the record as a whole, awarding reparations for both groups of overpayments – those made to NVO/FFs and OOCL overcharges

– is appropriate. The reparations for Count I thus include both NVO/FF damages and OOCL overcharges for both 2020-21 and 2021-22.

(a) NVO/FF Charges

BBBY requests reparations of \$3,146,072.00 for shortfalls filled with NVO/FF shipments (“NVO/FF shortfalls”) under the 2020 service contract and \$19,563,799.79 for NVO/FF shortfalls under the 2021 service contract. Brief at 91. In support of these calculations, BBBY asserts that:

Appendices A-1 through A-4 of the McCown Report reflect actual shipments undertaken by BBBY during the term of the 2020 Service Contract on lanes that were supposed to be covered by the 2020 Service Contract, using NVOs or freight forwarders, as OOCL was failing to meet its service commitments under the 2020 Service Contract. . . . Appendices B-1 through B-4 of the McCown Report reflect actual shipments undertaken by BBBY during the term of the 2021 Service Contract on lanes that were supposed to be covered by the 2021 Service Contract, using NVOs or freight forwarders, as OOCL was failing to meet its service commitments under the 2021 Service Contract.

Brief at 92-93.

OOCL initially asserts that it met the MQC in 2020 and *almost* met the MQC in 2021. *See, e.g.*, Opposition at 12 (contending that that “even without considering the Parties’ mutual agreement to amend the MQC, OOCL provided 104.4% of the original MQC in 2020-21 and 94% of the original MQC in 2021-22.”); Opposition at 29 (further asserting that “OOCL has produced detailed facts and evidence that clearly show its performance not only met but exceeded the commitments it made in the 2020 service contract and substantially complied with the 2021 service contract.”). Yet later in briefing, OOCL contends that no shortfall damages are due in either year. Opposition at 65 (“Because there was no shortfall, BBBY is not entitled to recover what it describes as the “incremental expense” of shipping cargo by other means.”).

Mr. McCown’s expert report details that the table contained at Appendix A-1 “reflects actual shipments undertaken by BBBY during the 2020 service contract year on lanes covered by the 2020 Service Contract, using NVOs or freight forwarders.” APP 3794. The table in Appendix B-1 reflects the same for the 2021 service contract. APP 3810. Both the A-1 and B-1 Appendices contain detailed shipment data for each shipment, including: date of departure, date of discharge, port of loading, port of discharge, the container size, the carrier total fee, the total per container, and other identifying information about each shipment. The table in Appendix A-1 runs from APP 3794-3804 and the table in Appendix B-1 runs from APP 3810-37.

Appendix A-2 then notes that the “2020 Service Contract covered many lanes, not all of which were actually used. The table below summarizes the number of containers BBBY shipped via NVOCCs or freight forwarders on lanes covered by the 2020 Service Contract, as set forth in Appendix A-1.” APP 3805. Appendix B-2 presents the same information, but for the 2021 service contract. APP 3838. Appendices A-2 and B-2 then show the precise number of

container shipments within the data set presented, for each specific port pair, also specifying the container size of the actual shipment. APP 3805-06; APP 3838-40.

Appendix A-3 provides a calculation of the but-for freight expenses over the same routes and using the same container size rate, for the 2020 service contract. APP 3807-08. Appendix B-3 provides the same information for the 2021 service contract. APP 3841-43. Mr. McCown explains that these tables calculate how much BBY would have paid if it had shipped each of the loads referenced in the preceding appendices via OOCL, at the freight rates specified in the relevant annual service contract. APP 3841; APP 3807.

Finally, Appendix A-4 summarizes the results of Mr. McCown's analysis for the 2020 service contract, calculating the "Cost of NVO freight on impacted lanes" to be \$4,019,568.00 and the "But-for cost if OOCL had carried NVO shipments at [2020] Contract rates" to be \$873,496.00. APP 3809. Then subtracting the but-for cost from the NVO freight cost yields an "Excess cost to BBY arising from OOCL shortfall" of \$3,146,072 under the 2020 service contract. APP 3809.

The McCown report also presents at Appendix B-1 "actual shipments undertaken by BBY during the 2021 service contract year on lanes covered by the 2021 service contract, using NVOs or freight forwarders." APP 3810. In Appendix B-4, Mr. McCown performs the same analysis for the 2021 service contract, calculating the "Cost of NVO freight on impacted lanes" to be \$23,169,245.50 and the "But-for cost if OOCL had carried NVO shipments at [2021] Contract rates" to be \$3,613,975.00, resulting in "Excess cost to BBY arising from OOCL shortfall" of \$19,555,270.50 under the 2021 service contract. APP 3944.

The 2020 service contract was shortened from 52 to 43 weeks. Therefore, Appendix A-1 was reviewed to ensure the shipments were within the appropriate timeframe. Looking at the first column, the departure date, shows that the shipments included departed between December 23, 2020, and April 30, 2021. APP 3794-804. Moreover, the shipments listed were all loaded in an overseas port, and discharged in a United States port. APP 3794-804. Appendix B-1 was also reviewed to ensure the shipments were within the appropriate timeframe. Looking at the first column, the departure date, shows that the shipments included departed between May 8, 2021, and April 29, 2022. APP 3810-36. Moreover, the shipments listed were all loaded in an overseas port, and discharged in a United States port. APP 3794-804; APP 3810-36.

Mr. McCown's analysis is well-reasoned and explained, and his approach appears sound. The assumptions in this analysis are spelled out, as is the process and logic. Mr. McCown reasonably compares the cost of freight actually transported for BBY by NVO/FFs during the relevant contract years; and he has appropriately matched these shipments to specific routes and rates identified in the relevant OOCL service contracts, in order to subtract the appropriate contract cost from the actual cost, yielding the actual excess costs to BBY arising from the NVO/FF shortfalls. Further, as it has been determined that BBY is entitled to compensation for its total shortfall of 690.5 FEU for the 2020 service contract and of 1,827.5 FEU for the 2021 service contract, the excess costs for the entire shipment volumes identified in the McCown report appendices (of 625.125 FEUs in 2020-21 and 1363.875 FEUs in 2021-22) are appropriately compensable to BBY. APP 3794; APP 3810.

Mr. Jensen even acknowledges that as a “hypothetical math calculation” he does not have a problem with the math performed in the McCown report shortfall analysis. APP 1025-26 (“Q. As a hypothetical math calculation, you don’t have any problem with the math that he performed, right? . . . A. As far as I recall, yes.”). OOCL’s rebuttal expert, Mr. Steffen, questions the appropriate shortfall volume and proposes that incremental revenues should be considered in addition to the difference in cost. APP 3955-62. But, like Mr. Jensen, Mr. Steffen does not point to any alleged errors within the cost differential analysis performed in Appendices A-1 through A-4 and B-1 through B-4. APP 3955-62. Albeit containing one apparent typographical error in the summary of incremental expenses found for the 2021 service contract,¹⁹ Mr. McCown’s analysis is well-reasoned, well-explained, and his approach is sound.

As the Commission has said, the utility of an expert report may not be for validating or auditing the underlying data, but rather the expertise can be useful in determining how best to calculate the damage suffered. *OJ Commerce*, 2024 WL 4034610, at *24. Indeed, BBY may have been better served here by an expert with significant experience determining damages, even if they were not as familiar with the maritime industry. However, the McCown report analysis is accepted as a reliable and reasonable assessment of BBY’s shortfall damages pertaining to shipments from NVO/FFs here.

Therefore, the total excess costs to BBY as found in the McCown report of \$3,146,072 for the 2020 and \$19,555,270.50 for the 2021 service contracts are found to be an accurate measure of BBY’s actual injury for shipments transported by NVO/FFs to fill in some of the shortfall volumes caused by OOCL. Reparations of \$3,146,072 for 2020-21 plus \$19,555,270.50 for 2021-22 are therefore ordered as reparations for NVO/FF shipments.

(b) PSS and Premium Extra Loader Overcharges

BBY asserts in briefing that:

OOCL’s imposition of PSS, other surcharges, and demand for premium contracts damaged BBY by \$7,109,296.00 during the term of the 2020 Service Contract and \$6,623,453.00 during the term of the 2021 Service Contract. (McCown Report ¶ 177 [APP-3792]; Dep. Ex. 330 [APP-3359].) . . . If OOCL had honored its service commitments instead of ratcheting up rates to achieve spot market-level returns, BBY would not have been subject to the \$13.7 million in PSS and premium charges that it had to pay. (McCown Report ¶ 180 [APP-3792].)

Brief at 93 (brackets in original).

The McCown report does not provide an independent source of verification for BBY’s requested PSS and premium contract overcharges, referring to the complaint and BBY Exhibit 330. The complaint is not evidence and does not support BBY’s claims. But, BBY Ex. 330 does show BBY’s work in terms of identifying “all containers by container number about which [BBY] complain[s] that Respondents charged Complainant a premium to carry.” Hill

¹⁹ McCown’s summary paragraph lists \$19,563,799.79 instead of \$19,555,270.50. APP 3809.

Decl. at 4-5. Of note though, the total damages that BBY requests in briefing do not match the evidence in BBY Ex. 330. Specifically, BBY requests \$7,109,296 for PSS/premium contract charges during the 2020 service contract and \$6,623,453 for PSS/premium contract charges during the 2021 service contract. Brief at 91. These numbers are surprising because 2020 is higher than 2021, while 2020 was a shorter service contract (43 weeks versus 52 weeks) and prices generally rose in 2021 compared with 2020. APP 4022. In contrast, BBY Ex. 330 calculates PSS/premium contract overcharges during the 2020 service contract to be \$2,151,715, and PSS/premium contract charges during the 2021 service contract to be \$7,313,271. BBY Ex. 330. Therefore, the totals from BBY Ex. 330 will be accepted as BBY's requested damages for PSS and premium pricing for extra loader reparations.

BBY Ex. 330 (APP 3359), which was produced to OOCL as Attachment A to Complainant's Supplemental Interrogatory Responses, "merges container-level data from P-0000353819 and P-0000810432 and compares the cost of containers shipped with OOCL on relevant lanes during each shipping year with the costs for such containers pursuant to the respective Service Contracts to calculate the amounts charged by OOCL to BBY in excess of what those containers should have cost had OOCL honored its service commitments." Hill Decl. at 4-5; *see also* Reply at 60. Thus, BBY Ex. 330 pulls from BBY's universe of invoicing data for the relevant time periods, and specifically selects invoice numbers, along with the matching carrier charges, and other information like container size, port pairs, and relevant dates.

BBY Ex. 330 contains a total of six worksheet tabs. BBY Ex. 330; Hill Decl. at 4-5. Specifically, worksheet tab "SY 20" shows 2020 service contract year shipments by OOCL for which BBY alleges "that Respondents charged Complainant a premium to carry," while worksheet tab "SY 21" shows the same for the 2021 service contract year. Hill Decl. at 4. Next, worksheet tab "20 But For" looks to the 2020 service contract "to determine the contract cost on relevant port pairs" and "how much cargo of each size and between each port pair should have cost," while worksheet tab "21 But For" does the same for the 2021 service contract. Hill Decl. at 4. Finally, worksheet tab "20 Damages" subtracts what it "should have cost to ship [the SY 20] containers" based on the 2020 service contract, from the amount that the containers actually cost "yielding the amount paid by BBY to OOCL for carriage" in excess of what the cargo would have cost under the 2020 services contract. Worksheet tab "21 Damages" does the same based on the 2021 service contract. Hill Decl. at 5.

The data contained in BBY Ex. 330 includes such key information as bill of lading numbers, shows the carrier (OOCL) for the shipments listed, lists the carrier total in dollars, the port of loading, the port of discharge, and the dates of the invoice, loading, and discharge. BBY Ex. 330. There are also multiple indicia of reliability in the BBY Ex. 330 data, including that the date range represented makes sense. Also of import, it can be confirmed that the data in SY 20 and SY 21 was pulled from P/819 or P/432. Specifically, based on spot checks, each invoice number examined from BBY Ex. 330 was found with the same carrier total in P/819 invoice data. Further, based on both spot checks and data filtering, it appears that each total dollar value pulled into SY 20 and SY 21 specifically corresponded to an "Ocean Freight" invoice charge from OOCL. BBY Ex. 330; P/819; P/432. It is therefore found more likely than not that BBY's Ex. 330 invoice data specifically corresponds to OOCL charges labeled as ocean freight.

BBBY could have improved its analysis in various ways, including that it would have been preferable if BBBY delineated which of the invoice numbers in the SY 20 and SY 21 tabs pertained to extra loaders and which did not. Even simply specifying the total volume of extra loaders contained in the SY 20 and in the SY 21 data would have been extremely valuable, and seemingly this is something that BBBY ought to have been able to do. Relatedly, it would have been preferable if BBBY had presented damages for extra loaders separately from damages for its PSS/other ocean freight OOCL overcharges. BBBY could have better explained in briefing, or in an expert report, all of these details. As an additional example, even making more explicit that the SY 20 and SY 21 data includes both extra loader shipments and also regular service contract shipments for which PSS charges are alleged to have applied would have been helpful. BBBY Ex. 330; Hill Decl. 4-5. Then too, explaining how BBBY moved from the complete universe of OOCL shipments during the time period of the 2020 and 2021 service contracts (P/819 and P/432) to the data included in SY 20 and SY 21 (BBBY Ex. 330) all should have been more clearly explained so that the data could more readily have been evaluated.

OOCL's main contentions regarding this data is that it did not impose any unreasonable charges for any shipments; and that BBBY's extra loader and PSS damages include "other surcharges" that are not explained and that are unsupportable. Opposition at 66-67. In its opposition, however, OOCL does not present its own calculation of damages regarding PSS, extra loaders, or any other damages that may be due to BBBY. OOCL has had access to all of BBBY's shipment data since BBBY's production of the foundational data documents early on in this proceeding. Further, OOCL has its own sources of BBBY shipment data, both referenced in this proceeding and otherwise contained in its systems. Thus, OOCL had every opportunity to engage with BBBY's PSS and premium contract/extra loader reparations calculations, for example by examining costs listed per individual invoice number presented, comparing the costs in its systems versus the amounts listed by BBBY, and by making arguments as to why specific invoice numbers did or did not fairly represent overcharges.

OOCL's other arguments similarly fail under the weight of the data presented. For example, OOCL asserts that "Complainant does not provide a breakdown between PSS (peak season surcharge), undefined 'other surcharges,' and so-called premium contracts. Nor does Complainant even describe the 'other surcharges.'" Opposition at 66. But, because BBBY Ex. 330 invoice data selected by BBBY has been found to specifically correspond to "Ocean Freight" invoice charges from OOCL, to the extent that there is a question about what "other surcharges" outside of PSS and extra loader fees have been applied, OOCL would have that information and, again, could have made arguments as to the appropriateness of specific invoice numbers or cost differentials, had it so chosen.

It is noted that the shipments in tab SY 20 were loaded from July 1, 2020, to April 30, 2021, from overseas ports to ports in the United States. BBBY Ex. 330. Similarly, the shipments in tab SY 21 were loaded from May 1, 2021, to April 30, 2022, from overseas ports to ports in the United States. BBBY Ex. 330. Thus, the evidence matches the timeframe and ports.

Overall, BBBY has presented evidence with a sufficient foundation, multiple indicia of reliability, and which is logical. As noted, OOCL has not questioned particular line items or the mathematics performed, although having both the data and opportunity to do so. Reparations calculations do "not require absolute precision" but rather require "evidence sufficient to

reasonably infer the actual loss sustained.” *MAVL Capital Inc.*, 2022 WL 2209421, at *3. This standard has been met.

Therefore, BBY has carried its burden of supporting its damage calculations for PSS and premium contract overcharges. It is therefore found that BBY was overcharged for PSS and extra loader shipments during the 2020 service contract year by \$2,151,715; and BBY was overcharged for PSS and extra loader shipments during the 2021 service contract by \$7,313,271. BBY Ex. 330. These amounts are added to the reparations ordered for containers transported by NVO/FFs, of \$3,146,072 for the 2020 plus \$19,555,270.50 for the 2021 service contracts. Thus, the total reparations for Count I in 2020-21 is \$5,297,787 and in 2021-22 is \$26,868,541.50.

iv. Reparations for 2022-23

BBY alleges two categories of reparations on the 2022 service contract, which ran from May 1, 2022, through April 30, 2023. First, BBY alleges regarding Count V: Refusal to Deal that its 2022-23 shipping year lost profits amounted to \$44,906,060.97; second, BBY alleges regarding Count IV: Retaliation that it is entitled to a doubling of its 2022-23 shipping year lost profits, i.e. an additional \$44,906,060.97. Brief at 91, 95-97.

BBY arrives at this \$44,906,060.97 by taking the reduced FEU volume it alleges to have been based on OOCL’s violations, and multiplying this by its calculation of the profit per container. Brief at 96-100. Specifically, BBY asserts that its 2022-23 contract volume should have been 671 FEU higher, reasoning that the:

[S]ervice contract ultimately entered into between OOCL and BBY for the 2022-2023 shipping year included an MQC commitment of only 3,125 FEUs, or 671 FEUs less than the MQC OOCL had provided in the 2021 Service Contract [3,796]. (C473.) The 671-FEU difference between the MQC in the 2021 Service Contract and the ultimate MQC commitment included in the service contract for the 2022-2023 shipping year between OOCL and BBY was intended by OOCL as retaliation against BBY in response to BBY’s threats to OOCL of bringing FMC litigation based on OOCL’s unlawful practices and policies.

Brief at 82; *see also* Brief at 86 (referencing “OOCL’s knowingly improper decision to rescind, during negotiations, its repeated offer to maintain BBY’s 2021-2022 MQC for the 2022-2023 shipping year, and instead reduce BBY’s MQC by 671 FEUs following protected conduct by BBY”). Indeed, the record shows OOCL internally discussed a 17% reduction which would be a 645-FEU difference. The record supports finding the 2022-23 reduction was due to retaliation.

However, BBY does not offer a profit per container that actually corresponds to the 2022 contract year. Instead, BBY explains that its calculation of average revenue and profit per container is “based on actual shipments and profits recorded from May 1, 2020, the start date of the 2020 Service Contract, to April 30, 2022, when the 2021 Service Contract concluded.” Brief at 98 (also explaining that “Rick Cunniff, BBY’s former Senior Director of Financial Analysis, gathered data from multiple sources, including detailed records of shipped containers, product markups, and sales figures, and created a spreadsheet detailing container

profitability during the relevant time period.”). This is especially problematic because this means that the data utilized to calculate the profit per container does not overlap at all with the dates of the 2022 service contract, which ran from May 1, 2022, through April 30, 2023.

Indeed, especially since BBY filed for bankruptcy in April 2023, in the final month of the 2022 service contract, this time period mismatch in the data is a significant failing. RX 671; CPFF ¶ 31; RPPF ¶ 31. BBY thus has not offered a figure that reliably represents the profit per container applicable to the 2022 Contract Year. As such, BBY’s assertion that 2022-23 shipping year lost profits amounted to \$44,906,060.97 is found not to be adequately supported by the evidence. BBY’s assertion that reparations for retaliation may be measured as a doubling of its 2022-23 shipping year lost profits, i.e. an additional \$44,906,060.97, is equally unsupported. BBY therefore fails to present, and to support, its damages premised on 2022 service contract lost profits. Therefore, the evidence does not support finding BBY’s proposed Count V/refusal to deal or BBY’s proposed Count IV/retaliation damages specific to the 2022-23 contract year to be established on the record presented.

d. Additional Damages

BBY contends that it is entitled to a doubling of the reparations for Count I as to shortfalls for the 2021 service contract as well as PSS/premium charges and all detention and demurrage charges after October 18, 2021, amounting to a total of \$31,280,352.13 in additional reparations plus a doubling of its lost profits reparations for the 2022-23 shipping year under Count V. Brief at 96.

OOCL asserts that BBY is not entitled to statutory doubling of its lost profit claims; Complainant has failed to prove its claims and failed to proffer competent evidence that could support any fact finder’s assignment of the damages; and even if such claims had merit, there can be no doubling because there are no underlying provable damages. Opposition at 70-71.

The use of the word “may” indicates that additional damage amounts are discretionary. *American President Lines, Ltd. v. Cyprus Mines Corp.*, Docket No. 91-27, 1994 WL 33488, at *14 (FMC Jan. 31, 1994) (Order on Review of Summary Judgment). Fact Finding 29 recommended adding section 41102(c) to the list of violations for which additional damages are available and if enacted, recommended that “the Commission should then develop guidance about under what circumstances it would order ‘additional amounts’ for violations of § 41102(c) [e.g., for certain types of cases (demurrage and detention only or other types of cases), or based on certain conduct (bad faith, willfulness)].” FMC Fact Finding No. 29, 2021 WL 3367606, at *2 (Jan. 1, 2021) (brackets in original).

The Commission has used a “knowing and willful violation of the Shipping Act” standard to review an award of additional damages. *OJ Commerce*, 2024 WL 4034610 at *24. In Commission enforcement proceedings, enhanced civil penalties are awarded “if the violation was willfully and knowingly committed.” 46 U.S.C. § 41107(a). This standard is consistent with the recommendation in Fact Finding 29, which suggests consideration of bad faith or willfulness. Therefore, a standard of knowing and willful will be used to determine whether or not additional damages are appropriate here.

The Commission has addressed the knowing and willful standard in the civil penalties context, stating:

In order to prove that a person acted “knowingly and willfully,” it must be shown that the person has knowledge of the facts of the violation and intentionally violates or acts with reckless disregard or plain indifference to the Shipping Act, or purposeful or obstinate behavior akin to gross negligence. The Commission has further held that a person’s “‘persistent failure to inform or even to attempt to inform himself by means of normal business resources might mean that a [person] was acting knowingly and willfully in violation of the Act.’”

Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd., Docket No. 96-05, 2001 WL 865708, at *47 (FMC June 1, 2001) (citations omitted); *see also Pacific Champion Express Co., Ltd.*, Docket No. 99-02, 2000 WL 534633, at *10 (FMC April 21, 2000).

Here, BBY has been awarded reparations for failure to transport the quantity and at the prices in the 2020-21 and 2021-22 service contracts. The 2020-21 service contract ended before the first BBY letter triggering the retaliation and BBY does not request that reparations be doubled for that timeframe.

The evidence above is strong that the reaction to the October 18, 2022, letter was to view it as threatening and that it motivated not just the reduction in cargo carried for the 2021-22 timeframe but also in negotiating a service contract for 2022-23. The violations were willfully and knowingly committed, in part due to an effort to unreasonably increase profits without equitably apportioning available space or meeting prior commitments, which supports the maximum additional penalties. The evidence is sufficient to warrant additional damages and to justify the maximum increase – a doubling of the damages after October 18, 2022.

The evidence does not clearly specify which portions of the shortfall or overcharge damages are attributable to this timeframe. The 2021-22 service contract ran from May 1, 2022, to April 30, 2022. Thus, the letter arrived five months and 18 days into the 12-month agreement. A fair approximation of the damages attributable to the timeframe after the letter is one half of the 2021-22 damages. The reparations amount “can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences.” *Tractors & Farm*, 26 S.R.R. at 798-99.

For the 2021-22 timeframe, damages of \$7,313,271 were found for PSS/extra loader overcharges, plus damages of \$19,555,270.50 for the NVO/FF portion of the shortfall, which totals \$26,868,541.5. One half of the damages awarded for the 2021-22 timeframe is \$13,434,270.75. This portion is the additional damages due to violation of the Shipping Act’s prohibition on retaliation and is added to the damages already found. Thus, the total reparations award is \$45,600,599.25, as shown in this chart.

<i>Count-Basis</i>	<i>Timeframe</i>	<i>Amount</i>
I-OOCL overcharges	2020-21	\$ 2,151,715.00
I-NVO/FF charges	2020-21	\$ 3,146,072.00
I-OOCL overcharges	2021-22	\$ 7,313,271.00
I-NVO/FF charges	2021-22	\$ 19,555,270.50
II		No violation
III & V		No additional reparations
IV-OOCL overcharges	Half of 2021-22	\$ 3,656,635.5
IV-NVO/FF charges	Half of 2021-22	\$ 9,777,635.25
<i>TOTAL</i>		<i>\$ 45,600,599.25</i>

e. Date of Injury

The Shipping Act requires the Commission to award the loss of interest at commercial rates compounded from the date of injury. *See* 46 U.S.C. § 41305(a). Commission regulations establish that “interest granted on awards of reparation in complaint proceedings instituted under the Shipping Act of 1984 will accrue from the date of injury to the date specified in the Commission order awarding reparation.” 46 C.F.R. § 502.253. The Commission stated in *Color Brands* that “with respect to multiple shipments, the ALJ should be able to determine the reasonable date or dates of injury,” concluding that:

[I]t would not appear to be unreasonable to determine that the mid-point date of the period of all eligible shipments was the date of injury for the claim, because such a date may award Color Brands approximately the same amount of interest as being calculated using each shipment date, by evening out the earlier and later dates of injury.

Color Brands, LLC v. AAF Logistics, Inc., Docket No. 22-18, 2024 WL 246193, at *3 (FMC Jan. 18, 2024).

Neither party discussed the date of injury in their briefs. This is the date used to calculate interest and parties should always address what date would be appropriate. Here, the focus is on the timeframe of the violation. Damages are found for both the 2020 and 2021 service contracts, covering the timeframe from July 1, 2020, to April 30, 2022. This is a 22-month timeframe, and the midpoint would be 11 months after July 1, 2020. The mid-point is found to be June 1, 2021.

IV. ORDER

Upon consideration of the record herein, the arguments of the parties, the findings and conclusions set forth above, and the determination that BBY has established that OOCL violated the Shipping Act, 46 U.S.C. §§ 41102(c) (unreasonable practices); 41104(a)(2) (service not in accordance with service contracts); 41104(a)(10) (refusal to deal); and 41104(a)(3) (retaliation), it is hereby

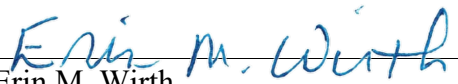
ORDERED that the April 29, 2025, Motion for Confidential Treatment be **GRANTED IN PART AND DENIED IN PART** and the Motion to Seal the April 29, 2025, Motion for Confidential Treatment be **GRANTED**. It is

FURTHER ORDERED that BBY's Amended Complaint against OOCL with regard to Counts I, III, IV, and V be **GRANTED**. It is

FURTHER ORDERED that OOCL is ordered to pay BBY reparations in the amount of \$45,600,599.25, with interest on the reparations award running from June 1, 2021. It is

FURTHER ORDERED that any other pending motions or requests be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that this proceeding be **DISCONTINUED**.


Erin M. Wirth
Chief Administrative Law Judge

Attachment A: Table of Contents

I.	INTRODUCTION.....	1
A.	OVERVIEW.....	1
B.	PROCEDURAL HISTORY	3
C.	PENDING MOTIONS.....	6
1.	<i>Motion for Confidential Treatment.....</i>	6
2.	<i>Motions Regarding Expert Testimony</i>	10
a.	Motion to Exclude BBBY Expert Witness McCown	10
b.	Motion to Reopen Discovery	12
D.	EVIDENCE	14
E.	ARGUMENTS OF THE PARTIES	14
II.	FINDINGS OF FACT	15
A.	BACKGROUND	15
1.	<i>Relevant Entities.....</i>	15
2.	<i>Market Conditions.....</i>	17
3.	<i>Annual Service Contracts.....</i>	18
a.	2020 Service Contract.....	18
b.	2021 Service Contract.....	22
c.	2022 Service Contract.....	24
d.	Monthly and Weekly MQCs	25
e.	Drawdown Amendments.....	26
B.	OOCL’S CUSTOMER SPACE ALLOCATION LIST (CSAL).....	27
1.	<i>Booking Requests Above CSAL Were Declined</i>	32
2.	<i>Booking Requests Within CSAL Were Also Sometimes Declined</i>	35
3.	<i>OOCL Pending, Timing, Accuracy, and Overbooking Issues.....</i>	36
4.	<i>CSAL Was Use It Or Lose It.....</i>	39
5.	<i>OOCL Systems Did Not Consistently Track Attempted Bookings and Other Information.....</i>	39
6.	<i>These Issues Combined to Cause Declination and Related MQC Fulfillment Issues for OOCL..</i>	40
C.	PEAK SEASON SURCHARGES AND PREMIUM PRICING FOR EXTRA LOADERS	48
1.	<i>Peak Season Surcharges Applied Over Date Ranges</i>	49
2.	<i>Premium Pricing and Contracts for Extra Loaders.....</i>	50
3.	<i>Select Communications Regarding Extra Loader Pricing.....</i>	57
4.	<i>Why BBBY Agreed to Overcharges</i>	63
5.	<i>Enhanced Profitability for OOCL.....</i>	67
6.	<i>OOCL Internally Discussed Moving Volume Away from Lower Paying Customers</i>	69
D.	DETENTION AND DEMURRAGE CHARGES.....	71
E.	RETALIATION AND REFUSAL TO DEAL	77
1.	<i>Negotiations After BBBY’s October 2021 Letter.....</i>	77
2.	<i>Negotiations After Formation of the 2022 Service Contract</i>	86
F.	REPARATIONS.....	92
1.	<i>Foundational Damages Data.....</i>	92
2.	<i>Shortfall Reparations.....</i>	94
a.	Transported Containers and Shortfall Volumes.....	94
b.	NVO/FF Charges.....	101
c.	Overcharges for PSS/Premium Contracts/Extra Loaders	105
3.	<i>Detention and Demurrage Fees.....</i>	108
4.	<i>Lost Profits Claim for 2022-23</i>	109

III. ANALYSIS AND CONCLUSIONS OF LAW	110
A. PRELIMINARY ISSUES.....	110
1. <i>OOCL Objections to the Proceeding</i>	110
a. Failure to State a Claim, Counts I, III, IV, and V.....	110
b. Count 1	116
i. Subject Matter Jurisdiction.....	116
ii. Failure to State a Claim for Transportation Function	116
c. Personal Jurisdiction.....	117
d. Procedural Due Process.....	118
i. Oral Hearing.....	118
ii. ALJ Removal.....	119
2. <i>Burden of Proof</i>	120
B. RELEVANT LAW.....	121
C. DISCUSSION	121
1. <i>Service Commitments Unreasonable Practices, Section 41102(c)</i>	122
a. Common Carrier	123
b. Receiving, Handling, Storing, or Delivering of Property.....	123
c. Unjust or Unreasonable Practice	123
i. Customer Space Allocation System	123
(a) Parties' Arguments.....	123
(b) Parties' Regular Service Contracts	124
(c) Minimum Quantity Commitment.....	124
(1) CSAL	127
(i) Booking Request Issues	129
(ii) Attempted Bookings	133
(iii) Underperformance	134
(2) OOCL data.....	135
(3) Mitigation and BBBY Use of Space.....	136
(4) Drawdown Amendments.....	138
(5) MQC conclusions	139
ii. PSS and Premium Pricing for Extra Loaders.....	139
iii. Service Contract Negotiations	145
iv. Conclusions Regarding Reasonableness	145
d. Normal, Customary, and Continuous Basis.....	145
e. Proximate Cause.....	146
2. <i>Detention and Demurrage, Section 41102(c) & 46 C.F.R. § 545.5</i>	146
a. Legal Framework	147
b. Unjust or Unreasonable Practice	149
i. Detention and Demurrage Rates	149
ii. Detention and Demurrage Charges	151
3. <i>Service Not in Accordance with Service Contracts, Section 41104(a)(2)</i>	155
4. <i>Refusal to Deal, Section 41104(a)(10)</i>	157
5. <i>Retaliation, Section 41104(a)(3)</i>	161
a. Shipper Activity.....	163
b. Respondents' Conduct.....	168
i. Bookings for the 2021-22 Shipping Year.....	169
ii. Negotiations for the 2022-23 Shipping Year.....	170
(a) MQC.....	170
(b) Rate Negotiations	174
iii. Rate Reductions for the 2022-23 Shipping Year	175
6. <i>Reparations</i>	179
a. Parties Arguments	179
b. Relevant Law.....	179
c. Relevant Evidence.....	181
i. Expert Evidence	181
(a) Foundation for Admission.....	181
(b) Correlation of Damages to Particular Carriers	183

ii.	Shortfall Quantity	185
iii.	Shortfall Reparations	188
	(a) NVO/FF Charges	189
	(b) PSS and Premium Extra Loader Overcharges	191
iv.	Reparations for 2022-23	194
d.	Additional Damages	195
e.	Date of Injury	197
IV.	ORDER	198

**Attachment B:
Abbreviations**

APG: Asia Pacific Group (APP 1598)

BAL: Booking allocation list (APP 1598)

BCO: Beneficial cargo owner (APP 155)

BP: Boilerplate (APP 1871)

CCP: Cargo control party (RPFF ¶ 42)

CSAL: Customer Space Allocation List (APP 1015)

CSU: Customer representative (APP 1593)

CY: Container yard (APP 368)

DC: Distribution center (APP 2433)

DET: Detention or Detention & Demurrage/D&D (RX 844)

DRT: OOCL data repository system (APP 358, APP 1594)

EB: Eastbound (APP 1363)

EC: East coast (APP 688)

FAK: Freight all kinds (APP 1557)

HK or HKG: OOCL's Hong Kong headquarters (APP 201-02)

IPI: Inland Point Intermodal, i.e. containers discharged on the east or west coast and moved by rail to inland destinations (APP 1870)

ISD: OOCL's Information Services Department (APP 1593)

IRIS-4: Integrated Regional Information System, Version 4, OOCL's enterprise system (APP 1845, 1635)

ISC: Service contract (APP 2186)

KPI: Key performance indicators (APP 932)

LBCT: Long Beach Container Terminal (APP 2782)

MOC: My OOCL Center (APP 1842)

NAC: North America Central (APP 1599)

NAE: North America East (APP 1599)

NAG: North America Group (APP 1598)

NAN: North America North (APP 1599)

NAW: North America West (APP 1599)

NVO: Non-vessel operator (also NVOCC, non-vessel operating common carrier)

OBR: overbooked ratio (APP 2724)

OCHL: OOCL Shanghai Office/China group (APP 198; APP 1369; APP 1636)

OCM: Yusen Logistics Origin Cargo Management (APP 2397)

OFT: Ocean freight (APP 1829)

PCC1: A Shanghai shipping loop (APP 665)

Port omission: Decision that a vessel will omit a port (APP 2871)

PSS: Peak Season Surcharge (APP 176)

RBA: Regional business analyst (APP 619)

SC: Service contract

SNY: Space and Yield guidelines (APP 2209)

STCC: Space Traffic Control Center (APP 1370)

SVVD: Service Vessel Voyage Direction, i.e. a four-part abbreviation comprised of the Service Code, Vessel name code, Voyage number, and Voyage Direction (RX 639)

TCC: Traffic Control Center, also called STCC (APP 1598)

TCR: Traffic Control Region (APP 1370)

TPT: Trans-Pacific Trade (APP 1363)

VND: Vietnam (APP 198)

WC: West Coast (APP 688)

XL: Extra loader (RX 1150)